

Data Pattern (DATAPATTNS)

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To

National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra(E),

Mumbai -400051

NSE Symbol- DATAPATTNS To

BSE Limited

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Mumbai- 400 001

Company Code: 543428

Sub: Disclosure under SEI (Listing Obligations and Disclosure Requirements) Regulations, 2015-

Transcript of Earnings Conference Call

Dear Sir/Madam,

Further to our earlier intimation regarding the earnings call to be held on Wednesday, 03rd August, 2022 for the Unaudited financial results for the quarter ended 30th June, 2022, please find enclosed herewith the transcript of the same.

The transcript of the earnings call as well as the audio is also available on website of the Company. You are requested to kindly take the aforesaid on your record.

Thanking YOU.

For Data Patterns (India) Limited

~.,

Manvi Bhasin

Company Secretary and Compliance Officer

Encl as above

DATA PATTERNS (INDIA) LIMITED

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"Data Patterns India Limited Q1 FY-23 Earnings
Conference Call"

August 3, 2022

MANAGEMENT : MR. S. RANGARAJAN - CHAIRMAN AND MANAGING
DIRECTOR, DATA PATTERNS INDIA LIMITED
MS. REKHA MURTHY RANGARAJAN - WHOLE TIME
DIRECTOR ; DATA PATTERNS INDIA LIMITED
MR. VENKAT SUBRAMANIAN - CHIEF FINANCIAL
OFFICER, DATA PATTERNS INDIA LIMITED .
MODERATOR : MS. MONALI JAIN - GO INDIA ADVISORS

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Moderator: Ladies and gentlemen, good day and welcome to the Data Patterns India Limited Q1 FY23 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Monali Jain from Go India Advisors. Thank you and over to you, ma'am.

Monali Jain: Thank you. Good afternoon everyone and welcome to Data Patterns India Limited earnings call to discuss the Q1 FY23 results. We have on the call, Mr. S. Rangarajan, – Chairman and Managing Director; Ms. Rekha Murthy Rangarajan, – Whole Time Director ; and Mr. Venkat Subramanian – Chief Financial officer.

We must remind you that the discussion on today's call may include certain forward -looking statements and must be therefore viewed in conjunction with the risk that company faces. May I now request Mr. Rangarajan to take us through the company's business outlook and financial highlights subsequent to which we will open the floor for Q&A. Thank you and over to you, sir.

S. Rangarajan: Thank you, Monali. Good afternoon, ladies and gentlemen. And thank you for joining us today for our Q1 FY23 earnings conference call. I hope you would have seen the results presentation which has been uploaded on the exchanges and on our website.

While Venkat will take you through the results, I want to briefly touch upon the key highlights for this quarter. Despite Q1 being a seasonally weak quarter, we have delivered a strong revenue growth.

Our revenues have almost doubled on a year -on-year basis and the profitability has increased 1.4 times. And looking at the quarter 1 results closely, you will see that the gross volumes have been maintained around 64% to 65%. There is a dip in EBITDA margins on account of seasonality of the business.

Another key thing to notice, the development contracts and the production contracts have contributed equally to the revenue this quarter. This is an important highlight because development contracts provide a good visibility for our future revenues. Our order book position is strong and continues to grow.

As on date, our order book stands at Rs. 664 crores. We have close to Rs. 340 crores of order where negotiations have been completed. Out of these, we have also received the letter of intent for orders worth around Rs. 174 crores.

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Once the contract negotiations are completed or converted to orders, our order book will cross Rs. 1,000 crores, which will be highest in the history of Data Patterns. During Q1 we had an order inflow for Rs. 4,456 million of production contracts.

Some of the key contracts received were, one, Avionics contract for Rs. 183 million from HAL. Avionics contract from DRDO of Rs. 104 million. A large order for electronic warfare from DRDO worth Rs. 18 million.

The other category has been ATE and Naval Systems where we have received orders worth Rs. 7 million and Rs. 10 million, respectively. We are a long-term debt free company and I utilized the proceeds from the IPO to pay off the debt and also expand our manufacturing facilities in Chennai.

The new facility is required to handle full system contracts and also to augment the production and testing infrastructure to ease our operations. The system integration facility is already being used and the remaining portion will be completed in the next 2 to 3 months. Data Pattern is now well recognized for its R&D, engineering and execution capabilities.

Every part that we manufacture is designed within our country and

within our company,

resulting in an integrated operation that maximizes value addition. We are focused on building complete systems. It immediately graduate itself into an exclusively with companies we are not merely component manufacturers but provide complete solutions.

There are many macro factors supporting a strong growth for us. We believe we are strategically positioned to benefit from this growth opportunity and are confident of delivering our credit guidance of 25% to 30% revenue growth in the FY23 and maintaining high gross margins.

With this, I will hand over to Venkat for his comments. Venkat?

Venkat Subramanian: Thank you, sir. Good afternoon, ladies and gentlemen. We are happy to inform you that we have delivered a strong quarter. I would like to take you all through the financial performance of the company for the quarter and gone by.

Our revenues in Q1, almost doubled year -on-year to Rs. 68 crores and its development contracts contributed to 45% and production contributed to 40% to the revenue. Gross margin for the quarter maintained at 65% sequentially. And EBITDA margins at 31% in Q1.

Our interest expenses were minimal Rs. 2 crores having fully paid our debts. PAT during the quarter stood at Rs. 14 crores at a growth of 38% year -on-year and the EPS at Rs. 2.70. We have spent around Rs. 45 crores till now for the new facility and the cash in the books as of end of quarter 1 stands at Rs. 116 crores.

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Overall, this quarter's performance was strong generating record revenues in Q1. Q4 is still a significant quarter, but we can see seasonality coming down gradually. With this, we will open the floor for the question -and-answer session. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Nitin Arora from Axis Mutual Fund. Please go ahead.

Nitin Arora: First question is on the order inflow which you have received a post 30th June because it looks like you have won Rs. 211 crore s worth more order. Can you help us understand where these orders have come from ? Number one , and also where you writing in your presentation that you are in a negotiation stage with of Rs. 300 crores worth order more, it will be helpful if you can help us understand what are the programs where these orders are coming from ?

S. Rangarajan: There are two large orders which we have finalized being L1. India for the first time is developing a space surveillance radar , this is for deep space surveillance for our defence. And for the first time, DRDO has contracted this as a complete radar to be developed, not just the electronic piece parts which we normally do, and they do integration radar.

So, we were fortunate that we were lowest quote in both the contracts. So, one contract was signed on Monday, which is about Rs. 189 crores . The other contract is going to get signed where negotiations have been completed is about Rs. 173 crores, which is what we mentioned that we have paid 100 -odd crores . We have completed negotiations awaiting order.

We received LOI for this. The order is expected this week or next week. So, there are two large orders on a complete radar. The important thing on these orders is that this is only a scaled down prototype of the actual radar, which has to go to deep space surveillance .

The final radar value is expected to be a few thousand crores each, so this is a start. Once we build the system, hopefully we will do the large systems as required by Indian Defence.

So, it is a very important milestone for us to get both the radar an entire system, including building construction everything we will be doing ourselves. This is a very, very important milestone for us with these two radars.

And this is part of the Rs. 600 crores which we told you already received the or

ders. That is Rs.

400 crores we already had on hand by end of June. During the first quarter we receive some Rs. 40 odd crores which I explained on the start of the presentation today and then we received this Rs. 180 crores or Rs. 190 crores orders plus a few other orders we received plus the smaller from various organization we have received.

Yet to receive is this Rs. 174 crores, which is going to be a nother radar of the lower frequency band, which again is going to be very , very large maybe 20 times or more size of this contract once the larger orders comes . The other things you're expecting contracts are for the Avionics

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where negotiation is completed for LCA Mk 1A within the cockpit display . Negotiation has completed on Saturday. It is about Rs. 75 crores, so we expect the contract to happen in the next coming weeks.

Similarly, we have inquiries for mission systems for LCA . Again, we developed this long back.

We are replacing important systems there, so those orders are also expected to Rs. 60 cores. We also finalized the L1 and negotiation has been completed for autonomous weapons autoloader for an autonomous battle tank .

And also the order is expected to be Rs. 31 crores. So, all in all, similarly Brah Mos, the Fire Control System negotiations we completed, so order is expected nearly Rs. 60 crores . So, these are all together makes this Rs. 1,000 crores, which I talked about in the earning call.

Nitin Arora: Just to elaborate a little bit and I am sorry I am dwelling on the order wise . The state surveillance order, both one which you have received and one which we are in negotiation , this is for the army or this is for which segment the low frequency radar as well ?

S. Rangarajan: one is we have complete d the negotiations. We were L1 and negotiations completed about a couple of months back and the order is expecting any time now. Point 2 is this is not army or navy; this is being done by DRDO as a development contract with another foreign partner or

consultant.

But the radar is to be realized in India, the full design being done by us so we will do the full design of the radar and co-design with DRDO and post this development is done I do not know MOD will probably place the order for a larger radar or how it will go. We do not know, but here the one difference is unlike most DRDO contracts, the parts are ordered and integration is done by them. Here it will be the full radar, including integration, so that is the highlight of this, and this is going to be a very large radar going ahead.

Nitin Arora: This is quite interesting, sir, because I think that was you were telling everyone that the complete radar integration we will do one day, so I think that's what the order has come for.

S. Rangarajan: Yes, the only thing we have been doing it on our own for MOD tenders and ISRO tenders where we are allowed to build full systems. For DRDO we are already doing all of electronics, but the radar integration is never done by us. This one opportunity which came, we said that this we need to do because this is our core competency, we have to build the system and the future radar is going to be huge, really huge, larger radar will be probably done in India.

So, that is important to us and very, very happy that we could back this contract and a lot of effort is going on in next two years to make this real.

Nitin Arora: And then just lastly before I come back in the queue, the Avionics order of LCA Mk 1, you said there are two orders. One is for Avionics and one more order. Now if you can help us clarify

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because one order I remember for the newer MK1 they want to put the electronic warfare system from an Indian entity rather the domestic part and as well as the avioni

cs and radar part. Now,

can you help us understand what is this Rs. 73 crores have come from which system for LCA and the Rs. 60 crores one?

S. Rangarajan: See we are not talking EWR radar here. These are all done by us way back in 2005. We have designed the cockpit display for LCA and what is flying in LCA is our systems. And based on that for the additional orders about a few 100 pieces they have ordered now. Negotiation is going on for many months, it is got finalized Saturday, so that we will be delivering.

Second is the mission computer, which have been actually imported all along. We have replaced that and we delivered some 200 systems, 200 hardware boards last year to DRDO and to HAL. Further orders we have received now and some more inquiries have come and similar tender for that around 500 odd pieces, Rs. 753 crores orders we should get.

So, these are all single tender orders because based on earlier design products which we are getting for this program. Coming back to the first part of your question on EW and RWR. We have delivered a solar RWR to DRDO. Now they are expected in the LPA and it is flight testing is happening on that, so we will solve this successfully. The expectation is that will be fitted into the LCA Mk 1A and other fighter platforms.

We are also expecting contracts on (Inaudible 14:13) and other variants so that this can do. Also in LCA Mk 1A we have done a smaller version for Mk1A to do form fit inside the space available there and also we are expecting contract.

But these are all not actually these are all future contracts are expected, but the basic version we have delivered is already flying in MCA and the flight testing is happening, so based on success of the test we expect additional orders to happen, but that is not part of projections today because we have not projected that as part of the Rs. 1,000 crores is not part of it.

As far as the radar is concerned, we presently are not in that area. We are expecting we want to get into this, but at the present moment we are not contributing the radar, which you are talking.

Nitin Arora: Okay. Because the were news in media that the new LCA Mk 1, there might be an Uttam radar which they might go ahead with which generally I think extra microwave mix. Any comment on that or we just got confused in that?

S. Rangarajan: That is also on testing. That is what India wants to. So, it is on testing, yes.

Moderator: Thank you. The next question is from the line of Sandeep Tulsian from JM Financial. Please go ahead.

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Sandeep Tulsian: So, my first question is regarding the margins. I think you had guided for 65% to 70% gross margins that the company should clock going forward and one should not look at last year margins as a barometer. And also you made a comment in previous calls that you would this high margins in certain contracts will be used to bid for new contracts, large value contracts at some aggressive prices.

So, how should we look at the gross margin profile going forward? Do you think on a blended basis, we will still be in that 65% to 70% gross margin range? Or with these large value

integration orders this gross margin range would come down much lower . If you could give some more color on that?

S. Rangarajan: As we said last year last call, I think this year quarter projections will be aimed at a 6.5% gross margin for this year at the enhanced sales whatever the guidance we have given we will try to do that. I have not commented for next year yet and second the orders which is coming now some of them are executable this year, but last part of the contracts we are talking this Rs. 300 crores, Rs. 400 crores we will get , or Rs. 600 or Rs. 500 crores will get executed next year. So, there is a timeline for the contracts. So, this will not affect

this year performance in terms of

gross margin for the time being . To answer your another question system integration contracts, yes, what happens is while we retain the electronic design which we do equipment design, we do retain, some healthy gross margin above 60% normally we keep even because a lot of design effort goes and IP goes into this.

What happens when we integrate big systems when you buy generators in big buildings and you put structures, obviously we can not add 60% to that and we expect to be L1. It is not really practical, so we need to look at the program point of view and take a call. Not necessary, only in gross line, what are competitive numbers . But going ahead what happens? Let us take these two contracts and we scale this 20 times radar. This is only scaled on radar.

The next radar is going to be 15 to 20 times bigger , each radar . So, we do that. Then what really scarce is the electronics and then the building and all other things is separate construction really happens to it.

So, at that level we have protected our systems and so that tomorrow when scale happens, we have reasonable margins, obviously with size of business, margins may be different and what we are more looking at is revenue growth and bottom line growth, not particular margin on each vendor , each part is not , a particular margin is necessary on equipment which you do, because a lot of IP goes into development and are we competitive in an international scale with what we are quoting is what we are seeing .

Because we reinvest on the development and continue to build the product as a product over the next 7 to 10 years time. So, we need the margins to drive the business, but our system integration contracts like this, obviously we have to be competitive.

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But what I can say is as the revenue grows our bottom line also will grow, we are not taking revenue at the cost of the bottom line.

Sandeep Tulsian: That is fairly understood. What I was trying to understand is these two orders which you have received , broadly what would be the electronics portion or this is primarily electronics and only bought out typically what are the margins? Are they low single digits , are they in early double digit? If you could just give us some sense that could help us assess the gross margins for these orders ?

S. Rangarajan: I prefer to give an estimate for next year, not contract price, because these are sensitive information and we do not want this distributor know how I quote for which contracts from the competitors . I hope you understand.

Sandeep Tulsian: I understood on that front. Second question was on the ratio that you typically shared on the single vendor contracts versus the competitively won contracts. So, for this year, how do you see that ratio? Typically, the 60 % to 70% of our contracts for one on single vendor basis. If you could give some more color on FY23 order inflows how that would look ?

And second part to that is also on the export space . We have been reading in news a lot of these LCA and Brah Mos and other systems will be exported. So, what is the order pipeline on the export front? Those are the two final questions .

S. Rangarajan: Okay, see most of the contracts we get are single vendor which is a predictable business for us and that is what we plan for future what order we are getting so pipeline or project and the business plan we make internally is all based on largely single vendor contracts.

Because when you go for a competitive bid, we do not know whether it is a 01 situation. So, we don't really predict on that. But good thing is, today we also have one single competitive bids and that is a sizable bids have been won by us in few case situations, which is good.

So, that is also adding to our overall thing, because of the large contract we

have got , our single

vendor contracts we are talking about 50 % to 60% will be single vendor contracts and the rest is competitive bid.

But all the projections for this year in terms of Rs. 400 crores, Rs. 500 crores , as I said for FY22 - 23 order intake or January to FY 23 end I had made some projections last year , that does not include this Rs. 400 crores, Rs. 500 crores of competitive bids . So, what really is going to happen is I think we will exceed our order intake projections given in the last call last year.

So, that is what is happening, but to answer your questions about 55 % to 60% or 50% to 60% single vendor contracts.

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And in exports, I think we should do about 10% exports this year and we are discussion with started this more. So, we got an order for about £0.5 million order last month. We are expecting those contracts to happen. And more countries are talking to us in terms of development requirements.

So, hopefully with time it will grow, but today it's about 10% of our revenue. And the third part is export on BrahMos and things like that. We've already finalized the contract with them. That is expected about Rs. 60 crores which is to be coming.

I am giving you a wholesome numbers, not exact numbers, but this is for Fire Control System which we have designed but BrahMos will stay starting back to 2002. So, the order keeps coming and there are more requirements from naval base Of India and also is coming.

But it is not an export. We delivered.

Venkat Subramanian: We delivered to BrahMos only. BrahMos in turn deliver it as a full system, export it as a full system. For us it is only a domestic sale.

S. Rangarajan: And MCA as you know, I don't think there's any export order.

Sandeep Tulsian: Okay, and just if you don't mind, could you disclose these two large orders which you won under competition? Who were the other bidders and what could have been the price differential between yourself and the others? Could you give some color there?

S. Rangarajan: Firstly, I don't have full data. I know the competitors but I do not have full data what is the L2 price because they didn't disclose the price. While our price had disclosed with competitors because they had to negotiate with us, they did not disclose.

So, I have a guesstimate but not the exact numbers. Is that relevant here? You can always I can talk to you one on one and give you that data.

Maybe I can take. Sandeep, I will also tell you the major competitors were L&T, Bharat Electronics, Tata. These are the kinds of companies who quoted there.

Moderator: Thank you. The next question is from the line of Akshay Kothari from Envision Capital. Please go ahead.

Akshay Kothari: Sir, I wanted to understand on the Rs. 211 crores order inflow which we have received post 30th June, would the orders be mostly on the development side?

S. Rangarajan: No, whatever we received on first quarter, this radar is a development contract, but that is after this quarter only we receive. First quarter we received is about Rs. 45 crores mostly as a repeat production orders, these are not development contracts.

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The bigger orders we now are all development contracts, but whatever we've already received are not development contracts. This is already done and earlier delivered, which are repeat contract for us.

Akshay Kothari: I am talking about the post first quarter, 30th June?

S. Rangarajan: Yes, post first quarter the two, three large contracts are development contracts which is the two radars, space surveillance and one for the tank's automatic loader for the tank. These are development contracts but other than that for the avionics and for BrahMos etc etc, whatever we got for communications and all that, these are all

production contracts because already we've delivered this earlier so it's a production or repeat order for us.

Akshay Kothari: On the developmental order side, I'm assuming that our order execution cycle and working capital cycle, both are little bit different because the thing is in development, we have facilities like stage finance thing and we also avail some non fund facility.

So, even if our order executions cycle may look a little bit elongated our working capital cycle is not that elongated. Am I right in that assumption?

S. Rangarajan: Yes, all the development contracts I think most are 30% advance and there's also stage payment on part deliveries also there against bank balance. So, mostly in non-funds we are getting money in this and both these orders will be two-year delivery cycle, 18 months for delivery.

So, next year it has to get delivered. On the production contracts so-called there also we can advance. These are DRDO and BrahMos contracts and even HAL contracts though it's a repeat contract, we are getting some advance there also, so those are upfront also there. So, the cash flow is not a problem, we get, we can advance and we can deliver part delivery and during part delivery we get payment for the delivered parts. So, there is a stage wise delivery and a stage wise collection, so it's not a problem. Whatever contract we received till now there is not an issue on these things.

Akshay Kothari: Okay, so the guidance which we gave of maintaining 280 to 300 days of working capital remains intact, right?

S. Rangarajan: Yes, what's happening is it maybe we are trying to do the debtors cycles are coming down but what is happening is our components stock material inventory is going up. This is mostly because we are taking some proactive steps to see that though the contract is a long term, we're ordering materials ahead of time because there is a problem with the electronic components, electronic components, suddenly we find that the scheduled delivery gets extended and that will get extended on the month of delivery or the week of delivery, which puts us a lot of considerable risk on producing and delivering where all the material is available.

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So, we are now taking more important things that we need to deliver. So, we have started stocking materials so our inventory holding is going up. But on the whole, the debtors are coming down, so this is because of the business cycle today Covid, post-COVID, issues on electronic components. The intent is to see that cash flows are there and working capital cycles are brought down.

Akshay Kothari: And so on the revenue guidance, the 25%, 30% revenue guidance, as per my calculations would this guidance be more on a conservative side?

S. Rangarajan: Okay, see, we would like to retain the guidance the way it is, bit conservative, maybe but redirect at the present moment because these are project deliverables, there are some development contacts some development delays will be there or inspection delays. Some component does not come so we want to ensure that whatever guidance we give, we exceed on the guidance. So, that is why we are maintaining the guidance as needed.

Venkat Subramanian: And these large value orders are all deliverable only after 18 to 24 months. So, that way it is, I mean, this year it is going to be almost same 25%, 30% is sustainable. Going forward, we may revise the guidance if in case we think it appropriate.

Akshay Kothari: And sir, in the investor presentation you have mentioned that Rs. 300 crores of further orders are expected in FY23 in the 30th of June investor presentation. So, post that we have received Rs. 211 crores. So, we would be expecting another Rs. 100 crores that way?

S. Rangarajan: No, we should expect, I told you know these kind of tender bids, we don't

really cannot consider

for the projection earlier days. So, these have come now, so I think we will exceed guidance on the order intake for FY23 will go up.

Venkat Subramanian: Yes it will go up by further Rs. 300 crores is what we have made it in the presentation.

Akshay Kothari: That's very good. And my last question would be on the innovation. So, you did mention about radar. So, what I would like to know is, on the newer product side, basically on the innovation part. Which are the new products which are in the pipeline and where are we planning to go with that? If you could give a sense of that?

S. Rangarajan: We are trying to do a whole range in radars. On airborne radars we started designing airborne radar. We have already delivered one to DRDO, which is flight tested in Dornier. There is a Dornier upgrade program may be post that it is happening so towards that we already started development of an airborne radar which has got a good likelihood of requirements in India. So, then we are also doing some work on the radios. We've delivered the first few pieces for fighter aircraft, software defined radios to DRDO, where they're putting the waveforms and then it's expected to be flight tested in HCF at the start and also other platforms going ahead.

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This is uniquely different because we're now importing from the file and where we meet all the specifications in terms of hardware. We also have local encryption Indian encryption to be added that also we have made provisions here to meet and exceeds all these specifications.

We've already qualified the system for flight data reviews, so based on the flight test done by DRDO and acceptance, this can also go through other platforms. A variant of that also we received an order for a ground application on vehicle mounted applications that we received.

The order we got a month back we could execute it in the next three to four months' time.

So, things variants of that we're trying to build. We're also doing a variant of that for radio relay for a surveillance UV application. I have been saying that we have not only to look at MoD but we also will have to do and India has to be self reliant and build more in India. We need to build Indian ecosystem towards that, the first part we will talk to a platform vendor and then doing parts of the equipment and all the aircraft equipment in India.

We are planning to do far more aggressively those kind of equipment build, so which goes into their platform and then if they sell that platform, we start getting additional numbers. They are already started doing that. This is the second area. The third area is also we are working a lot of

EW.

We delivered last one year we have delivered a number of newer generation EW products it was from HF up to 40 giga hertz . An enormous range of products, all are very small footprint form factors which can get as a building block which can go to air, water, underwater you know ground all o f them , it can go to all platforms.

We expect that variance of that can get used in various applications, including MoD t enders . We are also looking at actively developing additional capabilities for m acro and mini satellites including payload .

That is ano ther work we are doing where the entire system can get done. We're also working on some data links and waveforms for data link for line-of-sight applications. So, we do your host of stuff on product develop ment from an Indian context, but it will be all po sitioned as an international product.

See that equipments are designed in India rather than i mport technology and build manufacturing equipment here. The idea is to differentiate ourselves and be the equipment vendor. This is why we have 4 80 engineers working with us. We are scaling the engineering capability.

We are r ecruiting more

people and we've now really nearly 900 people. I think in the next few.

months w e will cross 1,000 . We have recruited a lot of people. Second, we also created infrastructure. We're creating additional test infrastructure , equipment test infrastructure, and all of them . These are all keeping in line with what we have as a future vision to build state of art

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internationally qualified kind of systems from India which c an be export capable. So, we do a host of stuff on that , Akshay .

Moderator: Thank you. The next question is from the line of Ren u Baid from my IIFL Securities. Please go ahead.

Renu Baid: I just have one or two questions largely on the order inflow side. While you did mention of this new Rs. 200 c rores of orders that we got in 2Q. Can you share some update on the large program for which you were expecting both in Himshakti as well as the ot her project s?

S. Rangarajan: Yes, see what has happened is last year when we went on the call I have said this year o rder intake will be these kinds of orders , Himshakti , (Inaudible) 34:36 , etcetera . But there have been some delays. We thought the order s would be signed last year by B harat Electronics and back -to-back we should get some contracts but that got postponed. But what I hear from market is that there is any time about to be signed. We don't know what the any time is , it is your guess is as good as mine. But what we hear is it is going get done. So, back -to-back I think you're on a call with B EL, they should give you all clear indications of when it's going to get signed.

Hopefully , after they sign we should start talking to them on the sub systems for, but I expect this to happen this calendar year. Seco nd is on the Arudra again. Again I think they are in discussion or negotiation. T he tender is already submitted many months back.

So, again, B EL is in negotiations . Again what we hear is that there this that should be finalized and back -to-back order should also flow this year. T hese two orders . The third one is the L LTR, which is Ashwini. I think Air Force is starting to move the paper work for AOM in that . So, there is lot of correspondence activity happening so this also should happen this year , at least take off this year and m aybe contact happening next year, but these are all in the cards. There are other programs which we did not talk about was the NETRA 2, which is con tract w hich has come for early warning radar .

Aircrafts could get and already bought by DRDO Airbus A321 and the y are upgrading the aircrafts to radars and electronic warfare and other things. So, we also should be playing a role in that . The size of role is as of now not clear, but we will play a role.

So, those are the contracts which is happening. Staff development contract should happen this. Here it is again the other program for Dornier upgrade . Again some contracts may come to that in that order also.

Again, size of contact this is not the time to talk about it . As and when it happens we will update you on the kind of contracts. But we are working towards all of them and it seems that there are quite a lot of activity happening. There are new rad ars which are being planned. Some activities happening . We already quoted and become L1 in one Air Force program upgrade , which is Aerostat, EW upgrade of Aerostat .

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That again we expect contract anytime now. And that's an exciting cont ract because it has (Inaudible) 37:11 of them and the full system upgrad e will be with their version capability.

All of them will do that gives a lot of confidence that what is originally imported is now

completely being designed by an Indian company. That gives a lot of confidence to our services . We expect that these kind of contracts will be ju

st starting to let India bloom as an equipment supplier which is world class .

So, we are very focused on such contracts which will help us scale not just the business but on a competency model which is then it is worldwide you can go and sell. We can use India as a platform to validate give an international quality product here and take it global. This is our interest and these are all small orders , which is, I think, building block to see how we can be successful in future.

Renu Baid: Yes, this Aerostat order which you mentioned th ese are L1. W hat would be the value or size of this project ?

S. Rangarajan: There's about Rs. 18 crores .

Renu Baid: And just to round up the Rs. 300 crores order which you mentioned should come in the subsequent next 3 -6 months . Essentially would include Himshakti, Arudra ; these two projects together ?

S. Rangarajan: No, we've not include Himshakti in that. No, even ther e Himshakti, I have not added Himshakti in that. There are some I don't want to say which cont ract because it's a bit premature, but I'm giving guidance of Rs. 300 crores. W e can exceed that if Himshakti kind of thing happens , this can get exceeded, but I have not planned Himshakti in this year of course.

Renu Baid: I am just trying to clarify. So, in 2Q we have already received Rs. 211 crores worth of orders which was over and above what we were indicating earlier. In addition, we have guided for another Rs. 300 crore s worth of new orders in the next 6 -9 months, which you're saying may not, as i f Himshakti comes there could be positive upsides to this Rs. 300 crores of incremental orders in the second half of the current fiscal?

S. Rangarajan: Correct.

Renu Baid: Okay, so which is interesting . And lastly, if you look at the broad of issues of supply chains, semi conductors, how is the situation now versus last quarter? Have you seen material improvement? Are you seeing acceleration in project execution, including projects which were delayed, or you think some of these problems may continue to persist for some time ? So, any comments on this?

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S. Rangarajan: Yes, see there is a general improvement, but certain types of component from some manufacturers are still slated 52 weeks and 60 weeks. What we are doing is placing orders and expecting improvement in the delivery schedules, but while placing orders they are not willing to commit any earlier timeframe. There are a few companies who are doing this. So, we are looking at alternates to in case it does not come, can we do a redesign of those parts, use some of the parts. So, those kinds of mitigation practices are following, but we do not want to do that all the time. So, we are placing orders ahead, hoping that the governme nt will come, but yes in general the situation improved, but still there are specifics and issues and every single component has a problem, one component does not come we cannot deliver the product. So, from that perspective, we are very cautious and proba bly taking additional decisions to stock inventory.

Renu Baid : Right and lastly, any developments to share on the space side, or you think it is still a little too early, and we may have something written later during the year rather than now?

S. Rangaraja n: Yes, we are working on some, but it has not come to any situation where we can announce anything.

Renu Baid : No problem sir. Good performance. Thank you and all the best. Thank you.

Moderator: Thank you. The next question is from the line of Gagan Thareja from B&K Securities. Please go ahead.

Gagan Thareja: First question is around the order book. I am slightly confused. Orders on hand is 663 crores and negotiated orders with LOI received is 174 , negotiated and yet to receive LOI is 168. So, that is theoretically another 330, 340 crores possible? Are you saying there is another 300 cro

res over

and above that or are you saying this is a 300 crores additionally over 663 crores plus whatever you cou ld get from Himshakti, Arudra and Ashwini?

S. Rangarajan: This is what Renu asked. What I am saying it is already negotiated contracts. The contracts expected probably this month, next month, maybe this month we should get all the contract with us. Alread y declared L1 and negotiations completed. So, with these contracts happening as I was saying that we will cross across into our order book, which is what has been given in the press release. But earlier, we had given guidance last year that we will do some 400-500 crores of order intake during the course of FY23. In that we are not catered for tender orders. What we have been given guidance was based on some of the larger orders, which has come coming based on single vendor contracts. So, there is the predi ctability. Only timelines get shifted and that is

what we gave, but these are tender orders we got, which is a good thing. So, I retain that we still maintain that some of the new things that happened in the last few months where we believe the contracts will happen. So, I put additional under the 300 crores if possible during the course of FY23 is what we are seeing now and if Himshakti and some contract happened that will be a bonus.

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Gagan Thareja: Great and also the 173 and 168 crores orders. Is this the surveillance radar order and low frequency bandwidth order, if got it correctly, or am I missing?

S. Rangarajan: Yes these are two particular radars. One is an S-band and the other one is UHF what I call low frequencies, ultra-high frequency but that is about 6 times because we are doing 10 GHZ now.

So, they are two separate orders. These are scaled down radars, you know probably 15 times 20 times scaled down. To validate the radar performance everything else is a building block, design is common. Per scale the radar increase the number of building blocks so let's say one two story building I do. It can be a 20-story building tomorrow. There, the radar get housed on the sidewall. So, the size of order is very large, it is going to deep space and tracking deep space requirements because I cannot talk about specific applications. I am not even authorized to understand this and working with DRDO on this, but the very fact that we are building different radar for them in the next 18-20 months is what we are supposed to deliver. So, those are two radars, which is very exciting for us. Because these are future technologies and the size of business can be very large tomorrow once we deliver the products and these will be integrated radar so the repeat requirements we believe hopefully will come to us.

Gagan Thareja: So, the scaled down versions will be tested and validated and then the final full-scale radars will be ordered. If you could give us?

S. Rangarajan: Do not know it is one or many. India is a large country with a large space to manage our space assets. So, we do not have an exact plan, how many will happen, but it will be sizable.

Gagan Thareja: Right. So, what will be the timeline for testing and validating the scaled down versions?

S. Rangarajan: Delivery is about 18-20 months and after that they will test it, but once the basic systems are functioning, they are saying that we will go ahead and start planning for the big radar because then really the big radar will take time because it is a very large very, very, very large system and probably the largest radar India will design, both the radars, individually largest radar. We are talking 1000s of kilometers to be tracked in some way. It is a large radar. So, they may take once the base systems are coming in picture. It depends on what government does send. The MoD is thinking to see something happening, maybe they will initiate it early or subsequent wait, I am

not really at liberty to say that I have no public data on this, but it will happen. We are very -very scheduled to 18 months to 24 months.

Gagan Thareja: Okay and the design of these radars is DRDO or is it your own design?

S. Rangarajan: The architecture design is DRDO. We do all the subsystem design, electronic keys for PCB all of them we design. Of course, anything you design will be supervised and managed by DRDO and we design development but there will be final design authority but we are doing all the part design like we have been doing all along. We design all the antennas, all the radars everything the mechanical structures movement mechanism, everything we will design and of course validated by DRDO.

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Gagan Thareja: Right and you indicated execution is 18 to 20 months for these orders and what would be the execution period for the 663 crores orders on hand.

S. Rangarajan: All are in the next few years except the one order which can go to third year which is the cockpit display which is a clear order but we have an option to do early delivery also. So, we decide what we want to do whether to keep it third year or we can do it in second year.

Gagan Thareja: So, the entire potential 1000 crore order book has an execution timeframe of 20 to 24 months

S. Rangarajan: Yes.

Gagan Thareja: Right and when you say you are moving into system integration orders. Is it first of all possible to understand all this 1000 crores how much I mean ballpark what proportion is system integration and what is simply pure product subsystems and so, on?

S. Rangarajan: Largely except for these two radar which is building construction and all of those things and our system is an integrated radar system. The rest of all our systems of course, we have some 100 to 200 crores condition our radar will deliver this year or next year a lot of mechanical stuff and all that in that but the design is fully ours in all of them. So, we call it as our own system but here there are bought outs in those things, which is not there on the order we are doing. So, largely except for 300 or 400 crores, 600 crores will be our own systems in the existing 1000 crores.

Gagan Thareja: Since BEL is a large integrator of electronic systems for DRDO and MoD and so on. Are there gross margins representative of what system integration margins can look like?

S. Rangarajan: See these are two flavors, Bharat Electronics gets most of the contracts on nomination basis. So, I really cannot say how they're pricing the product, because it is between government departments orders are done whereas when we call it is on a competitive basis. So, we need to look at that and price it accordingly. So, I will not be able to directly say their bottom line, those system integration has a bottom line which should expand, like 20% more than that or higher than that. That's not a statement I can make because I do not know how they make that margins really what contracts part is being done. They will look at product specific programs specific requirements take our call on what is competitive and what is accepting to us and make an order. So, it's very difficult and second is without competition you do, things will be very different. So, we cannot really compare like that.

Gagan Thareja: On developmental contracts, you get 30% advances if I got it correctly. On production contracts what is the advances, integration orders, what's the advances like?

S. Rangarajan: Without development you cannot say all are giving 30% because open tender comes they say no advance, more guaranteed people give us 3% and after delivery only we get money that also is there. But in these contracts in HAL we have a 30% advance and some on the production a repeat contracts next year, we have 15 % or 20% advance and tenders as per Draft 2020 we are allowed Data Pat

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to give 15% advance to 20% advance on the contract value and stage payment happens on part deliverables in one year or say every three months you deliver something on that there's a percentage pay either the value of the unit is paid less advance or they have a defined stage payment for delivery. So, both are possible this is the MoD tenders. So, some contracts also come without advance, but largely here now we have got contracts in advance.

Gagan Thareja: So, finally networking capital on integrated system contracts, would it be similar to what you have so far had on your product and product contracts or is it going to be a little different a very different from that.

S. Rangarajan: Very interesting question, we are going to do the system now, we will try to some vendors to do back-to-back if they may not agree, okay, so we need to negotiate better terms for us. Otherwise, what happens is stocking closer is a bit more, but what happened is DRDO always understands the larger order and regular stage payment against bank guarantee. So, again, non-fund limit, other than the advance, you also have another stage payment, where we can show procurement happening and then it's the money so the cash flows are slightly ease out, all that is possible. But from networking capital days when we say there may be a bump because of last contracts, something will happen. But what we will do in this situation is try to get the ball towards the final stage, not during development stage in the first one year, get them right in time, just in time accepted, take it directly to field. We will not try to bring it to a factory and keep it here unlike raw materials, which we keep here and manufacture and test and validate. Those things will be done at subcontractor place a vendors place where customers go on holiday they will ship directly to the site. So, that is how we want to plan our working capital. Hopefully, we plan it well, see that we will not have issues.

Gagan Thareja: Sir if I am allowed one more or if not, I will get back in the queue. If you are okay, I will ask one more question.

S. Rangarajan: I have no problem. But the organizer has to decide. I have no idea who is waiting.

Gagan Thareja: Okay. Sir you know you make seekers for BrahMos, missile seekers, simply because our missile programmers are now fairly comprehensive. QRSAM, MRSAM, and very short-range air defense systems, and portable GM so on so forth. Do you have any plan to expand your footprint on the seeker side?

S. Rangarajan: See to be honest, we have all the competency to build whatever you are saying, presently, these are all transfer technology imported coming to the country. If we get an opportunity to quote against such requirements 100% we will do it and from small weapons to larger seekers weapons, their competency model which can build it. But what happens is that comes as a weapon MRSAM or we are talking about QRSAM. So, you are buying a weapon, you buy parts of it transfer technology, it comes to manufacturing here, it goes to pieces. But what is happening, so whereas to when this facility happens when you can design products here, then definitely we will be standing in line or in the front of the line to see the real opportunity, but it's Data Patterns India Limited

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not it is a competency, it's a question of getting the right opportunity to build it. It is not that we like to expand capability to build we have the capability. But we need a contract to build because

we cannot build general specifications for APGM or anything for that matter. How will I put it part of weapon that is a tricky part and unless you are allowed to put the weapon and do testing, you cannot do this. So, there is no point in designing things in these kind of situations. Without the weapon manufacturer or the buyer, participating

in the program, giving you a specification

and then building validate. So, that's I'm saying all along, we need an Indian ecosystem to say we develop here. One the government is doing is saying 50% Indian content in every contract is a start, there's a Mk 1 which we are saying is the second start with this we can do and then technology development IDECK, IDECK 55.12 are small parts small within systems, not for these kind of complex systems where weapons have also to develop. So, as an ecosystem grows, I think people like us will play a very large role in building the competencies and the products, so that it can be truly made in India kind of system?

Gagan Thareja: And basis, the work that you have done, for developmental work for DRDO, which is now sort of coming to fruition, and will scale up what sort of, potential pipeline in radars and electronic warfare systems and avionic display systems and so on. Do you foresee in the next two, three years where you give or figure in your presentation? You know, you've already received sizable part of that figure, right away in this year itself? So, therefore, I'm simply trying to understand what's the potential pipeline? What are the areas, which will be critical and how large could the opportunity be over the next three, four years?

S. Rangarajan: Yes we showed Rs. 2 to 3 billion as 200 to 300 crores, plus that remains as a pipeline, because no part of the pipeline has been realized as of now, these are all different contracts. Nothing to do with the pipeline projected and the pipeline will go up, because we're developing more products now and if US has qualified and comes for other programs that also can get added. So, the pipeline remains intact. We thought some of them will start this year. But we say two to three years only, earlier also we said 2-3 years because the decision-making time is going to be long term though there have been you we have quantified the systems tendering will for the repeat requirement has to happen, funding has to happen and then after that back-to-back contracts have happened. So, that is why we said and some of the programs like RWR or ELINT and airborne systems takes time because once flight testing happens, funding has begun upgrades, and then only this will happen but there is enormous potential because there are too many aircrafts, too many types of aircrafts, in all of them electronics is obsolete or going obsolete. So, the airframe flies for 40 years, electronics does not fly for so many years. So, there is an urgent need to upgrade it remains the same as combat, so requirements are large, if I say now how do you address requirement meet customer expectations and after that, they have to ensure that money and timeframe for upgradation is done and we are there at the time. So, these are the factors so that's why we did not put a timeline about 3-4 years this pipeline is there and we still expect the pipeline to be there and it should grow.

Gagan Thareja: And finally sir from a manpower perspective, since now these are all sort of sunrise sectors and there is obviously high demand for experienced and talented engineers in this area. Is it relatively

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difficult for you to get the requisite manpower with the requisite work experience or is it increasingly getting more difficult or you feel that you know, that's not an issue at all?

S. Rangarajan: We have great the manpower when development manpower, project management manpower, HR production and then management. In the general-purpose area like management, HR these are people get lateral hires to do this and build up competency and the top layer can get built, the top and middleman can be built. Similarly, product management can be lateral recruits and once one or two years of training with us with our way of working, you also fit in which is what our experience

has been with either two. So, on the lower end if you look at development skills and things like that, production and development, what we are doing is we take fresh graduates and train them. We have been doing this for 15-20 plus years now. Only on scale of people number of people we are taking now is in-house, where inhouse training. In-house our own champions of training, our own engineers training we have outside people coming in and training them. So, training is a fundamental part of our recruiting process, but in fact we even take it nine months ahead of job, take them as training engineers on when they are in fourth year and see that they do the projects here. We give them salaries and take them in. So, they continue to work as we go along. We found good success in that. So, on that area of technology, which you are talking about, we do not normally hire laterals, because like you said, it is very difficult to get the kind of people who we want and we are not tired from competition also, the homegrown inhouse training is what we will sort it to till day. Going ahead, it may change, but as of now, this is the plan. We are not really looking at lateral hires for those kinds of positions. But we are confident we need to beef up our HR process, our training, procedures, recruitment, yes, we do

have problems of hiring. There is an issue on that. There is a demand, there is a gap, we are trying to address the gap as you go along and with scaling happening, we are looking at what is what kind of staff positions are getting opened, how we plan for it is enormous work. It is actually capacity building work. We are seized of that particular problem and we are finding solutions to how to do this and how to multiplex, how to reduce the largeness of the work into smaller pieces. So, youngsters can do.

S. Rangarajan: Like the work basically. See that they come up and do the technical.

S. Rangarajan: So, we are addressing the problem at various levels, but I think we will build the competency because they have all 900 people we have, most of them 800 plus have been built internally by us.

S. Rangarajan: As they are all homegrown, more or less.

S. Rangarajan: And our average age is 23 -24 for all the 900 we see obviously we have senior people so we have a young crowd and willing to learn and there is a lot of ownership in our company. Well, two of the people are our shareholders and data partners. There is a lot of ownership. We wanted to build a large organization together.

Gagan Thareja: And your thoughts on succession planning.

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S. Rangarajan: We already have we recruited last AGM, we recruited Vijay, who is the COO, he is about 20 years with Data Patterns, the young. He has gotten as a director on the board. So, the way we are re looking at each part of each role, and how do we want to build the role? How do you build up so this is one of the agenda points the board has given us and we are working on who are the guys who will take our positions? How do you scale? You are asking the right question, because this is the discussion at the board meeting even yesterday,

S. Rangarajan: We have started actively, we have already identified a few positions, and we have been going to take it for.

S. Rangarajan: The thing is as it is homegrown business. It is a very closely knit organization. So, the top management is all together, all decision makings together. There is no hierarchy in that sense. So, every decision is shared and owned and all problems are common and understood. So, we should be able to build this for everything.

Gagan Thareja: Thanks. Thanks and wish you all the best sir.

Moderator: Thank you. The next question is from the line of Mudit Kabra from Elara capital. Please go ahead.

Mudit Kabra: Congratulations on great numbers. My first question is like with this bigger margin

of 31% in

Q1, what would be your outlook for the whole year for EBITDA margins? Sir, considering 31% EBITDA margin in Q1, like what is your outlook for the whole year?

S. Rangarajan: See, we have told you earlier we will do 40% EBITDA. We will continue to keep the guidance because what happens see the EBITDA is a function of revenue and gross margin and overhead expenses. See our revenue is not evenly distributed all quarters. So, the last quarter becomes high revenue, but the overhead remains same in all quarters. So, EBITDA, then quarter -to-quarter is low in the first three quarters, as was quarter jumps up and overall EBITDA. I think around 40% guidance, so you will need to do that. But what is interesting is from year -on-year basis first quarter 21 -22 to this quarter our EBITDA has gone up. Okay, overhead have gone up, expenses have gone up, and even the gross margin has come down doing some few contracts, our EBITDA has actually gone up. So, we will continue to keep the guidance of 40% EBITDA.

Mudit Kabra: Okay and another question is like, as we are pulling more of our order book from radar contracts, and recently, you have disclosed as this LOI order is regarding a space surveillance radar, which is a big size. So, can we expect higher gross margins higher margins in the coming year when these orders will be executed like higher than 65 to 60% what you have guided for.

S. Rangarajan: We are already a very high-cost margin company, we will have gross margin in a large contracts in competition with L&T, Tata, BEL and all that. We think is feasible, I think our gross margin is higher it comes from basically because we have done internal design and the IP is getting captured there. But it is system integration the IC is not there and it is competitive model across

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so obviously, the gross margin there is going to be lower. Because when you buy an integrator, you better have that kind of margin in what we do in design. The design is done over many years and this is all written off, you are seeing it today having his last one. So, obviously, it will not be like that, but what I would say is, the revenue will go up, the bottom line also will go up on a year-on-year basis. That is what we are doing and today we have to scale to a large corporate, I need to build the end equipment, we cannot be a part supplier and then expect to do a few 1000

crores of business year -on-year. If you want to do that, you need to build systems like this. So, our aim is to grow. So, what is to do you do but then do India keep the margin profile as intact as possible in a cognitive scenario, by doing more India, where others import and do we try and do more in India and that is where gross margin really comes up, but when that is not there, then we need to compete on the same kind of floor, then obviously, we have a similar gross margin, but then it is never same because a whole lot of electronic systems gets added because that is a core competency and that is the programs we are selling in. So, there will be some difference where we have flexibility in terms of pricing.

Mudit Kabra: Got it. Thank you, sir. Thank you.

Moderator: Thank you. Ladies and gentlemen, this was the last question. I would now like to hand the conference over to the management for closing comments.

S. Rangarajan: Thank you, thank you all for taking this hour plus to ask questions and information and interest show in Data Partners. Again, I reiterate that we are in line with what our projections matter of fact, our order intake will go. We are enthused because more programs are getting opened up for industry and large opportunities are getting created for people like us. We will continue to strive to build high technology, high IP products in India as against importing and build the entire equipment here. That is how we like to scale

and some opportunities have, turn fruitful, we hope to deliver all this in time, see that we can build a strong foundation for future. So, thank you very much. Any questions you are always ready to go India further questions and we will be very glad to answer them. Thank you very much.

Moderator: Thank you. Ladies and gentlemen on behalf of Go India Advisors that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2022

Date: 03.11.2022

To

National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra(E),
Mumbai -400051

NSE Symbol- DATAPATTNSTO

BSE Limited

25th Floor, P.J. Towers,

Dalal Street,

Mumbai- 400 001

Company Code: 543428

Sub: Disclosure under SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015-
Transcript of Earnings Conference Call

Dear Sir/Madam,

Further to our earlier in relation regarding the earnings call to be held on Tuesday, 01st November, 2022 for the Unaudited Financial Results for the quarter and half year ended 30th September, 2022, please find enclosed herewith the transcript of the same.

We request you to take this in relation on record.

For Data Patterns (India) Limited

Manvi Bhasin

Company Secretary and Compliance Officer

Encl: as above

Digitally signed by MANVI BHASIN

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"Data Patterns (India) Limited

Q2 FY '23 Earnings Conference Call "

November 01, 2022

MANAGEMENT : MR. S. RANGARAJAN – CHAIRMAN & MANAGING
DIRECTOR – DATA PATTERNS (INDIA) LIMITED
MS. REKHA MURTHY RANGARAJAN – WHOLE -TIME
DIRECTOR – DATA PATTERNS (INDIA) LIMITED
MR. VENKATA SUBRAMANIAN – CHIEF FINANCIAL

OFFICER – DATA PATTERNS (INDIA) LIMITED

MODERATOR : MS. MONALI JAIN – GO INDIA ADVISORS

Data Patterns (India) Limited
November 01, 2022

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Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY 20 23 Earnings Conference Call of Data Patterns hosted by Go India Advisors. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Monali Jain from Go India advisors. Thank you, and over to you, ma'am.

Monali Jain: Thank you, Rutuja. Good afternoon, everyone, and welcome to Data Patterns (India) Limited earnings call to discuss the Q2 and H1 FY 2023 results. We have on the call ; Mr. S. Rangarajan, Chairman and Managing Director; Ms. Rekha Murthy Rangarajan, Whole -Time Director and Mr. Venkat Subramanian, Chief Financial Officer.

We must remind you that the discussion in today's call may include certain forward -looking statements and must be therefore viewed in conjunction with the risk that company faces. Also please note that we have uploaded a revised presentation on exchanges. Please refer to the same for today's discussion. May I now request Mr. Rangarajan to take us through the company's business outlook and financial highlights, subsequent to which we will open the floor for Q&A. Thank you, and over to you, sir.

S. Rangarajan: Thank you, Monali. Good afternoon, ladies and gentlemen, and thank you for joining us today for our Q2 FY 2023 earnings call. I hope you would have seen the results presentation, which has been uploaded as Monali just mentioned on the exchanges and on our website. While Venkat will take you through the results, I want to briefly touch upon the key highlights for this quarter.

We have delivered the highest ever quarter two and H1 revenue. H 1 revenue increased 1.6 times in the last year same period with profit increasing by 1.5 times. When you look at the H1 results closely, you will see the gross margins have been maintained at 65%. Another key thing to notice is that development contracts contributed higher to the revenue and order this quarter. This is an important highlight because development contracts translated into production contracts in future and provide a good visibility for our future revenues.

We have good visibility on our future performance, because of a strong order book. If you remember, in our last earnings call, I had mentioned that based on the advanced stages of negotiation, we are on track for INR 1,000 crores order book. I'm happy to report that our order book stands at over INR 880 crores as on date, highest ever for the company. A large proportion

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of this is from development contracts it eventually turns into a production contracts, and hence we now have a very good idea about our medium -term revenue visibility.

The order intake of INR 471 crores of Q2 has been much ahead of our expectations. Some of the large orders received in H1 were two radar orders from DRDO worth INR 362 crores. These are development orders, development and production orders worth INR 30 crores for Electronic Warfare. We also received an export order and production order from DPSU, totaling INR 22 crores in the Avionics Naval systems segment, two more orders from DRDO for EW & Communication worth INR 40 crores are also received.

Today, our order book is well -diversified. I'd like to spend a few moments and share my experience on the recently concluded DEFEXPO. Our capability in R&D, engineering and execution was well recognized and Data Patterns received Raksha Mantri Award for Excellence in Innovation and Technology for the year 2021, 2022. I need to add here that this is the

first

time a Raksha Mantri Award has been constituted in India, and we were the first recipient of this award, which has given in DEFEXPO.

After many years and maybe for the first time in the last 30 years, India's private sector defense

companies now has a support from the government, which had lacked for many decades. Honorable Defense Minister was clear and he said Aatmanirbhar Bharat in defense R&D synergistic approach will help us achieve Honorable PM, Modi's vision of Make in India, make for the world.

It's a golden period, and it will be a sunrise sector in future. The government has set the target of increasing defense production from \$12 billion to \$32 billion by 2025 and has a reserve of 68% of the defense capital acquisitions for domestic procurement for the year 2022 to increase the participation of domestic industries in the defense sector. This will be worth approximately about INR 85,000 crores and 25% of this, INR 21,000 crores has been reserved for domestic private industry. A quarter of defense R&D budget has also been dedicated to industry-led R&D to encourage private players.

We are uniquely positioned to benefit from the sectorial opportunity as we develop complete systems in-house. We also have the best-in-class manufacturing facilities. We have been expanding this facility and it will be ready by this quarter. We have a strong debt-free balance sheet and good working capital lines.

Our strategic priority for the next two years is clearly laid out. We will be focusing on larger opportunities in radar, EW and the satellite business. Export markets will grow for us as we are working on multiple opportunities there. We will participate in over INR 20 billion to INR 30 billion worth of contracts for the next three years to four years. These efforts should help us achieve our topline growth of 25% to 30% and delivered a strong ROE and ROCE of more than 20%. I'll now hand over to Venkat for his comments.

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Venkata Subramanian: Thank you, sir. Good afternoon, ladies and gentlemen. We are happy to inform you that we have delivered a strong and the highest ever H1 performance. I will take you all through the financial performances for the quarter that had gone by.

Our revenues in Q2 and H1 grew 1.5 times and 1.6 times year-on-year to INR 88 crores and INR 156 crores, respectively. In H1, revenue from development orders contributed in line with our guidance. Gross margin for the quarter and half year have been maintained at 65% and the EBITDA margin at 33% in Q1 in line with our guidance.

PAT during the quarter stood at INR 21 crores at a growth of 64% year-on-year. And for the H1 it was at INR 35 crores at a growth of 52% year-on-year. EPS for the first half is at INR 6.80. We have spent till now for the new facility and the cash in the book is INR 68 crores at the end of H1. Working capital is well-managed at 367 days, slightly stretched inventory days due to planned buying ahead of time to mitigate delays due to semiconductor shortages and supply chain challenges. We will be able to maintain the working capital base in the range of 280 days to 300 days in the medium to long-term. Overall, H1 performance was quite strong, generating record revenues. Q4 still is a significant quarter, but we can see seasonality coming down gradually.

With this, we will open the floor for question-and-answers. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone, who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Sandeep

Tulsiyan from JM
Financial. Please go ahead.

Sandeep Tulsiyan: Sir first question is pertaining to the future orders that we likely to book in the next two quarters. We mentioned in the press release that there are INR 128 crores worth of orders that are negotiated, but you are yet to receive LOI. If you can throw some light on these orders? And also simultaneously for the Himshakti and Arudhra Radar, BEL mentioned in their call that they are likely to get these orders by end of this year. So in all probability, one should assume that these two orders will be getting subsequently from BEL in FY 2024?

Venkata Subramanian: Regarding the INR 120-odd crores, which we have negotiated. A large part of it, about INR 70-odd crores is for the LCA Mk 1A cockpit display, which we developed in 2005, now the contracts are being negotiated and we expect the order to come this month. The other one is L1 or an automatic weapon loading system for tank. That also, I think the budgets have been released, so probably the order should come now.

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As regards Himshakti and Arudhra, we are awaiting contracts on BEL. And back -to-back, we should get some business from them, yes.

Sandeep Tulsiyan: So that should happen in 2024. And this L1 for tanks, should it be the balance of INR 55 crores, INR 60 crores volume? Or is it lower?

Venkata Subramanian: INR 70 -odd is nearly, INR 73 crores, INR 74 crores is for the cockpit displays and some few orders are there, smaller orders, and then about INR 30 -odd crores for the weapon loader.

Sandeep Tulsiyan : Sorry, actually, it's not very clear, sir. If you can repeat that?

Venkata Subramanian: More than INR 70 crores is for the cockpit display and about INR 30 -odd crores is for the weapon loader, and then some other smaller contracts, which will add up to the INR 120 crores we talked about.

S. Rangarajan: All of them are negotiated and finalized. It is only that we are yet to receive the contract on hand.

Sandeep Tulsiyan: And second question is on this C -295 Aircraft, I think the initial order on Tata -Airbus JV for 40 aircraft. But recently, some comments were made that there is a requirements for almost 2,000 aircraft over next 15 years. So what -- I mean, right now, do we have any play or any component that are going into these aircraft? Or what can be the future opportunities, have we done any tie -ups with this JV, if you can just share your perspective on this one?

Venkata Subramanian: So this C -295 is an aero replacement, some 16 aircraft flyaway, and the rest 40 being produced by TSL. This will be built as for the original specification C -295 that is Tata will built. So on that, I don't think there is going to be any -- electronic system is going to be modified or changed. So that is not going to be there.

The good thing is that the C -295 platform has been planned, now that it's going to be done in India, MOD, air force and navy and other people are planning few other requirements for using the C -295 platform other than only as a carrier of people. So there are discussions on clearances using it even COMJAM applications, maybe for a navigation like the P -8I, which you've done some equations like that, and using it as a follow -on jammer. Matter of fact, the enquiries in follow -on jammer has already been issued by headquarters, we are having some presentations done on a couple of days at the headquarters.

So this will be full work with using modifying the aircraft and then building all the equipment on top of it. Our interest is to build the equipment, which anybody wants. We are already ahead of the curve in terms of building these equipment, the designs already on, a large part is already completed. So we're trying to reuse EW systems already what we've designed. So we are really working on that.

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We are also looking at collaborating as possible in such opportunities, if both minds meet then we should be able to do that . On top of that, we're also working [inaudible] for rental 13:02] per se, but other programs of Tata Advance Systems in the submarine [inaudible 0:13:08] got some few orders. We expect to build more in India rather than importing everything and integrating in India.

That's what I will be always saying we need to build an ecosystem in India. I think platform vendors like Tata, if we can work with them and build other critical sensors and equipment on board. That is the clearing, which is happening worldwide , and we need to see that this also happen in India. So yes, it's a good thing that Tata got this contract and setting up the infrastructure here. I'm sure lot of investors, lot more activity will come to India and people like us will also participate in the activity.

Sandeep Tulsiyan: So in future, you can have the navigation system and jammers integrated...

Venkata Subramanian: We don't know for sure.

Sandeep Tulsiyan: And last question sir, is on the BrahMos, the organization BrahMos Aerospace made some comments and there is an opportunity of \$5 million of exports of this system itself. And since we do the fire control systems over there and some testing equipment, if you can highlight what is the typical value of components that we supply in a standard BrahMos Aerospace system? How much of this \$5 million can be the value of fire control systems and testing equipment? And secondly, is this -- again, is there single vendor or are there multiple vendors for these systems?

S. Rangarajan: See, I don't know what the \$5 billion represents in terms of how many missiles, how many launchers, etcetera, only we will get configuration idea, we can comment on that. At the present moment, we are on the launcher business of BrahMos. We do the fire control system, which is what we call a ground -based launcher. We are also only the aircraft -based launcher, which is based on Su -30. There is also a discussion that the smaller missile is being planned to be inductor

or tested. It will go into other platforms, in which case then we'll be doing automatic choice since you have done for a larger missile on a large platform aircraft like Su -30, it become a choice -- hopefully, a choice in these requirements.

So we expect some business to happen there. But we can't tell you for sure on the \$5 billion, what exactly is our contribution, we will not be in a position to tell you now. But more importantly, we are also -- we have done the missile indigenous development that's been completed. We're expecting trials to happen -- what DRDO is saying is that trials are expected in November, December. If the trials happen and successful, hopefully, if that is inducted into as part of an India missile program as part of BrahMos then that is also will be exciting if we can get back-to-back orders from them. And at the present moment, we need to await trials and see how the trials function and whether it really can get converted into business going ahead.

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But yes, BrahMos, we are long-term partners to BrahMos. So we expect the BrahMos growth. We also grow with that growth. What quantity percentage, I can't tell you, but yes they will also grow with that.

Sandeep Tulsyan: But you are the single vendor for these systems, right?

S. Rangarajan: Whatever we are doing today with the launcher, yes, we are single vendor both air and ground, hence we are single vendor. We also are a single vendor to all the test systems, missile test system earlier imported from Russia, indigenous we developed this system for the last 10 years, plus we are developing the test system and delivering it to all services, Army, Navy and Air Force, obviously, through BrahMos.

Moderator:

Thank you. Participants who wishes to ask a question, may press star and one. The next question is from the line of Shalini Gupta from East India Securities. Please go ahead. Shalini Gupta, may we request you to please unmute yourself if muted from your handset.

Shalini Gupta: Yes. Can you hear me now?

Moderator: Yes, we can hear you. Please go ahead.

Shalini Gupta: So sir, what I was saying is that I started looking the sector. So I had a few basic queries if you could help me. Sir, one is that what is the different landscape, like for example, is it that a few companies are given a certain technology to develop, and then there is no further competition and no further outside competition, and then you keep supplying to the government. Because otherwise, if everybody is working on certain technologies that would be a lot of wasteful expenditure it seems to me?

S. Rangarajan: So you see how this works is that look at it from the purpose of the Army, Navy, Air Force, they buy equipment, which is fielded for their use aircraft, ships, torpedoes, missiles, radars, whatever. So whoever can supply made the requirement, the tender is open, whoever wants participate in that requirement, they participate.

Now early days, obviously, India was not designing anything. So DRDO was given a mandate to develop. So they had given budgets and programs, and they were developing the labs, developing the products, once it's field tested, they were actually handing over the technology to production or PSUs, and the PSUs, like BEL and HAL and BDL were getting direct orders from MOD for execution purposes. This is all within the government perspective.

And in DRDO when they outsource the development and design of subsystems, people like us participated, and once we participate, we've got the orders for the development plan, once development is over, then we become the OE for that part, which has been designed by us. So when BEL buys, gets order, further quantities from Air Force, Navy or Army, and back-to-back

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have to necessarily buy these from us, and thus we become the OE has been designed and flight tested and qualified, you cannot at that point, go and redo it again.

So like you said, wasteful expenditure and nobody has time and effort, because -- many years of development you can't repeat it. So that is the -- that is where the single tender business comes later on, after we go through open tenders, get contracts through the product, then later on production we get single tender business, that's what happens.

So it's not that some people are selected, and you do this and you get single tender and for lifelong, you keep getting orders. No. It is a competitive landscape, and you have to win bids, developed products. So this is on the DRDO side.

Now MOD said that we won't import anything now. Every tender will work for the Indian vendors, you can back-to-back tie up with foreign OEMs if you want. But mandatory, 50% Indian contender is there. So you need to do a lot more in India, and we've been in business, once you in business, you do this here.

So people like us who actually want to build end systems, not gets the competence you'll be doing with DRDO are now addressing the large market, saying that we build the end equipment ourselves without going to foreigners and getting this. So we want to build the equipment supply to ourselves in India. So there's a Greenfield kind of market today, where everybody can approach anybody and then address the market requirements through proper tender process. We believe if it is designed in India, our cost of development and the IT costs, we will be able to contract if required and take a view on how to sell it, be more competence, and also meet the 50% Indian contender as Government of India wants. So that is why the market is. The market is very huge and the

market is just though started being addressable by Indians. So the market opportunity for scaling is enormous.

Shalini Gupta: Yes, sir. Then the next question, obviously, is from where do you get the technology. If it's got to be developed indigenously, I mean, do you -- where do you get the technology from?

S. Rangarajan: We have been designing products for the last 20 years or 30 years. The company is about 37 years old. Ever since the company started, we've been designing products on our own in competition with foreign systems. So what we started doing is, if you look at any big box, it consist the number of building blocks. The building blocks are being imported by DRDO and some of the blocks is customized and done.

What we decided, first when we entered this market 20 years back, whatever DRDO import from the standard parts from outsiders, we will design those systems here. So we started developing those systems. Gradually, our competency increased. We do across the stable electronics, we are

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started building for all platforms space, air, water, underwater. So the competency increased, QA process, everything increased.

Now we start building our own domain, our own radar. So we upgraded some radars non-defense applications like ISRO, tracking radar, etcetera . Understood what is we are too, we were what 10, 15 years back. Now we build our own radars. So though we find it difficult, you have to persist in development. It's not an overhead job. It's a hard way up, because you're starting from building block onwards, build end systems.

But the good thing is Internet is there, documents available, our engineers are very bright, given an opportunity and leadership and committed research, I'm sure we should be able to build a lot of new systems, which is what we're doing now.

So we have taken a long and large -- long journey of developing from scratch and building systems. Today, it is going to augur well for Data Patterns because that is what Indian Prime Minister wants, do in India. So while other people are trying to tie up, we are trying to see what best we can do ourselves here with limited tie-up can we build more here and be more cost effective and support the program for longer ride.

So yes, it is difficult. But second portion also is yes, we can design it yes, without drawing to go abroad and get things done, it is also possible in areas where we have developed over the last 20 years competency. We can continue to build on those competencies.

Shalini Gupta: And most of the -- all the engineers that are working with you, they're all Indian?

S. Rangarajan: In our office, we have about -- as of yesterday, we had about 520 -odd engineers working with us, all are Indians. We take fresh engineers from college and train them. We have about 1,000 people working now with us overall, and out of which 520 odd are in design and development and QC and whatever.

Shalini Gupta : Yes, sir. My last question is that you, yourself mentioned that about INR 80,000 crores worth of defense orders have been given out, where it being given out for the current year that is financial year '23. Now going forward, say, three years or five years from now, where do you see this INR 80,000 crores going up to?

S. Rangarajan: Defense budget on capex today is about INR 1.2 lakhs crores or something, and we do 3% to 5% to 7% increase year-on-year. And based on our neighbors and the kind of tenders negotiations we have, we continue to expenditure on defense, who is going to be bear. So what happens is we have early been importing systems, and there are appropriate contracts for Dassault, for many other contractors are there. So that also limits the budget, which is accessible to Indians today. So as we go along, more and more of this budget, which is the India is spending, if there don't import it then the

se all directly G2G contracts, it will then be addressed to more

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tender here. And once more that has done, this will be addressed by the Indian vendor. So I see scaling happening on the expense pattern on Indian contribution in all these tenders going up substantively as you go along.

Moderator: Thank you. Ladies and gentlemen, in order to ensure that the management is able to address questions from all participants, I will request you to please limit your questions to two per participants. If you have a follow-up question, you may rejoin the queue. The next question is from the line of Jonas Bhutta from Birla Mutual Fund. Please go ahead.

Jonas Bhutta: Yes. So just on the working capital, which seems to have got stretched...

S. Rangarajan: Yes.

Jonas Bhutta: And why we understand the increase in inventory, maybe for semiconductors, but we've also seen an increase in receivables. And given that we've had a decent order flow in the first half and particularly in the second quarter of almost INR 400 crores plus, the advances for these orders don't seem to reflect in your balance sheet to that extent, ideally one should have got at least a 15% advance or 10% advance, but our current liabilities don't reflect the same.

So in light of that, if you can help us understand what's happening with receivables, why this stretch because -- this year, they have -- you mentioned that there is a certain amount set aside for domestic procurement...

Moderator : I'm sorry to interrupt you, Mr. Jones, but your voice is breaking in between. The question is not clearly audible.

Jonas Bhutta: Is it audible now?

S. Rangarajan: I'll explain whatever we could hear, two parts of it. One on the stress receivables, inventory. One part of the stress inventory is because we are buying more materials, which you also mentioned, material we're buying not only for execution this year, but execution next year also, because whatever components we ordered last year, some of them -- some few pieces of those components have not been received even at September, October this year.

So what happens is that puts us in a very great difficulty, because there are some components in stock. But one component is not there, so I can't design the equipment. So to avoid these things, now what happens, we're taking advanced decision on expected contracts also, because we need to keep the delivery mechanism on. We are new to this kind of a market. And we've been -- it's a yearly business all along for us, we're trying to build a quarter-to-quarter business now and even out the quarters rather than having 80%, 85% in Q4.

So in order to do that, we need to see the material availability flow should not be stop. So our focus is to see that material availability is there. So consequently, the inventory buildup is

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happening, but we're not worried about it because this has all changed. And we're buying material only for contracts on hand. So it's not a -- meaning expected contract thing. So it's not an issue.

So we will -- the next two years time, you'll see things is coming down as and when the shortage supply in inventory position in electronic parts gets down. All the renewables, see, these are during development orders and even the first production orders, the first order always the acceptance test system and producers take a long time, because in the development orders, we deliver part of the system. We don't deliver a full systems. And they get the rest of things and then go through acceptance test and do the field trials, sometimes the trial gets stretched, sometimes changes and it's really after they do the trial. So they hold some money to see that we can do this.

This is part of the way India works or government works, and this is a business, which we are

in. But the good thing is after that is done, it because single vendor contract with a big contract come, then there are problems are not so many. We get very clear acceptance processes, and we will deliver and the money collection is faster.

Initial years, the development contracts are major then the development converts merger production contracts, you see the working outflow, better time lines, everything will come down. And these are actually one stretched with a few contracts, very large development contract, actually get stretched. And those are the things, which we see reflecting the value in a number of days.

Having said that, we've also now started delivering directly to MOD, but that is also a learning business because the first time you're doing with MOD. And these are not contracts, which has been developed, designed earlier, and approval has not happened, because MOD is in shortage to us.

And though we have designed it, the acceptance process, MODs way of acceptance, all of them is also a bit new to us. They're going through the process. These are all learning curves in early days. So I don't -- I'm not too worried, because it's a huge -huge opportunities for us and this is the first time anything in India has been designed from scratch and then delivered, and it's a very complex radar.

So I'm glad to say that the first radar we delivered in March, the acceptance is already over. So the bill pricing will happen. The second radar is the installation; third is acceptance, factory expenses are over and dispatches it. So it's early days, so things will change. So we're not very worried about the receivable status for the time being. We will come back to the receivable status. The way we plan between 270, 280 period of days in the next medium-term -- short to medium-term, we'll be getting very much there.

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Second part of the question was in the advance. The orders we received INR 470 -odd crores for the last quarter, the bank guarantees have been made and given to them. We expect the advance to start coming in. But then those advances are not shown in working account, Venkat can you explain this.

Venkata Subramanian: Yes. See, advances are not only on the current liabilities, both on the current and non-current liabilities are decline. As of 30th September, it is around INR 39 crores, which is reflected under other non-current liabilities and other current liabilities in respective sections, because it is bifurcated based on the anything of advances based on the delivery period.

S. Rangarajan: And on the large orders we received last quarter, the advances will be coming this quarter. And next quarter, you will see those advances or deposits in our bank. You will see that, that will go up to a couple of INR 150 crores kind of advances are expected in the next one month, 2.5 months time.

Jonas Bhutta: And how should one think through, sir, because you have a decent pipeline of orders at least for the next 12 months, 18 months, clear visibility, so over this period, is procurement of inventories largely done in anticipation of those orders or that will further elevate the level of inventories as and when those orders come in?

S. Rangarajan: See, one thing is, since our gross volume is reasonable, the aircraft components, even if you order a bit, it is not really a large percentage of sales. So that is one comfort point we have. Those are designed by us in India. But coming back to the question, you said, they're not in very small areas where the orders 100% go to come, and they have an accelerated delivery program, which the customer has told us earlier, we start buying components.

But the major orders, production orders, and we have a stretched delivery of one year to two years' time or a stage-wise delivery. We do not order the parts, except the first stage when we require,

that also we don't out of the parts and inventory. The orders for INR 800 crores has come, and more INR 300 -odd crores in just a new design. So when we have design completions, the components are finalized and orders can be placed. And this is a two year delivery product about 18 months, 20 months. So we have not ordered any material for those. But some component orders we have placed, but that is a lot with from clear understanding of orders available components. What needs to be ordered, which is going to be long lead time and there can be a problem of pressure only those we order.

Jonas Bhutta: And my last question was, sir, if we build in these orders that you have set in your pipeline, and which you've spoken about earlier, say, by the end of FY '24 or FY '25, all of these orders were to come to you, how would the state of the order book look like, today given that we've back the massive order on the developmental side, but if you can give us a state of your order book, say, FY '24 or FY '25, how would that look like?

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S. Rangarajan: I wish, again, say, for certain really. I can only say pipeline exists, but I have no control over the timing of the order. There were more than a couple of thousand crores, at minimum INR 2,000 crores of pipeline created, which is to be signal vendor orders on us. But we had to wait and

watch when this enquiry is going to BEL or HAL and back -to-back when orders come to us. But having said that, we're also working on other contracts where we expect that the some more contracts will happen for new areas where we are, again, uniquely positioned in terms of product capabilities and development already carried out. So we're not just depending on the pipeline stated earlier orders. We're also generating more pipeline for ourselves with unique probabilities where [inaudible 0:34:31] contracts were also expected.

So -- but having said that with an overview, I can't really be specific exact number of orders, because I can't say, and I have no control over it. Pipeline is strong that is all I can tell you at the moment.

Jonas Bhutta: Sure, sir. This is helpful. Thank you and all the very best.

Moderator : Thank you. The next question is from the line of Renjith Sivaram from Mahindra Mutual Fund. Please go ahead.

Renjith Sivaram : Hello. Am I audible?

S. Rangarajan: Yes.

Renjith Sivaram : Congrats on good execution given the challenging environment. Sir, just one thing, which I would like to understand is the gross margin, which was lower. So despite there is a cooling in commodity prices, and we have executed more of development order, we were expecting the gross margins to improve. So what led to this? And what's your outlook there?

S. Rangarajan: On the first part, which your assumption is cooling in commodity prices, that is not true for electronics, because of -- actually because of COVID, all component prices have gone up. It is not cooling. It's actually gone up, because components are in short supply. And because of short supply, there are a lot of in between traders who make money on it. So component price has actually gone up. It's not come down. Maybe it will come down again next year or so. But as of now, the component prices are not ready to come down.

But really away from the fact we'll talk about gross margin. See, gross margin is not based on contracts and projects. It is not uniform across projects, because it depends on budget, it depends on whether it's a single vendor, whether it's tender, limited tender or open tender, based on which on competitiveness we quote. So it varies from contract -to-contract. So we can't really say every unit has the same gross margin.

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Having said that, what we're giving guidance is that on an overall year, we should have going

forward whatever we have already quoted, and we know which contract you're executing. I think this year we'll maintain gross margin around 65%, which is what we are mentioning. And we have retained that for the first half, we have maintained that, we have achieved 65%. We'll continue to do that.

What you're talking about is countdown from two year to this year, because there are a couple of contracts last year, which is much a higher gross margin. So that is how it was reflected. But that could be very large contracts, if the same order comes again, maybe the drop size go up, but we are retaining guidance of 65% gross margin for this year.

Renjith Sivaram : And another thing was the most of the order intake we have got in H1 is developmental orders, which are a longer term in terms of execution. And they will still stretch our balance sheet, because this will add to our receivables going forward. So, which are all these -- any particular color you can put regarding the development orders, which you have got any promising in that if you can add some more details on what kind of development orders that we have got?

Anything that you would like to highlight?

S. Rangarajan: See in the last quarter, INR 400 -odd crores order s developmental order we have shown, INR 360 crores is for two radars. This is a very -very important strategic radar. This is space surveillance, where India has to protect it's space. So we're trying to build the largest radar for India will be these two. But what has happened today is for a change, DRDO decided that as a radar, full radar we will outsource this as a contract, only software build right. That is including generators, building, everything included as a full radar. And we were very keen to do this, because what we are doing is a radar, which is downsized 20 times from the actual size of the radar.

So the electronics will be common. Of course, the building facility, power, all those model equipment, which you integrate this will be different. But the electronic blocks, which is designed for this will be multiplied as is where is, because you will not design it again. It is a development contract for that. So we build a radar. We built two radars, one in UHF, the other is [inaudible 38:49] , and these will be very long range radar about 4,000 kilometers tracking. So once this is finished, we expected that 10 to 15 times, the size of radar will be contracted on us, because we've done the original development we know what we expect. So the order size

will be very high, and many radars of that to cover Indian space will be required, which will go 5,000, 6,000 kilometers inside space to find out. It's a very largest radar developed or design or produced or even installed in India.

So that is the important thing on the radar. And that's why we took this, it's a very strategic radar and launcher can scale substantially after we delivered the first system. And it's supposed to be

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slated for delivery in the next 18 months or so, 19 months, 21 months. So it's not too long -term. So we can do this.

And also here, we get 30% advance plus on material ordering, we get another 30% advance. So cash flow also is taken care of in this contract, of course, against bank guarantee. But yes, at least capital is covered and we take care of expenses on this contract. So that's also okay. But the other question is development contracts tend to be delayed. Those days, yes, but these are now less than two years because a whole lot of development we've done earlier. So we tend to reuse a lot of development skills which we have, so we are able to address this. Acceptances takes a longer time, but that's okay. That is okay, in the larger scheme of things, where growth is going to be substantial, I think we can accommodate all this with the margins available.

Renjith Sivaram: S

So then will next year growth will be kind of limited because most of the orders we are getting is developmental. So where is this growth going to come next year?

Management: These orders are not executed this year, no? These are going to be executed next year. So we expect very reasonable growth next year. Because these orders we are getting now is going to be executed next year. We are not executing this year.

Renjith Sivaram: Yes, but sir, it's -- instead of production, it's more of development, right? So if production is one year, development will be two years, right? Execution, time frame?

Management: Don't look at it like that rather size is so large, is that the development, so -called development, we don't do in one electronic box. There are 3,000 boxes which goes into one radar. So it is as good as a production contract. We do the development in six to eight months time, go, test the subsystems, after we get into production mode because the radar size is very -very large, a huge system.

So, you know, it's as good as production though the parts are being designed first time, but finally it becomes a production. But anyway, for this contract to repeat, maybe three years it may take, but that time the size of the contract will be INR 5,000 crores or around that. I don't know exact value, I shouldn't say that, but it is expected to be a few thousand crores is what this can propel itself.

So this is good. But having said that, this, we have other contracts which we are getting which will go into production, whatever we developed earlier days. For example, like Sandeep was asking from JM, the Himshakti, Arudhra kind of things, which repeat orders have to come. The size of business is not as large. LLTR or Ashwini can be much larger. But all this will come and those are production contracts. This will go up to year after next year something will go. The pipeline is there to take care of the order flow and the increase which we estimate to scale.

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Renjith Sivaram: So because this orders of Arudhra and Ashwini is still getting delayed, so that is why we were a bit worried.

Management: We are worried about it. Because we have other contracts to compensate. We are getting new contracts, some more development contracts are expected and we have already started design for the development contracts, so that we are ahead of time we deliver those systems. So that is why we have increased our manpower strength. We built up more than 120, 140 engineers we recruited.

So we're doing all lot of things to see that we scale, we deliver on time or ahead of time because you want to keep that development team guys there. They look at large -large opportunities, MOD is throwing out at us. More than just DRDO, we are looking at MOD tenders and they are the system level development has to be done, which is challenging and which is interesting. So we want to actually look at that to scale our growth is each order being few hundred crores to few thousand crores. This is what we need to really look at. And the scale can happen from there.

Moderator: Thank you. The next question is from the line of Harshit Kapadia from Elara Capital. Please go ahead.

Harshit Kapadia: There's two questions from my side. Just wanted to check with you, on the RF seekers which are developing from BrahMos missile. Are you going to have a competition for these seekers or it will be solely being right now developed by you?

Management: There are two vendors selected for this. Data Patterns and the ECIL. So based on delivery acceptance, if both are working well, I think we will divide the contracts if it all comes. And then based on delivery, both will be delivered depending on how they want to see. They wanted to have a public sector also attached or just a private sector when the contract is taken. So ECIL also be there as part of

of this program. The only difference is we design everything in this. ECIL

has bought an integrated number of subsystems. But competition-wise, yes, we can also work with them going ahead is what we think.

Harshit Kapadia: Is there a possibility that it could be split between you and ECIL? So let's say you get army and air force, which is your concrete base in BrahMos, whereas they may get for ship or submarine is that something which is a possibility?

Management: That is not how they will see it, it is a missile part, it goes into the missile. So for that the seeker is common, so it does not matter where the application goes, the army or navy, they look at number of missiles and see number of units and that is all expected because this is something which BrahMos has to decide.

So I really do not know, first we will await the trials, let the trials get over and then after which we will both of us will go and will ask him to see if it's done in India rather than abroad because

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Indian cost is less than 50% of the foreign import cost. And there is a move to do more in India. So it doesn't make sense really to import it, as long as you meet and exceed specifications. So we'll wait and watch the trials happen and then see where it goes.

Harshit Kapadia: And then as you mentioned at the start of the call in November, December, the trials are expected. And how many number of trials will be there and by where the results will be out, any timeline that you can suggest?

Management: At the moment, they want a cap two trial on using a Su-30, that will be the first trial. And if that is successful, they want to go to a missile trial. The result has been identified and kept. So you do one launch. Depending on the trial success, they will say whether more launches are necessary or will they say initial some more pieces have been produced and some more launches will take place. I really don't know because we have not come to that level now. So we have to do this trial. So suppose we have done one year back, there's a lot of delays. So we're all waiting for the trials to happen very anxiously. Let it happen and then we'll know where to take it from now.

Harshit Kapadia: And the second question is on the satellite business, how are you seeing the order pipeline there? Because earlier you were saying that radar, your EW system and avionics were the three major segments where you were seeing growth. Now you have also set satellites as well. So are you seeing any activity or anything which happened in the defense sector which you can highlight on the satellite side would be helpful, sir?

Management: As of now satellite is in the mind. It is a latent demand in India for different satellites but it is not been translated into actual contracts. So we are still working. We have built a capability model to build the entire satellite including ground stations. We done the systems on a small demonstration capability or a nano satellite. We have launched nano satellites, we have ordered nano satellites in delivery, but these are all small things.

To us, why we took this up is a technology demonstration. We have spent seven years, eight years and developed complete competency of building the entire satellite ourselves with no imports, including ground stations, the telecommunication, tele-command, and satellites are working three years, four years, they are still getting signals all properly.

So that capability and experience we already gain now, we can build a KMG satellite but we are waiting how government of India will look at other than ISRO. How are they going to contract these things we do not know? So we are trying to work with ISRO to see how we can do this on a commercial level. So it is still a way in the one, but I think sooner than later it will get translated to what we believe because we need to

build an ecosystem, we need to do this on a system level.

We can't do what we are doing and expect us to change substantially. The good thing is India is one of the states for foreign nations. Very few are there in the world and we have a competitive

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model which is very -very good. So you should from perspective of competency and capability and strength, if you want to build on your strength, we need to do this and industry has to participate in a very -very strong way, including design and development rather than producing for ISRO.

So I think the change will happen. And change happens we will be ready. So we are going ahead of market curve and building our competency. Matter of fact, the nano -satellites of ISRO, they buy all the parts from us, including ground station, rather than single vendor. So there is an understanding that we are a reliable supplier, we have a competency model. ISRO also knows that. I hope it translates in business earlier than later.

Moderator: Thank you. The next question is from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead.

Mihir Manohar: Sir, I wanted to understand on the working capital side. If you could make us understand how does the working capital differ in production contract versus development contract? How are the advances different and something on that side? So that was my first question. Secondly, on the 20 million to 30 million kind of orders that you are mentioning, are they largely single vendor contracts and across which regions, which areas are we looking at these particular contracts? And thirdly on the order book, INR 850 crores order book that we are having, what is the execution period over there? You mentioned about the INR 360 crores radars, the strategic radar which is there, the majority of that will execute in the next quarter of the year, but if you could throw some more light as to how these INR 850 crores will get executed over the coming two years? So those were the questions.

Management: I did not hear the second question, we will answer the first and third properly, then come back to the second, I want repeat of that. As far as the production contract is concerned, again, it depends on contract. -- contracts from production contracts from the PSUs, they sometimes give advance, sometimes they don't, but not exceeding 15%. And then MOD contracts also have 15% -- 10% to 15% is the advance which comes from those kind of contracts.

But the good thing about production contracts is who they give value of the contract, they give the advance or the whole value. There are deliverables every quarter or every year depending on the need. And it is not necessarily all orders are executed in a single year. It probably sometimes goes to two years or three years' time, in which case then we can plan our quarter -to-quarter half year the delivery. And that as you deliver, you get the rest of the money for the deliverables. So part payment under the answer. This is how the advance has worked on the production contracts. And in -- okay, the second point is you talk about order book or INR 80 -odd crores, what is the order book. There are development contracts and production contracts with order book. I think

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most of the order, except for one order, which is three years, four years old, which is -- no, that still not been booked at all in this.

All the other orders are generally less than two -- or two years ago, except single order, BrahMos is about three years, but that's a small part of the overall business, INR 150 crores. So I think these orders on hand and what we have now will get executed in the next 24 months is what I think, two years, probably a executed.

And on the development contract, you talked about that radar order is also 21

-month delivery

program. We got the order couple of months back. So let us see over the end of the year, we see we can dispatch from beginning year after next. -- the second question, I didn't hear properly. If you can repeat it, I can answer that.

Mihir Manohar: So the second question was on INR 2,000 crore to INR 3,000 crores kind of an inflow that we are expecting in the next three to four years. So I mean, are these largely single vendor contracts? And in which areas are we expecting these orders to come in?

Management: Yes, whatever orders we say we expect it be only single vendor contract, because I can't talk about tender situation. Because we do not know it's a 0 1 situation, either win or lose the contract. So we don't talk about it. I'm talking about executed orders, why we say single vendor is because already we've executed this an open tender sometime back, delivered the product and repeat requirements are expected by MOD business either directly to us are mostly through DPSUs. So this is why the pipeline we're talking about?

And coming to the second part of the question is, it is in this 2,000, 3,000, the large value is going to be radar because this is what we've delivered in 2015, '16, which has all been accepted. -- and well is the production agencies, Radar order should come to us. So some things are in

electronic warfare. Again, BEL is a large -- is a final system integrator for -- and the delivery of the EW systems for India. So back to back, they should also give back these orders. Third area can be again, EW and communication systems. The HAL may be the recipient of this because they do their full systems in aircraft, then back to back, we may get the orders from them. And fourth is the Avionics, which has been done in open tender with DRDO or with HAL. We won contracts in open tender HAL and then repeat orders from HAL is now coming. The good thing is that because of Indian program try to do in India and reduce imports, whatever HAL imported in cockpit displays and things like that earlier, they're saying can we use data product display in those aircrafts also because we want Indian content here and the government is pushing for Indian content. So that change is also happening. So unexpected contracts also we may get in the years to come as they change from an import centric procurement, to a local procurement. Maybe we will get some additional business. But anyway, these are all the kind of contracts we're talking and this should be a single vendor.

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Mihir Manohar : And just a clarification, in the earlier comment, our CFO sir mentioned that you would resume INR 100 crores to INR 150 crores kind of advances in the next one to one and half months? So the number is INR 100 crores kind of advances?

Management: Yes. These are the radar orders already we got. The bank guarantees have been given, so back-to-back advance has come.

Moderator: Thank you. Ladies and gentlemen, in order to ensure that the management is able to address questions from all participants. Can you limit your questions to two per participant. The next question is from the line of Akshay Kothari from Envision Capital. Please go ahead.

Akshay Kothari: Sir, just on the single vendor contract, which you mentioned INR 2,000 crores to INR 3,000 crores of opportunity. So is it safe to assume that your margins on these contracts won't go down considering that you had supplied it back then and it is a repeat requirement. So there is a price cap, of course, you won't go below that price and would there be any escalation on these contracts?

Management: Normally, I would say yes. This is what we want to have. Margins should be there. Then also, of course, there is a dollar portion in this. So there is a dollar variation cost, we need to bring in and talk to customers. We have to discuss with the customers

see when the actual numbers come.

But normally, it should be as what we would like to have.

Escalation also happens because supply many years our costs have gone up. Also, the component costs, prices also go up with a number of years newer company will be cheaper, the older company can be larger value. So we will have to sit down and discuss this with some of the customer and arrive at a number. But it would be roughly around the same range, if not higher, it should be on range, what we would expect.

But we will wait and watch, because when you go production, there are other costs also involved and you do multiply the same system, you need to build in test infrastructure. There are some overheads in that, we go some capex would have to come into picture. So these are things we have to explain to customers to see that we can make it reasonably -- we can deliver this as we've delivered earlier. I can't comment on it I don't think that should be -- at the present moment, we can't talk about it, but it should be in similar lines.

Akshay Kothari: And sir, which brings me to the next question on the capex. You had guided that you could do around INR 650 crores, INR 700 crores of revenue from the current capex with current existing facility. So considering we have got a very good order book are there any plans for further capex?

Management: Already, what we've done now is to double the infrastructure in terms of production capability we have one we can place automatic line in now order one more is coming, some more vibration

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cable, some more thermosetting changes, some more testing. We've added a lot of stuff as part of this, which we ordered last year and things have started coming in now.

So more than INR 100 -odd crore s of the infrastructure investments being made to double our capacity or even take it further. But on top of that, we also have created a different kind of infrastructure, where we can do end equipment from a box build or avionics kind of typical thing, which you're doing for subsystems with DRDO, today we're trying to mature into an MOD business, which is the full systems, full radars.

So we have a hangar space created where 10 tons gantries there, you can pick in material, we can bring in 10 to 15 vehicles inside trucks and outfit trucks -- put our electronic warfare equipment, put truck mounted radar, things like that we created infrastructure what we would require for future business, that also is being created finally.

And the idea is that for MOD, we need to have test infrastructure or we need to demonstrate the systems as part of contract requirements. So we created infrastructure for all of them also so that we can build the systems, take it to remote tenders, see the need in large contracts.

So on the larger capex for infrastructure we already incurred what capex we will do in terms of production order happens. When we save parts, multiple times production quantities increase, we need some test infrastructure for to see that we can produce 100 and 500 instead of 5 and 10 that line has to be set up. For the line, we may have to add some capex that will be depending on the project. And depending on the project requirements, the capex will be taken care of. But that will be expensed out of the project itself. We will not be -- these around what we're doing in general infrastructure. But what we will do there is the projects which we infrastructure, which will be part of the cost of the program itself.

Moderator: Sorry to interrupt. May we request the participant to please rejoin the queue. We have participants waiting for their turn. Thank you. The next question is from the line of Yellapu Santosh from Asian Market Securities. Please go ahead.

Yellapu Santosh: I had a couple of questions. I joined the call a bit late. I would be very thankful if you could please

share the details of the radar order that we are reporting under order inflow of INR 360 - odd crores for this quarter one? And second, we have shared in Slide 30 few programs like radars for NUH, next generation SDR for fighter aircraft, Next-Gen RWR for fighter aircraft and Next-gen COMINT, where we have developed the prototypes and delivered is my reading. So what is the status of these four programs from a mass production order? Thank you.

Management: The first is, we've got two orders for space surveillance. This is given as an order, a contract for the entire radar, not just the electronic subsystems. And those are the orders, which is a very good order in our mind. Because this is going to scale. It's a very large order. Later, when you

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go in multiple times the size of the radar. This will be part of the down size radar, which we're doing.

So it's going to be good. So this is an exciting contract for us. So we took this. That is the first part. On the second part of question for NUH, SDR, we had a prototype NUH radar it's been delivered last year when they want to try test it on [inaudible 0: 60:20] based on which we are expecting some more contracts to happen. And here also we have for Air Force, for fighter aircrafts, we have delivered the first sets and some additional orders have come for ground systems also, not currently under testing.

They expect more contracts to happen. These are all coming in development mode in DRDO. After DRDO really clears this on all flight test, maybe Air Force will consider it, we do not know at the present moment, but we have delivered those systems. Similarly COMINT on ground COMINT, we have delivered the systems in acceptance trials now. So RWR again we delivered, it is flying in the LCA trials, it is successful, more trials are expected and more versions of the RWR are also in order.

We have also delivered a very fast track delivery we did last month. So, we are delivering systems with DRDO once and that is all going to go into flight. But flight test and further orders is not going to be in the next few months. It will take some time because aircraft trials take long time. But yes, these are all world class systems. We expect things to happen positively in all of them. The systems are working well and these are world class. Hopefully all this will make sure the input production contracts earlier than later.

Yellapu Santosh: And just lastly, on these four orders, is there any other competitor also who has shared or developed this or given the prototype to the respective DRDO labs?

Management: For these four orders that I just talked?

S. Rangarajan: Not in India.

Yellapu Santosh: None of the Indian companies you are mentioning? Is my reading right?

Moderator: Thank you. Participant are requested to please limit the questions to one per participant. The next question is from the line of Sahil Sharma from SS Capital. Please go ahead.

Sahil Sharma: Congratulations for a great set of numbers, sir. What I wanted to understand is in terms of our engagement with the government entities, let's say, we are doing some development contracts.

Typically, what percentage of such contracts mature into production contracts and typically, what is the scale up like? Like if the development contract is for X rupees, then what can the production contract be like for in a range terms?

S. Rangarajan: Yes, very difficult to answer it in a quantitative way . We also learned with 20 odd years of working in this with the DRDO development, we find that very small subsystems which we developed really doesn't immediately mature into production contracts. So what we have learned with the maturity and engagement with various government entities, try to be selective in what you

want to do. Where we believe the chances of production contracts where we are scaling is going to happen.

So we've been really selective in the last few years where to go. Second thing what we also did is we are not really participating in very small, one -off, you know, PCP level contracts. We actually look at a contract or radar, we do a large part of radar, maybe 60%, 70%, 80% of the electronic, maybe 100% of the electronic.

So very large part is being done by us. That also, if the program is successful, then also there's a large success probability that this is going to produce in numbers or quantities which are not going to be reflected will happen . Because it's not going to go to any, any small things and integrate a lot of issues. Actually we integrate and give now. So the probability of failure is very, very low. So it will do the end application 100% for sure.

So that is one way we are trying to see mitigates risk of whether repeat order will happen or not happen. Second is we take a large portion of contract , which converts all of electronics, mechanical systems, where multi -disciplinary technology is involved, which makes it difficult for some other organization to get to do this. But also, see that we solved all the problems internally. So that is the way we are doing.

So we can't give you a reason, but I'm thinking that today as we, in the last two years whatever development we've done, I think largely maybe 90% all of them to mature into production contracts. When it will do I do not know, but we have done our end of the job, it all works as per specifications. So I would expect that it should all go into mature production contract.

It is more important now than earlier because government is very clear , that made in India solutions available. They're not going to allow imports . So we agree and as long as we have been world class and the customer, the user, the Army, Navy, Air Force is happy with what has been delivered to them . I don't see why they want to look outside. That's a broad engagement, I can tell you.

Sahil Sharma: And sir, in terms of like scale, like how much is the scale up, for example, you mentioned that you delivered some radars in 2015, '16. And now we can see as a result of that, you are getting large orders. So like how -- what has the scale up being like this?

S. Rangarajan: Yes, see this is again, it depends on the program. So to give you the project -based numbers, for example, RADAR, NPR, Ashwini, Arudhra , they did one and we as part of it. They are on track

for eight radars. If it is Ashwini, then we did a large part of the electronics, which is 18 radars. So this depends on project, depending on the requirements.

The other question is platform specific things . For example, if you say RWR or SDR, if it is going to be put in LCA, the number of LCA requirements, Mark 1A, then Mark 2, then MCA, then it is going to put in MIG, MIG already let's say they are importing it, Su-30 which is going to come, Su-30 numbers are 250. So we do not know how the upgrade program is going to go, but the numbers can be large and it can be varied, it can be more over many years because they can't down all the aircrafts.

So there are two points, one is project, second is programs like this airborne program where numbers can be larger. Otherwise when MOD buys, they buy specific quantities. So it is limited to the specific quantities. Though we call it production, because it is not one -off, we call it production. If it is radio, for example, maybe radio will be 1000, maybe 140, maybe 2000. So that is how the vendors come. But it is not one. So it is duplicates, multiple size of what the initial. It will be much larger and it is distributed over many years so it gives you stability. .

Moderator: Sorry to interrupt , may I request Mr. Sahil Sharma , p

lease rejoin the queue . We have participants waiting for their turn. Thank you. The next question is from the line of Aditya from Securities Investment Management. Please go ahead.

Aditya: So as the company will be getting into more system integration jobs rather than just being a component or sub component manufacturer to get higher value orders. I wanted to understand , how is the company be able to compete with players like BE L and other private players who are much bigger than us -- so can we manage the capabilities these guys have? And which are the areas you think we may fair better against th em and secondly, will the margins also see your growth ...

Moderator: Sorry to interrupt you Mr. Aditya, m ay we request you to please restrict the queries to one.

Aditya: Yes. So this is the second part of the question, what will the margin see a drop? Because these players are making 20% to 25% while we are making 40% plus margin. So should we see a drop in margins in the future?

S. Rangarajan: See, first is can you compe te with pla yers, see we are going to address opportunities where we believe we are better pla yers than the competitors. That is when we will try to address the market.

See, the difference is that we do ground up design and development, whereas somebody doe s integration, the cost of the product is far higher for them than for us . And if you've already written -off the development cost and revenue expenses in the previous year -- and that's much more confident that we can price it now to worrying what developm ent cost you can do this.

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Second what we do is we build the building blocks and build the end systems. Building blocks allows us to go and address v arious different kinds of products , where as a distribute development cost over many things. So we have a di fferent model to do this. This model is tough, because it takes enormous number of years to come up with the competency model and product model here, but that is behind us.

So now the opportunity is a l arge, so we should be able to look at it. Yes, we beli eve we can compete with them. We have a own, it is a multidisciplinary subject which we have. We build our own electronics, we build our software, we build our IP, we build our mechanical system, the structures, we design e verything in -house, we manufactur e everything here except mechanical.

We integrate, we test, validate, we have full certification process for all platforms. So we built up a competency matrix, we can address the market. So we can do it. As far as margins are concerned, I don't know why you say, yes, obviously margins are slightly more , because we design everything. If somebody buys, that margin which is buying on from the other companies is also ours because we have a raw material cost.

So our margins will be higher than others. But then I can use this margin to be, as a bargaining margin, we can compete better, we can reduce margin and compete. So going ahead if the integrated systems come into picture, margins will probably shrink , but revenue will go up, bottom line will go up. So we n eed to do that. But the point, second point he made is BEL is making 20 % , but I don't know because the bottom line is very high in BEL .

You know though the turnover is there, look at the bottom line is 18 % to 20 % which is quite high. So obviously they are also making margin somewhere on single vendor contracts. But effectively what he is saying is true but we will have a better margin because design IP margin also are there.

Moderator: Thank you. The next question is from the line of Alisha Mahawla from En vision Capital. Please go ahead.

Alisha Mahawla Just wanted to know what is the margin dif ferential between our production and development orders?

Venkata Subramanian : If the production is followed or developed in contracts, the margi

ns will be same. In the

production order, the so -called tender contracts or MO D tenders, it is going to be competition driven. So the margins vary with respect to contract and the competitive scenario. And how big the contract is and what is the appetite to take the contract. So it will be more competitive little bit than this . But if it is earlier developed contracts resulting in production contract, price is already been fixed, the price discovery process is over. So one would expect the normal course of action, similar marg ins.

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Alisha Mahawla: So the reason for asking this question is that while we've seen almost 60% growth H1 '23 over '22, it also coincides with higher developmental revenue and hence a larger shrink in the gross

margin than the EBITDA margin. And now that the order book is also more skewed towards the development contracts, just wanted to understand the margin trajectory and hence the question ?

S. Rangarajan: See, development contracts doesn't mean margins will be less. Actually, development contracts should be more, but we absorb the development costs ourselves. Because we competitive on those tenders. So again, it is based on competition and pricing that each contract has different kinds of margin numbers. Again, what we say is we attempt to keep this at 60% level this year is what we are saying, based on contracts which we will execute this year, we have some idea what our costs are. So I am telling you this.

Going ahead, if you are going to quote for an MOD tender or something else, it is going to be very contract specific. One differentiator is that, since we work with others who also buy and integrate and we design from scratch everything, our margin should be on a better higher scale than the others, subject to everything else being same. That's all I'm saying. So we will drive for a slightly higher margin business because we need that margin to push our contracts and do more development in India. We are not trading on any parts. So our margins are slightly higher.

Alisha Mahawla: No, I understand that. But when we talk about higher margins at 40%, this is industry leading margins. I just want to -- and while for this year, the company is fairly certain of maintaining these margins, just wanted to understand going forward, what seems like a more sustainable number in light of how our order book is currently scheme?

Venkata Subramanian: Yes, EBITDA margins should be around 40% now, maybe I'll come to 35%, 37% depending on the contract mix of contracts which we do and how we want to scale. Scaling doubling was you know 1.5 times, 1.7 times we do and we call it competitive margin. Obviously we need to look at how if bought outs are more, then the margins will come down. If it is only electronics, our margins remain. But we have to buy power systems, buildings, trucks, etcetera, obviously we cannot keep those kind of margins. We need to get the end product so the margins will come down.

So that is why I am saying it will be very specific to contracts, we can't say. Till now we've been doing largely electronics, so margins have been there. So integrated margins will come down, but it's okay, because the size of the order which we're going to take is very-very large. So it is, I believe, it's on the right path and that is how the growth will happen. But we will maintain reasonably higher margins than others, because we do a lot of development in-house.

Alisha Mahawla: And in Himshakti and Arudhra ...

Moderator: Ms. Mahawla, we request you to please rejoin the queue? Thank you. The next question is from the line of Abhishek Singhal from Naredi Investments. Please go ahead.

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Abhishek Singhal: In the second half, 100 people will be hired which are less in compar

ed to first half, any specific

reason? And the new facility will also start in Q4. And any token order receipt for new facility?

Thank you.

Management: First question is, what did you say? H2 is higher than H1. What did you say?

Abhishek Singhal: In the second half, 100 people will be hired which are less in compared to first half. Any specific reasons and also new facility starting Q4?

Management: No, I don't understand the first question. In the second half, 150, what I didn't understand, what did you mean?

Abhishek Singhal: In second half, 100 people will be hired, which are less in compared to first half, any specific reason? And also we start a new facility in Q4?

Management: See, people hiring is an ongoing activity in the office. It is nothing to quarter or half. We hire continuously hire people based on need. We believe we are scaling the company substantively and we need capacity building at all levels. So from senior management to hires, to marketing, to program management, to at management level, plus engineering level, design level, we are going to hire people all around. So this will go on and this is nothing to do with H1 or H2. Only thing is what really happens is after June, July, a lot of people join because that is when the colleges get over and July, August they start joining. So, but that's the only reason, otherwise we keep hiring.

As far as quarter four is concerned, we are seeing the facilities, already part of the facility we started utilizing. The first part, the Precision approach radar, we delivered to, we quickly finished that portion of the facility so that I can integrate the facility, integrate the radar there. So last March, that is 22nd March, we actually had the first radar installed there in one part of the facility and the acceptance test was done by Navy there. And then June, the second part was accepted that is done by Navy.

Third one is done by Air Force in September we dispatch. So some part of the facility on the

radar hanger already utilizing, rest of the facilities are getting completed and then over a period of time we will move because we do not want to upset our existing production. So the equipment is coming in new also and we are putting in the existing production facility and then slowly change it, slowly move into the other facility in cases.

Abhishek Singhal: And any token order received for new facility?

Management: No, it is not a new thing which where we need to get an order for the facility. Existing contracts will also be done in the facility. Actually, we are going to move production from this facility, new facility fully in over the next six months. Because that will be dedicated production

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infrastructure we'll convert this to, development infrastructure in the existing facility and R&D testing.

Moderator: The next question is from the line of Jatin Jadhav an Individual Investor. Please go ahead.

Jatin Jadhav: Good afternoon first of all, congratulations on a great set of numbers. Based on the presentation, you've given on Page number 24, you said proposed expansion of INR 30 crores towards upgrading and expanding existing facilities. So the guidance which you have given is including this or excluding this?

Management: It's all as per original plan. We're not doing anything which is not part of plan. We're actually spending more revenue on the infrastructure. The thing as part of the infrastructure spend, the last quarter, we have capital work in progress in the side INR 30 crores

Jatin Jadhav: And the second question is the export turnover. What are the major clients in the export turnover, who are the major clients, if you could just share some light?

Management: Major turnover export turnover from UK is for an airborne Avionics, which is designed for them. I'm quite happy we displaced some

100 -odd system for the last five years. More orders had expected. -- and we got some more developed not existing client for an airborne system where development is also done in production than the assets.

Jatin Jadhav: Okay. And just one final question.....

Moderator: Mr. Jadhav request you to please re-join the queue, we have participants in the queue. The next question is from the line of Narendra Individual Investor. Please go ahead.

Narendra: So you mentioned that the Indian defense market has huge opportunities for our company. So my question would be what kind of opportunities do you see in the export market? And also what are the restrictions that would prevent us from exploiting these opportunities?

Management: Indian defense is largely import centric, and that has been opened out to Indians. So the opportunity is going to be largely Indian now. First you need to prove the systems in Indian scenario -- before, we expect end systems to be exported. It would happen and parts of systems can export.

For example, most exports is happening, is on build to print. The design has been done abroad. They've come here in India to reduce the cost or get manufacturer reduce the cost or because they're obligatory for them to do offsets. So that is the kind of the imports, most of the exports you're doing. Some amount of development imports also happening when people like us a little bit is happening.

We expect to scale that as we go along. But the size of business, what we are expecting in the Indian market is going to outpace the export by leaps and bounds. But yes, we would want to

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maintain exports. We have quoted with some location in Europe. We expect an order, radar order, our radar also to be exported to the NATO country.

We expect the contract to happen in the next month or so. It will be declared L1. So it has to happen. But then these are one-off systems. We are also trying to work with South Korea, trying to do what we are doing in India, can we export to South Korea. We also exported one system like that to South Korea, about a \$1 million -odd to Korea two years back.

Some more orders are expected in different configurations. So we are looking at it, but our active participation is more on an Indian context because there is a huge -huge opportunity here. And the focus is to address an opportunity which is a greenfield opportunity in India, compete with the foreigners and build here. That's where we are.

Moderator: Thank you. The next question is from the line of Shirom Kapur from Prabhudas Lilladher. Please go ahead.

Shirom Kapur: I was just wondering if you could give us a split with any production contracts of which ones, how much comes from a tender versus what comes from the initial development contract that transfers into production? Do you have a split on that?

Management: Yes, if you look at it, I'm not immediately, I'm not able to give you a split, but I'll tell you, the large production contract we got on a tender business is precision approach radar, which is about INR 40 crores to INR 80 crores including maintenance, or INR 250-odd crores for the delivery of radars. That is a large production contract on tender base. But rest of the development contracts, what we get is also tender based.

And what happens based on previous tender development contracts we got, it seems it is successful, a variance of that is required for various contracts. DRDO has given us some contracts for this adaptation on the aircrafts. Those come on single vendor. So that is really what happens. And once that is completed trials, then companies like HAL or BEL who have got the production orders of end system gives us single vendor contract which we term as production contracts.

This is how it happens on all of them. So production contracts if it comes from HAL and BEL will be

only single vendor contracts. If it is MOD, even though we call it production, this is against the tender, it will all be only tender contract because MOD will not give a single vendor contract.

Third, mostly development contracts. and DRDO is open tender, open limited tender, but off late we are also getting single vendor contracts in development mode also because of a competency model which is there, we do end-to-end, we are able to do and there is a time constraint for delivery to end users then we are able to get customers are willing to look at Data Patterns or single vendor contracts because delivery constraints are very, they are nine months

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delivery, six months delivery and you do that it becomes difficult for them and to split it into various vendors and give it because a common capability doesn't exist in one company. In which case they come to us.

I don't know the ratios but this is how the contracts come.

Moderator: Thank you. Ladies and gentlemen, due to time constraints that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Management: Thank you very much for these interests and the questions asked. If you have further questions, which because of lack of time, we could not answer, kindly resend the questions to Go India Advisors. They will have them brought to us to give the appropriate answers. We can answer all the questions you have. We are very -very happy and grateful that you all participated in this in large numbers. Please be in touch and answer all the questions.

As far as the market is concerned, the Indian market, our defense is growing. Again, I would recap. We believe that by doing the right strategy and a little bit of help from God, we should be able to grow quite well. We believe that we are in a good position at the present moment, quite excited and the opportunities lying ahead of us. Thank you. Thank you very much, all of you.

Management: Thank you very much.

Management: Thank you.

Management: Thank you, Go India for organizing this. Thank you.

Moderator: Thank you. On behalf of Go India advisors that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

Date: 02.02.2023

To

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra(E),

Mumbai- 400051

NSE Symbol- DATAPATTNSTO

BSE Limited

25th Floor, P.J. Towers,

Dalal Street,

Mumbai- 400001

Company Code: 543428

Sub: Disclosure under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015-

Transcript of Earnings Conference Call

Dear Sir/Madam,

Further to our earlier in communication regarding the earnings call to be held on Monday, 30th January, 2023 for the Audited Financial Statements for the quarter and year ended 31st December, 2022, please find enclosed herewith the transcript of the same.

The transcript of the earnings call as well as the audio is also available on website of the Company. You are requested to kindly take the aforesaid on your record.

Thanking You.

For Data Patterns (India) Limited

Manvi Bhasin

Company Secretary and Compliance Officer

Encl as above

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"Data Patterns (India) Limited

Q3 FY '23 Earnings Conference Call "

January 30, 2023

MANAGEMENT: MR. S. RANGARAJAN – CHAIRMAN AND MANAGING
DIRECTOR – DATA PATTERNS (INDIA) LIMITED
MS. REKHA MURTHY RANGARAJAN – WHOLE -TIME
DIRECTOR – DATA PATTERNS (INDIA) LIMITED
MR. VENKATA SUBRAMANIAN – CHIEF FINANCIAL
OFFICER – DATA PATTERNS (INDIA) LIMITED

MODERATOR : MS. MONALI JAIN – GO INDIA ADVISORS

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Moderator: Ladies and gentlemen, good day and welcome to Q3 FY '23 Earnings Conference Call of Data Patterns India Limited, hosted by Go India Advisors. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Monali Jain from Go India Advisors. Thank you and over to you.

Monali Jain: Thank you, Yashasvi. Good afternoon, everyone, and welcome to Data Patterns India Limited Earnings Call to discuss the Q3 and nine -month FY '23 results. We have on the call, Mr. S.

Rangarajan, Chairman and Managing Director; Ms. Rekha Murthy Rangarajan, Whole -Time Director; and Mr. Venkata Subramanian, Chief Financial Officer. We must remind you that the discussion on today's call may include certain forward -looking statements and must be therefore viewed in conjunction with the risk that Company faces.

May I now request Mr. Rangarajan to take us through the Company's business outlook and financial highlight, subsequent to which we will open the floor for Q&A. Thank you and over to you, sir.

S. Rangarajan: Thank you, Monali. Good afternoon, ladies and gentlemen, and thank you for joining us today for the Q3 FY '23 Results Call. I believe you must have seen the results presentation, which is published on exchanges and our website. While Venkata will walk you through the results, I would like to briefly touch upon some of the strategic updates and key highlights of this quarter. We have delivered the highest ever Q3 and nine months revenue and profitability. We're currently doing better than our guidance to the market, though this is as per our internal projections. We kicked off 2023 with yet another significant order from DRDO, demonstrating our continued dealership in the domestic radar and EW areas with products that meet international standards.

Continuing with healthy order book, we have considerable insight into our upcoming performance. Our order book is robust at INR 1,014 crores, underlying both our diversity and showing our homegrown expertise in cutting edge defense technologies. I'm pleased to inform you that we had a strong order intake of INR 163 crores, up by 3.3 times in Q3 FY '23. We have very strong sense of revenue visibility because a sizable percentage of this comes from development contracts, which will eventually transition into production contracts.

Some of the large orders we received in Q3 FY '23 are one, we received a radar order from DRDO and BEL worth INR 7 crores, these are for development and production orders; two, development orders worth INR 24 crores for Electronic Warfare from DRDO; three, we received a production order from HAL and Airport Authority of India, totaling INR 75 crores in Avionics Data Patterns (India) Limited

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and Airport Management; four, another production order worth INR 57 crores received from BrahMos and other programs.

With the country moving towards Atmanirbharta in defense R&D, this sector has been taking massive strides in order to upgrade and modernize its capabilities. Drawing lessons from the recent global political prices, the Ministry of Defense has launched various acquisition initiatives and RFQs, and we are ideally positioned to gain from the sectorial opportunity. With a new manufacturing facility expected to commence from Q4 FY '23, our capability in R&D, engineering and execution will get a much needed boost.

We have successfully completed site acceptance test of two precision approach radars. We've also been nominated as development cum production partner for Dornier

upgrades. Since we

have the best -in-class manufacturing facilities and a strong debt free balance sheet and good working capital lines, we are in excellent position to showcase our indigenous capabilities in cutting -edge defense technologies.

Our strategic priorities for two years are clearly defined, which are as follows. One, we will concentrate on greater opportunities in radar, electronic warfare and satellite markets. Two, we are expecting to participate in over INR 20 billion to INR 30 billion worth of contracts over the next three, four years. With these efforts, we should be able to achieve our top -line increase of 25% to 30% and sustainable high margin in the range of 40%. As you are aware, we obtained the Board's approval to an enabled net resolution to raise a fund up to INR 500 crores.

This sector is seeing strong growth in government. And the government is pushing for Make in India. We want to be prepared for this growth opportunity both in terms of manufacturing facilities and product development.

I will now hand over to Venkata for his comments.

Venkata Subramanian: Thank you, sir, and good evening, ladies and gentlemen. We are pleased to let you know that we have delivered the strongest nine months performance ever. I would like to walk you over the quarter's financial results, which include, our revenues increased by 2.5 times in Q3, and 2 times in year -on-year nine months to INR 111.8 crores and INR 268.3 crores in Q3 FY '23 and nine months ended FY '23 respectively.

Development contracts generated 28% of Q3 revenues as compared to 13% Q3 last year. The contribution from production contracts were 65% in Q3 current year as compared to Q3 last year's 67%. Lastly, service contracts contributed around 7% in Q3 of this year. The gross margins for Q3 and nine months were maintained at 66% and 65% respectively. PAT for the quarter increased by four times to INR 33 crores and for the nine months, it increased by 2 times to INR 69 crores led by a strong EBITDA during the period.

We have invested around INR 36 crores in the new facility till date and we expect the new facility to be operational in Q4 of FY '23. We have a net debt free and robust balance sheet with a cash on hand of INR 61 crores at the end of nine months and are striving to maintain the

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working capital cycle around 300 days. The overall nine months performance was pretty impressive, producing record revenues. Although Q4 is still a important quarter, we can observe that the seasonality is gradually decreasing.

We will now open the floor for question and answers.

Moderator: We have a first question from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid: My first question is to understand a bit more -- while YTD, we have already achieved almost INR 680 crores of inflows, how are we looking at the order inflow for the rest of the year? And specifically for FY '24, especially that large projects like Himshakti, etcetera, were delayed from fiscal '23 to '24. So, if you can share some update or large orders in pipeline and outlook on the same.

S. Rangarajan: We expect about INR 150 crores to INR 200 crores this current quarter. Additional orders are expected. Today also, we renegotiated a contract, which we'll be announcing. So as regards to the next year, as you rightly said, the programs line Himshakti, Arudhra, all of them are almost in the stage of finalization. That's what we hear from the market. And once finalized, I think back-to-back, some contracts are expected Arudhra by us. So this is one or two big orders, which will come, which will be a single tender for us, which we'll execute.

The second portion is like we announced, we have also become development and production partner for two programs of Dornier Upgrades. So that one letter of intent has already come, one more t

oday, we finalized for EW. This is for radars in EW for Dornier Upgrades for Navy. There is a development contract, which is initiated by the DRDO. Hopefully, once we deliver this product to DRDO and it's operationalized, by them to Navy, we can expect that back-to-back orders for the upgradation of Dornier aircrafts for HAL, the order should also follow in the coming years. So that is an important development.

And the other thing is, we are also participating in MOD fast track tenders some and also the Make -1, Make -2 tenders. We're also expecting the tender to be released in the next few months for the Ashwini radars, where we're also participating. I think they are being cleared. So, we expect some contracts, with enquiries to happen. And we need to bid against competition to see where we stand, but there is some idea that we should get some contracts in that. So these are essentially some of the top of the line orders, which are getting into the head, but there are a lot more in the end years we're working on to see that we increase our order size.

Renu Baid: Also you mentioned that from a longer term perspective, you think the 25% 30% revenue growth is sustainable with high margins of 40% so as even larger projects in EW radars including system integrations, you have reasonable amount of optimism of sustaining 40% plus EBITDA margins or do you think margins could moderate a bit as growth accelerates a 30%, 35% plus CAGR?

S. Rangarajan: See, this obviously works, depends on the contract and the competitive contracts we've got. So some of them, which have been delivered early and it's a mix of contracts so the EBITDA margin comes up and so, at the present moment, we think that we should be able to retain the EBITDA

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at 40%. And as we scale larger, we have to look at the kind of contracts and the mix of contracts before we can give guidance. So, I think at the present moment, we would like to stick with whatever guidance we've given you.

Renu Baid: Secondly, sir. We have taken an enabling resolution for nearly INR 5 billion worth of equity or debt or both combinations. So, you know what kind of growth capital you think you'll be needing in the next two to three years, A, for the current organic growth and B, if you win certain large Make 1, Make 2 programs with some foreign OEM Partner?

S. Rangarajan: Okay. See, we have taken an enabling resolution for over INR 500 crores on the Board. The Board has been very supportive. The business is very differently. We can't be reactive to this market. We have to be proactive with this market. As you know, we have been a product development company with in-house IP generation, all through our history of the Company. And while we -- earlier days, we could only look at the catalogue kind of management style, where we every available penny we'll put in product development and slowly grow the business.

This is what was the model followed all around. But that model today, though we have done this, invested a lot in the last few years or so many years and the orders have started coming in

now, after a few years of gap, but the market itself has changed, it's gone through drastic changes now. To follow an earlier model that we will generate -- develop products slowly and then push into market is no longer -- will not give us the accelerated pace which we need today, not just what we need to grow, but also what the market opportunities are.

Market opportunities are enormous today, as in this -- like I've been always saying in the last calls with you is that we are trying to actually tie with foreigners in India and build some purchase in India, work share and address the market space. We've always been saying, that's not the way to address this market, we have to build products here in India and get a better probability to win based on IP generated here

because then the cost model becomes much lower for us than a competing company who imports and integrates.

So we need to actually build an ecosystem, build Indian defense equipment, which is world class. They've always been talking about that and the market opportunities today, with a flurry of RFPs coming in the last three months, so we need to address those opportunities with actual products. If we do it the way we've been doing all along, we may miss the opportunity, miss the bus.

So we've talked to our Board and Board has sanctioned this and said yes, we need to aggressively position ourselves, scale the business substantively. See, what we're really raising funds for is not to do what is coming year or next year, two years, we are looking ahead at 3, 5 year, 10-year market and said if I have addressable -- a product is available to address -- increase my total addressable market's pace.

So that is the idea with which we're doing to gain traction, build products, have the prototype products, assemble for trials on your Make 1 Make 2 or buy Indian, IDDM, all kinds of categories with MoD comes up with and then address market to see that we get that rapid growth, Data Patterns (India) Limited
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which is essential. You see, market is growing, it is up to us to be there and be counted or fall behind. We don't want to fall behind. So that is the idea of aggressively trying to bid and grow building capability for tomorrow. That is the kind of market we are looking at and we want to be standard also. This is one.

So, the money raised is for that. We also would put something in working capital. We would also put some capex, put some test infrastructure, all towards building as an organization to scale rapidly in the next three to five years. We need to address the market with products and competencies. So that's the idea of doing this.

Renu Baid: Just a follow-up on this. Would you have any names or segments where you are tying up with foreign partners to share with? You may, may not win, just about participating in the market with foreign OEMs in certain categories to share?

S. Rangarajan: See, it is not necessarily -- see, one. Make 1 and Make 2 is a designed in India configuration, where largely you design in India, not with foreign partners. So, that is one. So we really don't have to have a foreign partner to core in Make 1 and Make 2, they're trying to do it alone wherever possible. Even if you have to go with foreign partners, it's not appropriate to name them at the right moment. We will do this -- it is contract dependent. We have a few people who we are working with and where we are trying to have a deep relationship, not a contract specific relation, trying to have a more deeper relationship where not only we build, we co-build products, which make sense.

So that is what we're trying to do. So, I would like to give -- name the company, but largely, we are trying to build on our own. The second thing I can tell you is, we're very selective about where we want to build products. We don't want to take money and put them and then do a hit or miss kind of category. We're already ahead of the rest of the market in India in certain segments like radars, in electronic warfare, in satellites.

We want to reinforce our capability here, build products and be world class and make it with Indian market and later export these products outside India. So we want to be specific in certain domains. We're far ahead. We've already built building blocks with this, high end built both building blocks in this, so we're ready to address the market, win trials, be ahead of others, create IP here, so the value creation is far, far higher. That's what we'd like to do. That is where we're going to the market to get money.

Moderator: We have our next question from the line of Sandeep Tulsian from JM Financial.
Sandeep Tulsian: Sir, fi

rst question is pertaining to some of these orders that you mentioned, the Dornier Upgrades, the two versions, one is for the Air Force and also the precision approach radars where we are expecting some orders. Is it possible to give us some estimate of the size of these orders and the tentative timeline?

S. Rangarajan: We received orders for Dornier Upgrade for Dornier contracts for the airborne radars and also we expect a contract come for the ESM that is the EW upgrade portion of the Dornier. This is Data Patterns (India) Limited
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one is already, the other one negotiations are on and these are for development to see that we prove it on the with DRDO on the chase aircrafts or naval aircrafts. Subsequent to that depending on how many units Navy wants, maybe 10 systems or 25 systems, number of aircrafts. Back to back, once it's successful, the contract should come. They are in a hurry to fly it and test it. So we expect that maybe the backup order should also come within next two, three years. As far as PAR is concerned, we are going as per contract. We have delivered, accepted, three systems have been already accepted. Fourth one is acceptance is over in our premise. It is under integration at customer premises. The other ones as per contract, we are executing as per contract. One more system will go in the next one month or so. And maybe we will be ahead of delivery next year. What is necessary. So what is on track? Since the results are working well, there is also some interest to see whether follow on orders can additional order be placed. But that is all under discussion.

At the present moment, I don't have clear idea. But I think maybe there is a possibility of additional orders also happening. But I can't tell you exactly How many are there at the present moment?

Sandeep Tulsiyan: Secondly, sir, in the previous calls, you have also given some status updates on the new products or new areas of RF seekers, because you were one of the qualified parties along with ECIL and also on the satellite development that we were undertaking, will that be a big capital commitment towards that? Where are we in that development side? If you can update on these two areas, please?

S. Rangarajan: The RF seekers, one and a half month back, there were actual trials. This is what is called as capital trials on Su-30, which happened and is successful. We are awaiting additional trials either on capital or again I don't know whether I'm supposed to talk of all this, but you asked the question, I've to answer. So we have to wait and watch what DRDO does, but we are in line with their thinking and the products are functioning as of now. So we need to await DRDO's instructions on next trials to see where it goes. Product itself is performing and so as satellite is concerned, it has been a long kind of data bundles that we've invested into complete satellite development for the last decade.

We went on the student satellite program where we decided we want to get our satellite to space where design is done in-house completely. So we did a satellite long back, we started in 2014 design. Only decision was we'll never report anything, we build all the satellite here in India, all this capabilities, including ground station, the telecommunication all the -- everything with communications, everything which is designed in India.

And, we want to design it as a military satellite. So all the capability of military satellite we want to put inside, for example, complete redundancy on the satellite, so no single point failure, everything about the satellite, the health of the satellite, every current voltage is monitored and telemetered down to ground station, so we can then see which part of satellite is not functioning, in which case we can switch it from ground and make the satellite operational.

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Whatever ISRO has or the capabilities, we will duplicate it in a small satellite program and make that scalable so that once we get some experience on air on the satellite performance and validation, all the algorithms are validated, reliability established, we can scale it for defense satellite for India as well as outside India. We largely achieved it, we have another satellite for Pixxel launched, about a month or back. The satellite is fully functional. We've handed over the satellite to Pixxel.

All functions are done. ISRO has taken all the satellite parts of ours, for their own Nano Satellite program. They've even taken our ground stations from us to do this. So they also have confidence in how our systems are working. The Bhutan SAT which is used -- most of the onboard systems are all ours, which is done by ISRO, so they also have confidence of systems working, so we have some operational experience and in-flight experience and space experience on our products, working for a few years.

And our competency on building entire system. So obviously, we thought this is one of the areas where co-competency has been established over the last 10 years. We need to actually build a proper satellite for defense and space. So that is one of the strategic program moves. We have

been talking about it off and on. Now that the second satellite is fully functional and working, we're also building a small satellite with the MWIR sensor camera, that is also designed in-house, that also hopefully should be launched in the next few months. So, we are building a competency model here. Fully homegrown in-house competency model.

So we are going to do this and going to invest further on this, receive that — like I said, the market today. Last year, when I talked about, the market was not visible. It was all handled only by ISRO, but today the market is getting exposed to industry here. Already the Make 1 and Make 2 programs are coming up from MoD tenders. ISRO is also looking at building satellites using private sector for such application, so there is a lot of talk now and so we want to be ahead of the game and see whether we can do world class systems in Indian competency. So we are going to start investing in these opportunities and create our own opportunity in this space.

Sandeep Tulsiyan: And sir, last question from my side is on the net working capital cycle. Where did we end — where was the working capital position at the end of third quarter? And if you could also give the absolute rupees crores amount for debtors and inventory at the end of nine months?

S. Rangarajan: Venkata, you can answer that.

Venkata Subramanian: Sandeep, our net working capital days remained almost at the same level throughout this year so far around 350, 360 days. We expect it to gradually come down, that's what we have been telling in all the calls. We expect it to be gradually coming down to probably around 280 to 300 days.

But currently, it is high because of inventory holding due to advance procurement, which we plan and procure ahead of the requirements considering the non-availability of material due to COVID situations, though the material availability is reasonably eased out now, but we have already procured and that is the reason for the net working capital higher in the year so far. We

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expect it to remain almost at the same level in March as well. But going forward, it will gradually come down.

Moderator: We have our next question from the line of Harshit Kapadia from Elara Capital.

Harshit Kapadia: Just couple of questions. Can you just update us on the BrahMos status where we were trying to do some testing for RF seekers? Any update on that? And there are other companies also bidding for it. So what's the status there?

S. Rangarajan: That's what I said in the last question

with Sandeep. The seekers have gone through some capital trials on SU-30, we've finished that capital trials about a couple of months back. In the month of December, the trials were there. We're awaiting additional trials from DRDO. The products are working well and it is now left to DRDO to take additional trials and then certify it.

So once they do missile trial and certify it, then it will be ready for production. So we expect in the next few months that should happen. I'm not privy to exactly when the trials are going to happen. They will let us know as it's happening. But we are on track. The products are working. At the present moment, that's all I can say as far as BrahMos is concerned.

Harshit Kapadia: So is that a possibility then in FY '24, we may get a few orders, maybe on production basis for this?

S. Rangarajan: I don't know. See, it should come in natural course if they take a decision to put our seekers or Indian seekers into those missiles, so today we are importing them. So, it would make sense to do more in India. This is a decision between BrahMos and DRDO. Of course, they can't do this until the missile tests are done. I don't know when they're doing, they are saying it is going to be done in a hurry. So, we don't have the dates as of now. But our people are working with them. So as and when it's done, and I don't know one test or two test, what they would like to do, so — but it should naturally happen as long as the product performs is what I would think, because we are also less than 50% the import price and there is a lot of pressure now to do more in India and reduce foreign exchange outflow.

So, naturally it should happen. But dates, I'm not able to tell you about, it's not really -- at the present moment, I don't have data. I am not -- we're not projecting that for next year turnover. See, we want to be very clear, when we project turnover, we want to be very clear that these context should happen. We don't have control over this because we only give the product -- working product that is all we can commit at the present moment.

Harshit Kapadia: My another question is, as you become -- as the new facility gets operational and you try to become a system integrator, what are the key projects that you will be bidding for, if you can highlight some of them?

S. Rangarajan: See the areas we will bid will be similar to where competencies have been built. See over a period of time, we will try to build complete competency in radars. So we will try to now bid against Make 1 and Make 2, IDDM all these kind of contracts come up. Wherever we believe

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we have a competency model, we will try to build those systems here and then for that, we have the new facility, which we have created, can bring in about 10 trucks can come inside. We can build radars on trucks, we can build big radars, we have put foundation for all of them. We have put clean room and doubled our production capacity in terms of --we put a second pick-and-place line, we added more vibration tables. So we are doing what is necessarily, we are going to put in a full eMMC infrastructure, a full 461, which we are now going out and waiting in line for testing all that we are now creating our own infrastructure.

So, timelines for delivery, timelines for tests are shortened, and delivery mechanisms are enabled. So what is necessary is debottlenecking. We have done that, so testing when we're putting inside. As far as the programs are concerned, where we will build our prototypes and demo units and if we could try up trials, this will be in the areas where we have already built a competency and we built a lot of building blocks to enable us to create a system without going through a complete development.

It will be more reengineering and further development, re-use of already developed technologies and even in those things,

we are going to address markets. We will try to do subsystems which is reusable, so that's -- the risk of non -- getting one contract should not write-off the development. So we've positioned against many contracts.

We'll be very, very prudent on what we spend. We've always been prudent on money spending. We are very tight on money. We don't spend money easily. So we will be very, very careful in how we spend the money and see that we differentiate ourselves from rest of market. We want to be the equipment supplier in India, not try and import and integrate. So that is the line which we want to take, differentiate and grow.

But we -- so the growth is going to be -- and market access is so big today, I need to take some large kind of investment model to see that we expect the market is addressed properly.

Otherwise, we'll lose the business, meaning we will not scale as fast as we want to scale. The opportunities provided, we want to invest in this. So new facility is going to help us address these opportunities and also we are creating more bandwidth to see that we create products for the new opportunities which are pouring in.

Harshit Kapadia: And you believe that, this new -- with this new facility, you will be very competitive in terms of bidding and you can get very strong?

S. Rangarajan: See, no, no, the bidding, it's not going to be -- new facility will not allow me to be competitive to bids. The new facility will allow me to build the product, validate it in-house because see, what happens is, the facility is for two reasons, one for increasing our product -- manufacturing scale, the new orders coming in, our capacity building has to happen. So that is one for the new facility, which helps us meet the capacity requirements.

Point number two, when we move from subsystems to systems, when -- at the present, the infrastructure, I can't make my trucks inside and outfit a truck for EW or a radar application. So

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this we could not do and so, we created infrastructure where a large multi-ton metal can be moved inside, they can move facilities inside, integrate the system, it will be with us for six, nine months before we build a product, then take it for what -- and qualify them, then take it to trials with the MOD tender.

It will allow us to do all this in-house. It is very difficult to say, I'll build substance. I don't have infrastructure. I can take, go out outside and build it, may not be -- it will not be very practical to do all this, so while doing this new factory, we have created areas where, we will graduate from subsystem or a box supplier to a full system supplier, for which we need to transition ourselves with infrastructure.

We have created the necessary infrastructure to do this, it will not that -- that I can do INR5,000 crores. No, what will happen is, initially we will see that addressed opportunities in MOD, if we get a contract to do INR 3000 crores, additional infrastructure will be built as a production line assembly, but with the existing infrastructure, we can participate in major programs, build our own systems to scale products, demonstrate the system and see -- be competitive that is the facility what we are creating.

The capability comes from in-house manpower rather than infrastructure alone. The infrastructure helps, but it is all IP-created over many years and continue to create and invest on people, what we do maximize our manpower content.

Moderator: We have our next question from the line of Akshay Kothari from Envision Capital. Please go

ahead.

Akshay Kothari: Sir, just wanted to know, why is the employee cost reduce, despite our head count increasing?

S. Rangarajan: No. It's not reduced. Venkat a?

Venkata Subramanian: It is not reduced.

Akshay Kothari: Quarterly basis it has.

Venkata Subramanian: No. It has not reduced. Actually, it has in

creased only.

Akshay Kothari: From INR 19.14 crores, it has come down to 18....

Venkata Subramanian: That is because of some actuarial valuation and related provisioning, actually it is due to actuarial provisioning, some small reduction is there, that has nothing to do with actual salary. This is only the actuarial valuation, because of some leave encashment and provisioning and things like that, which has cost a small change in the numbers.

Akshay Kothari: So, my second question is related to Pixxel, so they have received funding from one of their -- partners and they are developing around 24 satellites, so I have two questions regarding it. One is, we had developed a Nano Satellite for Pixxel so what was the amount for that, quantum of that Nano Satellite?

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S. Rangarajan: No, we invested also in that. We wanted to continue development. It is not selling price, but we have contract of about couple of crores or so, I don't know exact amount. This was done about two, three years back. Slightly more than a couple of crores is what we got in order. But that is more to it because it was start-up and we said we will also invest with you -- that is how the whole thing happen.

Akshay Kothari: And regarding your earlier comments, sir, what exactly are we doing for the Pixxel right now and what is the revenue potential for that?

S. Rangarajan: What does that? Can you repeat the question?

Akshay Kothari: What is the revenue potential we can expect because they are developing some serious satellites? They are developing around 34...

S. Rangarajan: They wanted to -- they have raised money to build their own satellites with people like us and then probably sell images to customer, so that is the business model they told me. I really don't know what they're doing today. But this is all one-off contracts, we don't know whether multiple contracts will happen tomorrow. I have no idea.

But we look at it not from a contract point of view, we look at the point-of-view of building capability to see that we prove our capability in terms of products in space and get space lineage and because this is an incremental capability development program, we can't do this overnight -- then we need to find out mistakes, correct it. So that is the endeavour for me to do this.

And now, what is that we have the competency model, we want to build products with these serious defense applications and civil applications. Today, we're confident because of the successes, we know we can do this more. So that is where we're going, the direction is going to be much more clearer in what we want to do in big satellites.

Akshay Kothari: Lastly, regarding the enabling resolution of INR 500 crores, sir, you had mentioned that it could be debt, equity or a combination of both, so what exactly would be the key drivers for determining which mode of funding would be used? would it be like, if the project is riskier, we would be going for equity funding or something sort of that.

S. Rangarajan: You see, what happens -- why we set the working capital debt and all that may happen to keep with the turnover increases, we may do, but as far as this is concerned, we need to look at appropriate funding for appropriate programs like we very clearly said. So, we need to take calibrated view depending on the expenditure pattern. Again enabling resolution has come from my board and we will take it back to the Board, on investment model, we have to get that clearances to implement. So that we have to do.

Venkata Subramanian: Currently it is equity only. It is only equity right?

S. Rangarajan: As of now, this INR 500 crores is only equity right. It's nothing to do with debt.

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Akshay Kothari: Okay, I probably read it somewhere. Okay, no problem. That's it from my side. Th

anks and all
the best.

Moderator: We have our next question from the line of Mihir Manohar from Carnelian Asset Management.

Mihir Manohar: Yes, hi, thanks for giving the opportunity and congratulations on a good set of numbers. Very

good execution on the margin front. Just wanted to understand about this enabling resolution, which is there, I mean INR 500 crores kind of a number, so I mean, what is the rationale of arriving at this number.

I mean, what will be the capex, working capital investments and the development expenditure that we're going to have, and which are these programs which is going to be the focus for this INR 500 crores? Sir, if you could split across this number? What is the rationale for arriving at this particular number? That's will be helpful. And how are we looking to spend this particular amount in the coming time and how could it be adding to our revenue and just some color around that?

S. Rangarajan: I need a bit of time to answer all those questions. We have taken the enabling number from the Board now and we will have to discuss with the bankers and the lawyers to see what we need to do, also with our statutory auditors. We'll go through this cycle with them and then see what we can do with this and how do we want to do this. In terms of we will have to clearly define our infrastructure requirements, capex and test requirements as you go along and also some will go into general corporate expenses, etc.

So, we need to do that, let's say we have not done it yesterday only facility got this clearance, so we need to — the next few weeks, we'll try and do this properly. The other part of the question is where we want to — which are the areas of expertise or product are we going to do.

Again, like I said. It will be in areas where we have differentiated capabilities and a large investment already done in product development and subsystems and systems and domain, and we will try to strive and build bigger products in those areas because the market now has opened up for MOD for a number of such programs and products.

So there is common vein on which we can do product development and use that to address market space with one of the trials, which is necessary, it is a mandatory requirement to pass technical evaluation, we need to have demo products to pass evaluation. What people do typically is import the products and then try and do this. We want to be different from others, in the sense, it has to be homegrown. That is when the IP is here, that is when value addition is more and if you do this, our costs become lower and hence, I'm able to be more competitively priced in the open market here.

So with all this in mind, taking a very long term strategic view, we will be building strategic products to address market space, which is very differentiated from what other people are doing.

So, that will be in areas, like I said, it will be in radars, it will be an EDW, it will be in radios and communication, it will be in satellites, it will be in some avionics. So where we are thinking Data Patterns (India) Limited

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that the contract can happen and there is the possibility to differentiate and sell, then we going to put this money there and see that we build these building blocks and the prototypes, demo units so that we can address the market requirement with a very high confidence of winning and also to be — ensure that we build this as generic as possible, so I can re-use the investment across many programs and products.

Mihir Manohar: Sure, sir, that's helpful. And this number lastly — it is from the equity side, right?

S. Rangarajan: It's all equity.

Mihir Manohar: It's all equity. That's all. That's all. Thank you for taking the questions.

S. Rangarajan: Thank you.

Moderator: We have our next question from the line of Kaushal Kedia from Walford Capital.

Kaushal Kedia: Hello, yes

, hi. Are these margins sustainable?

S. Rangarajan: If you do more in India, the margins will be sustainable. If you buy and integrate, margins won't be sustainable. So, our way of looking to try and build more in India. So, our material cost becomes lower. We're not buying and integrating. But when you go to large system, sometimes

what happens, you need to buy and integrate because we can't do — we don't make trucks .

So when this kind of integrated solution comes, naturally what happens, the margins become different, but largely , we are focusing today on electronic systems, which is designed and developed by us. So the margins therefore are higher. But going forward, if this becomes — it depends on the project really. If we compete and there is a project requirement, then you need to buy and integrate from others, obviously the margins on a contract value come down, though the margins on my own systems will be equivalent to what we have talked about today. But then, we have to look at, if the market requires integrated solution, not small boxes and that is where I have to scale and they've no ecosystem in India where I can build a small boxes to a larger company who does this.

So we need to access markets and build the systems ourselves rather than try to import and integrate. So overall. I think, if we scale business largely, bottom line will keep going .

Sometimes in some programs, the exact margin may not be the same what we do, but bottom

line will still substantially grow and the market size growth will compensate for all of that, is what our belief is.

Kaushal Kedia: No, sir, but current order book that you have of around INR 800 crores, this order book, how much of it will you import and integrate, and how much of it will you.

S. Rangarajan: All made in India, but some of the contracts we have taken in radars also include building, also include brought outs like you know, generators, UPS, some of these things are there because it is some of these things are there, because it's an integrated product, some we have to buy and

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integrated rate. So in those contracts, the margins may be lesser on a sale value, right. But the most of the contract other than that kind of contract is all designed by us.

So here the margins are retained, so it's a mix of this and that, but there is — what we are doing today in terms of only electronics, we expect to sustain margins, we have to see how it goes along. We believe to sustain margins, the main thing is to try and design more in India, which is why our future strategic growth, we're trying to say, retain margins and grow. That's why we're looking, the path we are taking is very different to others.

Venkata Subramanian: So margin here, we mean the gross margin and EBITDA margin will remain at a guided level of around 40%.

S. Rangarajan: Again, it depends on the ratio of progress we do. But I think we — largely, this year we will do that, next year we should do that. Let's see how it goes further.

Kaushal Kedia: But EBITDA margin is — you are comfortable at 40% here. You can see comfort coming in?

S. Rangarajan: Changes and product mix changes, we should be able to do it.

Kaushal Kedia: And this INR 880 crores of order book that you have currently, by when — what is the timeline for the execution of this?

S. Rangarajan: Mostly nearly 95% of it should be executed in the next two years. Some equipment is there which is going into three years and four years, but the value proposition is less than 10% of the total contract value.

Kaushal Kedia: Okay. Okay. Thank you.

S. Rangarajan: Thank you.

Moderator: We have our next question from the line of CA Garvit Goyal from Invest Research.

CA Garvit Goyal: Good evening, sir. Congratulations for a good set of numbers. Most of my questions have been answered. Just one more question from

quarter four side, basically. The quarter four financial

year '23, historically, sir, your quarter four is basically more than 50% if we take the sum total of Q1, Q2 and Q3. So my question is, what shall prevent you from achieving that trend this time, sir?

S. Rangarajan: I didn't understand. What are you saying? Quarter four 50% I didn't understand. What did you say?

CA Garvit Goyal: I would think quarter four is basically seasonally good quarter for you historically. So kind of more than 50% in terms of revenue. If you take the cumulative total of Q1, Q2 and Q3. So my question is basically what shall prevent you from achieving that trend this time, sir?

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S. Rangarajan: So, it's not a question of prevention. We have also given guidance of — for our yearly guidance, we have provided. What I can tell you is, instead of getting to specific numbers, I can say that we will exceed guidance fairly well this time, considering the first three quarters have been robust. On the year end, I think we should exceed our guidance, whatever we've given last time, I think we'll exceed guidance this time. So this is as per our budgets internally calculated, so we'll — I think we'll outperform whatever we have told in the market earlier.

CA Garvit Goyal: You have told for 40% that you have already achieved, I think. So that's why I was wondering.

S. Rangarajan: No, I didn't understand that. What was that?

CA Garvit Goyal: I was saying, you have already achieved your 40% guidance in terms of revenue growth as far as I remember. That is what I'm saying, so we'll exceed guidance now, that's what we are saying.

Full year revenue guidance is more than what we've done already. So we've given a revenue guidance of 25%, 30% on a year-on-year turnover revenue. I think we'll exceed that guidance considering the productions we're doing now and what is planned for this quarter.

Moderator: We have our next question from the line of Prabir from Ratnabali.

Prabir: Yes, Sir, thank you for providing me this opportunity. I have couple of questions. First is, if I see your quarter-on-quarter performance for the last couple of quarters, you are growing very significantly in terms of top line. My question is like in your presentation, you have mentioned

around INR 40,000 odd crores of opportunity by 2030, so in that opportunity, what is your expectation that you will be able to get in terms of order inflow?

S. Rangarajan: I'm not very clear with the question. You are saying, we have significantly grown top line in the last quarter -to-quarter. But the question is how do you understand?

Prabir: Actually my question is, sir, you have mentioned in your presentation that total addressable market is around \$4.65 billion, so, in — by 2030, so how much are you expecting out of that total addressable market?

S. Rangarajan: See, what happens is, the market size is very, very large. We are addressing market through DRDO, a little bit through MOD now. Just started — MOD tenders have just started coming in line, and we are trying to address the market. So we need to have products to address and increase the TAM, which is why we are saying take in investments and build strategic products for future. So the increase this 2030, which you're talking about, taking a slightly medium and long term view, we want to put infrastructure and product development to address that market. That is exactly what we're doing, in areas where we have a substantial investment in competencies. So that is what we are trying to do on strategic markets and increase the size. But it's very difficult to give a particular number. INR 2000 crores or INR 3000 crores or INR 5000 crores. The idea is to grow to that size of company in terms of annual revenue. So we need to address that revenue, how to build that revenue, how do I convert opportunities into orders. This

is what

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we are discussing internally and our investment model is towards building strategic products, which will allow us to convert these so-called opportunities into contracts. So, that's what we're working internally and a lot of work is going on in building these strategic products here. But numbers itself — it is slightly a bit too early for us to actually address numbers.

But we will be growing in next two years, we have visibility. So it will take two years, visibility of 25%, 30% growth is possible. Beyond that, subcontract, we're going to participate, it has to happen. But what we are going to do is, in the next two years to build a product base, which will help us scale substantially in the coming three to five years, we need to substantially scale the business. That's what we want to do and we are trying to see how to do this.

Prabir: Okay. Sir, another question I have like to integrate complete radar systems, one needs to have a strong capability in digital as well as in microwave. So you are a strong digital player. So in terms of microwave capability where you are standing in comparison to your peers? Some of them, which has been — started doing activities in microwave since 1991. So where are you right now in terms of capability?

S. Rangarajan: See, we took an early decision that we have to build complete equipment. So initially, we were actually in testing with, we got another space, I'm talking 25, 30 years, we continue to build test equipment for them. We do analog and digital and power and simulation, very low level analog we've built products from there on. And we also built our own software capability. We built our own language called DP Basic way back in 1991.

So we've built a very strong product company from last 30 years. So, we actually started involving ourselves with DRDO, we started doing platform oriented electronics from the space above air, ground, water — under water. And we looked at the opportunities and said, look, if microwave is not part of our system and mechanical engineering is not part of the system, we will not be able to build full systems. So we started our own microwave department way back in 2007, 2008, it's now 14 years of work.

We do world class microwave systems in-house now, microwave fully we design in-house. Up to 40 gigahertz from 1 megahertz, we do everything. This can be continuous wave CW, this can be pulse, this can be narrow band, this can be wideband, this can be power, it can be anything. So we have a very large engineering competency model to build microwave. So we also build our own algorithms, our own domain algorithms, we do ASIC programming, VHDL.

Everything in-house we design, so that's the idea, we built up — very consciously built up this capability, so that today, we don't have to build — buy and integrate, so we can do everything in-house. For example, in the digital domain, if you say the ZONE, whatever your laptops and all coming, we build the processor boards ourselves, we don't import the boards, we actually don't import any hardware. All of them is doing in-house including microwave. So we build all of them in-house today. The idea is to try to build excellent competencies to build World-class products. That is what we'd like to do and we have invested quite a lot in building these capabilities.

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Prabir: Okay. Sir, you already have been selected as a development partner for Dornier airborne radar and as you know that — as we know, like in LCA, also there is a requirement of indigenous airborne radars in the market that is quite large for Sukhoi upgradation as well. So going forward, is there any scope for you in these domains as you already are one of the development partners for the airborne radars?

S. Rangarajan: We would like

to work on those programs. It is up to DRDO to select us. We have the full competency to build those products, which you mentioned. But we know customers to customer to select us. If he selects us, we will be really happy to build the products, we believe we can build world-class products in those areas.

Moderator: We have our next question from the line of Mahesh Bendre from LIC Mutual Fund.

Mahesh Bendre: Hi, sir. Thank you so much for the opportunity. Sir, in 2016, '17, '19, our margins were anywhere from 16% to 20%, but last two, three years, we have been hitting 40% plus. So what could be the reason, why we make these kind of margins?

S. Rangarajan: See, our actual margins in terms of gross margin, they have always been 60%, 65%. But in the years, we mentioned, we had two companies, Industry Track and Data Patterns and there was some intercompany turnover, which has got captured. So you see the margins are lower. Actual margins they have never been less than that all through years, in the last 30 years. Now these are integrated as single company and that is how it is.

And second point, we need to look at it is just not gross margins. You have to see — the gross margins have been consistent all along, but it is not visible in two balance sheets, so you'll not be able to break out. Now it's integrated balance sheet, you'll see gross margins are different. Second point is on the EBITDA itself. What we were actually doing product development all through years. And we were — the Company is run on cash margin. Margins are always there, but the margins were used to product development, which you'll write off as revenue expenses. We are continuously writing it off as revenue expenses, because we develop products which were not costed to customer. While they were importing these products, we competed against imported systems. So when we developed the products, we absorbed the development cost and expected that it can be recovered over many such programs. So that we have been doing consciously for the last 20 years. So we write off everything as revenue expenses.

So what happens is in turnover, as long as we break even revenue expenses is fine. That is how the business model was. And that is what you see today when the turnover goes up from INR 80 crores – INR 90 crores to INR 100 crores to suddenly it comes to INR 400 crores – INR 500 crores or INR 300 crores. There is no proportional increase in overheads in terms of manpower cost and infrastructure cost. It is not proportional. And the gross margin always has been there. So that is why you are seeing the EBITDA margin going up today.

That is what you are seeing. If you take the comparison. You should look at it slightly differently because there was some inter-company building and all that which is not visible now. And so

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going ahead, you know, the path is always been there. EBITDA will be going up today because revenue is going up substantially with respect to cost in terms of operation cost. So that is why EBITDA is going up.

Mahesh Bendre: Sir, in terms of the top line, do we show only the value addition part that we do for customers or we also add raw material prices into that?

S. Rangarajan: So whatever we buy, we add raw materials. This is gross margin SA, it is sale revenue less raw material cost. That is what I mean by gross margin here. EBITDA of course includes not only raw materials but also operating overhead expenses, manpower cost and other cost. You know that. So, of course it's not just a value add, it's not build, it's a product we believe.

Mahesh Bendre: Sure and sir, you talk about going into new businesses, you are raising money for entering into — in building capacity for newer businesses. Will you be able to maintain this kind of margins in that business also that you are planning?

S. Rangarajan:

It should be. We would like to have the same margins. But what happens is when you get that margin, the size of business is INR 2,000 crores, INR 3,000 crores, INR 1,000 crores each tender, that business is higher. They may also have integration issues, so we buy and integrate. But also we need to look at and it is going to be a competitive landscape, we will import and integrate and do this, so we need to look at imported — competitive landscape and then fight accordingly. What gives us the confidence is that we do this in India, I have flexible costs — they're not flexible costs, as I said, the selling price can be flexible based on competitive numbers because we work with raw material costs. So IP is generated locally that gives us a strong foothold to be

competitive in the market. The size of market being large, I think we should do this earlier than later. It's what we believe.

Mahesh Bendre: Sure. Thank you. Thank you so much, sir.

S. Rangarajan: Thank you.

Moderator: We'll take the next question from the line of Abhishek Singhal from Naredi Investments.

Abhishek Singhal: Good afternoon, sir. Thank you so much. Sir, my first question, as per current order book and considering expansion, so in how many months you will complete this order?

S. Rangarajan: I couldn't hear you. Your voice is breaking. I don't — I'll repeat the question. The current order par when will I finish the order, is that the question?

Abhishek Si nghal: Sir, as per current order book and considering expansion, so in how many months you will complete this order?

S. Rangarajan: Which order?.

Abhishek Singhal: Sir, INR 888 crores order.

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S. Rangarajan: Okay. Okay. Okay. I think most of them had been executed — about 90% of them has to be executed in the next two years.

Abhishek Singhal: Okay and sir, second question, how much amount is spent on R&D expense in Q3? And what is your strategy for R&D expense?

S. Rangarajan: Yes, as a normal practice, we develop products against contracts, and so we write it off with revenue expenses as the contract gets executed. So we don't classify it separately as R&D and capitalize it. We've not done that till now. We do a lot of products, examine the the product. Sometimes people import it, but we build the product here. So we spend a lot more money in development of the product, but it will be written off as revenue expenses. We're not capital izing it at the present moment.

Because these are against contracts we design or expecting contract we design and then get the contract, we expense it out as per contract. We don't carry it in our balance sheet. It's an additional asset. So I thought this is prudent. That's why we've been doing it. So, but we will spend as we go along. That's why we are trying to take some money and see how do we want to do this and this is in the face of the Board. We will take some very strategic positions today and steer the business substantively. So we need to sca le to the opportunities a t now.

So we want to take our competency model and scale that business and position ourselves very differently in the next three to five years. That's what we'd like to do, but yes, when that involves a fair amount of development. But we've been very, very cost effective in our development, because we build building blocks. So the reuse of the products across various platforms is possible, various even radars or various other — even across programs and verticals where we can use the same products. So that i s how we design, so that we are consciously seeing that the money is well spent and the risks are reduced. So we'll continue to do that and take aggressive positions in realizing big contracts. So we plan to do that.

Abhishek Singhal: Okay, thank you so mu ch sir.

Moderator: We have our next question from the line of Jati n Jadhav

from Sahasrar Capital.

Jatin Jadhav: First of all congratulations for the management for an amazing set of numbers. My basic question is, since Data Patterns provides the subsystem data, subsystems and you will be moving forward to the entire system. And in your product suite, there is a — this is just an example, there's a product called R5, it's a receiver and exciter central unit and there are other competitors as well who produce the same exciter and receiver unit. So I want to understand what is the difference here. Is it your exciter unit functions for a different band of radars, which are used and how is it differentiated?

S. Rangarajan: I missed you. In between, your voice is breaking. Are you saying that you have seen that we build exciter -receiver units and you also find that the same exciter -receiver units is also part of competitive landscape? So how are these differentiated? Is it in frequency bands or what is the differen ce? Is that your question?

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Jatin Jadhav: Yes, yes. Correct.

S. Rangarajan: Okay. See, radar, I'm going to take a little bit of technical question. Radar comes to the antenna, it can be directional or a phase -array antenna. Then the receiver exciter unit is the portion which can you know digitize or up convert, give me waveform. Then the up down converters are there, then the signal passing units are there. And then the mechanical system display and consoles and

this is the software. What we put this, we say we in Data Patterns we build everything. We build the antenna, we design the antenna, we design the mechanicals, we design the waveforms, we design the down converters, we design the signal up converter for all bands. We talked about bands, RF bands from VHF, we have order for very large phased array radars installed in Cochin 7 years back, a full radar with 350 kilowatts of power is phased there where everything is designed by us including software, implementation everything. So we do end to end. Now if you say compared with competition, they may be doing exciter receiver, they may be doing a signal processor, but what happens is the combined capability what we have is at the present moment, we believe it is better than what is available with competition. Of course, this will change in the coming years. So what we are trying to do is build a domain and build a radar ourselves. For example, the precision approach radar, full development was done after the inquiry. So we decided this entire system was done and we were fortunate to get a contract for INR 300 plus crores, which is under execution. Similarly, we would like to look at such contracts and see how do you want to build positions instead of tying up with somebody, can we build our own systems here? And with DRDO, we do a lot of radar subsystems. The exciter unit, as a subsystem, we have done for them. We also do the antenna as a subsystem for them. The signal processor is a subsystem for them. The power systems are a subsystem for them. But as a radar as a whole, almost all the subsystems are delivered. So we built the competency. Now we want to build the domain and the end system.

Jatin Jadhav: Okay. Got it. Got it. That — hello. Am I audible? Yes. Just I had another question. It is — just can you give me your guidance for this year, any numbers, the margins and the revenue growth?

S. Rangarajan: This year means FY '23 or FY '24?

Jatin Jadhav: FY '24.

S. Rangarajan: We told you. We will do this 25%, 30% scaling. We can do coming year also.

Jatin Jadhav: All right. And the margins will be sustained as you mentioned earlier, right?

S. Rangarajan: Similar, similar, around 30, so 40% in the similar range.

Jatin Jadhav: In the similar range?

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S. Rangarajan: We should be able to do is what I think. We've not

gone into FY '24, as of now, we're still trying to close FY '23, the focus is here.

Moderator: We have our next question from the line of Akash Bachhawat from NAL Securities.

Akash Bachhawat: So. I just — firstly, congratulations on a great execution and I just have a few questions regarding your understanding of the business. We see our business is quite working capital intensive. And because of the nature of the business and the product, our inventories cannot be reduced, but if I see the prior years and all you had used a quite a few amount of debt and even in the last year you've used in the IPO funds to fund the working capital.

So is this the enabling resolution also to fund the working capital requirements of the firm? And if yes, like our counterparties are generally the government entities and PSUs, why aren't we using discounting mechanism or receivables? Like our receivables are high, we can get discount through banks and reduce our receivables. Why aren't we employing that, so if you can answer that?

S. Rangarajan: There are two things I'd like to explain. Working capital interest. Okay, that's a statement made.

See, our company, the business model is slightly different from what everybody thinks that we are saying conversion cycle days is 300 days, 300 days may be right, but when you say working on an intensive, we take mostly non-fund limits from bank. So if you take our fund limit for example, at the present time, we probably have only used INR 2 crores to INR 3 crores out of INR 300 crores of non-fund.

So our contracts also comes with advance, stage payment to part delivery, and the final payment based on installation acceptance. Now, so actually speaking, we can manage the working capital without lot of fund based. We can manage it out of advances which gets out of banks, so out of our customers. That is how we have been managing it. So that is how it is presently also. But yes, we need to bring the cash collection days and the inventory days, we need to bring that down.

Inventory days is slightly going up because Today we want to bring it down this year, but we are not going up because of unavailability of components or not even visibility of when the components will come. So we gave a priority to say we need to execute contracts. And so we said we will buy ahead of time in store.

So that is being done. And as you go along coming here, it will start going down because this practice is the last one year. Now slowly the inventory position, available position is more predictable. So we will probably not follow that. As you go along once you get a bit more

comfortable on getting components and you need them that is one. Point number two is the debtor days. So here what happening is yes we can do discounting but we do not necessarily do discounting because we are getting collections, we are cash positive.

Problem here happens is in some of the development contracts the acceptance test though it is done as per contract in our office. When they integrate the system, they take a lot of time to do

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system integration as a radar, as electronic warfare, as flight test. And they typically tend to keep the money with them for a long time without clearing it. That is why the debt -to-debt becomes higher. But we don't have any bad debts. We get zero bad debts in all these years. We never had a bad debt.

Akash Bachhawat: Sir exactly, exactly, because your counterparties are so good, government entities and PSUs. So you can't ...

S. Rangarajan: The product has to work, otherwise there's problem with product. The products work. and this is maintained for last 20 years of operation without a problem. So we don't generally have a problem and as we go along we need to bring it. The more production orders start coming in, the lesser the tender cycles is going to be. So that needs

to happen, but now we know we need

learnt properly. Once we learn it, we know how to play the game. So, but we are comfortable now.

It will be brought down, working capital days will be brought down as we go along. I don't have an issue on funding this at the present moment. We don't expect funding problems as we go along. And whatever we are raising fund is going to be only for little bit portion goes to working capital. It is more to build strategic products for growth, not to address purely working capital. It may be a capex, it may be some test equipment, some infra. Because these are necessary to scale growth. The growth is happening in the next five years. This is the time when we have to have products to position ourselves rather than react to inquiries.

We can't react to inquiries any longer. Those days are gone. The timelines we had to react to inquiries those days do not exist now. Government is now saying, "I want emergency procurement. They'll buy and you'll deliver in 12 months. They want demonstration in 15 days." We can't do this unless we have a product portfolio which can position ourselves. Otherwise we lose the business. We found that the last 3 to 4 months time, a flurry of emergency procurement has happened. All products which we could have given some time, demonstrated, but since the lack of time we could not even participate.

We are saying no, this is not good enough. We need to say address markets as it evolves and this is not a one-off case. It is going to be the order of the day. And it is all number of them going to come to make too where we need to actually position the products and see that demonstration. If we do this early, we become early birds. Then the contracts happened earlier. So looking at how the market has completely metamorphized and changed, we said, we told the board that we need to take some urgent action and see that we position ourselves.

And we need to scale the business to many thousand crores a year. If you want to do that, we need to position ourselves differently and the opportunities are there. And we have the strength and the capability built over many years. We want to back down our capabilities and go to market. This is what we want to do. The fund is exactly not for, we don't have a working capital issue, we are a debt free company now.

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Akash Bachhawat: Just my question in it, sir will you be in a way, will be picking up funds in tranches or have to go at INR 500 crores?

S. Rangarajan: These are things which we need to work out, we'll go to our bankers, will get the lawyers, discuss internally. It's a bit too early to answer the question, but we will do this in a few weeks top.

Akash Bachhawat: Okay. Okay, sir. And the second question, sir. My second question is regarding if I see historically your Q4 has been 52% to 55% of your revenues, so is the Q3 execution a reclassification of better execution, so therefore Q4 will be lesser percentage of revenue as a whole year or your Q4 will still remain 52% to 55% of your revenues?

S. Rangarajan: See, all of us would like to — our business today we are seeing 55%, 60%. Three years, four years back, it was 90%, 85% in Q4. So ours is a year end business all along. Now, we're able to taper that year end to quarterly sale, which is what the market wants, it's what you want and we want — like to do this because capital becomes good. And then, so we all want to do that, with the luxury of an order book and more production orders, they are able to then position ourselves

properly and utilize infrastructure on a normalized basis, which is what all of us would like to do, we are going towards that.

But having said that, our guidance is what we get, we will exceed our guidance on the overall revenue this year. Since we have done well in the last first three quarters, we expect that the begin

ning of the year, we give a guidance of 25% 30% growth, I think on revenue. I think we will much exceed the guidance given. I don't want to get into exact specifics, but we will exceed guidance as we always do that.

Akash Bachhawat: Okay, thank you. Thank you so much. Thank you.

Moderator: Thank you. Due to time constraint, that was the last question. I now hand over the call to the management team for closing comments. Over to you, sir.

S. Rangarajan: Yes, see what I want to tell is this — that our internal estimates, we are exceeding on execution today. We have recruited — scaled our company from 700, 800 people to now more than 1,000 odd people. We also expect to get 100 more people in the coming two, three months. We will be building more competency top to down every area of organizations to build up a people base and employee capability, to address markets, is happening. So that is going to be a key internal decision taken. So we'll build capability, substantive capabilities as we go along.

Second key decision we've taken is to build infrastructure to address growth opportunity, which is happening. Everybody knows that Indian market is opening up the defense for Indian vendors today. It is a substantive opportunity, it is not a small opportunity, a substantive opportunity.

The problem here is that since we never built full products in India, it has always been government-driven all through, it has taken a number of — it's going to be difficult for suddenly somebody to come out into industry and say "Hey, I have product here. I'll then — whatever anyway wants, I'll give the product." It doesn't happen like this.

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So it takes lot of time to build the product, validate it, take in to market, especially in the defense scenario, especially because it's a multi-disciplinary product. So what people are doing is tying up with partners, making work share arrangement and offering the product to the market to the MOD. And now that the last five, six years opened this and gradually making it more and more tougher to direct imports. So this is happening, more Make 1, Make 2s are coming in, they allow you and development to happen during contract.

So that the direction is very clear. Government is very, very clear that this is not going to — this is not business as usual, import and integrate. They have to do this in India and build an industry. Having said so much on this, I think based on the capability, we've built, we're going to back ourselves up and address these opportunities and build an equipment supplier in India. This is not what is the case today.

So we want to differentiate ourselves, build the competencies, build products, address market and go for substantive scale. This is what I'd like to do. This is a game which I want to play. I hope it works out, but we are on the right track. The direction is very clear. We have a board, which fully supports us. And so we're going to give it our best move. So, thank you, thank you for calling and listening in. Thank you very much.

Monali Jain: Thank you, very much.

Venkata Subramanian: Thank you.

Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

SEC/SE/02 2/2023 -24

Date: May 19, 2023

To
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra(E),
Mumbai - 400051
NSE Symbol - DATAPATTNS To
BSE Limited
25th Floor, P .J. Towers,
Dalal Street,
Mumbai - 400001
Company Code: 543 428

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Conference Call

Dear Sir/Madam,

Further to our earlier letter no SEC/SE/013/2023 -24 dated May 12, 2023 intimating the earnings call to be held on Monday, May 15, 2023 for the Audited Financial Statements for the quarter and year ended March 31, 2023, please find enclosed herewith the transcript of the earnings call .

The transcript of the earnings call is also available on website of the Company. You are requested to kindly take the aforesaid on your record.

Thanking You.

For Data Patterns (India) Limited

Prakash Raja
Company Secretary and Compliance Officer
Membership No: A34652

Encl as above

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"Data Patterns India Limited
Q4 FY2023 Earnings Conference Call "

May 15 , 2023

ANALYST : MS. SAMADRITA SAHA – GO INDIA ADVISORS

MANAGEMENT : MR. S RANGARAJAN – CHAIRMAN & MANAGING
DIRECTOR – DATA PATTERNS (INDIA) LIMITED
MS. REKHA MURTHY RANGARAJAN - WHOLE TIME
DIRECTOR - DATA PATTERNS (INDIA) LIMITED
MR. V VENKAT A SUBRAMANIAN – CHIEF FINANCIAL
OFFICER– DATA PATTERNS (INDIA) LIMITED

Page 2 of 18 Moderator: Ladies and gentlemen, good day and welcome to Data Patterns (India) Limited Q4 F Y2023 Earnings Conference Call hosted by Go India Advisors . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Samadrita from Go India Advisors . Thank you and over to you Mam !

Samadrita : Thank you Aman. Good morning everyone and welcome to Data Patterns (India) Limited earnings call to discuss Q4 and FY2023 results . We have on the call with us Mr. S Rangarajan, Chairman and Managing Director, Ms. Rekha Murthy Rangarajan, Who le- time Director, Mr. V Venkat a Subramanian, Chief Financial Officer. I must remind you that the discussion on today's call may include certain forward -looking statements and must be therefore viewed in conjunction with the risks that company may face. A small request to the participants , please restrict your questions to one or two as Mr. S Rangarajan is taking the call from abroad and given his other business commitments , we have to restrict this call to strictly an hour. I will now handover t o Mr. S Rangarajan. Thank you and over to you Sir!

S Rangarajan: Good morning ladies and gentlemen. Thank you for jo ining us today for the FY2023 results call. I assume you had the chance to review the results presentation which was made available on the exchanges and also on our website. Before Venkat proceeds with the financial results , I would like to provide a brief overview of some strategic updates with key highlights for this year. It gives me great pleasure to share that the company has exceeded initially 25 -30% early growth guidance achieving a 46% growth for the year. PAT for the year had a growth of 32% year on year. As explained in the press release , my focus in the last few years has been to smoothen the revenue profile over the quar ters rather than rely on the big four th quarter. Q4 as a percentage of annual revenue has come down from 70% in FY2021 to 41% in FY2023. Predicting what are the revenues and gross margins are

becoming very challenging due to customer inspection timelines and product mix issues. I would like you all to assess the progress of the company on an annual basis. Gross margin of Data Patterns own products will continue to be robust in the region of 65%. These overall gross margins maybe lower than integrating pro ducts for items but this will drive more growth in revenue. Continue d volatility in top line and the growth due to these factors right metric to evaluate the company's PAT growth. I am confident that we will continue to grow PAT at 30% for the next several years. As you know we are in an investment phase and we continue to invest in people, technology, and infrastructure . I do not want to calibrate these investments based on quarterly results . Hold me accountable on annual basis on the key metrics. Having s aid that to give you some visibility on FY2024, we expect
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Page 3 of 18 EBITDA margin to be around 4 0%. FY2023 has been a momentous year for the company on the order booking front with order inflows for the year crossing 900 Crores mark up more than 3X from the last yea r. As of March 31, 2023 the order book stood at 924 Crores up almost 2X as compared to last year. With the inclusion of orders finalized in April and May so far our current order book is in excess of 1000 Crores. In FY2023 we secured several significant co ntract including radar orders valued at 449 Crores from DRDO, Bharat Electronics and Department of Space encompassing both development and production. Electronic warfare development order worth 53 Crores from DRDO, production orders for BrahMos for Rs.40 Crores. I anticipate a significant order booking in FY2024 and most of that will be from Data Patterns own products with single entry tenders. CFO will give you some color on working capital movements , particularly after the March closing. Even based on o ur reported March 31st financials , the cash conversion cycle, net of advances has improved during FY2023 to 275 days from 286 days at the end of FY2022. The whole management team is very focused on the key metric and committed to continuously improving it. Needless to say the robust ROC, and ROE metrics will be our focus in FY2023 excluding impact of QIP funds received in March , the companies ROC has remained strong. We expect our sustainable return metrics to be above 20% as we complete the product dev elopment investments. As you know we've raised equity through QIP, we will take advantage with significant opportunities presented to us and we are thankful that the investor s have entrusted us with 500 Crores. The management team is f ully focused on building the next generation products that will help scale the company in a big way. Proceeds for this new investment will be utilized for development of new products in the

areas of radars, electronic warfare, communications and satellite. Initially these products will be introduced in domestic market and will subsequently be expanded in export market. We anticipate these products to be the significant growth driver in the company over the next three to five years. I will be sharing more details on the progress over time. I will pass the floor to Venkat for his comments.

Venkat a Subramanian : Thank you Sir. Good morning ladies and gentlemen. We are delighted to report an outstanding performance in FY2023. Let me provide an overview of FY2023 financial results. FY2023 revenue witnessed a year on year increase of 46%, development contracts accounted for 41% of Q4 FY2023 revenue compared to 37% in Q4 of FY2022. Production contracts made up approximately 57% and service contracts approximately 2% of Q4 FY2023 revenue. Gross margins for FY2023 were at 62%. PAT for the year increased by 32% to reach 124 Crores driven by a strong growth and revenue. The commissioning of our new infrastructure took place in Q4 FY2023. We have invested

d around 45 Crores in this

new facility. Despite an increase in debtor days, the overall working capital cycle has remained stable due to substantial advance received from the ongoing projects. Even on receivable front April collections have significantly improved, improved the cycle which tends to be higher at the year end. Around 25% of year end receivables have already been

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Page 4 of 18 collected. Receivable days stand at 241 after accounting for funds collected in April and May. Notably a large portion of the receivable as at March ended more than 100 Crores is attributable to the precision approach radar project of which a significant amount has already been collected in April. As of March 31, 2023 the company holds over 650 Crores in cash and cash equivalent. We aim to maintain a robust balance sheet going forward as well without any net debt and aim to gradually improve our working capital days. Overall FY2023 demonstrated impressive performance achieving record revenue, strong profitability and robust balance sheet. We will now proceed with the question and answer session. Thank you.

Moderator : Thank you. We will now begin the question and answer session. The first question is from the line of Jehan Bhadha from Nirmal Bang. Please go ahead.

Jehan Bhadha : Good morning Sir. Sir I have two questions first one is on the raw material side. Q4 raw material cost to sales has been high so what was exactly the reason and for 2024 should we look at the nine month as an indicator or Q4.

S Rangarajan: See as we have always been mentioning the raw material cost to sale price varies with project to project and product to product so that is why we have told this year, last year we were on 38% material cost on sales. This will vary from contract to contract however we have given a guidance that typically we do about 65% in gross margin on overall project and these are all based on the products developed by us or Data Patterns product. We have to buy and integrate then obviously the raw material cost becomes a sales percentage more than selling price but I think it will give guidance around 65% on an overall year rather than quarter to quarter because what we deliver each quarter varies with the kind of products.

Jehan Bhadha : Right fine Sir. Okay and Sir second question if I look at the presentation, the order book mix has shifted in favor of development contract from last year 25%, this year it is at 64% mix so will that impact the margin going forward.

S Rangarajan: Okay see margins are not really determined by development or production. Margins, it depends on kind of development contracts we get. If it is more on Data Patterns product without integration then the margin remains the same but in case integration happens then the margins comes down so it really do not do anything with development or production. What really happens in development is the overhead in terms of development cost and development expenses over and top of the component cost, the material cost, in production it will be repeat of the earlier delivered developed contracts. Our overhead allocation in terms of product manufacturing will be there and development cost is not there as we tend to write off development cost as part of revenue expenses of that year, so this is typically what happens. Now given more clarity we can see we are engineer driven company. We

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Page 5 of 18 have more than 500 odd engineers working with us. We tend to build that engineering capabilities to build more products so one way of looking at it is more the development contracts more the future production contract possibility which will scale the business to a healthy mix of development and production which is good. Last year we got a lot of tender contracts on DRDO and development contracts has come but these are all

I very strategic

contracts. We expect that these contracts will scale the business.

Moderator : Thank you. The next question is from the line of Akshay Kothari from Envision Capital.

Please go ahead.

Akshay Kothari : Yes thanks for the opportunity and congratulations on a good top line growth. Sir you have mentioned that you are going to increase the head count of engineers by 100 more so how do we plan to maintain that 40% EBITDA margin range because we missed it this time as well.

S Rangarajan: It will be at multiple projects of the company because the market size is very large so in order to scale the company you must build products because you cannot say I will have a few products. See we are not business model where same product gets procured multiple times. We have many, many program and projects. We need to address the products. India is traditionally used to importing, major parts for our defense. Our idea is to try to build those products which are being imported simply this can be ordered in India and we do that with India technology then EBITDA and gross margins and the bottom lines what we are looking at will get maintained so increase in head count per se and revenue the same then the EBITDA goes down but the revenue also goes up. I do not think we have a problem. Matter of fact it is very important that we increase capability and competence to build more products and sale of revenue and anyway we have given guidance of 40% this year based on contracts and what we expect to deliver this year.

Akshay Kothari : Thanks a lot and all the best.

Moderator : Thank you. The next question is from the line of Aditya Makharia from HDFC Securities.

Please go ahead.

Aditya Makharia : Just wanted a sense on the competitive landscape so is there any way you can define your market share maybe if not exact numbers. Sir what is your share of business for that particular ...

S Rangarajan: I understood Aditya's question. Let me answer if that is the question on competitive landscape and market share. See the size of business is very, very large and the business we are addressing is much, much smaller giving enormous scope of growth. Having said that you can look at competitive landscape and the entire products are actually imported, very Data Patterns India Limited

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Page 6 of 18 few things are being done here. On the product end landscape, the competitive landscape will be foreigners. We are trying to address that market and trying to enhance our products into this but if you look at what we deliver on Indian contract with Indian competition we are very well placed in areas of radar, in the areas of electronic warfare, so these are the areas where the company has the competency so on a technical competency we are far, far higher than us but we cannot talk about market share per se because that varies contract to contract. It varies depending on individual capabilities. A lot of people tie up with foreign companies to make that product available here. We typically tend to develop products here and that is why the EBITDA or the gross margin is higher so the idea is to try to enhance our market by building more products which is what we are trying to do and these products have been developed under development contracts it will repeat business to scale the business. We have also done QIP 500 Crores of money we got in is essentially going to be into product development into various areas where we will try to bring in leadership in this areas which can scale the company multi fold.

Aditya Makharia ; Okay got it. Thank you.

Moderator : Thank you. The next question is from the line of Jonas Bhutta from Birla Mutual Fund.

Please go ahead.

Jonas Bhutta : Sir just two questions. Firstly can you talk about the two orders that we got from DRDO worth about 130 odd Crores, one on the radar the 83 Crores and EW 53 Crores what are the projects and

whether we are the lead here or after this level one project this will ultimately go one of the PSU where we will again sub component if you can talk about that first.

S Rangarajan: Your voice was not very clear but I am assuming this is the question. You want us to talk about two orders from DRDO, one on radar and other in EW am I correct. See this is a couple of contracts we received from DRDO this is for requirement for upgradation of radars and electronic warfare system for naval application. We expect to deliver this contract by this year and requirements are more than 20 to 30 aircrafts to be upgraded. If this is successful navy should place an order on HAL for further upgrades so this is an important order for us which will give us revenue capabilities in next two to three years and already we are on the job so we should be able to finish this contract on time and it is equal to any international product in this range.

Jonas Bhutta : Sir sorry I missed on the opening remarks so can you give a guidance on what kind of order inflow you expect for FY2024 because I assume that him Shakti order couple of Arudhra sort of flow in so what are the total order that you are expecting for FY2024.

Page 7 of 18 S Rangarajan: I did not mention a particular number expect that we expect sizeable order inflows this year because we do not talk about the specific contract. You are aware about him Shakti and all the orders which we talked last year. Bharat Electronics has revealed the orders back to back, enquiry have to flow in and we should be able to get those contracts which makes the order book is sizeable like last year. This year also we expect that there will be more than 600 to 700 Crores contracts. We are not very sure exactly what time the contracts will come but one difference between last year and this year is we expect a number of Data Patterns product as against integration contracts last year this will also help, mostly Data Patterns products. On top of it we are also participating in tenders and if we are successful hopefully we will have a repeat year like last year on terms of contract but I think if you have to approach this it should be 700 Crores on Data Patterns product.

Jonas Bhutta : Understood and Sir the last question was around net working capital if Venkat can give us the latest numbers on the margin money because I think about Rs.16 Crores or Rs.20 Crores odd was sitting at part of other current assets last year what is the number for the current year as in FY2023 what is number of the margin money and we see that the advances have gone up as we receive orders so what is the rupees Crores value of advances sitting in our balance sheet today?

Venkata Subramanian: See margin money as on date with the banks is around Rs.83 Crores, Rs.80 odd Crores in March. This is actually basically for the bank guarantee limits that we enjoy and a couple of LCs that we had to open and this is expected to come down a bit because some of the margin money kept in March is with 100% cash margins. Some of the guarantees have been taken with 100% cash margins. Those will get accommodated in the enhanced limits that we have already requested and it is in the process. Once that is done then 100% will be removed and only the margin requirement for the bank will be there and as regards to advance, we have more than about Rs.170 Crores of advance sitting in the balance sheet which includes advance received from couple of development contracts in the last year.

Jonas Bhutta : Understood and what is the value of unexecuted order book of these developmental projects that we won last year about Rs.400 odd Crores that we won in the two radar projects so what is the unexecuted part?

Venkata Subramanian: What is that, your voice is breaking.

Jonas Bhutta : What is the unexecuted part of the two developmental pro

jects that we won earlier this year
the DRDO radar orders?

Venkata Subramanian: The two DRDO radar orders have not been delivered at all. It is for FY2025 only.

Page 8 of 18 Moderator: Thank you. The next question is from the line of Dipen Vakil from Incred Equities. Please go ahead.

Dipen Vakil: Thank you for the opportunity Sir. I just wanted to understand a little bit more on the order book side so can you help me with the execution schedule as to how we plan to execute on that Rs.1000 Crores orders that we have currently? I think one to one a half year or two years as to how do we factor in?

S Rangarajan: I think about 50% of the orders on hand will get executed this year this FY2023-FY2024. The other 50% will get executed next year bringing another Rs.30 Crores to Rs.40 Crores most of it will get executed in FY2025.

Dipen Vakil: Okay that is helpful and like any competitive scenario going ahead as to what major orders can we expect in FY2024 for us to win?

S Rangarajan: We are expecting a sizable order intake in FY2024 due to a number of contracts on the earlier delivered products. Those are all back to back contracts have happened with the public sector BEL and HAL so we back to back expect those contracts to happen probably in the next two to three quarters we expect the contracts to come in and most of them will be executed next year or year after next. A little portion of the contracts we are getting may be executed this year itself, but we do expect a sizeable order intake this year.

Dipen Vakil: Okay and those are my questions. Thank you so much Sir.

Moderator: Thank you. The next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.

Aman Vij: Good morning Sir. My first question is so you had bid for radar for active protection system a few months back so if you can talk about what is the addressable market size of that product and also when the results expected of the tender?

S Rangarajan: I am not getting which is the active protection system you are talking about what we received.

Aman Vij: Radar for active protection system for MDT?

S Rangarajan: For M DT.
Aman Vij: Yes tanks and all those?
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Page 9 of 18 S Rangarajan: No we have not got any order for radars for that protection system. We have got an automatic weapon loader. That is the contract we got which will get executed next year. I am not really aware of how contracts will increase the numbers as we go along. We do not have clear idea of development orders where it will go with the production and when it will happen so that is why we do not project all this properly . We project or take projections only of contracts which we are very clear which is going to happen give or take a few months or a year or so but these are in developmental stage. We just reviewed the orders in this last quarter so that is what on radar actually. It is more of electromechanical system.

Aman Vij: Sorry the question was we had bid for that program right the development for radar of active protection systems so is this tender out and we have not won? The tender is not out?

S Rangarajan: We keep quoting many tenders. That is why tender business we do not project at all to market because there is a 0-1 possibility there is a win or a loss so when we talk about the next year projection or order intake I never talk about tenders. Tenders if it happens are plus otherwise we do not need to worry about it. We are more worried about our own products . Tender and all of this is not predictable like radar, we cannot really predict the development timeframe and the repeat requirements these are not predictable that is why those kind of contracts is not very predictable.

Moderator: Thank you . The next question is from the line of Harshit Kapadia from Elara

Capital. Please go ahead.

Harshit Kapadia: Thanks for the opportunity Sir and congrats for a very good FY2023 you had getting all the estimates here . A few questions from my side. Now at the start of the call you mentioned your developmental order share evolves higher as far as revenue is concerned? Is it related to what product segment within developmental orders where we have seen a higher material cost for this quarter?

S Rangarajan: We have participated in a couple of contracts from DRDO unlike our product which we normally quote, it is a competitive bids. We call it a competitive bid again this developmental bids government contracts hoping that we will get additional contracts. We will win on the radar and those have a more material cost than the overall selling price. If that is what you are asking. I did not clearly understand your question. If that is the question there are a couple of radar subsystems which we develop so that is one may you are referring to the one major order and last year order book again developmental contracts and we have large developments contracts in Crores from DRDO on competitive bids so these are two areas where we have bid competitively. I hope I answered your question.

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Page 10 of 18 Harshit Kapadia: Yes Sir. You had recently launched a check out missile system for BrahMos would you be able to share this is an additional product which you have developed so what will be size in the overall BrahMos missile if you get an order what will be the enhanced value for you if you can share something and is it used for all the three armed forces or is it only for Air Force and Army who will get the orders and Navy is not part of the profile if you share some insight on that?

S Rangarajan: This equipment is used by all services Navy, Army and Air Force. We developed it way back more than a decade back six or seven or eight years , I do not know the exact date we developed and subsequent to that Army, Navy and Air Force have been buying this along with further missiles. If they buy more missiles they also have the four level test systems they also buy that. Back to back we get the contracts so we got some contracts. We are executing this year. This year also some have been executed. We are expecting more contracts for the naval order and you will find this on BrahMos so back to back we should get some contracts this year or probably early next year. These are projects so it varies with the project size whenever it comes so it all adds to Rs.30 Crores, Rs.40 Crores and Rs.50 Crores kind of business once in two years we will get.

Harshit Kapadia: Lastly related to BrahMos you were developing a seeker for the BrahMos missile then I think it was under final testing any update on that, have we received that clearances or they are still in the testing mode that will be helpful?

S Rangarajan: We have done some air trials while the missile trial is supposed to be done probably in another two to three months. Once we finish it we will tell you.

Harshit Kapadia: Fair enough Sir and all the best for the future. Thank you.

Moderator: Thank you . The next question is from the line of Vignesh Iyer from Sequent Investment. Please go ahead .

Vignesh Iyer: Congratulations Sir on a strong performance for FY2023. I just want to understand usually Q4 for us is a very strong quarter in terms of revenue booking and with that comes the operating leverage kicking in for the company and that has been consistent for the last two Q4 as in 2021 and 2022 so I just want to understand on the margin profile side why are we seeing a lower margin compared to earlier Q4 and mainly because of like employee benefits and other expense I just wanted to understand is there any one-off on the expense side for this quarter?

S Rangarajan: The first part let me answer. The second part may be Venkat can answer

. Traditionally this

company has been in developing mode with DRDO and Department of Space. We develop the product for the year and try to deliver before March because there is also March fund

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Page 11 of 18 release, etc., in the customer side so almost all the products are developed and we take eight years back or 10 years back on all that we will find very high 80% to 85% will be in the last quarter that is how the revenue was and we have been thinking about how to even out the cash flows if necessary or not take it everything to last quarter and as we went public this is one of the very important things we set ourselves because before going to IPO we started getting visibility year and year and two year visibility and then we wanted to scale the business so one important aspect to even out the cash flows to ensure that the last quarter is not really the major quarter though it will be still higher it should not be so high 70% or 83% so we have successfully brought the quarter-on-quarter and brought the last quarter from 70% to 46-47%. This year also we expect to bring the last quarter turnover to below that so that the cash flow is evened out so this is the right thing to do and we are doing this. It is a very difficult government business. We are trying to see how do we make the quarter's performance better. Next part on the margin profile I did not understand the question Venkat if you understand can you answer this question.

Venkata Subramanian: Actually Q4 we have had one specific because we have announced salary increment for all our employees effective from November 2022 plus towards the year end when we do an actual evaluation for gratuity and leave encashment provision and other things because last year we had a lesser attrition and lesser attrition will lead to higher provisioning for gratuity and other things so these things have contributed some substantial increase in our employee cost quarter-on-quarter basis, this is the main reason for reduction in Q4 margin. Yes of course on the gross margin level also for Q4 since a couple of contracts were the material cost was higher than our normal material cost level the gross margin was less and additionally the employee cost has contributed to the reduction in the EBITDA margin.

Moderator: Thank you. The next question is from the line of Ravi Naredi from Naredi Investment.

Please go ahead.

Ravi Naredi: Thank you very much to give me opportunity. Sir you mentioned large order value tenders with the Ministry of Defence under first and second category can you tell what is the value of tenders?

S Rangarajan: It is a few hundred Crores to a few thousand Crores and MK-I of course value would be lesser. Initially start with the value of the contracts will be lesser but we feel getting to a large requirement. Once we do a MK-1 or a MK-2 the development contract's size may be Rs.20 Crores to Rs.30 Crores or Rs.100 Crores or Rs.200 Crores but the requirement why this is done as MK-1 and MK-2 because the requirement is very large and it is best that we do it in India so missile contracts this is called MoD missile contracts these are contracts which are like buy more development contracts that is what MK-1 and MK-2 has so entering into these contracts is successful and there is no hold on many large contracts.

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Page 12 of 18 Moderator: Thank you. The next question is from Garvit Goyal from Invest Research. Please go ahead.

Garvit Goyal: Good morning Sir. Sir despite showing a tremendous earnings growth our operating cash flow turned negative this time due to rise in trade receivables my question is at one place we have included a slide in our presentation mentioning about well managed working capital then why this thing is not getting reflected in our cash flow and how will we manage our cash flow

ws going forward as the earnings growth without cash flows is a matter of concern for sure?

Venkata Subramanian: Our operating cash flow is negative because substantial increase in the current assets this year at the end of March. At the opening remark I have made a specific mention about reduction in our receivable days post collection happened in April and May. We have got substantial collections of more than 25% as March receivable in April. One contract

contributed to more than Rs.100 odd Crores of receivable actually that got delayed and we have got substantial portion of that in April so netting off that if you see the operating cash flow would have been in plus only.

S Rangarajan: Going ahead I think this is an aberration to this year because the amendment for the contract which we wanted has been a lot of time because the company is going from private limited to public limited company and the contract that will get amended. The amendment is taking a lot of time so the execution is happening. The contract amendment could not happen because it has to go to the Defence Ministry and above so that is taking a lot of time and because of which the cash flow collection cycle became bad but that is rectified now and we are going ahead so it is an aberration I do not think that should be considered and going ahead I think our cash flow cycles will be far, far better and as we were saying in the opening remarks also we are aware of this and every effort will be put to see that it is brought down and the number of debtor days is substantially brought down going ahead.

Moderator: Thank you. The next question is from the line of Harsh Bhatia from Bandhan MF. Please go ahead.

Harsh Bhatia: Thanks. Good morning. Just one question from my side. Sir we have spoken about Arudhra and Ashwini radar opportunities overall from a two-to-three-year perspective any particular sense on the radars for Uttam radars for MK-1 and MK-2, SU-30 and AMCA like are we looking at that opportunity as a segment because from what we can understand is that you are one of the few players who can manufacture these radars so anything you are looking at from that perspective and what is the competitive landscape for that particular project or segment? Thanks.

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Page 13 of 18 S Rangarajan: We are looking at development of MK-1 and MK-2 radar opportunities and EW opportunities. We are very effectively participating on that and also on this radar upgrade we would like to participate so for all of them we need to develop products to address the actual requirements is the reason why we have taken the QIP to see that we address the large opportunities coming to us as a product completely designed by us rather than why essential parts or IP from foreign vendors are integrated in India. We would like to make the IP here that is the reason why we took the money and we are very aware of the opportunity so we are trying to address these opportunities specifically. I cannot give you exact size of business, etc., now because we would not predict the outcome, we can only try and say what is the competitive landscape and how we would be able to address the landscape with Indian products. We are doing that. I think this is the only way to go to scale the company to multifold. Unless you look at more of the opportunities and become needful to international vendor, compete with them and build the products, that is the only way to scale this business, so that is the reason we have taken the money.

Moderator: Thank you. The next question is from the line of Manan Poladia from MKP Securities. Please go ahead.

Manan Poladia: My question was we are seeing the developmental order's order book go up what I want to understand is executing developmental order what we would be the timeframe to execute them and by what time you have the production orders?

S Rangarajan: I cannot talk about timeframe this is too early and this varies. The time for the development contracts will be less than year or can be two to three years this kind of scale depending on the size of contract and complexity with the contracts. The repeat timeframe is not very predictable that is why we do not predict repeat timeframe when it will happen, it just gives you a potential business but that is depending on so many other aspects of that particular contract. So we expect the next few years the repeat business will happen, but that is why we are looking at how to get the business, what product is predictable and that is what and we are really doing today, how to scale the growth and the revenue product but around one to three years is the development timeframe.

Moderator: Thank you. The next question is from the line of Abhishek Agarwal from Naredi Investments. Please go ahead.

Abhishek Agarwal: Good morning Sir. Thank you for giving me opportunity. Sir my question you are targeting two orders for Rs.2000 Crores to Rs.3000 Crores is it on track and any big order likely in current year and how much order are you expecting in FY2024?

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Page 14 of 18 S Rangarajan: I did not get the question you said Rs.2000 Crores to Rs.3000 Crores you want to know what is the order expected intake in FY2023 right?

Abhishek Agarwal: Yes.

S Rangarajan: I think it is upwards of Rs.700 Crores exact number I am not able to tell you, but looking at

a large portion of this year the order intake will be Data Patterns products on whatever we have delivered earlier, but these contracts back -to-back has come to public sector, we expect back -to-back business from all of them I told you what I am thinking, that we go along the data will be more clearer in the first two quarters. We are also participating in number of tenders, that order intake will be higher than last year, we are working on it. Moderator : Thank you. The next question is from Gagan Thareja from ASK Investment . Please go ahead.

Gagan Thareja : Good morning. Sir two questions from my side. One is on the work that you intend to do on the satellite side, I think you indicated that is a sizeable addition to your opportunities going ahead, so if you could give us your view of what could be the contribution from the satellite market for your revenues and profits from three to five years timeframe and the second is has the Board finalized any succession plan?

S Rangarajan: Yes we are putting lot of investments on the satellite. We have launched our own satellites with all nano satellites fully designed by us, launched and working successfully. These satellites are built with taking other satellites in mind so we built everything redundant so we have no failure and everything including ground station, all the software and hardware has been designed by us. We are trying to make serious class satellites of 120 to 200 kg plus lower orbit satellites now including payload to both for optical imaging as well as radar imaging, we are developing products ourselves and quickly we will be starting the design, which is being already used, we expect that through this we should get some development contracts as we start the development cycle itself. We expect that something will happen, but we cannot say that clearly now, but we are on the job and these will be world class satellites completely meeting our defence requirements, we have all these specifications that have been required, we are trying to meet all those specifications. So once this is developed, not only India where multiple numbers of these satellites were required for surveillance purposes but these are required across the world, so as we are building world class satellites we expect that a few satellites were launched in India the same can be available outside so able to help in one of the products we

want to help Data Patterns scale, this has been one of those products, but exactly the size of revenue and business at this present time I am not able to tell you, but what we can tell you is the size is very large, and India has a competitive model and we in Data Patterns has all the knowledge to build this and worked Data Patterns India Limited
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Page 15 of 18 on eight years on development of satellite and all parts of it. We are trying to see what we can do to all the satellites, then we look at the business model but in the mean time we will start marketing this product also. As far as Board's succession plan yes that is on the card so that is being discussed in every Board meeting. Last year Vijay has been inducted into Board as the COO of the company and he has more than 20 odd years, we have inducted him into the Board that he can also understand Board operations of the company. Also we are trying to build to top management structure, we are trying to recruit people from outside, and lot of activity to see that automation build is happening and the Board and all of us are working and would like to see how we can strengthen the automation moving ahead because the opportunities in front of us has been very, very, very huge, so we are understanding seizing opportunities.

Gagan Thareja : Sir I think over a period of time you indicated that the share of integrated projects will innovatively rise as you intend to go after larger scale projects, that being the case what should one think of as sustainable in terms of margins and working capital for you, if one sort of presumes that is the direction in which the quality of revenue will move?

S Rangarajan: Just because we say we are scaling it does not have to luckily come order integrated projects. We can build the radars and the radar can go into aircrafts and the aircraft radars can be 20 to 30 radars every year if you keep radars doing at now that also can scale . The quantities can come from the same avionics or electronic systems we design that is also scale. The satellite market can scale but may not be as large some are borrowed there, but those two scaling it has to be only integrated programs. What I did mention is in the event of the international products covered with care , there is margins, obviously gross margins will be lesser, so that is what we mention, it is not that scaling will happen only with integrated projects I do not think that is necessarily true. Yes in certain MoD tenders trucks that we brought together to integrate we need to buy the trucks, the UPS, generators, and lot of other things in the bottom, so we need to take this together but it is very difficult to predict what will the margin be in this contract and based on which the revenue for three years from now will be this unless the contracts are already on hand, they will be bidding for contracts, developing again those contracts so we would not be able to give you exact number on the margin. What is important is what I said in the opening remark with respect to the margin what we are worried about is the bottomline grow, the PAT grow. We are

confident that we will scale more than 30% year -on-year in the coming years to go and we look at contracts which help us to see that the PAT margins are maintained . Once we do this answering second question was working capital. When the PAT margins are discharged I am sure we will do the organized working capital and there is also an element of advance which the customer give s in all these contracts , so we should be able to actually carry out what we have, the problem as w hat we see as we go along now. I do not see any problem in the foreseeable future working on issues for the company because we are generating lot of Data Patterns India Limited
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Page 16 of 18 cash so we w ould be able to handle that without a problem. I can answer this question

more

once the contracts come in on particular time then we will be able to answer this question properly.

Gagan Thareja : Thank you. Any kind of a chip availability a bit of an i ssue because I think some of your peers in the public sector have pointed out that it is constraint where their ability to execute on schedule and specifically in the missile projects?

S Rangarajan: We had a problem in the last one -and-a-half to two years, there is lot of problem s because predictability of the component, we place the order after seven months or six months or four months components are supposed to hit our stock and at that last moment it will get postponed, we get issues like this. To compen sate and address the market what we have done two things is order ahead because of panic in the market, so stock holding has gone up because of this particular phenomenon. You see that our stock holding substantially gone up in the last one year to see tha t we hold stock and deliver, and not a problem on non - delivery, so we have handled that posi tively. Second thing one of the components i n power supplies where their predictable delivery model w as not there, we redesigned those portions as there was a shift in delivery and we compensate quarterly revenue with some of the products which has been delivered at that time to manage the quarterly revenue. So we have come across all of these problems. Today I think we have a fairly good hold on the component. At th e present moment we do not have great challenges which we have faced one-and-a-half years back. So I think it is tapering down, but we are taking other decisions to stock and sell and also redesign, we are going ahead. The problem is not so imminent or looking large now.

Moderator : Thank you. Mr. Thareja we request you to join the queue for any followup. The next question is from the line of Vivek Gautam from GS Investments . Please go ahead.

Vivek Gautam : Just wanted to know Sir is the c hange in Ministry of Defense DRDO for real because earlier like the typical PSU the CMD used to change every two years and work culture were lacking due to the job securities of the employees and the time bound promotion and second thing was about the political risk in the election year if the regime changes what steps are we taking to be prepared for it in case?

S Rangarajan: DRDO MoD changes I am not very particular with , they were not recruiting people in t he last two years , but looking at the risk profile we are looking at what is the risk we are addressing risk profile strategies. The second major point you talked about is the change in political scenario. In case a change in regime happens what reall y happens is our market will affect. I think whatever direction this government has put India in on the defence on Make in India kind of program this cannot be changed even if there will be a regime

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Page 17 of 18 change. What has been done is the right thing, the depend ency on foreigners is very, very high and this policy cannot be changed overnight so it is going to take lot of time any change happens in government's ruling, so change in other ways also will happen slowly, so we are not really unduly worried about chang e in regime bring change in business practices or opportunities in India.

Moderator : Thank you. The next question is from the line of Rikesh Parikh from Rockstud Capital LLP. Please go ahead.

Rikesh Parikh : Thank you for the opportunity. Sir my question re lating to the order book we have a large portfolio from the development contract, so based on our past experience how much percentage of development contract converts into production and also are the margin any difference between the development and the pr oduction contract?

S Rangarajan: It is very difficult to predict the conversion ratio from development to production. We found in the

last 15 years we were not able to predict it very well and it used to be ups and downs from these contracts, so we are use d to this kind of rollercoaster kind of ride which is being said, so what we did we took certain strategic decisions from where we participate

and what kind of contracts we participate. We are not really participating in component level PCB level systems now where you know continuous change happens in these kind of contract because new components come in the market two years down the line what we designed it so these kind of things which gives you very, very poor visibility and control over the products we are no longer participating in. We participate in contracts where a substantial sum of the percentage of the contract is designed in-house, this is where we bring in the competencies and the competitive advantage which you have since everything is designed by us, integrate the systems bring in value add here, we become competitive in terms of pricing and also in terms of timeframe we can deliver far ahead because everything is designed in-house and make the building blocks, so this is a strategic decision we took and that is paying off properly. In this we are taking the only development of main contract which has high probability of conversion into production contract can happen, but still I can only talk about high probability from knowing the customer and knowing the products we try to see what we can do and exact say when the development contract, what percentage will become production something which is not a very clear sight as of now. As far as the second question is the development contract margins are higher the production contract margin become lesser that is not necessarily true. During development contracts the gross margins whatever we have and we absorb the development cost, so probably we make lesser money because we try and develop the products, the manpower, overhead cost, the prototyping cost, fixed cost, all these costs are all incurred during development stage, but what we do is we expense the development cost as part of the development revenue itself so in that year itself we expense out and don't create overheads. The production cost happens

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Page 18 of 18 then those additional costs which we incur and not repeated, so the gross margin remains same, until and unless otherwise volumes are large and different negotiations has to happen and the requirements have changed, but normally I would say that the gross margin remained same. Then as the year goes ahead we also compensate for foreign exchange rate change etc., our overhead change, increase, all these also compensated and priced accordingly. It is always good to have a ratio of development and production in the business which we have.

Moderator : Thank you. Ladies and gentlemen due to time constraint that would be our last question for today. I would now like to hand the conference over to Mr. Rangarajan for closing remarks.

Thank you and over to you Sir!

S Rangarajan : Thank you very much for participating in this call. I can only say that we are very excited about the future. The size of business is extremely large. We have built a company with a whole lot of product competencies and capabilities. We have very high share of engineering graduates in our company. We expect to build IP and competencies going ahead. We have taken 500 Crores of QIP money to see that we build products which can scale the company multifold as we are going ahead. We have a sizeable order book, we have a sizeable visibility of orders going ahead from here, so I can see we are in the right path and we can build substantial kind of business here and the opportunities are very, very large and Made in India is going to stay and unlike others who are trying to build in collaborative Make in India we are trying to address the opportunity

es by building products in India which will

give us a better bottomline, better EBITDA and much product scalability going ahead, so any further questions you also write to us and we will answer those questions through Go India, so we will be able to answer all the questions. Thank you for taking this call. Thank you very much.

Moderator : Thank you very much. Ladies and gentlemen on behalf of Go India Advisors that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Aug 2023

SEC/SE/0 51/2023 -24
Date: August 17 , 2023

To
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra(E),
Mumbai - 400051
NSE Symbol - DATAPATTNS To
BSE Limited
25th Floor, P .J. Towers,
Dalal Street,
Mumbai - 400001
Company Cod e: 543428

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Conference Call

Dear Sir/Madam,

Further to our earlier letter no. SEC/SE/037 /2023 -24 dated August 04, 2023 intimating the schedule of earnings conference call on the financial results for the quarter ended June 30, 2023 , please find enclosed herewith the transcript of the earnings conference call held on Wednesday , August 09, 2023.

The transcript of the earnings call is also available on website of the Company.

We request you to take the above on record and oblige.

Thanking You.

For Data Patterns (India) Limited

Prakash Raja
Company Secretary and Compliance Officer
Membership No: A34652

Encl as above

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Q1 FY '24 Earnings Conference Call "
August 09, 2023

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Moderator: Ladies and gentlemen, good day and welcome to Data Patterns Q1 FY24 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms Shrida from Go India Advisors. Please go ahead ma'am.

Shrida: Thank you Seema. Good afternoon everyone and welcome to Data Patterns India Limited Earnings Call to discuss Q1 FY 2024 results. We have on the call with us Mr. S. Rangarajan, Chairman and Managing Director, Ms. Rekha Murthy Rangarajan, Whole Time Director, Mr. V. Venkata Subramanian, Chief Financial Officer. I must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risks that company may face. A small request to the participants, please restrict your questions to one or two as we have strictly one hour to complete the call. I will now hand over to Mr. S. Rangarajan. Thank you and over to you, sir.

S. Rangarajan: Thank you. Good afternoon, ladies and gentlemen, and thank you for joining us today for the Q1 FY24 results call. I hope you had the chance to go through the earnings presentation, which is available on both the stock exchanges and on our website. Before my CFO Venkat takes us through the financial results, I would like to give you a quick rundown of some of the important updates and key highlights for this quarter. I'm pleased to announce another quarter of profitability, contributing to our company's sustained growth.

Through our QIP, we successfully raised approximately INR500 crores for product development in areas such as radar, electronic warfare, and satellite technologies. This strategic focus on innovation positions has substantial revenue expansion across domestic and international markets in the coming years. Our order book during Q1 FY24 demonstrated remarkable growth of 113% year-on-year, reaching 96.71 crores the order inflow sold to rupees 132 crores representing noteworthy 2.9x year on year increase. In Q1 FY 24, we secured several significant orders, about 357 million for radars and electronic warfare about 362 million from DRDO. Going to the financial overview, our revenue from operations surged by an impressive 31% year on year. Gross margin remained robust at 62% and EBITDA exhibited a commendable growth of 31% year on year. Defence sector in India continues to be a significant focus for government. The current union budget has allotted INR5.94 lakh crores to bolster the defence sector, signalling a notable 30 percent year-on-year increase. Further, the Ministry of Défense has set an ambitious target of achieving turnover of INR1.75 lakh crores within the aerospace and defence manufacturing sectors by 2025, which includes export targets of around 35,000 crores. In support of the domestic defence industry, the government is actively fostering an environment of transparency, predictability, and improved ease of doing business through the establishment of a robust ecosystem and support to policy measures. Keeping the sectoral tailwinds in mind, we outlined our strategic priorities over the next two years. Capitalizing on promising opportunities in radar, electronic warfare, and satellite markets. Data expansion into export markets is actively pursuing various prospects in collaboration with domestic competitors, active Data Patterns (India) Ltd
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participation in contracts for over 20 to 30 billion over the next three, four years, constant efforts aiming at

achieving top lines over the 20 to 30 percent, and a sustainable high margin between 35 to 40 percent. At this point, I'll pass the floor to Venkat for his comments.

Venkata Subramanian: Thank you, sir. Good afternoon, ladies and gentlemen. We are delighted to report outstanding performance in Q1 FY24. Let me provide an overview of financial results, which are as follows.

Q1 24, revenue demonstrated a robust year-on-year surge of 31% and stood at 89.69 crores.

Development contracts contributed to 39% of the revenue and production contracts to 54%.

Showcasing our diverse revenue streams. Additionally, service contracts accounted for approximately 7% of the Q1 revenue, emphasizing our comprehensive earnings.

We successfully maintained gross margins at a healthy 62% in line with our guidance. The profit before tax stood at 348 million, up by about 80%. Our profit after tax recorded a remarkable

82% increase, reaching to 258.6 million. Our prudent financial management practices have led to a debt -free balance sheet, highlighting our commitment to financial sustainability. We continue to target a working capital cycle of approximately 294 days on TTM basis, ensuring operational efficiency.

As of June 30, 2023, the company holds over 364 million in cash and equivalents, underlining our financial stability and liquidity position. Overall, we delivered a strong performance in Q1 and have set a positive momentum for the year ahead. With this, we will now proceed to the question and answer session. Thank you.

Moderator: Thank you very much, sir. Thank you. We take the first question from the line of Umesh Raut from Phillip Capital. Please go ahead, sir.

Umesh Raut: Good afternoon, sir. Congratulations for the good set of numbers. My first question pertains to your remark regarding large value tenders with MOD under MEC1, MEC2 categories, which are under process and that you are targeting to kind of explore. So could you please highlight or share some details about those tenders, which are these programs, and how soon we can realize these opportunities?

Management: See, MEC1, MEC2, tenders quite a few are in publication. We are addressing a number of them which are relevant to us in our point of business like, radars, communications, some in EW, some in satellites. So we're trying to address those questions that are quite a lot of them. And in all of them, what happens is that once you participate in them, you need to actually build a product, demonstrate the product, go through the evaluation criteria, and then the tender processing starts after that.

So it's a slightly longer duration. So this is why we can't, at this present moment, I can't disclose the number of contracts we're really addressing because there are no value propositions in the contract at the present moment. We have to showcase product, build the product, go through the process.

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But these will lead to large businesses if you win such contracts and the product works. The differentiation, what we want to do is, we're trying to largely look at these kind of MEC1, MEC2 programs, where a lot of the development work is done in-house in Data Patterns. If we do that, there is a likelihood that our cost model is lower and maybe our price is more attractive and competitive. So that is what we are aiming.

The second part of what we are doing is, since we have done a lot of work with DRDO and most have been designed as building blocks, you try to reuse the building blocks to address the development requirements. This has two effects. One is the development cost is spread around. We're not really redoing the development so our access to this MEC1, MEC2 a cost model becomes lower.

Point two, the time to develop also is reduced because we're reusing some of the products developed. Point three, the quality also is better because it's been

in time tested. So this is the kind

of approach we're taking with largely Indian or in-house developed products to address these markets. As and when something fructifies to a reasonable level where we can put a number to these contracts, I will be able to disclose them to you.

Umesh Raut: Understood, sir. So my same, I mean question on the same thing is what could be the competition for us in these tenders and basically if I talk about in-house R&D spending that you are planning to do then what it could be? And at the same, are you exploring any foreign tie-up or technology transfers and how these things can kind of form of some of your site going forward?

Management: See, competition essentially is from Indian large companies and some are focused in a smaller presence of startups and largely larger organizations. Most of them have tie-ups with some foreign OEMs, because we need to have products to demonstrate here. Of course, MEC1, MEC2 talks about a lot more value-addition in India but there is some portions can get imported or transfer technology can happen.

So competition is there. It is varied. It's not that all of them compete in all programs or products, but there will be competition. The differentiators, again, as I said, is we try and do more in India to be more competitive. As regards to the second part of your question, do you try to build only yourself and also look at tie-ups of foreigners? Sometimes we would do tie-ups with foreigners because if there are allied or different technologies involved and it doesn't make sense to develop the technology within a short time frame and involves too much development expense, which may not be practical or highly high risk, then we would see that if we can tie-up strategically with some organizations who have the products, so then we could try and do that.

We are thinking on some similar lines in some programs, but in most of the programs we're trying to go alone. So that is where it is. I know it's a very early stage in all MEC1, MEC2 programs. None of them have really been concluded and come into real demonstration stages

yet. So I think we need to wait another year or so before we get more data on all this.

Umesh Raut: Understood, sir. My second question is more of on the larger platform or programs like AMCA or IMRH, where currently ADA is doing more of development at a national stage, but they are
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kind of now open to have more -and-more participation from the private sector. So are you looking to target some of these large opportunities in say next medium to longer term?

Management: Yes, we are already there in LCA, as a Cockpit displays submission systems, and LCA Mark1, our RWR, the Radar Warning Receivers and the flight tracers. So there are some programs we are already participating. Going ahead, on AMCA also we will participate in some of the avionics as part of our existing programs. And similarly, in MCRH, as and when the tenders come out, we will participate in that. We do a lot of avionics. And then the reuse of Cockpit displays across helicopters. So we expect that we should position ourselves properly in those programs.

We're also developing our own, some of the avionics which in India we've been importing till now, we're building our avionics with IP from Data Patterns. We like to position those things also. So there are opportunities out there in large programs, we will probably do that. As and when the opportunity gets clear, the sense that AMCA this thing, strategic partner model and things like that. In case these kind of things were to happen, we would also look at allowing ourselves with platform vendors to see we can get a better value proposition. Yes, we are looking at those opportunities and as and when it becomes real, we will address those opportunities.

Umesh Raut: Thank you so much, sir. All the best.

I'll join back the queue.

Management: Thank you.

Moderator: Thank you. We take the next question from the line of Dipen Vakil from InCred Equities. Please go ahead, sir.

Dipen Vakil: Congratulations on good set of numbers, sir. Sir, I have my first question is basically on the other trials were happening in. So, any update on that?

Management: Just repeat. I am unable to hear you, your voice is breaking.

Dipen Vakil: Sir, I mentioned in the last conference call, you mentioned that there will be an update on the seekers from BrahMos in next two to three months. Any update on that?

Management: I think the BrahMos seeker is about to get flight tested anytime. We are not very sure exactly in the next few weeks. It is still in that stage. The BrahMos flight testing is over, we will be able to announce this. But it is the program is on, it is current and they are expecting to do a flight test very soon.

Dipen Vakil: So do we expect its order in this financial year?

Management: I thought the first important thing to answer thing to get this flight tested and see that it is operational properly, meets all the design criteria and the operation criteria. Once that happens, BrahMos has indicated the requirements, but how exactly it is going to come, I am not very sure now. We do not have an inquiry at the present moment. So I can't talk on behalf of BrahMos.

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But yes, we are in line to meet the requirement if it were to happen this year. We hope it happens this year. But first the flight test has to happen.

Dipen Vakil: Sure. Sir, and second is on the capex front. So this year, is there any capex that you're planning to do? And what kind of our capacity utilization will be there in our existing facility?

Management: I'll answer the second question first. See, we have manufacturing capacity because on the electronic production, we have a pick and place and an automatic EMS line. We already have this. Now, we also put a second line so that we can, that way double the capacity. So we won't have a capacity issue with respect to production of electronic PCBs and some such products. But what really happens in a business if you like, we are in, in the defense and aerospace, especially since we do a wide variety of electronics, the types are very many and the quantity per type is low and that is true of defense all over the world. So we need a high mix, very complicated high mix, low volume kind of production. But we need to do it in an automated fashion. We have all the infrastructure.

What really happens when a capacity constraint comes, then the different types of products and quantities start coming in. We need to actually test and produce them. The testing evaluation, how can you integrate tests actually takes time. So what we do in a situation like that is, we create a test line as soon as the contract happens as part of the contract itself. We have lines established already for various kinds of products. We need to duplicate the lines to see the

production happens, which can be done as part of the product, which is not going to really affect performance or value status.

The second thing we have done is, from the box build, that is the modules build, which is the electronic boards, which boards and systems we build, we now want to graduate to end systems build. For example, large multi-ton radar, equipment mounted on trucks, these kind of things when you do, we didn't have the existing infrastructure could not support such integration activities.

So before we went IPO, we borrowed money and then started building of our own buildings and hangar space, etcetera, and clean room facilities to enhance the kind of production integration infrastructures we needed. That is now in place. We have a very large infrastructure created for integrated system development. So this is the second thing we have

done. This has been done

more towards addressing future requirements. We have taken money from market. We want to build big products. We need to be able to produce and demonstrate those products. We need to have infrastructure to do that. We have to create that infrastructure also.

So it is a very forward looking infrastructure development which is what we are doing. And that is what is happening now. So we are okay with if we can get the INR1,000 crores order, we can produce INR1,000 crores, it depends on the mix of contracts. That again, we will, depending on the contracts we deliver, we will configure the Capex.

Coming to the first part of the question, I think we have planned to spend another INR20-odd crores for capex this year and we also taken QIP money for some product development and for Data Patterns (India) Ltd

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that also some capex requirement will be there and that will be spent in line with the development, how the maturity development model happens and what product testing we need to have and what capex is to be required. We will take it to our board meeting, board approval and go through the process.

Dipen Vakil: I was asking that which major program that will be participating in this year, any idea like which are upcoming?

Management: I'm unable to hear you, your voice is very...

Dipen Vakil: Sir, I'll join back in the queue.

Moderator: Thank you. We take the next question from the line of Arti Rai from Equentis Wealth Advisory. Please go ahead, ma'am.

Arti Rai: Thank you. The first question would be around the margins. I just wanted to understand that while at gross margin level we have sustained a 60% which is in line to the previous quarters and with the EBITDA margin where generally the guidance was up about 40% and was there in the last two quarters. This quarter has come out of term 30% and even in the initial remarks we did mention an outlook of 35% to 40%. So are we looking at slightly bringing it down at 35? I mean, since the sustained margin guidance earlier was 40% and now we are speaking of around 35%?

Management: Okay, see ours is not a quarterly driven business and we are three years, four years back is very highly last quarter driven. We have managed in the last two years to address that and make it some more equitable to quarter-to-quarter. But still, the business goes towards last quarter is slightly peaked. So quarter 1 is slightly lower, quarter 2 goes up, quarter 3 goes up further, and quarter 4 at the maximum. This is how it is being, and I expect also to be this year, and that we do something different. So from that perspective, as long as gross volume remains common -- around 60%-65%, your EBITDA margins will be around 36% to 40%, which is what we're guaranteed.

As regards the best order, why is 30% and not 40%? Is there a concern, which you're asking? I don't think there should be a concern because the expenses are averaged, so every quarter is the same. And whereas the turnover proportion to the overheads and expenses is lesser, and becomes more as you go along. Because of that, maybe the percentage ceiling is coming lower, is what you're seeing. But in line with the first quarter estimate, we look at first quarter of previous year, it would be actually on the same EBITDA level percentages.

So it is in line with the percentages, quarter-to-quarter comparison, but you should not compare Q4 EBITDA with the Q1 EBITDA because the revenue is much lower. The same kind of price

Arti Rai: Okay, thanks. And my second question would be to understand from an order book perspective, I do see that development orders kind of stand at more than 60% and the rest will be their production. So would it be possible to give some color on how much of it is own product? That's

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where you mentioned the margin is also higher and

you're moving towards that. So from the

order book presently, I mean, how much would it be from the own product vis a vis other way?

Management: This year we should get more contracts from older developed products. See, there is one thing, see, I don't agree with the statement that production orders will have better margins in developer contracts. What really happens in developer contracts is that we spend a lot more development money. The gross margin may be similar. I don't think, gross margin lower in development than in production, unless it's very other specific. So I would not say the same thing is applied across the board.

Across the board, the margins remain the same. What really happens is we spend a lot more man hours and overheads spent during development, which is not there during production. That's what really happens. And the value proposition numbers are, the overall revenue model also is much higher during production than in development.

So that helps in the overall yearly kind of numbers. Why is that? This today, this year, our expectation is we should get more of the so-called production contracts or repeat contracts on products already delivered earlier is what we expect. They are obviously participating in tenders. The outbound tenders is not visible. So what is visible to us, which we take, which what we talked as pipeline, is based on order contract earlier developed and expected production.

Arti Rai: Okay. I mean, just to understand as a percentage, how much of this current order book would be coming from your own product. So while you said it is repeat I mean just to understand because see the idea here is development and production we have given separately but how much as you mentioned because that's where you're saying the margins are higher when you do it yourself on your own product so would be able to possibly to give a bifurcation there of the order book, is what I'm trying to understand?

Management: The margins nothing differ for production and development. Development takes more expenses in terms of development cost and the amount of overheads, but not on the gross margin which you are talking about. Again, I am repeating this. Of course, it is also definitely, it is based on the amount of competition, the amount of competitors, etcetera. So that is going to be margin, going to define.

And today what we have, I'm telling you again, this year, most of the content, you get the fully production orders is what we believe. The exact number I'm not able to tell you right now, but as we go along, the expected is going to be most based on what we've done many years back, production orders are going to come.

Arti Rai: Okay. Just a last quick question from the current order book that we have of Model 1,000 Plus, some understanding on how much would be executed this year and possibly what would be next year?

Management: A large portion of the current order book will be executed next year. Maybe about 20 %- 25% will be executed this year. The larger portion will be probably executed next year.

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Arti Rai: Okay. Thank you.

Management: We are expecting some more contracts for execution this year.

Arti Rai: Okay. Thank you. That's it from my side for now.

Moderator: Thank you. We take the next question from the line of Satendru Chakraborty from Chakraborty Family Office. Please go ahead, sir.

Satendru Chakraborty: Hello. Good afternoon. Congratulations on a good quarter. My first question is really something happening in your P&L statement. The other income, can you help me understand the year-on-year and the quarter-on-quarter change, just to make some sense on what exactly is happening on that part?

Management: The other income essentially is on cash deposits and interest on deposits. I think maybe Venkat you could answer that.

Management: Yes, the

other income actually this time it is high because of the bank deposits and mutual fund investments that we have made based on our cash flows and the QIP money that we have raised. So that has contributed for the other income. Other income also includes some small foreign exchange gain and things like that, but largely it is the bank interest and earnings out of the mutual funds.

Satendru Chakraborty: Okay, so it is fair to say that this is mark to market, that's why this sudden jump, right?

Management: Yes, largely kept in the bank deposits. So that's all income earned already. As regards mutual funds, yes, based on mark to market.

Satendru Chakraborty: Okay, very helpful. The second question I had was really on the Dornier upgrade program. You

have mentioned a lot in the presentation around that, so can you shed some light on where exactly is the government of India on that and what exactly are we doing, which components are we activating to sort of service this project, even when it comes through?

Management: We have a couple of projects from DRDO on the Dornier upgrade program, which is under development now. One is to build a radar, the hardware for a Dornier radar for a maritime patrol radar. The second is for the electronic surveillance measures, so EW systems on this. The EW is already based on what's already developed for DRDO and it's a modified product required for Dornier.

The radar itself is a new development, which has come to us. It's a very high tight timeline of maybe less than 10 months to build a radar. Both we are on the job and we expect to complete the development in time as they are quite by maybe within the time schedule, so it's a joint work with the DRDO. They expect to do this.

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Once it's completed and delivered and executed, it's expected that a few more aircrafts, maybe 10, 20, 30, depending on the requirement for Coast Guard and Navy, aircraft up-gradation will be given to HAL and once these are qualified they should buy from us. This is the expectation.

Satendru Chakraborty: All right. Thank you so much and all the very best.

Moderator: Thank you. We take the next question from the line of the Dipen Vakil from In Cred Equities. Please go ahead, sir.

Dipen Vakil: Hello, sir, I wanted to know the order book of the reporting for FY '24 and mainly it is for the government mainly. I'm sorry to interrupt you sir, we are losing your audio sir.

Management: The audio is breaking I'm not able to understand what you're saying, unfortunately.

Dipen Vakil: My question is on the execution period of our order book, so mainly how long does it take for our service orders? Like, is it 12 months? And development and production orders?

Management: Our existing order book, we will exhaust this order book this year and next year. It will be executed in the next two years. All orders, which we have almost 95% will be executed between these two years. We're also expecting additional contracts for the execution this year and so me for next year. That is also in pipeline. But the execution is less than 24 months.

Dipen Vakil: Okay, Execution period of 24 months. Okay, got it. And major programs that are there in order flow in FY '24?

Management: What is that please?

Dipen Vakil: Major programs. So which programs are expected in FY '24?

Management: I don't want to get into program level. Earlier we talked about all this. But I am expecting some programs to happen. Some avionics we expect contracts to happen, and some radars. So these are three areas, where we are expecting contracts. Shortly, maybe we'll start getting inquiries, and primarily find it in the next quarter to two quarters, we expect some contracts to happen. And it's on schedule, things are happening, so I think we should get the orders in the next two quarters - three quarters.

Dipen Vakil:

And are order guidance of INR700 crores still on track, or do we want to change it?

Management: Upwards of INR500 crores, we should get. So INR700 crores is what we would like to have. So we'll have to wait and watch the next two quarters what really happens, if there's going to be any change or shift or delays in the order. I don't think, we will lose the order, but there may be delays. We are waiting and watching when it's going to happen. But as of now, we believe it will happen as planned.

Dipen Vakil: Okay. Thank you so much, sir. All the best for FY '24.

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Management: One more thing maybe is also we are also looking at some export contracts this year to Europe and to South Korea. So we've got some orders from Europe already. And we are going to expect more orders from Europe coming in the next month or so, and also from Korea. So some of the orders for this is a full system, product developed in India, probably go to NATO country, and also expecting some contract. I don't want to say the level of value of contracts that we're doing right now. We'll wait for it to happen and then we'll announce it.

Dipen Vakil: Thank you, sir.

Moderator: Thank you. We take the next question from the line of Mr. Akshay Kothari from Envision Capital. Please go ahead, sir.

Akshay Kothari: Thanks for the opportunity. I just wanted to know, since we mentioned that 25% of the total order book execution would only be done in this year. Does it mean that, we would end this year

also with a good cash balance or would it be going in our inventory?

Management: I do not understand the question. Can you answer?

Management: Yes. See, actually our cash balance will be high only, even towards the year end. It will not be going towards inventory build-up. Inventory actually last a few years because of COVID scenario and non-availability of certain components due to COVID. We were actually stocking ahead of the schedule, but by and large it is streamlined now. We are getting the material on time according to our requirements. So we don't expect much of inventory buildup resulting in reduction in expenses.

Akshay Kothari: Because in the next year, your growth would be very much higher. So in that case, during the year end time, would there be also, we would be ending with some INR500 crores plus of cash this year itself.

Management: We can't officially, we can't predict a value now, but our cash balance will be good enough. It will not be so low. It will definitely be on a larger value proposition only, but at present I cannot answer INR500 crores, INR600 crores kind of a number.

Akshay Kothari: Okay, no problem on that front, so which brings me to my next question is, did we do the QIP of a higher amount or did we do the QIP of an ahead of its time, is my question?

Management: No, let me explain that. See, we are getting into some major development programs and it is prudent to have, see that the cash is taken and put separately aside to see that, we funding the programs properly. It's not good to take as you want kind of money because we're raising through the public and what we're doing is by the Board is, raise it so that we have the cash in hand and address the markets because you can't keep going to the market again and again.

So I don't think we have done, either taken higher or lower. People wanted us to take higher amounts. We said, we don't want higher amounts. We have very clearly, we have a clear idea how much we want to spend in the next two years and what programs we are spending it. We

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have taken the optimal amount. The cash is useful in the sense that, we know the financial flow here is happening.

We have a clear idea how we want to spend the cash in product development, and we're taking the right amount. I do

not think, we've done anything wrong. It's given a lot of confidence to the company and to people inside to say that, we go ahead boldly to build products. It's a very different initiative. Normally people don't do product development in India. They'd rather go abroad and the products available abroad, buy it and take from there, and then do one of that in here, in a partnership with them.

We have gone on a very bold kind of opening, because India is opening out, Indian companies now. And we need to make a difference. We want to be like a foreign OEM in India. Our competition is, we believe, must be foreign, not Indians, because none of them have products here. We want to actually build the products and compete with the foreigners and foreign OEMs in Indian context, where the Indian context is opening up for large markets.

So, we're doing the right thing and we're very convinced that we're doing the right thing and we're going very boldly with a number of programs are going to be developed on this and we hope that, this turns out well because if this does well, then we can scale the company not to 20% to 30% but substantial scaling can happen in the next three years to four years.

This is what we want to do. The market size is large. Addressable market is large and we need to have the addressable market with products. Once we do this, the percentage can be much larger because we're very, very initiated. We have high IP content that's going to be there. And that's where we are really competing and putting a product development effort.

We have more than nearly about 700 engineers working with us. We're not just doing the only, we're taking money. We're also creating infrastructure with that. We're also building people. Because you can't build people overnight in these kind of high technology, high IP areas. This has to be done over a period of time. We have to have enough training programs.

We have re-hauled our HR processes, our people in HR. We've done a lot of things to reorganize our company in line with what the Board has been advising us to do. So it's a very inclusive kind of growth which we're trying to do inside. We're doing the right thing. We're very convinced of what we're doing at the present moment.

Akshay Kothari: Okay, sir. That helps. Thanks a lot.

Moderator: Thank you. We take the next question from the line of CA Garvit Goyal from N vest Analytics. Please go ahead, sir.

Garvit Goyal: Hello. Good afternoon, sir. So firstly to understand on this skewness in order execution, so Q4 is usually the best for us, which is mainly the most skewed order execution for the contracts, but my question is, why does that happen? Why can't these contracts be executed in first three quarters, so kindly help me to understand that, sir?

Management: See, all the programs, it's not a running manufacturing contract. It's not like a traditional, I produce some shop, or keep producing so many pieces. These contracts are custom built, meaning built to type. Few numbers, goes through a lot of qualification time. And there are two things there. The contract takes, once you get a contract, it takes a year, year and a half, sometimes, sometimes six months to actually execute the contract.

So there is a timeline for execution also is large. Second is there is, third-party inspection for these contracts. This is QA agencies, third-party agencies, they come through qualification process, clear every stage of production and acceptance. So that also takes time. It is sometimes not controllable by us, when they come for inspection.

So there is some timeline gap with that. So in development contracts it takes a lot of time because integration aspects and the user-defined systems comes into picture. So generally, what I'm saying is a number of reasons, why the timeline for execution is large.

Now

coming back to the first question, having understood this part, then the second part is, when the customer wants the product to be delivered. This is not in our control to say, when it has to be delivered. So there is a requirement of delivery model, which happens with the customer. They have a yearly delivery they wanted, so some of them get pegged with the delivery states which they want.

And point number four is, government businesses typically gets bunched up towards the year end on budgets, acceptance, etcetera. And also they push for year-end delivery as part of customer pull also happens during that time. And they, in the first six months, nine months, there's not much pull. The push which we do may not be actually, catered to. It goes for the pull rather than a push. We can't push customers to accept. It becomes a bit lackadaisical in the common business.

The combination of these things has traditionally made this this way. They're trying to iron out as much as possible to make it a leveled business. We've achieved actually something very good compared to what we were doing three years, four years down the line. And we're attempting to do more as we go along. But this will be a government business, typically tends to be a waterfall driven business.

Garvit Goyal: Understood, sir, that's it. And so you mentioned out of the existing order book around 20-25% will get executed this year. But at the same time we are saying we will achieve a top line growth of 25% to 30% this year. So how is it likely to happen sir? Like such a low percentage of execution from the existing order book. So how we will achieve that INR650 crores kind of top line this year, sir?

Management: Yes, actually I was just, generally speaking, I'm not going to order level to see. We have a schedule worked out, quarter-to-quarter what you all do, and we're giving a projection to the board, and a budget estimate based on it. So over it, I can give you a proper answer. It may not be good, it may be 40% also. I'm giving a, probably should not give this proper, improper number.

But having said that, I know what my budget for this year is. That is very clear and written in clear on stone, quarter to quarter what we told the board. So from that I'm saying we will do this top-line growth and a bottom-line growth, which is clear in my mind. If you're able to execute a bit more of this year's requirement to do something more this year, then it will go up. We don't expect it to go down from whatever estimates are given you. There's a likelihood of going up but not going down.

Management: And we also mentioned that a few more orders are expected for current year execution. That's also the reason.

Management: Yes, that's also there.

Garvit Goyal: That will also get executed this year only. Some part of it.

Management: Yes, we're expecting some contracts to come, which can be executed. We are preparing also for the execution and waiting for the contract to happen.

Garvit Goyal: So that means 650, 700 kind of top line is achievable this year, right?

Management: No, I'm not. I said 25% to 30% growth will be, no, so suddenly you mentioned. Maybe 50% to 60% growth.

Garvit Goyal: No, actually you also mentioned earlier, 30% bottom line growth will be there. So in that ...

Management: Yes, yes, that is the, and there are two parts. One is top line growth, second is bottom line. See,

this year I expect our margin profile to slightly, based on the contracts we're executing this year, our gross margin percentage on the margins are slightly better because a lot of development, a lot of products are coming with some integration.

The margins have gone up, so that is why the kick in bottom line can be slightly better than last year, is what I'm expecting. And as we go along the year, we'll be able to find a few that will go a

long. So that is what I'm saying. And the second portion is on the top line growth, when we went to the QIP also, we made that, we are looking at a 35 % to 40% year-on-year growth, but that is not in a year, means every year I'm not talking, I'm talking of three, four year cycle.

If you look at it, maybe medium term growth, I think our company will do 40% year-on-year, is what I'm expecting to do, at least we have a mission to do this, a mission to do it, and we're looking at some contracts, which will happen, and scale us, and also the product development we're doing will help us scale the revenues multiple times is what we're expecting.

Management: But we are currently maintaining our guidance as regards to revenue growth to 25 percentage to 30 percentage. We're on here.

Garvit Goyal: And so you mentioned about the participating in large value contracts like Make -I and Make -II.

So can you please spend a few minutes on explaining how the business model will differentiate

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from the existing one that we are dealing with the DRDO and how it will be like in Make -I and Make -II contracts?

Management: See, we started our lives with DRDO, built products with DRDO and that is giving us a big production that continues to be one of the business arm and markets for us, which we work very close with DRDO, and we do product development in India. But the bigger markets are going to be when MOD buys directly. Some of them goes, because of product development with DRDO, they go on a limited procurement from the HAL and BAL and such public sector. They become our customers, and the production order happens.

But the larger business is when they buy direct. And that they are buying direct from foreign OEMs. Today that is getting ordered with India, the Indian participation in that business. If people again tie up with foreigners, that is going to be a very, very large business. Multiple times the size of business you do with the DRDO. So naturally, when we have a bubble product competency and capability, we need to address the market to build sustainable growth, and also visible growth to be scalable, which is what we are addressing to do.

So the Make -I, Make -II is one such opportunity, but it's not just all Make -I, Make -II. There can be IDDM, Buy IDDM, buy Indian IDDM, that kind of things are there. So there are many categories on which MOD floats tenders. We will be addressing all those tenders. Make -I and Make -II are one of the arms of the tender which will participate.

But all of them we want to participate to look at scaling business, substantively in the next three, four years' time.

Garvit Goyal: And so margin profile is likely to be stable like current. We are not compromising on the margins in this contract, right?

Management: I would normally not compromise margin because we want to be an IP driven organization. And we've retained, refrained from taking contracts which is on very low margins on a production build kind of contract. Repeatedly we've never taken contracts like that because we didn't want to spend our manpower and company focus on low margin production type orders because that will redirect us from our mission of building IP in India and building food systems.

So all these years we have refrained from doing it. I may, so today also we'd like to do this, but there are some contracts which is strategic in nature, where if you do a contract, though the margin because of competition is low, I think we need to take this because this is a foundation of future growth, which will compensate all the pain which we're going through in the initial years.

So from a longer term perspective, we may look at a lower value proposition, low margin contracts as you go along, because that will be necessary to build end systems and complete systems where integration also is necessary. If I d

on't take the contract, our electronic

subsystems, the IP is there, may also not come to us. If we don't take the overall contract, the product integration happens.

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So in that situation, we have taken a step back, looked at it and the future of the company and the growth model of the company and there's a good substantive business coming in. We may have to compromise the overall margins and do, we just, it's the right thing to do in our minds so we've done that, we're doing some programs like that .

But largely, yes, we would, especially when electronic systems are concerned where IP is done by us, I think it will be a lower bottom line to one kind of business, which is what we would like to do. And that we are trying to do with more development in India, no value addition in India, rather than buy and integrate. That is our model.

Moderator: We take the next question from the line of Gagan Thareja from ASK Investment Managers.

Please go ahead, sir.

Gagan Thareja: So the first question is around the order pipeline that you indicate. I hope I'm correct if I term it as order pipeline. You indicate INR2,000 crores to INR3,000 crores, over the next three, four years, or four, five years. Is that tender that you'll bid for, or is that the orders that you expect that you can win? I'm a little confused there.

Management: See, we are developing a lot of products with DRDO. They can be DW in terms of valent and common systems, ground and airborne. They can be radar warning receivers airborne. There's some com systems we have done for communications. They're also building some radars, part of the radars we're doing with DRDO.

So then we built some avionics for ADA and some LCA and helicopters, etc etc. So all of them, they're going into some production mode. When they go into production mode, the repeat orders, when the production happens, automatically it becomes a single vendor situation. As of now, there is a policy of the government of India, because we are qualified vendors and there is no competition.

We've gone through a competitive profile, with one contract in a competitive mode, and delivered the product which is certified. So when I talk to INR2,000 crores , INR3,000 crores, I'm talking about repeat contracts of those products we already delivered and developed and delivered, which we expect to be honest to happen. The timing varies, but these are the kind of pipeline, that is why I call it a pipeline, rather than a tender oriented business.

Gagan Thareja: Okay, but what are the platforms with which these, radar warning receivers or Valent and Comment equipment or software developed defined radios are associated with ? Because what happens is if the platform for example you know if something is associated with LCA Mark 2 and tomorrow the Indian Air Force says we want an MRFA of 114 aircraft because the Mark 2 is delayed or whatever, it puts a spanner in the works of that platform and then obviously also some of the prospective pipeline for you either gets delayed or goes away. So it would help if you could, give us some idea of what are the platforms with which these equipment are associated?

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Management: Yes, we are very aware of what you're saying and it's factual that we've got control and things may change tomorrow. So when I talk to you, we try to remove such programs from our radar and we remove the numbers from those LC A Mark 2. I don't have a projection. We don't put a projection on Mark 2 because the Mark 2 is announced now but what really goes in, how will the production happen, timelines, we are not really sure and the numbers for what happens, we are not very sure.

So we also remove that from our projection for our board. To very broadly talk about it, there are some upgrade programs happening on fighter ai

rcrafts. We want to position ourselves on the upgrade programs and participate in this. You know, working modern RWR developed with DRDO, a very, very modern internationally you know, comparable product, so we expect something to happen there.

Now we participate like one of the questions asked was Dornier . We participate Dornier upgrade. Some systems are going to go. These are all fairly high -end systems and we expect the next five, six months' time they should go through flight test and qualify. We expect you to qualify the products which you design in a world class.

So, we don't expect there to be a problem. So, this is to get qualified and done. And then, requirement on Dornier is immediate. All of the RFP or something, you know, maybe is talking to and Back to back we should get. And the products like Ashwini Radar, we have done the – almost all the electronics, they expect the RFP from Air Force anytime and once that happens we want to participate in this. There is a larger contribution in this and we offer this in the course. There are other programs like this where they participated earlier and you know they have done this in plan e CW, they have delivered the Dharashakti project, it's going to be an SNS program, it's supposed to get announced. We have the Himshakti which has been awarded to BEL , we expect something to happen. And some other which have gone to BEL for Arudhra , we expect

something to happen.

So it's a touch of projects like this, which we have some visibility, and the timing is of course, and the value proposition is not very clear. As far as the tender happens and we quote, we'll have a clarity on that. But that's why it's something of INR 3,000 crores kind of numbers and what we are trying to do with the QIP money, try to build on those kind of areas, truly world class products, which makes us unique in certain areas and give us quite tested ones there. We believe that this is very seriously considered by Air Force and Navy and such requirements are there. So, this is for the proponents is what we are looking at. But order pipeline I am talking about is what we have done earlier and nothing to do with new programs like this is all new programs.

Gagan Thareja: Okay, got it. Sir associated to that, I mean, there is definitely more sort of certainty or clarity around introduction of light utility and light combat helicopters because HAL has already built the Tumkur facility and these are very substantial in number, I think 300 to 350 odd helicopters and you already do certain amount of avionics for helicopters. So, is it possible to give us some

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idea that whether you are in the frame for doing a certain amount of work here and also elaborate to whatever degree possible on what it could be?

Management: We already there is a cockpit display for LUH. We are considering some portion of the LUH is also being planned for LCH. We are also looking at some options for the LCH, LUH also looking at some displays for us is under discussion. LUH already we are one of the only supplier on the cockpit displays to continue to get contracts. We have lot of order which probably will be executed next quarter. Suppose we execute last quarter, we couldn't do for some reasons, but hopefully the products are ready, we can dispatch it.

So, we have some contracts. We expect that we'll be flying with LUH and LCH as we go along and also the other helicopter platforms. We're also developing an equivalent of a top-level UAV sensor, which is in order for one-off systems to be tested for LUH or ALH. So, that is in the advanced stage of development. We're also looking at whether this can be fitted into all helicopters. So, these are all as an avionics full package with the software domain and everything, competing with the foreigners.

So, that is an advanced stage of design now.

So, we should site test in the next few months. So

like this we have something going. There are some other programs of DRDO also for UAVs, etcetera where we are getting contracts on communication and we expect some data to happen. These are all definite contracts we expect. Some of them are also there. I didn't clearly identify all the contracts and all programs for you because a bit premature now is what I think. We are trying to address most of those programs where we have competence.

Gagan Thareja: Is it possible to understand, per helicopter, what sort of percentage by value you would be addressing?

Management: I have no clue about the cost of helicopters. I only have an idea of our cost.

Gagan Thareja: About INR 150 crores to INR 200 crores is what HAL indicates per helicopter for LUH. LCH could be INR 200 crores to INR 220 crores or something of that sort?

Management: So I think that level of detail we don't want to disclose in an open forum maybe one to one when you come in we should talk to you.

Gagan Thareja: And for missile seekers while you are doing something for BrahMos, two parts to it. One, what could be the associated value and two, are you also doing seekers for other missile programs.

There are a host of other missile programs in the works MPATGM and very short range air defence systems and so on and so forth and is there something in the works on that side as well for you?

Management: This is all originated by the designer of the missile, the seeker becomes a part. So, as long as they include us as part of the missile, then yes we are there. So, it is a decision which DRDO has to take. All along the seekers have been, they have tied up seekers with foreigners and they have

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a bit different kind of a manufacturing arrangement for barrel and PDL they're doing it. The seekers are not being designed in house in India.

The more and more seekers are designed in house people like us will immediately pitch in because we have a competency model to build the seekers along with DRDO to build world class seekers for them. Today, it's BrahMos and once it is successful, I think we can make many variants of the same thing for very, very many seekers. Ours is RF seekers, microwave seekers,

this is what we do.

There are some seekers are IR and electro-optics, visible in IR at the present moment is not there.

We may go into this at a later date. But yes, there is a possibility, but I cannot give you a like we said I cannot give you a value content proposition at the present moment. Competencies exist.

We need to look at opportunities coming in and whether alignments can happen.

Gagan Thareja: Lastly, sir, on working capital, you indicated last year that this year we should see some improvement. I believe at the end of the first quarter, we remain by and large the same levels as we closed last year. What would cause working capital to change and by how much do you expect to reduce it?

Management: We would expect that this year it will come down a bit. Give it a couple of years' time. The change is happening within the organization and also the customer base and the kind of orders and markets we are doing. So, we are seized of this issue and we are addressing it. I think you will see changes as we go along. But we have the cycles will come down and we are also understanding how the connection cycle happens and also looking at how to mitigate some of the integration processes which customer wants and because of which it takes time to make payment.

We are trying to address all of them to bring this into some acceptable numbers. defence because of government and it is only part of the system we deliver. There is some confusion on that. We are trying address this. As I said we will bring it down in the next year or so. You would see that it's coming.

Gagan Thare

ja: Thank you, sir. I will get back in the queue. Thank you.

Moderator: Thank you sir. Ladies and gentlemen, due to time constraints, we will take the last two questions for the day. The next question is from the line of Abhishek Agarwal from Naredi Investments. Please go ahead.

Abhishek Agarwal: Good afternoon sir and congrats on good number. My first question the number of employees has been increased in Q1 compared to Q4 last quarter. Even after that, employee cost has decreased in Q1 compared to Q4 last quarter so what is the reason behind it? And second part of this question, how much salary will be high in FY '24 and when?

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And last question, for next future of growth if you need any extra funding, go for reasonable debt as interest cost you may charge from profit and loss account, whereas raising of equity is always costlier than debt?

Management: I didn't hear the last question. Can you repeat the last question please.

Abhishek Agarwal: Yes, okay. For next future of growth, if you need any extra funds, go for reasonable debt as interest cost you may charge from profit and loss account, whereas the raise of equity is always more costly than debt.

Management: Okay, I'll answer first, the last question first. We are not really looking at any extra funds for the next one years or two years. We're looking at an order book, how we want to do. Some of the orders come with advance from customers, so only bank guarantees we are able to address from internal accruals, we should be able to address those requirements and look at, we have some money with bank account, bank for open cash credit, but it is not utilized.

So I don't think we've been looking at some very large banking funds or outside funds to propel our growth in the next two years, as we see. The company generates cash, so we should be in a cash positive. We're not really looking at extra funds. Either large bank funds or go to public and take shares. So I don't think we are looking at it at the present moment at all.

The second, first part of the question is on number of employees and salary increase. See, we are looking at scaling the business substantively in the next three years to five years. And this is a very IP driven business. And you can't go out and recruit people, when you want and have the people in the tool address the market. We need to production, we need training, we need development. So this is an ongoing thing and we are looking at a future.

This company is actually looking at long term business. They're not really looking at this year's business and building competencies. We are looking at product development, which takes many years of maturity model and development and testing. And we have a number of products we have in mind. We want to do this, which India's importing. So towards that, our people, number of employees, etc etc, will continue to grow. We are now about nearly 1,300 people or more and we will continue to take people as we go along.

We do two things. One, because the growth requires this kind of people. Second, also, we are a high technology company. We also lose people, attrition happens because this is a high technology area that people, we become a training ground for other larger foreign OEMs. So we also have to understand that and build, so that we suddenly don't have deficiencies of people on our order execution.

We put too much effort, so that should not be a problem. So we have a clear idea of HR, process of recruitment and training, so that's one thing, which we're going to be doing today. As far as salary is concerned, I will ask Venkat to answer this question.

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Venkata Subramanian: Salary actually what is debited in the profit and loss account is after capitalizing INR1.28 crores towards the pro

duct development expenditure. We have already started, product development initiative what we have taken the money for out of the QIP. So we have capitalized some portion of the salary of respective resources working on those projects, which are being developed. So net of that only you are seeing, that is the reason, you are seeing a lesser number as compared to Q4 of last year. And salary increase, we do it in line with the industry practices and the trend.

Moderator: Mr. Abhijit, does that answer your question?

Abhijit Mitra: Yes. How much salary will be hiked in percentage term?

Management: How much percentage? See, there are two things in this. One is the number of people go up and then the percentage increase happens. So, this is based on our projection about overall, our employee cost within the budget, goes up by 25% or something.

Management: Overall, employee cost is expected to go up by about 20% compared to last year. That's what the budget.

Moderator: Thank you. Ladies and gentlemen, we take the last question for the day from the line of Sarjeet Yadav from Mount Intra Finance Private Limited. Please go ahead, sir.

Sarjeet Yadav: Yes. Hello, sir. Good afternoon. I had a question regarding the DRDO projects. You have already spoken about them a lot. So, about one part of your revenue is coming from the development orders. Do we take it that, they are going to be single vendor situations or they are going to be competition when the product is finally developed?

Management: What is that? I didn't understand the second sentence. Is it single vendor situation? What is that?

Sarjeet Yadav: So, what I meant is that, when the product is fully developed, tried and tested, so that subcomponent is going to be procured only from you or it's like a game can go on in a competitive mode?

Management: No, what has been qualified by us as a single vendor post first order, the acceptance practices, they place the order only on the company, who has developed it earlier. So that is the practices, we are developing. Because it has a lot of certification and development which we do on a production mode. So that is an established process as of now.

Sarjeet Yadav: Okay. Secondly, can you give us a split between the exports and the domestic market segment and defence and non-defence segment split?

Management: We are largely in defence, so there is a little bit of space we do, but the percentage is single digit less than 10%. So our focus is on defence and this year like I said, we are also getting some export orders, but the export contracts will get executed next year, not this year. Some export will do this year, may be about \$2 million to \$2.5 million, it may exceed \$3 million so.

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So the rest of the contracts we're getting, we should export it next year, because it will take about a year for us to actually build the product and test drive. But as a percentage, if you look at it, it is on a scale, about 10% to 12% can probably be the export with respect to domestic will be larger. We can actually go along, increase it as we go along. We have ideas of what we want to do. But the present status is around this percentage.

Sarjeet Yadav: Okay, thank you, sir. That's all from my side. All the best.

Management: Thank you very much.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments.

Management: Thank you everyone for your interest in participating in this revenue call, the quarter one call. I would just like to close saying that, we are very serious about building products in India and scaling the company. Towards that, we have taken QIP money. We want to build IP, build products, compete with the OEMs and try to build a capability and a scalable business model in India.

The opportunities are large. It's how we develop products and how government and users react to these kind of products of ours, that will really determine the fate of where we want to go. We are at the present moment quite bullish and we are very focused inward looking organization,

trying to build competency in the business.

Thank you all for supporting us, and any questions you have on top of this, you can always approach us through Go India, write to them, so we can also answer your questions. On site visit, one-on-one interactions, please talk to Go India. We'd be very happy to address all the questions that you might have. Thank you very much for taking this call. Thank you.

Management: Thank you very much.

Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

SEC/SE/0 81/2023 -24
Chennai, November 08, 2023

To
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra(E),
Mumbai - 400051
NSE Symbol - DATAPATTNS To
BSE Limited
25th Floor, P .J. Towers,
Dalal Street,
Mumbai - 400001
Company Code: 543428

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 - Transcript of Earnings Conference Call

Dear Sir/Madam,

Further to our earlier letter no. SEC/SE/073 /2023 -24 dated November 01, 2023 intimating the schedule of earnings conference call on the financial results for the quarter and half year ended September 30, 2023 , please find enclosed herewith the transcript of the earnings conference call held on Mon day, November 06, 2023.

The transcript of the earnings call is also available on website of the Company.

We request you to take the above on record and oblige.

Thanking You.

For Data Patterns (India) Limited

Prakash R
Company Secretary and Compliance Officer
Membership No : A34652

Encl: As above

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"Data Patterns (India) L imited

Q2 & H1 FY '2 4 Earnings Conference Call "
November 06, 202 3

MANAGEMENT: MR. S. RANGARAJAN – CHAIRMAN AND MANAGING
DIRECTOR – DATA PATTERNS (INDIA) LIMITED
MR. VENKATA SUBRAMANIAN – CHIEF FINANCIAL
OFFICER – DATA PATTERNS (INDIA) LIMITED

MODERATOR : MS. MONALI JAIN – GO INDIA ADVISORS

Data Patterns (India) Limited
November 06, 2023

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Moderator: Ladies and gentlemen, good day and welcome to Data Patterns (India) Limited Q2 and H1 -FY24 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Ms. Monali Jain from Go India Advisors. Thank you and over to you, ma'am.

Monali Jain: Thank you Aman. Good morning everyone and welcome to Data Patterns (India) Limited Earnings Call to discuss the Q2 and H1 -FY24 results. We have on the call Mr. S. Rangarajan, Chairman and Managing Director and Mr. Venkat a Subramanian, Chief Financial Officer. We must remind you that the discussion on today's call may include certain forward -looking statements and must be therefore viewed in conjunction with the risk that company faces. May I now request Mr. Rangarajan to take us through the company's business outlook and financial highlights, subsequent to which we will open the floor for Q&A. Thank you and over to you, sir.

S. Rangarajan: Thank you, Monali. Good morning, ladies, and gentlemen. I thank you for joining us today for the Q2 and H1 -FY24 results call.

I hope you had a chance to go through the earnings presentation which is available on both the stock exchanges and on our website. Before Venkat a takes us through the financial results, I would like to give you a quick rundown on some of the important updates and key highlights for this quarter. I am delighted to share that we have achieved another profitable quarter, demonstrating our steady growth.

Our revenues have increased, contributing to our company's sustained growth trajectory. We have started participating in large value tenders under the Make -1 and Make -2 categories with Ministry of Defense. This strategic move is to increase our total addressable market and increase the future revenue.

I am also proud to announce that we have already invested at least INR10 crores for our new product development in the field of radar, electronic warfare, and communication systems. Our order book during Q2 -FY24 reached INR1,000 crores, with an order inflow of INR145 crores, which includes an export order of about INR39 crores. Moving on to a brief financial overview, in Q2, our revenue from operations increased by 23 % year-on-year to INR108 crores.

In H1, it grew by 27 % year-on-year. Gross margins remained robust at 69 % and 67 % year-on-year in Q2 and H1 respectively. EBITDA exhibited a growth of 36 % year-on-year in Q2. In H1, it grew by 34 %. The defense sector is one of the essential sectors for the government. The government has recently given the green light for defense acquisitions amounting to INR7,800 crores.

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This decision aims to enhance our armed forces' combat readiness. When coupled with the government's Make in India initiative, it opens the doors to significant prospects for us. These developments provide an ideal platform to seize opportunities, enabling us to develop and provide innovative products for the defense sector.

Keeping the sectoral tailwinds in mind, we had raised at least INR500 crores through QIP to develop products in radars, EW, communications, and satellites. These products, once developed, will provide sustainable growth and possible exports. At this point, I'll pass the floor to Venkat a for his comments.

Venkata Subramanian: Thank you, sir. Good morning, ladies, and gentlemen. We are delighted to report outstanding performance in Q2 and H1 FY24. Let me provide an overview of the financial results.

Its. In H1

FY24, the revenue from operations surged by 26% year -on-year and stood at INR198 crores.

The gross margin for H1 stood at 67% supported by our strong revenue mix.

EBITDA grew by 33.5% year -on-year to INR69 crores, and EBITDA margin stood at 34.6%.

Profit before tax stood at INR81 crores, whereas profit after tax increased by 69% year -on-year to INR60 crores. In Q2 FY24, the revenues exhibited year -on-year increase of 23%, reaching to INR108 crores. We effectively maintained a robust gross margin at 69% in Q2.

Profit before tax stood at INR46 crores, and profit after tax witnessed an impressive 61% growth, reaching to INR34 crores. We maintained a debt -free balance sheet, reflecting our prudent financial management. As of September 30, 2023, we hold over INR603 crores in cash and cash equivalents, signifying our strong financial stability and liquidity.

Overall, we delivered a strong performance in Q2 and H1 24 and are confident of steady growth momentum for the year ahead. With this, we will now proceed to the question -and-answer session. Thank you.

Moderator: Thank you very much. First question is from the line of Ashish Shah from J M Financial. Please go ahead.

Ashish Shah: Yes. Good morning and thank you for the opportunity. So, first of all, if you can just help us understand a bit more on the nature of the orders which have been received for the quarter. So, obviously, we have given the description in the presentation, but any more color in terms of what is the underlying product, the delivery timelines, etc., will help.

S. Rangarajan: We have an export order of nearly INR39 crores, which will be delivered next year. And then some of the other orders is for avionics and INR30-plus crores, which will get again delivered over the next 12 months. Some of the other orders, I think part of it will be delivered this year, part will be delivered next year.

But all of them, whatever the orders are received, they are all towards delivery of this year and the next financial year. Nature of the orders is very similar to what we have been doing. It falls on avionics, some for LCA Mark 1A requirements, and some for EW, some for radars.

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And those are the areas where already we have been doing business, and that's what it is. We have also negotiated some contracts for about INR70-odd crores, and those are also the same areas of operation.

Ashish Shah: Right, sir. So, secondly, there are two particular programs in the Dharashakti and Arudhra where DL has already received these orders and we are in a preferred position for the underlying contracts and products for our scope. So, how do you see the progress in these particular programs? Do you see them materializing for us at the end of this financial year?

S. Rangarajan: It should. The inquiries have been received, we are addressing the inquiries, and as and when BHEL decides to place the order, we do expect that it should happen in the next few months.

Ashish Shah: Right, sir. Lastly, in terms of working capital, so first half this year we have seen an improved performance, we have seen a positive cash generation. So, you expect that this should continue, especially because second half tends to be good for payments and deliveries, etcetera. So, would you expect a further improvement as we go ahead in the working capital levels beyond what we have seen in the first half?

S. Rangarajan: As we have always been saying, in the next two years, we will see a gradual reduction of net working capital. It will go up quarter to quarter, you will see, or half year to half year, you will see it change, and working capital will come down as you go along, and it will be brought down as part of management initiative, and also because mix of orders which we are having is changing, and because of which the working capital cycle will be coming

g down. It will be happening.

Ashish Shah : Thank you. Thank you for this. I will come back if I have more questions.

S. Rangarajan: Thank you.

Moderator: Thank you. The next question is from the line of Dipen Vakil from InCred Equities. Please go ahead.

Dipen Vakil: Thank you for my question and congratulations on a great quarter. Sir, my first question is on the line of, so our 2Q revenues were largely driven by DRDO and MoD. So, how do we expect execution in the second half of FY '24? It will be driven by which project? Any new execution or any upcoming development?

S. Rangarajan: See, for the second half, we have orders on hand. So, we will be executing the contracts. We have INR1,000 crores orders on hand. All of them have to be executed in this year, this financial year, and the next financial year, most of it, at least, will be executed in the next 18 months. So, automatically, in the second half, we will issue some of the orders on hand, and some of the larger orders, which can be issued only next year.

The work is already on. Development and production has started for all of those things, so that

we will deliver the contracts in time. So, that's how it is. Yes, our orders are largely DRDO and Data Patterns (India) Limited
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DPSU driven today, and there may be a few direct MOD orders also we have, which will be executing one of them this year.

The other important thing is, we also got some INR60 odd crores of contracts, export contracts, which also will get, I said INR38 crores, INR39 crores, this quarter we received one. We already have an export contract for the previous quarter. So, these are about INR70 crores, I think. I don't know the exact number, but it's around that. It will be executed next year.

Dipen Vakil: Thank you for that explanation. Sir, my next question is on the lines of, so, any, like, so you mentioned about the exports. So, any update on, so where the export is coming from, from which geographies, and do we see any geopolitical situation impacting us in any way for any supply chain issues, any raw materials?

S. Rangarajan: The present export orders are in three geographies. One is from Europe. The second one is in UK. The third one is from South Korea. We have orders from there. We continue to get business from UK. We're doing business with them for some few years now. We continue to get those contracts where we design and produce for them.

We're also quoted to some other European, large European companies. As soon as that contract may also happen. Coming back to the second question is supply chain issues. At the present moment, we don't have supply chain issues because of the current war situation.

But having been hit by supply chain issues during COVID, we're a bit aware, quite aware that, take this into cognizance, and we'll see whether we can stock components, where they're going to be next six months or nine months delivery. Maybe we should stock components. We're looking at all options. As of now, we don't have any supply chain issues.

Dipen Vakil: Okay. Thank you, sir. Sir, and last question is on, so, last quarter you mentioned that the approvals for secret program was expected in a couple of months. So, what would be the status on that? You mentioned that it is there in user trials. So, have we received any update on that?

S. Rangarajan: We have participated in all the trial requirements with DRDO on this. We have completed our end work, and the systems have been actually handed over to them. They are now doing their work to take care of how, when the trials will happen. We will not be told of the trial in the last moment. So, we do know that it is getting ready. Beyond that, I cannot share any details.

Dipen Vakil: Sure, sir. Sir, thank you so much, sir, and all the best for second half.

S. Rangarajan: Thank you.

Moderator: Thank you. The next question is from the l

ine of CA Garvit Goyal from Nvest Analytics. Please go ahead.

CA Garvit Goyal: Congratulations for a good set of numbers. My first question is on the new product development side. So, basically, we are developing new products in radar, EW communications, and satellite.

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So, what different are we doing? Like, these products, what are the new areas which existing product basket is not catering, but newer products will cater to?

Because in existing product basket, we do have different kinds of radars, like tracking radars, weather radars, and satellite. We do have the satellite bus management services. So, what is the exact difference are we going to create with these new products ?

S. Rangarajan: Very good question. See, all along, our history has been with DRDO. So, we made parts of the systems, either radar, EW, or communications, whatever we do. We do parts of it, subsystems, and the entire system is designed by DRDO. But we continue to work with DRDO where we learn and build products for them. And then, it goes into, once field tested, we get products from DPSUs, like BEL or HAL, based on transfer technology from DRDO.

But what has really happened now, the market has opened up. The MoD tenders are now addressable by people like us. Instead of only relying on foreign technologies to bring the technology inside and build products in India, and address these MoD requirements, we decided we will build products here.

So, the essential difference is that while with DRDO, we're doing parts of the systems. And when it comes to MoD, we have to do the whole system ourselves. Yes, to enable this competency buildup over the last one decade or so, or in one and a half decades, we have built our own radars in non-different sectors, like wind profilers, with tracking radars, weather radars, and these kind of surveillance radars.

All of them we have done. So, then we build a competency matrix within the organization. We

build end systems. We invest a lot of money and effort, not looking at profitability figures. We build these capabilities in-house. We believe these capabilities now is going to have a lot of impact on the future products we are going to generate or develop for the MoD sector.

So, in this, the difference essentially is that we build ground-up systems, addressing MoD requirements, either we make one or make two. Or is it going to be direct IDDM or buy Indian? These kind of categories of MoD. As well as some of the other contracts that are coming in, emergency procurements, all of that. For all of these contracts, we need to have products with us to demonstrate and go through a trial. Unless we build the complete products, we are not going to be ready to address these markets.

That is the idea. We took QIP funds and then tried to invest and build the products. And the product category will be similar to what we are already doing, because we require a lot of domain abilities to build such products. And ground-up domain and competency doesn't come overnight. So, we will continue to build further capabilities in areas of radars. It can be various kinds of radars required by air force and army or navy.

As well as, similar to that in EW. We have done receivers, now we do jammers, we do entire systems. So, we enhance the product category to build full systems. That is exactly what we are trying to do.

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CA Garvit Goyal: Okay, that's nice to hear. Secondly, are we looking to cater only defence sector going forward? Or with our research and design capabilities, we will go beyond the defence EMS and cater to the new areas like component manufacturing for semiconductors or anything like that?

S. Rangarajan: I don't think at the present moment, we are looking at component manufacturing for semiconductor industry. See, the ma

rket here, we are in a INR400 crores, INR500 crores, INR600 crores kind of a revenue model. The requirement in India is so large in the defence sector. And all of them have been relying on imports to address the market.

So, we have a competency model which is deep down, domain developed, capability developed over the last two and a half, three decades to build capability in this product. So, our immediate management's immediate attention is to address this large opportunity which has opened up in India.

We just got opened up and so I think we should use our capabilities to address the market right now and scale the company substantively. This is the first target which we have set for ourselves. The second is, because of the design abilities which we have done on all of electronics, the competency model built up.

We also want to look at address markets outside India going along. This can be in defence. This can be in civil sector where quality and reliability is of a sense and fairly high-end technology which will go to rugged requirements. Those are the areas where we can get specialized and we would like to address those opportunities outside India. We see that there is a large portion of our business also starts coming from export. So, this is also an idea.

We will work towards the next two years to three years' time to build the competency in the market and marketing abilities and position ourselves to address these opportunities.

CA Garvit Goyal: Understood, sir. And, sir, in Q2, 27% of total inflows were from export and specifically highlighted in the presentation as well. So, do we expect it to be in the same way for the incremental orders? And with geopolitical tensions across the globe, are you people witnessing any increasing demand from exports over and above what we were expecting earlier?

S. Rangarajan: Can you repeat the first part of the question? I have not really understood your question.

CA Garvit Goyal: I was saying, for the whatever incremental orders we got in Q2, 27% was from the export. So, going ahead, from whatever incremental order we will get in future, so the proportion of the exports will remain the same or it will change?

S. Rangarajan: There is no proportion for export. These are all one-off orders. This is not a regular requirement. We put it in some requirements. The orders are coming in. We are going to quote such requirements as we go along. Like we quoted DRDO, we will actually quote to some systems abroad. And once it is established, based on their contracts, we will get repeat contracts. This is what we would like to do.

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But I would not like to do a projection at this point. Because we do not know the projection on their side. So, we do not know what to project here. The important thing is, we should engage the foreign OEMs with products from India. And we should seek such products. This will, I

think, in the longer term, be very good for India and for Data Patterns. So, this is the effect we are trying to do. We are not trying to project anything. But the intent is to do more as we go along.

CA Garvit Goyal : The second part, due to any geopolitical tensions, are you able to detect any increased demand from exports?

S. Rangarajan: No. It depends when they build the system. They do not change the supply chain so easily. It takes a long time to change the supply chain. Because you go to the qualifications and things like that. So, they cannot immediately change the supply chain. If you want to change something on the existing product and introduce new things, it will be a three - or four -year cycle.

So, you need to start working with the supply chain. If the development initiative is done, if the case contracts are validated, if two systems are together, once the trials are over, they can place orders. So, it is a long-haul kind of a change. I do

not think that because of geopolitical issues, immediate change will happen. Even if it were to happen, it will happen over a period of time. This is what I expect from my understanding of how systems are built and delivered.

CA Garvit Goyal : Okay. And lastly, on the Pinaka side, the final trials for Pinaka are completed successfully. Have we participated to be a supplier for these products? Or are we expecting orders from it in the upcoming three to four months? And going by that, what kind of order input do we expect in the second half of this year?

S. Rangarajan: No, we are not involved in the Pinaka system. So, I cannot answer. To come back to the previous question, there is a movement for Western countries to look at India seriously. To try to look at it as a supply chain. So, a lot of inquiries and interests have come. Presentation people have come visiting us. So, that interest is visible. So, I think we should grab their interest, address some of the opportunities and scale the business. This is what we are trying to do. But on Pinaka, we are not involved in Pinaka.

CA Garvit Goyal : Understood. And sir, in the second half, what kind of order input do we expect?

S. Rangarajan: We have made the guidance. We said INR45 crores for this year's order intake. So, whatever is expected, we expect to address that. We have got some INR45 crores orders already in the last quarter. I think we will expect the next to come in the next two quarters. There has been a bit of a delay, but the contract should happen. As predicted, the contract should happen. And we will retain the guidance which we have given in the initial calls.

Moderator: Thank you. If you wish to ask a question at this time, then please press star and 1. The next question is from the line of Abhishek Agarwal from Naredi Investment. Please go ahead.

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Abhishek Agarwal: Okay. Good morning, sir. I congratulate on a good set of numbers. The first question is, is the announced EBITDA margin you attend in Q2 is sustainable in Q3 and Q4 FY '24?

S. Rangarajan: Okay. I think our overall gross margin will be slightly better than last year's EBITDA. It is slightly better. So, towards the end of Q4, EBITDA goes up rather than going down. This is how it is because the revenue goes up and our operation cost is lower. Typically, that's what happens. So, I believe we should be sustainable EBITDA margins going ahead. And if you look at last year's financials, we expect based on the order mix, it should probably be a bit better than last year's.

Abhishek Agarwal: Okay. And second question, how many orders you have already bid and what is your success rate and what will be the order book at the end of financial or FY '24?

S. Rangarajan: We can't give you exact numbers. That is why we say on an overall level, how much we can order to expect this year. And we are in line with whatever we projected earlier. But exactly what value will be there is something which I don't want to guess today. Maybe towards the next quarter end or something we have a much more clearer idea of where we are, we can give you guidance.

But it will be like I said, the order info before FY '24 this year. Already we have something, the rest of the order should come. And based on guidance and whatever we deliver this year, the order book can be discussed maybe next quarter.

Abhishek Agarwal: And what is our success rate if we bid for INR100 crore orders? So what do we get from INR100 crore orders?

S. Rangarajan: This is again very dependent. Because there are some quotes which go to the lowest quote, which we know we may or may not win, but we participate. So we don't really consider those contracts as our contract, because we are also one of the guys who quote there. But there are certain contracts which we want to have because it's our capability which we have built up.

There we

expect 100% contract. And that is how we build our business.

Based on the capability and based on competition and what we have, that is how we build. So

we are more strategic in nature. We are not actually building, though we do quote because the tenders come, we quote. But we are more very strategically poised. So I can't really give you a percentage on lost sales and percentage because mostly it will be on the relevant tenders it comes on the quote. We don't consider them as a lost sale actually. So conversion, on where we want, our conversions are very high. Wherever we want to get the contracts.

Abhishek Agarwal: Okay. And sir lastly, the EBITDA margin is higher in development contracts compared to production. How much percentage is more than production?

S. Rangarajan: Actually, this is a misnomer. This is the idea that development contracts have a better margin than production. It's not actually true. In our case, I think, it is largely similar to development or production because we don't charge for development. Even in development contracts, the
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development over time is not really charged to customers. Because all of them, we try to take the lowest quote price.

And we start developing much ahead of the contract itself. So a lot of capability buildup happens over many years. And then we write off the development expenses and the revenue expenses, what we've been doing all along. So when a production contract comes, it is actually, they consult or they try to say, what is the development contract, what contract price we have. And that is taken as a basis. So normally, there is no difference between development and production contracts in our case. There may be variations and exceptions in there. But largely, it should be remaining the same.

Abhishek Agarwal: And lastly, in H1, we get 35% of total revenue and 65% in H2. This trend is going to continue going forward. Because I am asking, in FY '23, our revenue is INR453 crores and we maintain 25%-30% remaining gross. So in FY '24, we get around INR550 crore, INR560 crores revenue. And H1, we get INR198 crores. So the remaining, we get INR452 crores, INR198 crores. So a good INR352 crores revenue, we are doing in H2.

S. Rangarajan: We are getting overall guidance of 20% -25% overall growth from last year to this year. We will try to address that and retain that growth. And we are also attempting to reduce the seasonality and try to increase, you know, make it more quarter -to-quarter E VL. It's not been practical. We've done a fairly good job, considering a few years back, almost everything will come the last quarter. We have now reduced the last quarter sales because of visibility of contracts with us.

Try to, you know, deliver in quarter one, quarter two also. Yes, there is a last quarter bias will be there. Last quarter, the last half year, second half bias will be there. But then I'm going to reduce the bias and we're trying to really see whether that can be brought down going ahead. So, we have already given a revenue projection guidance. We try to stick to that.

Moderator: Thank you. We move to the next question. That is from the line of Mudit Kabra from Elara Capital. Please go ahead.

Mudit Kabra: Sir, any sense on the opportunities for Data Patterns from the Su -30 radar and any other electronics upgrades program, which is expected? And any quantum or ballpark number on the opportunity size from here?

S. Rangarajan: These are all things which are about to happen now. We would like to address them, participate in these programs. But at the present moment, we can't really say which portion we will get a contract, where we are going to be. We don't know now. We understand this is happening. We are also interested in participating in it. I can't tell you anything more at the present moment.

Mudit Kabra: Got it, sir. And

secondly, are we seeing or expecting any kind of slowdown in tendering or approvals in the defense space prior to elections? Has it started to kick in or are we expecting any kind of slowdown?

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S. Rangarajan: No, see, in the space we are operating, we are not seeing any difference. What we hear sentiment is, like you people say, we all hear the same sentiments, but I've not felt it in our tendering. And we are not in very large value ticket games, INR10,000 crores, INR20,000 crores. These kinds of tickets may get postponed. The smaller contracts probably tend to go ahead. So it's only a few more months.

And we are quite busy doing what we have on order of hand. And that is some of the opportunities you talked about just now. So let us see how it goes. But we can't take a position on this. We really do not know.

Moderator: Thank you. The next question is from the line of Dipen Vakil from InCred Equities. Please go

ahead.

Dipen Vakil: Thank you for the follow-up opportunity. Sir you mentioned that the competition with the opening up is increasing. So I wanted to ask you, where does RS lie in terms of products? So which product, which major product do we have, which have less or no competition and which could possibly be the single vendor contract for us?

S. Rangarajan: See, everywhere there is competition. India is a large country. And everybody, there is a lot of capability within India. Everybody will compete. So I cannot say which products will have no competition with single vendors. So we look at case-to-case opportunities and see if we address all the opportunities ourselves, then we'll be better priced, then we give a better timeline to deliver to the customer.

And the customer then decides, yes, we need what we have. And maybe he decides on a single vendor opportunity, make a single vendor case. We'd be happy to address them. But ahead of time, we can't say which will be single vendor. It's very difficult, especially in a normal call like this.

Moderator: Thank you. The next question is from the line of Ashish Shah from JM Financial. Please go ahead.

Ashish Shah: Yes, thank you for the repeat opportunity. So my question is on the Donor Upgrade Program. So there, you know, we are in the free or in a preferred position for certain systems on the government side as well as the government also recently approved the upgradation of the avionics for the Donor. So is there any role that we are envisaging ourselves in the future? If you can just give some color on how the upgrade program is progressing?

S. Rangarajan: We have some contracts on the Donor Upgrade Program from DRDO. It is progressing well. We're doing some of the EW systems for Donor. We have some EW systems here for DRDO. And also a radar, a surveillance radar we're designing for them. So these two are being developed and deliveries are happening as per schedule requirements. So we are waiting to watch. Once it is flight tested and contracts are placed by Navy to HAL, back-to-back, these orders should come. These are fairly high-end systems that are being designed with DRDO.

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So we're quite excited of this opportunity. And we believe that this should be rectified. If all things going well, our side and DRDO side meet Navy requirements, I believe that this should be a good opportunity for Data Patterns. But only the next one year we'll know. Once it is installed in flight and post-trials, we'll get an idea, size of business.

And when we have an idea of size of business, when it will happen, we'll know only after a few more months. But yes, this is an exciting requirement. And there can be a lot of other what do you say, what are the product development done for these requirements? There can be other areas where such products can also be positioned.

So we are excited and we're working on these opportunities.

Ashish Shah: Yes. So specifically on the avionics side, are we, you know, do we have a product that we can offer or are we in that fray for the avionics side of the fleet program?

S. Rangarajan: Yes. The radar is one. The EW, the ESM, as we call it, Electronic Surveillance Systems, the comment and mail-in, all that we're involved fully. So those are two things, areas. We've also developed a radio. I don't know if that is going to get used or not. We'll develop that. This is in some portion of the -- what is called an [AESP, part of ISS 0:35:24]. That also we are delivering some systems there.

So a few packages like that we're designing, developing there, and delivering to them. So I think this is the essential upgrade will consist of such programs. The last part of the upgrade is what I understand. I don't know anything else which we are upgrading. We are not sure. This is all we are doing.

Ashish Shah: Got this. Thank you. Thank you very much.

Moderator: Thank you. The next question is from the line of Arvind from Value Quest Investment. Please go ahead.

Arvind: Congratulations on a fantastic set of numbers, sir. And happy Diwali well in advance. A couple of questions. The first one was regarding the deployment of the QIP funding for the MOD orders and the build prototype building. There was a there was some vision for satellite side orders as well. So some color on this, whether we are actively pursuing, whether there has been any interest in that?

S. Rangarajan: Okay, see, we talked about four areas of utilizing QIP funds and development. First is in radars. Second is in EW systems. Third is in communication systems. And fourth is satellite. We have proceeded with development detail design in programs in radars as well EW. And some work has also been initiated in the communication systems. This is work in process now. We did design a product development initiative. Budgets have been allocated and we're going ahead

with development.

Satellite fundamental design has been done at a very broad level, but more work is needed. We're trying to build a team to build this. There's a bit slower than the other three areas. But yes, all
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four areas we are looking at. Initial work will come in the first three areas and products will start appearing. Testing for testing in the next few months' time. But the satellite will take a longer time. One, because components for the satellite also take a long time to create. And also, we have not actually started the full design of the satellite yet.

Moderator: Thank you. The next question is from the line of Garvit Goyal from Nvest Analytics. Please go ahead.

Garvit Goyal: Thanks for the follow-up. I want to ask the -- what is the order pipeline currently for which we are in the bidding process? And what is our success ratio for that bidding?

S Rangarajan: Come a gain, I didn't understand your question.

Garvit Goyal: I'm asking on the pipeline, basically, for which we are currently in the bidding process. And what is the expectation? Like, what is the success ratio? Or do we expect from that bidding process?

S Rangarajan: See, the bidding happens weekly. You know, daily there is some tenders quoted. And we don't try to take that into cognizance and say until we're very sure some contracts will happen; we need to position. We only project that to the market or internally to our board. So, we have given you a revenue projection on order and next year expected contracts. We do have a pipeline based on so many contracts already we have developed with DRDO. We expect to create contracts to happen. But the exact timing of the contract, we are not very sure. And the value is not very predictable at the present moment.

As when the tender inquiry comes to us, at that time we will be

able to tell you what really is

happening. But we do have a INR1,000 crores, INR2,000 crores kind of revenue pipeline. This is all based on previously developed orders and executed orders. And the orders which we are actually developing now and the programs which have been initiated both from MOD as well as in DRDO. Based on those kinds of programs, estimated can be about a INR1,000 crores, INR2,000 crores of pipeline for our products. But very granularity in this is at this present moment is very difficult to give and timing.

Garvit Goyal: So, can't you give any color on like what kind of ordering flow can we expect in FY '25?

S Rangarajan: Probably towards next quarter we should be able to give you. Let us do this this quarter and maybe some of the contract inquiries are the tenders supposed to happen. Since it has not happened, I do not know when it will be published and when we will get the order. And it has been the last six months we have been expecting something but there has been some delay. So, let us get some idea on the contract and then we will be able to tell the market.

Garvit Goyal: Understood. And lastly on the Boeing India extension plan. So, just to understand a bit about the avionic side. So, can't we supply the avionics to Boeing India?

S Rangarajan: No. We have not supplied anything. It is Boeing India expansion plan?

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Garvit Goyal: No, actually I was asking from that side because Boeing India has set a plan of INR10,000 crores yearly target for increasing the sourcing from India. So, that is why I was asking whether we are going to supply anyway to Boeing India going forward?

S Rangarajan: We would like to supply a lot to Boeing India but at the present moment we don't have an indication exactly which one is being supplied. So, this is a long-term game. We will not be able to discuss that at the present moment. Yes, there is an interest in a lot of OEMs, foreign OEMs.

We need to build that, make offers and all that but this is a longer-term play.

Garvit Goyal: Understood, sir. Thank you, sir. And all the best for the future.

S Rangarajan: Thank you.

Moderator: Thank you. The next question is from the line of Abhijeet Singh from YES Securities. Please go ahead.

Abhijeet Singh: Thank you for the opportunity. Sir, my question is on the radar side. So, we have talked about enhancing our capabilities in terms of radar systems, moving up the value chain which would enable us to participate directly in the MOD vendors. So, what are the exact radar capabilities that we are working on? And by when can we expect production orders for these complete radar systems coming into Data Patterns?

S Rangarajan: So, we have already done tracking radars. We have done surveillance radars. We have done

weather radars. We can do, so all of them we have a competency. We can do fire control radars. So, fundamental competency exists in the company to build these radars. Of course, the size and scale depending on the application will change and say which portion we can do, which we don't have. We need to address based on the specific opportunity. So, we have a competency which is fairly wide and in all this we do ground-up design. All of the electronics, software, mechanical, engineering, all of them we build in-house. So that there is possibility. So, but when this will fructify into a contract, production contract is at this present moment not very clear. What we are trying to do is use the funds raised to build against specific requirements in the market and what we expect the requirements to happen. We are a bit ahead of the market requirement, build these capabilities because when the tender comes we will not have time to demonstrate. So, we need to do a whole lot of stuff much before this requirement comes for a trial. So, this is what we are trying to do. Be ahead of the

curve, build the products and be ready for the demonstration requirements. And once that comes, then based on the tender process only we will know when the contracts will happen. But we are of course looking at the next three years, four years. We should get production orders. At least aiming for maybe three years from now, four years from now. Some contracts should trickle in before that. So, this is how we are trying to have a mix of products which will come and trickle in and give you a revenue potential over the next five years to seven years, 10 years. That is the kind of long-term play which we are looking at.

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Abhijeet Singh: Right. So, I mean, my question was more on the defense radars. So, you are saying that the capabilities that we already have for like we have built the weather radars, the Doppler radars. So, all those capabilities will come in handy when we try to make a product for defense application, is that what you are saying?

S Rangarajan: No. What we are talking about capabilities, for example, search, surveillance, and search radars. It is required for defense. Fire control is required for defense. Some of the airborne systems have search and weather put together. The ground-based system is just weather requirements. And so, we look at radars. We have a capability to do a mix of radars for defense. The size of the radars and the application may vary depending on the platform. And we wouldn't -- so that is where I am saying.

But the basic competency is there. But if you want to demonstrate a INR1,000 crore radar, I can't do that overnight. No, you understand what I am saying. So, we can build a INR500 crores radar and demonstrate. It may not be possible. The competency and elements may be with us. But it is very risky to invest that and show NCNC trial and find that you are not L1 data. So, we need to look at what the market says opportunity which can be addressed not just by competency but also as a measure of risk on investment. Whether it is worth taking the risk we need to address because it is public money. So, it is just not competency.

We have a lot of competencies. We have built a lot of capability. So, we have been very prudent in what markets to address. We have a success ratio as we see can be very high because of uniqueness, built-in price model, cost model. So, a lot of things happen in this. Capability exists. For example, recently, we went and did some bought technology from ISRO. This is for synthetic-aperture imaging radar. They have done a very small radar a few years back. So, the technology is very old.

We wanted to actually build the electronics can be far superior to the electronics -- technology. But the SAR imaging is one thing we have not done until now. We said, let us buy the knowledge base, change, put that into future radars which were designed, build the capability into our radars to see customer can be a complete capability can be exhibited.

So, what we do is try to build all the gaps, knowledge gaps we have, build the domain which is necessary ahead of time. And this is what we have been doing all along, all these years. So, this has to be a long-term kind of investment model, which is what we are doing.

But to answer your question, yes, all the military radars, we can do a fair amount of military radars from in-house capabilities. But the timeline to demonstrate may vary depending on the complexity or size of the radar.

Abhijeet Singh: Right, sir. Understood. Thank you. That's it from my side.

Moderator: Thank you. The next question is from the line of Praveen Desai. As an individual investor, please go ahead.

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Praveen Desai: Good morning, sir. And congratulations for good results. My question is that we have a huge amount in our kitty from IPO as well

as FPI. So, why we are very much slow in utilizing that amount, which is lying in our kitty? So, what is the reason behind it? Please?

S Rangarajan: Okay. There are two reasons why we took this money. One is to build the infrastructure. Second is build the products. Now, there are two ways to do this. Incrementally go to the market and take as we require. Or take between all the projects we want to develop in the next two years to three years and then take it. We have taken the second option. Raise money which can be invested in the next two years to three years. Build the products because you can't go to market incrementally with small value. It's not possible.

And it's not that we are not investing. Once the financial clearance is there and money is available with us, then only the programs can get kicked off. So, all the programs we talked about during QIB, this is all separate groups have been identified, asked for their responsibility. They did design work and started. A number of products in each of the categories which is required by MOD. And there is an urgent need for those kinds of products. Some have come out in tender. Some yet to be tender. The requirements are real. So, addressing the requirements, we do this. And the third point, we need to also understand such products cannot be designed in three months and five months. And the money spent is not going to be done in three months to five months. It will be taken a year to two years before these kinds of products can be developed and demonstrated. So, there is a timeline for this. And we need to have the money and see that the timelines are up. And the expenditure will happen over the period of the project or program. The other part is the infrastructure. Not only do we have to develop the products, but we also need to build a testing equipment and validation tools. And also, the production infrastructure in terms of orders to come, that also has to be done gradually. So, the money has been taken to even create the infrastructure on which case the production happens. We also have the infrastructure to support the production. Even this kind of large infrastructure and testing equipment is necessary. It cannot be done overnight. It takes an enormous amount of time to create it. It takes a couple of years to create infrastructure.

So, this is what incrementally we started doing now. The plans are on to see how we build this capability in-house in India and the products in India. We still know it has not been done. Whatever we are trying to do is something the first-time which India is going to do, at least on the kind of specifications we are trying to bring, and complete competency in a single company doing all those products. It takes time. But we have kept the targets very high. We know that we can do these products. We have the competency model already established. But we have to get to go ahead doing it.

We have raised money towards this. We will not be able to spend it overnight. It has to be spent very carefully over the next two years' time. And there is a cost audit, and there is a Deloitte is our Statutory Auditors now. We have had discussions on how the expenditure has been classified. A lot of things are happening in-house. But we are doing it the right way. I think we have done the right thing taking the money, and because opportunities have to be addressed only

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with orders -- only with products. India buys, MOD buys, and asks you to show the product before you even sit down selected to commercial bid opening.

So we need to have the products. Nobody has the products in India, so everybody relies on products from abroad. Do a workshare arrangement with foreign OEM, and then demonstrate the products with most of the things coming from abroad. We are trying to do something very different. You require a long-term investment

model to do this, because the game is going to be long-term.

And we believe by doing this, and bring technology in India, it is going to be capable. Also, the bottom line is far better than we buy and integrate from others. It also gives us a competent cost model to address the market here. We have taken a slightly harder way of looking at things. Build competency, build technology in India, compete with the foreigners, and address the market. This will require long-term money and long-term investment, which is what we have done.

Praveen Desai: Yes. Got it, sir. Thank you very much. And wish you all happy Diwali. Thank you everybody.

S Rangarajan: Thank you, sir.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants. I would now like to hand the conference back to the management for any closing remarks. Thank you and over to you.

S Rangarajan: Thank you. Thank you all for listening in this conference call, Q3 conference call. What I would

like to reiterate is Data Patterns is investing substantially in building products, international world class products for designing and developing. This is to see that to address Indian markets and also future markets out of other than India in export markets. But we need to have a start to build very, very high-end products for various kinds of critical applications in defense.

And we have selected those applications and started the development work. I think in the next one year to two years' time, you will see a lot more progress going ahead. This is a long-term game and we need to invest longer term and adjust our deeper pockets to build big systems. I think we are on the right path. We are very confident or upbeat about what we are doing. I hope we are successful, but we are working on it to build a bigger company in the coming years.

Thank you very much for the patience. Thank you.

Monali Jain: Thank you.

Venkata Subramanian: Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of Go India Advisors, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Feb 2024

SEC/SE/111 /2023 -24
Chennai, February 06, 2024

To
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra(E),
Mumbai - 400051
NSE Symbol - DATAPATTNS To
BSE Limited
25th Floor, P .J. Towers,
Dalal Street,
Mumbai - 400001
Company Code: 543428

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 - Transcript of Earnings Conference Call

Dear Sir/Madam,

Further to our earlier letter s no. SEC/SE/102 /2023 -24 dated January 27, 2024 and SEC/SE/103/2023 -24 dated January 30, 2024 intimating the schedule of Earnings Conference Call on the financial results for the quarter ended December 31, 2023 , please find enclosed herewith the transcript of the Earnings Conference Call held on Friday, February 02, 2024 at 09.30 A.M. IST.

The transcript of the earnings call is also available on website of the Company.

We request you to take the above on record and oblige.

Thanking You.

For Data Patterns (India) Limited

Prakash R
Company Secretary and Compliance Officer
Membership No: A34652

Encl: As above

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"Data Patterns (India) Limited
Q3 FY '24 Earnings Conference Call "
February 02, 2024

MANAGEMENT : MR. S. RANGARAJAN – CHAIRMAN & MANAGING
DIRECTOR – DATA PATTERNS (INDIA) LIMITED
MR. VENKATA SUBRAMANIAN – CHIEF FINANCIAL
OFFICER – DATA PATTERNS (INDIA) LIMITED

MODERATOR : MS. MONALI JAIN – GO INDIA ADVISORS

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Moderator: Ladies and gentlemen, good day and welcome to Data Patterns India Limited Q3 FY24 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participants' lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone.

Please note that this conference has been recorded. I now hand the conference over to Ms. Monali Jain from Go India Advisors. Thank you and over to you, ma'am.

Monali Jain: Thank you, Manuja. Good morning, everyone, and welcome to Data Patterns India Limited Earnings Conference Call to discuss the Q3 and 9-month FY24 results. We have on the call Mr. S. Rangarajan, Chairman and Managing Director, and Mr. Venkat Subramanian, Chief Financial Officer. We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risks that companies face.

May I now request Mr. Rangarajan to take us through the company's business outlook and financial highlights, subsequent to which we will open the floor for Q&A. Thank you and over to you, sir.

S. Rangarajan: Thank you, Monali. Good morning, ladies and gentlemen, and thank you for joining us today for Q3 and 9-month FY24 results call. I hope you had a chance to go through the earnings presentation, which is available on both the stock exchanges and on our website.

Before Venkat guides us through the financial results, I would like to provide a brief overview of significant updates and key highlights for this quarter. It brings me great pleasure to announce that we have achieved another profitable quarter, underlying a consistent growth strategy. In Q3 FY24, our order book exhibited a year-on-year growth of 8%, reaching INR9.6 billion. The order inflow for the quarter amounted to INR9.9 billion.

The company has strategically aligned itself to leverage favorable industry conditions, particularly in the anticipated tailwinds from government policies, driving a 15% CAGR in India's defense production. Projections further suggest that the defense outlay in India is expected to grow at a CAGR of 12%, reaching \$147 billion over FY25-29 period. Our organization is well-positioned to capitalize on this growth, aligning with a broader government strategy aimed at advancing the aerospace and defense industries.

This anticipated growth is backed by initiatives such as Atmanirbhar Bharat, Positive Intergenerationalist, and the Defense Modernization Plan, a robust order pipeline for the Indian defense industry. These strategic measures are poised to contribute significantly to our company's success in the evolving landscape of the defense sector.

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In Q3 FY24, we secured the following significant orders, including two avionics development orders received worth INR439 million and INR101 million from DRDO and Department of Space, respectively. One avionics production order was received from DRDO worth 167 million. Two EW production orders were received from BEL and DRDO worth INR42 million and INR43 million, respectively. One naval production order and one AT production order was received from BEL and BDL, respectively. These orders were worth INR42 million and INR22 million each. Moving on to a brief financial overview, in Q3 FY24, our operational revenue surged 25% year-on-year, reaching INR139.5 crores. Over the span of nine months, we experienced a substantial 26% year-on-year growth. Sustaining strong performance, gross profit margins maintained a robust 68% and 66% year-on-year and in Q3, year-on-year in Q3 and nine-month FY24, respectively.

y.
EBITDA demonstrated notable increase of 38% year-on-year in Q3. In nine-month FY24,

EBITDA achieved an impressive growth of 31%. Keeping the secular tailwinds in mind, we outlined our strategic priorities for the next two years.

Capitalizing on promising opportunities in radar, electronic warfare and satellite markets. Data expansion in the export markets were actively pursuing various prospects in collaboration with domestic competitors. Active participation in contracts worth INR20 billion to INR30 billion over the next three to four years.

At this point, I will pass the floor to Venkat for his comments.

Venkata Subramanian: Thank you, sir, and good morning, ladies and gentlemen. We are delighted to report outstanding performance in Q3 and nine -month FY24. Let me provide an overview of the financial results.

In nine -month FY24, revenue from operations experienced a substantial 26% year -on-year surge, reaching to 3,375 million. Nine -month gross margin stood at 66%, supported by a robust revenue mix.

Development contracts contributed to 40% of the revenue mix. Production accounted for 55% and service demonstrated a growth of 5%, showcasing progress across all three categories.

EBITDA demonstrated a strong growth of 31% year -on-year, reaching to INR1,286 million, with an EBITDA margin of 38%. Profit before tax reached INR1,468 million, while profit after tax witnessed a significant 61% year -on-year increase to INR1,106 million. In Q3 FY24, revenues displayed a year -on-year increase of 25%, totaling to INR1,395 million.

Development contracts contributed to 26%, production contracts contributed to 69%, highlighting the diverse revenue streams. Service contracts contributed to approximately 5% in Q3, emphasizing our comprehensive offerings. Robust gross margins were effectively maintained at 68%.

Profit before tax stood at INR657 million. Profit after tax experienced an impressive 53% growth, reaching INR510 million. Our balance sheet remains debt -free, reflecting prudent

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financial management. Operational efficiency remains our key factor, targeting a working capital cycle of approximately 240 days to 270 days within the next couple of years.

At the end of January 2024, we hold over INR690 crores in cash and cash equivalents, signifying our strong financial stability and liquidity. Overall Q3 and 9 -month FY24 showcased a robust performance, instilling confidence in a steady growth momentum for the upcoming year.

With this, we will now proceed to the question and answer session. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Renu Baid -Pugalia from IIFL Securities. Please go ahead.

Renu Baid Pugalia: Hi, good morning team. My first question would be, you have to understand a bit more. I think operationally while we have done pretty well, order and flows have been a bit concerning. It's been 9 months and numbers are quite weak.

So can you share inputs in terms of where do you think we may land up the year fiscal '24 in terms of order flow, especially update on Arudra and Himshakti which have been now delayed for more than 18 months? And overall, how is the order pipeline looking for fiscal '24 and '25?

That's the first question.

S. Rangarajan: Yes. Thank you, Renu. There has been a delay in whatever we expected contracts because contracts to Bell and several other organizations got delayed, back to back there has been a delay.

Though they have received orders, we are now working with them to see when the contracts will happen. The dialogue is on. Discussions and negotiations are on with various participants.

And we expect in the next two to three months, some contracts, a few hundred crores to come.

And probably by the first quarter of '24 -'25, we expect another few hundred crore

s contract.

These are all single vendor orders. And like we said earlier, I think INR500 crores, INR600 crores of additional contract is expected in the next four to six months' time, which we will execute. On top of that, based on contracts we were executing last year, repeat contracts are also expected.

Only the timeline is a bit hazy now. But as and when the trials are happening, we will get clarity during the first quarter of '24 what kind of contracts we are getting. On the other hand, we are also participating in competitive bids. So we will have some clarity probably in the next two to three months. We should be able to give you a clear picture probably during the results announcement after this year.

Renu Baid Pugalia: Right. On the competitive bids, would the election code of conduct be applicable, say for example, if elections are announced in early March, would that impact the finalization of competitive bid orders to post elections or do you think they will go ahead irrespective of the model code of conduct?

S. Rangarajan: No, no. This has got nothing to do with the government code of conduct. These are all funded programs in the department, various kinds of departments, so that the processing will continue. It's got nothing to do with what is happening in the elections.

Renu Baid Pugalia: Right. And since you mentioned that almost 5 billion to 6 billion worth of orders should be coming in the next two quarters or so, would that also imply that for the current year, which is just two months to close, we may actually be short of last year's level of INR900 crores, which directly or indirectly will also have an implication on the execution which is pegged for fiscal 2025?

S. Rangarajan: I think we should be around the same range by year end because we are expecting a few hundred crores orders. Already we have about INR1,000 -odd crores now and whatever is to be executed, we require to keep the last year order book status similar. We require over a couple of INR100 crores, which already quotations are gone and the orders will probably exceed that. So we will be marginally more than last year order book starting April 1st is what we believe. If gets finalized as we expect them to be, because they are an accusation now.

Renu Baid Pugalia: So order backlog is expected to be more or order inflows is expected to be more?

S. Rangarajan: As of April this year, the order backlog or you know, orders on hand position will be slightly more than last year is what we believe.

Renu Baid Pugalia: Got it. Sure. So secondly, in terms of, can you share updates in terms of how is the developmental order for the surveillance radar going on? And are we on track with respect to building these projects in the next fiscal year?

S. Rangarajan: Yes, that is on track. On track being what there is delay, but that is to be expected because it is a very complex kind of product. But all the designs have been completed. So now it is in the fabrication and testing stage. So we are okay on that. I think next year we should deliver these systems.

Renu Baid Pugalia: And one of the systems will be delivered or both will be completed?

S. Rangarajan: We would like to complete both. It all depends on subcontractor timelines. As far as electronics is concerned, we have been controlled. We are very much in place and all the designs are completed. So the testing has already started. So we will be in line. It all depends on how the subcontractor really delivers. But I think we should be in line is what I expect.

Renu Baid Pugalia: Got it. And lastly, if you look at the disclosures, there does not seem to be much usage of funds from the QIP proceeds for MEC -2 programs. So can you share updates? Where are we in terms of stepping up investments for these long -lead MEC -2 programs in terms of technology develop

ment? And any potential updates on technology tie -ups with JVs with foreign OEMs on this?

S. Rangarajan: Okay. See, the QIP funds is not necessarily only for MEC -2 programs. We have participated in one MEC -2 and one MEC -1 and one MEC -2. MEC -2 is actually at one stage of design and development. While the expenses are not reflected in the QIP funds, this is because we are doing more development now. Development is coming to a completion and some of the component order has happened.

We also wanted to get clarity on how do you account this development properly with respect to QIP funds. The discussion is on with our auditor. That has got finalized now. So whatever design development we booked on our own name will get transferred to that account as and when this clarity is emerging. So we are already on in that. And second is any kind of large development of this nature, where product is very, very complex, goes through many trials.

Its initial kick -in in terms of expense will be limited to only design. And then when the prototypes are getting built and certifications happen and trials happen, the cost build -up really happens. So it's a longer term kind of a play. That is why we wanted to get financial closure because we didn't want to have only one -off development. So we took a chunk of money to put it into various kinds of development programs. We already started deploying it.

The design is started. Deployment is smaller. It will pick up during the course of coming year.

Also, once based on the development, we also have put some capital infrastructure for manufacturing post -delivery. We need to get that infrastructure done so that we can address the expected order book. All this will happen in the next two years.

Renu Baid Pugalia: Got it. Got it. Thanks much and all the best, sir.

Moderator: Thank you very much. Thank you. The next question is from the line of Dipen Vakil from InCred Equities. Please go ahead.

Dipen Vakil: Thank you for the opportunity, sir, and congratulations on a good set of numbers. Sir, my first question is on your robust revenue mix that you mentioned. Sir, is it right for us to assume that contracts or the revenue that you receive from MOD have a slightly better margin compared to, say, other competitors?

S. Rangarajan: See, MOD business is typically a competitive business. So we can't say we get better margins or lower margin. If at all it happens. But either way, none of these buildings we've done this year, except we have a few things which we got out of a few years back, we delivered on that. But the contracts we're talking on hand and all that is not the MOD direct contract. These are all DRDO contracts, Department of Space contracts, and as well as contracts from various PSUs like BEL and HAL, et cetera.

We don't have a direct contract. Today we started quoting. We've got to make two programs which we're developing against MOD, a tender. Similarly, a tender has been released for larger radar where we're participating. We have only participated in the radar now only. So the MOD tenders will start over a period of time. As of now, the dependence is on DRDO-driven programs and the follow-on orders from DPSU is what we're executing.

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Transition, the MOD tenders is in the phase and interest to take a kick-start over the next few years' time.

Dipen Vakil: Got it, sir. So my next question is, sir, this time we have booked some strong revenues coming in from BrahMos. So is there any update on the C-curve and what was it? Can you throw some light more on the revenue from BrahMos?

S. Rangarajan: Revenue from BrahMos, we have a little bit of order left from whatever earlier order which is planned to be executed either this quarter or next quarter, depending on their

– we are ready

depending on acceptance, whether it will get billed this quarter or next quarter, we're not very sure. And as regards the C-curve, we're still awaiting the final trials of the C-curve. It is not in our hands.

The products are with DRDO. We have to conduct the C-curve trials and that is somehow got postponed. We are not aware why it's getting postponed. But as and when that gets done, it's expected that the contracts should happen after successful trials. And it is important because India wants to do more in India. So, and we're also very much more cost-effective rather than imported C-curves.

We expect that that should kick in. But I'm not able to answer this question because the trials have to get completed. That is where we are not positioned, place the future contract. We have not planned anything as of now. But what we hear from informed sources is that it's very much under consideration and things should happen fast. Got it.

On top of that, there is also some orders expected, additional orders, which are expecting from the services, MOD. Back to back, they are also saying we should also get some more orders.

The details are not available. But in the next few months, we'll know what orders are happening.

Dipen Vakil: Got it, sir. So, my last question is on the lines of, sir, we have currently our order book is close to around INR1000 crores. So, within this order book, are there any slow-moving orders which have been sitting in our order book for quite some time and execution is slow, do you think, for things not in our hands?

S. Rangarajan: No, no. All these orders, we got an order for the radar contracts about a year back. We will probably be executing another this year. This coming financial year, we should be able to execute it. So, all our two, three-year kind of deliverables. So, there's nothing what we keep, no orders is not there. These are all, most of it will get executed.

And also, we're expecting more orders this year, this quarter and next quarter. We're expecting even some of those orders which we expect this quarter and next quarter, the order is about to be executed next year, '24-'25. We expect that also to be executed next year. We are preparing ourselves for this kind of contract. As soon as it happens, how do we execute quickly?

So, in parallel, we are putting in the infrastructure to see that the execution happens.

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Dipen Vakil: Got it, sir. So, thank you for your commentary on the order book and order inflow. We hope

Data Patterns receive some great orders in the coming future. Thank you so much.

S. Rangarajan: Thank you.

Moderator: Thank you very much. The next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Yes, sir. Can you talk about your working capital target for coming years, working capital days?

Venkata Subramanian: We are targeting the working capital cycle to be around 240 to 270 days over the next couple of years. It's coming down now because inventory cycles are expected to come down because we have been keeping some higher inventory due to the COVID pandemic related supply chain issues. Those things are not going to be there.

And our revenue on a quarter -on-quarter also is now reasonably easing out. Considering all that, we expect the working capital cycle to come down to 240 to 270 days over the next couple of years. Okay.

Sumant Kumar: Now, talking about the order inflow as per the PPT, nine months for '23, we have 6,800. And this year, nine months, we have 3,700 plus. And also, development mix has reduced. So, can you comment on the momentum of order inflow going forward and also the development side mix is lower? So, what we can conclude from here?

S. Rangarajan: There are a number of programs we are working on where the contract, there are two things. Order

expected is coming based on earlier delivered contracts and production order coming to PSUs and back-to-back orders coming to us. There are two programs which Renu was saying to stop in this, Arudhra and Dharashakti.

This is under discussion. So, some contracts should happen is what we believe. There are other than that, some more new programs being initiated by DRDO on a high, a fast delivery basis. We are also expanding those contracts. Some of them are single vendor contracts which we will get in probably next five, six months' time. So, I think the order position will start growing this quarter to next quarter.

It will start growing. And whatever predictions we are giving you is all based on single vendor contracts because we can't predict what will happen on a competitive bid. So, whatever we are predicting, growth is all on single vendor. If the competitive bid happens, that will be extra to whatever we are predicting.

This is one portion. Second also, we are trying to look at outside India requirements and some inquiries have come from UK which is again based on whatever we delivered earlier. Those things also should kick in. So, and we are also looking outside India for development work to US organizations. So, I think we are trying to look at broad basing our order book.

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One is DRDO, PSU, MOD. Third is also looking at exports. If we exceed exports now, in three to four years, we will start bringing reasonable amount of exports. So, that also work is starting.

Sumant Kumar: Now, talking about the export and global opportunity, currently we are in UK. Are we exploring and any other countries and any information?

S. Rangarajan: We have contracts from Europe, from UK and Europe. We also have contracts from Korea which we are executing probably this year. The UK contracts will be two or three years deliverable.

So, we are delivering every month systems to them as per the requirement. The other two countries we are talking about is to be executed as a project which will be probably coming here. That is the next financial year we will execute it.

These contracts to export, I think we need to work on it. We need to look at our competencies and see how we can build based on specifications kind of equipment. Normally, what happens is those companies, countries, give bit tools, print. There is a volume turnover. Though we have a manufacturing infrastructure which is in line with international systems, our preference is to do value-added exports. So, we want to see them.

So, that we have started as an initiative now and we are going to do this. The third important thing which we have taken clearly money, we have not talked about at all. There is a lot of work that is being put into development. We have increased the scale of people. We have more than 700 engineers in data partners. In the last one year, I think more than 30% increase in our staff is also there.

So, we are actually putting infrastructure in terms of capability, people, training, all of those things so that we can scale the business in the next five years' time frame. So, inspecting these contracts, speed the development. Let the contracts happen. Also, see the execution happens spotlessly. A lot of work is happening actually.

Sumant Kumar: Thank you so much, sir.

Moderator: Thank you very much. The next question is from the line of Gagan Thareja from ASK Investment Manager. Please go ahead.

Gagan Thareja: Okay. So, the first question is that given your current order book position or the order book position that you expect to close the year with, would it be possible to maintain the 25% top line growth that we have seen thus far and that you have been guiding for over the next two years? Because I think year on year the order book that you will end FY24 will not be 25% up from last year's number.

S. Rangarajan

: Like I said, we expected to close the orders in the next two quarters. But also, what we delivered last year on trials, repeat orders are also expected as we go along. The trend is maintained, whatever we told you, 25% top line growth. We expect that to maintain for the next two years. There are a lot of simulated orders which we are expecting. So, that should also take care of the requirements.

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As of now, the guidance remains. In the course of next year, if there is an issue in terms of order intake, we will always inform you. But as of now, I think this is happening. And we also expect some contribution from the 3D funds where we put in product development effort. Some of them, after we demonstrate, we expect some contracts picking for those programs. And this will also help in seeing that the next year order book will be able to deliver our expectations. Gagan Thareja: Cumulatively, your order pipeline looks in numbers. If you could enumerate, what could be the size of the order pipeline that you have available for FY '25? I understand first quarter you're indicating next year could be INR300 crores. Fourth quarter this year could be INR200 crores of intake. But thereafter, in the next three quarters for the following financial year of FY '25, what order pipeline would you have? And would you be able to maintain INR300 crores, whatever the rate in order intake, after post 1Q of next year?

S. Rangarajan: I think we will comment on the order intake next year. Probably we will get the call that is post this year. We'll have more clarity. I don't want to give vague numbers today. We have indicative numbers. And we will probably give you in the next four to five months, we will give much more clarity on contracts. But what I can say is, based on the requirements coming up, I think INR600 crores to INR800 crores of additional orders is going to come. It will take care of our next two years of delivery. And some of them will be executed itself.

Susheel Aggarwal: On top of which, we are also busy.

Gagan Thareja: We are not audible, sir. I'm sorry. I was not able to hear you very clearly when you made the last statement. Could you just repeat it? My apologies. I couldn't hear you very clearly.

S. Rangarajan: First, I would like to give a proper forecast, probably another three, four months down the line, not presently. We're working on some new contracts, revisions and all. But we expect some, at least INR600 crores to INR800 crores of orders happening in the next two quarters, which will go.

And also some additional orders are based on what we delivered earlier. We expect some repeat orders to happen. And a few new programs are kicked in, where we also started making proposals.

And if this were to happen on an urgent basis, where things have happened in one year, we are well positioned to deliver those products. So we have much more clarity after about four, five months.

Gagan Thareja: We'll let you know. And the BrahMos orders, whenever they come through after the trials, what could be, you know, the size and tenure? If you could give us some, you know, broad brush idea of that, it would be helpful.

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Because I presume BrahMos has very sizable missile orders running into almost INR30,000 crores worth of BrahMos orders, plus the newer generation BrahMos missiles are also in the pipeline. So seekers would be a continuous requirement, if you could give us some idea of what's the size of work that's possible there.

S. Rangarajan: They have not given us any indicative numbers for me to pass it on to you. So I think it's a bit premature. Let the BrahMos, flight test get over. Let them give an inquiry and then we'll know what kind of timeframes they're looking at. I can only tell you one thing, though th

e government

of India or BrahMos thinks that, you know, our ramping up manufacturing will take time. As against what is thought, we will ramp up manufacturing very quickly.

We have a phenomenal infrastructure created and our delivery mechanisms are very, very good.

So we probably, if contracts come, we will deliver ahead, is what we believe, as long as the customer is willing to accept it. So we have to wait and watch what really happens. BrahMos engine is still not flown. So we don't want to comment on these things at the present moment.

We don't have much data. We have some kind of news, but we don't have validated information for all of this.

Gagan Thareja: Right. And the QIP fund usage, if you could give us, some idea of the timeline of, how those funds will be used and what time will they be exhausted? And secondly, what will be the capex program for next year?

S. Rangarajan: We thought that we will spend this over the two to three years' time in the QAB. We just started the development work a few months back. The first initial is get on to the benchmark specification document, get it identified, and put the project positioning, the people in place, which is what happened.

After development started in two programs, two or three programs, four programs have started, active design and contract ordering and all have started. So we have to do a few more programs.

And that's because we are trying to allocate the money and the time of people to things which can happen faster, and the contracts can happen faster and based on need in the market.

So we are pushing like this, but I think two to three years is what we have kept in mind. And

now that the cash collection is fairly good, we can also look at opportunities which comes our way for some acquisition mergers also we can consider over the next one to two years' time, because we have cash on hand and we are generating cash. So we are also looking at this kind of growth also as we go along.

But presently, no decision is taken internally by the board or us to see how to do this, but we are open to all these things as we go along.

Gagan Thareja: And the capex next year could be?

S. Rangarajan: Pardon?

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Gagan Thareja: What could be the capital...

S. Rangarajan: I can't hear you. I can't hear you at all. If you talk a bit loudly.

Gagan Thareja: Yes, just asking what could be the capital expenditure plan for or budget for this year and the following year?

S. Rangarajan: Following year, we have planned to spend about INR100 -plus crores on capex. The timing of the capex will be announced next quarter, because we are doing the budgeting exercise now.

And based on what is necessary for each program, the program managers will tell what is necessary for infrastructure creation, for testing and manufacturing.

We are awaiting this actual internal design details to be completed before it will be formulated.

But yes, we are looking at some INR100 crores of infrastructure creation.

Gagan Thareja: Right. And while you indicate that over two years you intend to bring the working capital down to 240 to 270 days, what level does it stand today at?

Venkata Subramanian: It stands similar to our September quarter, which is around 300 odd days of net working capital days. We will, a couple of factors I told you initially in the call, like for example, inventory days is likely to come down because there is not going to be pressure because of the pandemic which we have had in the couple of previous years. And also now the production contract executions are increasing and with the result collection cycles are going to come down. So, all these things are expected to result in reduction in the working capital days over the next two years.

Gagan Thareja: Right. And so, in yesterday's budget, I think two or three interesting things came out. One

is, I

think funds for the Sukhoi upgrades were sort of approved if I understood it correctly. HAL has already been given AON for Sukhoi upgrades in CH orders and LU H orders. I presume there is substantial avionics work there that you are in a very competent position to undertake. Your assessment of, what the addressable opportunity could be for you in this area? And over what time frame can this materialize?

S. Rangarajan: The idea of going for QAB is to increase our total addressable market. And whatever the budget they talked about yesterday, these are all expected to happen. And only addressing these requirements, we have already started the product development activities. We want to increase our addressable market to be INR50 to INR20,000 crores. So, we are building products so that we can address this. There are two ways of doing it.

One is to collaborate with foreigners and do a work share and build here. We are actually doing largely our own design where IP creation is done in-house in India. And then building this kind

of capability and products, which is world class. So, that development is on. And we are happy to listen to the finance minister that, the allocations have gone up and they are looking at upgrade allocations and things like that, which is in line with what our expectations are. And what we are working towards addressing those markets.

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Also, the second thing, what is for, loan, interest-free loan kind of thing, loan interest for long-term or deployment to private sector for, sundries industries is also a very welcome thing. We didn't expect these things. But the government is doing the right thing to build more value creation within the country. And more R&D can be done in the country. It's very good. Though, we ourselves have, we've taken the QAB and we are generating cash. We're not looking at any kind of loan at the present moment. But this for the industry is very good.

Gagan Thareja: And, sir, semiconductor testing is also being incentivized in India under the PLI scheme. Is it an area of interest for you? I think there's lots of movement on the electronic manufacturing space. Would it be of interest to you to look at those opportunities?

S. Rangarajan: I'll tell you, we do all of electronics. We build our own test systems. That's why the company started with building ATEs and automated test equipment. We have a fair amount of competency in all these areas. Electronics goes from nano-volt, micro-volt to, microwave and high voltage up to 40 KV. We do all of them in-house.

But what happens though is even like the code, embedded code, any OS, without OS, we write code. Competencies exist. In any area of business, you need to have a domain familiarity. Okay. And that makes a difference between capability and product. The transition based on domain. So, you say, I see testing and all that. Yes, we have a competency. But that's not a focus point in our company.

Today, our focus is a very large, very, very large, market in India on the defense. It's actually untouched. We're used to importing all of those systems in India. What we need to do is bring the capability, add more capability in the domain, and build product competency to build complete products and get it validated new field. That is going to be the challenge. But if we can do that, then we access markets.

We have access to markets that are very, very large. And though, one more thing that has happened is, though people never, the foreigners never took it seriously, they thought, it's just a whole new bottle. We continue to import. Those are little bit is happening like that. I think people are getting to understand that, our government is serious to do more in India. So, the last two weeks, itself we've had large, very, very large multinationals visiting us and saying, okay, what can we do

together? The joint design is possible. But India doesn't have capability. Only that I can take from them and design around that.

So these things are opening up an enormous amount of product competencies can come. And with the money, access to money which we have in the bank, and there's a direct need of such requirements, we're also thinking very much as to how to do this, because there is overlap competencies for these kind of programs which to be address. So, very interesting time, actually. So this is not the time for us to really focus on some other program, trying to get new domain, getting to things which is going to take time. Though the PLI and things like is there, I think we should not, infrastructure and capability built in, I think we should not refocus that in other areas

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of energy. So we are really focused on this development in defense and aerospace. And that's a huge opportunity coming our way.

The second is build an export market in the next three to four years' time to see that we are not only government-centric business is not being done, and we're looking at commercial markets outside India. It gives you regular revenue on a month-on-month revenue. Annuity business is there, which is fixed for five years, ten years, so bring stability into the company. Today we are all in project mode contracts, which also gives instability or lumpiness.

We need to change over from, though we don't want to let go of this because the competency model exists to address the market, we also have to even out the whole thing into annuity business and monthly business. With not just the production business, which is low-value addition, but a higher-value addition kind of business, which is possible outside India. So our focus is somewhere there. I'm trying to see how do I address this market. So we're trying to put

manpower, infrastructure, and start marketing in those areas.

Gagan Thareja: Finally, sir, could you flesh out the succession planning steps that the board and the company would have taken? You've alluded to this in the past, that you intend to flesh out the plan. If anything further has subsequently been done, could you inform us on that?

S. Rangarajan: Yes, this is a major initiative and one of the major requirements of the board is that we work on a succession planning system and put a timebomb to see that it is in place. So the first thing we got is strengthening our HR team. We got a head of HR, which is a very senior guy, who worked out of Infosys. He joined us one year back, about nine to ten months back. And he's been tasked to building his own team to see that we create whatever bandwidth necessary, and also knowledge-based necessary, to initiate the succession plan process.

Matter of fact, three years back, we had the NRC, a whole day NRC, on what we've done on succession planning with HR. We've done an excellent job. So we've started identifying the skill matrix, what is necessary, the gap in skills, various levels of management and junior level, where the interventions are necessary, where training is necessary, where inclusion is possible assessment and then you talked about a whole lot of stuff, a lot of activity, by bringing external consultants.

And also, where are the areas where homegrown culture clashes are there, and what do you want to do from bringing external people into the picture? So a lot of discussion has taken place, and timelines have been set by the board to see how to take this forward. So we are very actively pursuing succession planning at various levels.

At my level, we've already involved the COO to join the board last year, and his operation is actually the company being managed by him today, with his team of engineers and managers. So we are on the job. We understand the seriousness of this, especially since the company is growing rapidly

and we're going to look at five years from now, our targets are going to be very, very different from what we set ourselves today.

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And that, a lot of money has been spent on product development. We need to see that the company is well-rounded and can not only look at the expansion, but also deliver on time-quality products and scale the company. So this is a very serious aspect, and we've given adequate importance to this. And we are on the job.

Gagan Thareja: Thanks, sir. Wish you all the best. I'll get back in the queue.

Moderator: Thank you very much. The next question is from the line of Farokh Pandole from Avestha Fund Management. Please go ahead.

Farokh Pandole: Good morning. Congratulations on the good set of numbers. I just wanted to ask, I had more sort of a general question regarding two aspects that you touched upon through the call. One is on exports. I mean, typically, what is our entry strategy into markets? Which are the markets we are looking at? Typical markets that we will be looking at going forward is the composition of work that we are doing pretty similar to what we do in India.

And also, you mentioned about inorganic opportunities. And, if you had a wish list of broad contours of what an [IDE] sort of acquisition target would look like, what would that be? And also, sorry, I missed earlier when you mentioned, what is the cash amount on the books as of the end of the quarter?

S. Rangarajan: Okay. That is what I hope we will do. On the cash, I think Venkat just said about INR690 crores of cash equivalents as of today, as of January 31st.

Farokh Pandole: INR690 crores?

S. Rangarajan: Yes. That's right. So, that's one. Second is, as far as inorganic wish list, I don't think I should comment at this present moment. This is under deliberation within the office and our board. We will have to do this strategic thinking within the organization. Come out of the list and put some small group of people in charge to take on this. This is discussed in the board and we need to do some homework before we come to that list.

So, I have something in my mind, but I don't, I think it's a bit premature to talk about it on the call. We'll come to it at an appropriate time. As far as the exports are concerned, there can be two exports, two kinds of things, defense as well as non-defense. Defense can happen provided we build complete solutions here as it's deployed in India, same as exportable outside.

So, towards that, whatever products we are now putting in QAP and whatever development we're doing, we're trying to see the end system is done, designed by us. What has happened all along is when we work with DRDO, we do part of a system. And that part of the system is not exportable directly to any kind of country.

Let's say, we don't have the software, we don't have necessary other parts of the entire system. So, the direction is to try to build full systems, which is exportable, which is what we're trying

to do now. And this is on our own, we're trying to build systems.

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We have orders both from South Korea and from Europe for complete system of radars, which has been designed earlier by us. We need to put in some gaps. And then we want some contracts and open tenders. And these are going to be exported. But more importantly, there is going to be a lot of work just be done to build complete systems.

All the make tools and other things, which we're now trying to put even against QAP funds we're developing. Once that matures into full product and field testing, the same will be exported outside India. So, this is one aspect. We need this. It's WIP. We need to go ahead and keep doing it.

The second is non -defense. Again, we don't want to do low, we want to do critical systems. Because defense syst

ems like that, where safety critical and advanced technologies are used is what we're trying to focus on. Because then, the development cycle, the focus on how do you design, how do you produce, those kind of things you learn, then can be reused in those areas. So, again, we're trying to address those markets, but in civilian requirements, non -defense requirements. So, I can only talk about it now at this present point like this. I don't have a contract for this. We just started making inroads, making proposals, and seeing that we get our feet wet initially.

And once we do that, this will be a slow process, but can accelerate into very large businesses, probably we'll get the first spins. So, since we have the funds now, I think we can invest in these things for future growth. So, towards that, efforts are being taken.

Farokh Pandole: Great. Tha nks, and wish you all the best.

Moderator: Thank you very much. The next qu estion is from the line of Sushee I Aggarwal from NPCC Investment. Please go ahead.

Susheel Aggarwal: Hello. Am I audible?

Moderator: Yes, sir.

Susheel Aggarwal: Yes. Firstly, congratulations for very good numbers. I want to check one thing that this Dornier and LCA helicopter orders have been awarded to HAL and other companies. So, do we get inquiries from them for avionics and electronics from them?

S. Rangarajan: Presently, we are doing Dornier upgrade for Navy. Originally, the idea was to import the sensors, but DRDO intervened and said they can deliver it quite quickly in one year. So, the import has stopped, and maybe it's an opportunity for DRDO and the industr y to participate and see that we can deliver.

Back to back, DRDO has given us an order of two areas. One is in radars, and the other is in electronic warfare, ESM. And we got the contract February, April, nine, ten months back. We

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are in schedule. The product has been delivered in the first units. The other units are under testing.

So, I think it will go in the next few months, two months, or whatever it is in flight testing. So, there is some portion we are doing. Back to back, once flight tests are over, whatever upgrade program we expect from back to back contracts, provided, of c ourse, it meets Navy's requirements, which, of course, DRDO is ensuring it's going to meet.

We are doing our end of the job to see that it meets the requirements and specifications. And regarding LCA, we already have some parts of it already there from 2005. We have some cockpit displays flying. We have an order from a chair for this. It is under delivery. So, we're doing that.

Similarly, mission systems for LCA. We replaced all the imported systems, and we have orders for that. And also, we're executing. This year, I think, we'll finish. Whatever orders are there, we'll finish that by March is what we expect. The new more orders will come next year.

We'll do it in March. So, and then we have the radar warning receiver we have delivered. We have some contracts for LCA Mark -1A that is being delivered. And I expect the flight performance of what has been flying in LCA is very, very good. The customer is quite happy. So, if all this works out fine, maybe there will be additional orders coming for the larger Mark - 1A program.

But at this present moment, we're not putting this part of our -- we're not projecting it because it has to go to trial, and the Air Force has to make a decision on how it's going to happen. All the

integrated systems, sensors are going to be integrated into LCA. They'll take a formal approach of what to do. But we have something going there, and hopefully, we should get more orders as we go along.

Susheel Aggarwal: Because my point was, recently, about two months back, Ministry of Defense has placed a large amount of orders for this LCA with HAL. So, will we have to participate in compet

itive tender

for them, or based on our development, we'll be getting those orders ?

S. Rangarajan: Well, I don't know which order you're talking about. I think the announcement is that more LCA Mark -1As will be procured. More of an announcement, rather than a contract. I think, as I understand, because, see, obviously, I don't have the contract. HAL has a contract. You should ask HAL this on one of your calls.

They'll probably give you more data. But as I understood, in 83 aircrafts, contract is made with HAL. New orders, I think they're expecting, but I don't think any tender will also come. I may be wrong, but this is my understanding.

Susheel Aggarwal: Okay. The other thing about disclosures, I just wanted to say that orders, whatever orders we get during the quarter, we also announce them because, like other companies in this field are also announcing. So, it gives more clarity.

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S. Rangarajan: I didn't understand your question. Can you come again, a bit louder, please? I didn't understand the question.

Susheel Aggarwal: I was telling that whatever orders we get during the quarter, if it is informed to the market, like other companies are also doing.

S. Rangarajan: Okay. But we are actually thinking that maybe end of quarter, anyway, after Board meeting, it is announced as one shot. One or two have been announced like that. I don't know if that is a mass requirement. We can also do that. But we're not thinking of doing that.

The order keeps coming every week, you know, two weeks, something or other keeps coming.

And we don't want to make unnecessary announcement in this exchange. It's what we're thinking. I don't know. If all of you think that is essential, then we'll take a call, internally talk and discuss what is to be done.

Venkata Subramanian: And in the earnings presentation, major orders received is given as a list.

Susheel Aggarwal: Yes, in the presentation, it is given, right. But there is a three -month gap. So, for investors -- all the companies in the same field and other fields, they are announcing periodically whenever they are getting orders.

Venkata Subramanian: We will look into it and if it is required, then we will also try and do that.

Susheel Aggarwal: Okay, best of luck for the future. We hope all the best.

Moderator: Thank you very much . The next question is from the line of CA Garvit Goyal from Nvest Analytics . Please go ahead.

CA Garvit Goyal: Hi, am I audible?

Moderator: Yes, sir.

CA Garvit Goyal: Good morning, sir. Congrats for a good set of numbers. My question is on the QIP utilization.

So we have started utilizing the QIP for newer products. So, as far as I understand, we are investing for extended versions of the existing products only. So, for example, let's say we have three products, product one, two and three.

So, currently, what we are focusing is developing one product, one point two, two point two and three point two. That is the newer products under the existing category. But considering a lot of technology focus of the defense industry and the changing army requirements in the future, are we also focused on developing the completely newer products for the R product market like product number four, five, six and so on? So, that is my first question.

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S. Rangarajan: Okay. We are not doing incremental design on old products. We are not doing an upgrade on old products. We are doing whatever you want me to do. Doing four, five, six. That is what we are doing.

See, what happens is competencies, technologies being common, building blocks being common, it is redesigned to build a completely different product. A different animal with enormous capabilities, really world class. We are building world class systems.

We are not doing incremental d

design changes. That is why a fair amount of money is taken to the market. And this is going to complete qualifications, etc etc. So, new products are being done for all three services.

CA Garvit Goyal: I was asking from the technology point of view like we are having one technology, right? So, are we also focusing on bringing up the newer technology so that we can further expand our portfolio?

S. Rangarajan: See, as a design center, we continuously work with contemporary technologies. So, whatever products we are designing today will be world class in terms of technology, component, design, everything will be world class. It will be contemporary technology.

It is not the old technology being put in a new bottle. No.

CA Garvit Goyal: And sir, are we still on the guidance of 25% growth in revenues and 30% growth in bottom line?

Venkata Subramanian: As of this year, yes. No, our guidance is 20 -25%. It is not 25%. We have given a top line growth guidance of 20 -25% which we are largely on target. And as regards bottom line...

CA Garvit Goyal: It was 25%, sir. In the earlier cone calls, it was 25%, sir.

S. Rangarajan: Okay, whatever. We are in line with that. I do not think there is any drastic change.

We have a lot of orders you can execute. It depends on what mix is going to get done in the next two months based on customer requirements and how they want to really pick up the contracts. We are in line with guidance.

CA Garvit Goyal: Understood. And lastly, on the export side, we are iterating that the big export orders are expected. So can you put some more color like the timelines by which we are going to expect them?

S. Rangarajan: No, no. I never said we are expecting big exports. I do not think I have been -- it is a miscommunication that has happened. We are very small in exports today. We have an order book of probably, I do not know, INR80 crores, INR90 crores, INR100 crores of export orders. Around that much we have export orders. Which probably will export most of it can get executed next year. But that is in our mind is not very large.

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So what we are saying is we are going to speed exports to ensure that that can be a substantial kind of business four, five years down the line. So that is what we need to do. Because the competence is being so heavy, I think we should address the global markets is what we believe. But the opportunities here are real. So we will focus our capacity to addressing these markets. See the export markets as they go along.

Because it takes enormous time to convert markets, get their acceptance, etc etc, in the export business in civil. So we will do that over a period of time is what I am saying.

CA Garvit Goyal: Understood. That is it from my side, sir. All the best for the future. Thank you.

Moderator: Thank you very much. As there are no further questions, I would now like to hand the conference over to management for closing comments.

S. Rangarajan: Thank you everybody for participating in this earnings call. The only one thing I would like to leave behind is we have been giving guidance and growing consistently as per guidance. The important thing is we have visibility because the order book was talked of quite a lot.

We expect some contracts to happen in the next two quarters, which will keep in line with whatever estimates we have been giving you in terms of guidance. But more importantly, when we went for QAB itself, we said that we need to scale the company. If we want to do 1000, 2000 floor scaling, we need to have addressable market.

And that means that we need to have products which can address the market. One other thing is to go to make two and tender programs and try to see win or lose a tender. But that is going to be not very predictable business.

So we said let us get into predictable business by building

products ahead of requirement,

knowing the requirement is there, and positioning the products so that we get that addressable market converted. This is the idea which we are doing on very deep tech development is what we are doing today. And we have increased our manpower, our infrastructure to do this.

The capex is going to come also to ensure that these products which we are designing now, there is a manufacturing infrastructure created in parallel. So all this we are doing in the next two years' time and the product development is online. So the main thing is we have not looked at our earlier days.

It is not a quarter -to-quarter kind of a business. Our business is more longer term, though we manage a reasonable quarter -to-quarter delivery today because of online order books. So the capability has been built up.

The focus is going to be on the next five years, what do you want to do? And the idea is to build a sizable business which is sustainable business on the next five years to 10 years' horizon. So we just started on the bottom of the curve now. We expect a lot more to happen as we go along.

And that is what the company is working for.

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Thank you very much. And if you have any further questions, kindly send it to Go India Advisors and we will answer them gladly. Thanks a lot to everybody for joining the call.

Moderator: On behalf of Go India Advisors, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2024

SEC/SE/019 /202 4-25
Chennai, May 23 , 2024

To
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra(E),
Mumbai - 400051
NSE Symbol - DATAPATTNS To
BSE Limited
25th Floor, P .J. Towers,
Dalal Street,
Mumbai - 400001
Company Code: 543428

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 - Transcript of Earnings Conference Call

Dear Sir/Madam,

Further to our earlier letter s no. SEC/SE/009/2024 -25 dated May 13 , 2024 intimating the schedule of Earnings Conference Call on the financial results for the quarter and year ended March 31, 2024 , please find enclosed herewith the transcript of the Earnings C onference Call held on Tuesday , May 21, 202 4 at 10.30 A.M. IST.

The transcript of the earnings call is also available on website of the Company.

We request you to take the above on record and oblige.

Thanking You.

For Data Patterns (India) Limited

Prakash R
Company Secretary and Compliance Officer
Membership No: A34652

Encl: As above

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"Data Patterns (India) L imited

Q4 FY '2 4 Earnings Conference Call "
May 21, 202 4

MANAGEMENT : MR. S. RANGARAJAN – CHAIRMAN AND MANAGING
DIRECTOR – DATA PATTERNS (INDIA) LIMITED

MR. VENKATA SUBRAMANIAN – CHIEF FINANCIAL
OFFICER – DATA PATTERNS (INDIA) LIMITED

MODERATOR : MS. MONALI JAIN – GO INDIA ADVISORS

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Moderator: Ladies and gentlemen, good day and welcome to Data Patterns (India) Limited Q4 FY24 Earnings Conference Call, hosted by Go India Advisors. As a reminder, all participant lines will be in a listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone.

Please note that this conference is being recorded. I now hand the conference over to Ms. Monali Jain from G o India Advisors. Thank you and over to you, Ms. Ja in.

Monali Jain: Thank you, [inaudible 0:00:38] .

Management: Excuse me; I'm unable to hear anything.

Moderator: We'll hand it over to the management right now. Sir, you can go ahead.

Management: Yes, we couldn't hear anything what Monali says. Anyway, thanks to Monali. Good morning, ladies and gentlemen. Am I audible?

Moderator: Yes, sir, your voice is audible. You can go ahead.

Management: Okay. Thank you for joining us today for the Q4 and FY24 earnings call. I hope you had the opportunity to review t he earnings presentation available on both the stock exchanges and on our website. Before Venkat presents the financial results, I'd like to provide a brief overview of some important updates and key highlights for this quarter and the financial year. FY24 has been another successful year for data patterns. Over the past three decades, we have strategically advanced the value chain by developing complete systems using reusable building blocks and leveraging on our existing competencies.

This strategy has f acilitated our expansion in a small way into new geographical markets, including Europe and East Asia, where we have successfully competed with foreign OEMs. Our sustained investment in products and technology has positioned us at the forefront in our fiel d. Over the years, our strong R&D capabilities has enabled us to undertake significant product development. We have successfully devel oped and delivered nine precision approach radars to the Ministry of Defense for the Air Force and Indian Navy requirements .

Delivered comment and alien systems as well as self -protection suites for land, mobile and reconnaissance aircraft [inaudible 0:03:04] . Data patterns has an order book of about INR1,083 crores at the end of FY23 -24, which has grown 17% year on year, and a CAGR of 30% between 2021 and 2024. Our diversified order book with significant contributions to radar at 64% and avionics at 21% highlights our strategic positioning.

While Venkat will discuss the results in detail, I just want to touch upon the financ ial performance for the year. In FY24, our revenue from operations witnessed a 15% growth. EBITDA demonstrated a growth of 29% over FY23.

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EBITDA margins during the year stood at 43%. The broader context of our performance is shaped by the significant tran sformation underway in India's defense sector. The government's initiatives, such as Aa tmanirbhar Bharat and Make in India, coupled with increased capital outlay are driving this change.

These developments provide an excellent platform for companies like us to capitalize on substantial domestic opportunities in defense sector. Keeping the sectoral tailwinds in mind, we are committed to sustaining a revenue growth of 20% to 25%. As part of this product development initiative, Data Patterns is developing com plete systems in radar, electronic warfare systems, and communication systems in line with the in -house commit competencies meeting international standards.

These products are expected to bring in revenue growth over the next three years post -trials. For FY24, the board has recommended dividend of INR6.5 per share at 325% and equity share of INR2 e

ach, which is subject to approval in the ensuing AGM. We are committed to maximizing value to our shareholders.

At this point, I will pass the floor to Venkat f or his comments.

Venkata Subramanian : Thank you, sir. Good morning, ladies and gentlemen. We are happy to present our annual

financial highlights for Q4 and financial year 23 -24. Let us look at an overview of our financial results. For financial year 2024, our revenue from operations increased by 15% year -on-year, reaching INR520 crore s. We maintained a robust gross margin of 68%.

Development contracts contributed to 42% of our revenue mix, with production at 54% and service at 5%, showcasing growth across all three categories. EBITDA of 220 crores witnessed a notable year -on-year growth of 29%, with an EBITDA margin of 43%. Profit before tax stood at INR242 crore s, while profit after tax surged by 47% year -on-year to INR182 crore s.

In Q4 of FY24, revenue was flat at INR182 crore s. We had a better quarter -on-quarter performance in financial year 23 -24, with Q4 contributing to 35% of the yearly revenue, as against 41% in the last financial year. Profit before tax stood at INR95 crore s, while profit after tax witnessed a 28% growth, reaching to INR71 crore s.

We continue to be a debt -free company. Our receivable days came down by 28 days, while inventory days increased by 32 days, due to advanced procurement of materials for contracts deliverable in FY24 -25 and 25 -26. As of March 31, 2024, we hold over INR745 crore s in cash and cash equivalents and liquid investments, underscoring our financial strength and liquidity. Overall, we delivered a strong performance in Q4 and FY24, and are confident of a steady growth momentum for the year ahead. We will endeavor to bring down the working capital days and sustain a margin of about 35 %-40%. With this, we will now proceed to Q&A session. Thank you.

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Moderator: Thank you. We will now begin the question and answer session. The first question comes from the line of Jyoti Gupta with Nirmal Bang. Please go ahead.

Jyoti Gupta : Good morning, sir, and thank you. Congratulations for a good set of numbers, something which I had anticipated. Two things that I would like to understand in terms of revenues. What is going to be the percentage in domestic and exports? What is going to be the contribution of exports coming from the revenue side?

Ballpark maybe in the next two years? What do you anticipate? Second is, do you expect your inventory days to go down from 187 in FY25? Third is, there is a steep decline in your raw material cost. Could you give some flavor on what are the key reasons for this decline in raw material cost?

Management: Okay. Let me take this question, last one first. There is no steep decline in raw material cost. Our margins vary with the contracts we execute. The gross margin varies with contract to contract. We had a good set of contracts where there is a lot of IP of ours, so the margins have – last financial year, the margins were better than the previous financial year. And most of the orders being single vendor, we had the margins available with us. So it's not necessarily the raw materials have gone up. That is why our margins have gone up.

Second is on the export and domestic. The opportunities in India is very, very high. Okay. And we are trying to now go into making India solutions against traditionally importing, you know, weapons systems and equipment, you know, defense equipment from abroad. So this has opened up a lot of opportunities in India. The growth story has to be more in India today, and later you have to look at exports.

Having said that, so the last part of the business is going to be Indian, and the growth is going to be here. We have order book of more than INR70 crores from export orders, which we won against contracts. So

we are single vendors. Some are open competition for products designed and developed in India. These are our offset contracts. This has been developed by us with local IP. So we expect that these will be exported during the course of this year. So if you look at, that is going to be there.

The third question, you want to know whether inventory will go down. It all depends on the mix of contracts which we get. We had some large contracts which we have, bought inventory and inventory gone up from last year to this year because you're holding inventory for execution for some of the contracts this year as well as next year. So inventory has gone up. So this is going to be more towards the kind of contracts we're expecting rather than a forecast for inventory days.

This business has a larger inventory days. Inventory turnover ratio will be low in defense business because it's a capital -accruing business, plus there's a lot of acceptance criteria before the consignment gets shipped. So there's a lot of interaction with third -party agencies. So inventory days become slightly longer. But our interest is to reduce working capital days, net

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working apple days, which we're working towards. So the next two, three years, you will see a substantial decrease in terms of net working apple days going ahead.

Moderator: Next question comes on the line of Abhisek Sundar from Naredi Investment Private Limited . Please go ahead.

Abhisek Sundar : Yes, okay. My question currently, what is our order pipeline today? And out of which, how much is the L1 order and what is our success rate?

Management: Presently, we have about INR1,000 odd crores order book on hand as of today. And out of which, I think about INR360 crores to INR400 crores have been in L1 business. I think, I'm not very sure exactly. I don't have it in my mind. I don't know about two large contracts with L1 businesses. So I'm saying around 35 % to 40% could be L1 business.

The rest are all mostly single vendor business as an order on hand situation. On the order pipeline, which you talked about, we're looking at a pipeline of more than INR2,000 crores. But those pipelines, when you predict to the market, is all based on previously delivered orders or single vendor contracts expected.

We don't talk about pipeline with respect to competitive business because competition goes either way, whether it's a zero or one. You may also lose the business. So I'm not predicting or forecasting. The numbers I give to you are based on only data patterns products and single vendor or repeat business, production business, from whatever we've delivered earlier to the DRDO.

Abhisek Sundar : So, sir, how much order will we get in FY '25? Order inflow in FY '25?

Management: We expect another INR1,000 crores order intake during the course of this financial year.

Moderator: Thank you. Next question comes from the line of Dipen Vakil from Research Analyst. Please go ahead.

Dipen Vakil : Thank you for the opportunity, sir. And congratulations on great margins. So my first question is on the line of, sir, you won a significant order from Bharat Electronics in this quarter. So can you give some more light as to what platform or product that pertains to?

Management: I'm not really sure whether this Bharat Electronics order will come this quarter or next quarter. We're expecting some contracts with BEL , but it has still not happened. There's been a delay in that contract. Hopefully, we expect that in the next two quarters, we should get the order. But I think it's a bit preemptive now. The contracts are still not in our hand. I don't think it is appropriate to talk about the contract or the platform. We get the contract, maybe it's the right time to talk about it.

Dipen Vakil : Apologies, sir, because I asked that question because it was already there in the major order

received in 4Q. So my second question is on the R&D plan. So you plan to...

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Management: Sorry, sorry. One second. There's one more order already received for last year. I was thinking you're talking about this year. Last year, we received an order. This is for a program called Arudhra , where it's a radar. Eight radars were delivered by BEL, and we won some contracts as part of that order.

Dipen Vakil : Okay. Thank you so much for that clarification. Sir second question is on research and development expenditure and capex. So for 4Q, you will be incurring around INR150 crores in the next two years. So can you give us some guidance in terms of where we will be investing that and what are the new products and development that we are focusing on in the next couple of years?

Management: Okay. See, our capex spend is going to be two levels. One is in factory building and infrastructure, which is going to be spent in the next two years. Because expecting the larger contracts to happen, we have to create an infrastructure to deliver on those contracts. We've already bought land nearly about 4 acres of land right next to us. So we expect to build some more factory infrastructure in the next two years, and also some test infrastructure for the ensuing contracts to deliver.

So that infrastructure will happen. Maybe INR100 plus crores will be spent over the next two years on this. We are making estimates internally and getting board approvals before that is spent. The other thing that you talked about is product development. We have raised money last 23 March for product development during QIP. So that already we have started spending money on certain areas of operation.

The main areas we have spent is going on is to radars, into EW, Electronic Warfare suite, and communication equipment. The three areas where money is being presently spent. A lot of development work has already happened. So the next three to six months' time, some of the products will start coming out, and we'll start undertaking trials with the customer to see that acceptance is there. So this is the first area of investment we're making, and that will be around

another INR100 crores plus we'll be spending on these areas of development.

Dipen Vakil : Got it. So just a small follow-up, sir. What would be our R&D expenditure as a percentage of revenue for this year, FY '24?

Management: Maybe around, this is development expenses. We have taken a separate fund available from market for this. And so, but maybe if you look at 20%, maybe about 20% to 25% of our overall revenue, we'll be doing actually product development this year. And it will be going to the next few years like this.

Moderator: Thank you. Next question comes from the line of Hardik Rawat with IIFL Securities. Please go ahead.

Hardik Rawat: Hi. Good morning. Thanks for the opportunity. Firstly, I wanted to understand what sort of, like you mentioned that you're looking at about INR1,000 crores worth of inflows in FY '25. I wanted
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to understand within this, the Arudhra execution, what should be the value of that and often flow from the Arudhra program? And what would be the execution timelines for this year?

Management: No. This Arudhra, already we received the order as of last year. And that will be executed over the next three years as per schedule given by Bharat Electronics. But that is not part of the future expected orders this year.

Hardik Rawat: All right. Another, I had a couple of questions with regards to the balance sheet. So, there's a sharp jump in the other current liabilities, which has led to a substantial improvement in your networking capital cycle. Can you please explain what this jump is? How, what is the reason behind this jump? I think you want to answer this

is?

Management: Venkat do you want to answer this?

Venkata Subramanian: Yes. Other current liabilities basically is because of advances received from, against contracts from customers. Last year, it was around INR190 crores. It has gone up by almost INR100 crores. That is reflected in the other current liabilities increase in the balance sheet. It's advances from the customers. For two contracts, actually, we have got additional advances. That is what is reflecting in the increase.

Hardik Rawat: Understood. And also, like you mentioned that you have an order pipeline of INR2,000 crores for FY '25. Is that correct, right?

Management: The pipeline is not just FY '25 or FY '26. It's a pipeline, yes. For FY '24, FY '25, we expect a new order intake around INR1,000 crores.

Hardik Rawat: Understood. And so, I just wanted to understand, lastly, your guidance in terms of revenue margins and networking capital cycle for FY '25.

Management: We expect to grow the business 20 % to 25 % percent in terms of revenue. And with EBITDA margin of around 40 %, 35% to 40 %. And bottom line growth of probably about 30 %. And as far as the working capital day is concerned, can you give some numbers?

Venkata Subramanian: We are working towards reducing the working capital day. Actually, this year also, FY24, if you see, renewable days have come down by almost 30 days. But still, the net cash conversion cycle is high because of the inventory. Inventory is expected to be high only. But we will... Over the next couple of years, we will reduce the number of cash conversion cycle days to about 270 days to 280 days. That will happen over a couple of years only. Say for FY24, FY25, it largely depends on the inventory days.

Hardik Rawat: Got it, sir. I'll get back in the queue. Thank you.

Moderator: Thank you. Next question comes from the line of Parvati Rai with Equentis Wealth. Please go ahead.

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Parvati Rai: Thank you for taking my question. So, with respect to the outlook given on revenue, while we mentioned that revenue growth of 20 % to 25 % for this year, and on a sustained basis, the slide also states that 25 % plus CAGR over the next couple of years. So, I want to understand, last quarter as well, we gave a revenue outlook of 20 % to 25 % and prior to that just 25% , but came in at almost 15 percent Y -O-Y.

So, what exactly should we kind of look? Even for going forward years, should we take it at 20% to 25 %, or would it be 25 plus percent CAGR that we are speaking of?

Management: See, last year also predicted about 20 % growth. But we could not, our original plan, internal plan was about 540 plus. We achieved doing 520. This is because two contracts, products are ready to dispatch, but inspection is getting delayed from customer. So, still the inspection is not... So, one is finished, the other one is still to start. So, we were actually close to guidance,

but we could not do that because of third -party interaction. Those are products already. Second is , however, we are able to keep the bottom line growth because the particular contracts had better margins, so we could do this. And of course, this is also predicted by us in our budget to our board. Coming to your second question is, this is the reason wh y the prediction was slightly lower. Actually, we achieved lower than the prediction, so the bottom line wa s in line with the expectation.

When we say 20 % to 25 %, I think we should be able to achieve this. Maybe even more than that, proba bly we can do, dep ending on how the delivery happens this year, because it is a complex delivery. A lot of development is there, so that is why we are giving a range in case we are able to go through the process. It is not just the company which is involved here, the third -party inspections are there, and the customer is develo pment -oriented.

So, there are likely to be u ps and downs in this on quarter -on-quarter. So, that is why we are giving a range, but I think we would be able to achieve whatever we are telling you now. 20%, 25%, 25% plus, we should be able to do it.

Parvati Rai: Okay, and on the margins...

Management: We have an order on hand and some of the orders, expected orders also, we started advance work to see that we deliver on time, with the customer expectation, so I think we should be very near guidance in what we think.

Parvati Rai: Okay, and with respect to the margin outlook as well, so while this quart er saw a very good margin at 50% -plus, so what I am looking at is how sustained is that? While 40 % is something that you have guided for overall in your PPT, while you gave your starting commentary, it was outlook was given at 35 to 40. So, I am just trying to understand, where does that sustained margin lie?

I mean, from that lumpin ess that we saw du ring quarter four on the higher side of 50 %-plus, would that be repeated during the year sometime? And what brings in that? I mean, while you Data Patterns (India) Limited

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did mention that it was the IP and not more of the raw material, which brought in that expansion, could you just h elp explain that? Because while 35 % to 40 % is something that you put in your opening comments, the sl ide presentation does have a 40% plus sustained margin. So, I mean, should we expect the upside that we saw during this quarter again sometime during the y ear, or how frequently, given that IP is now being leveraged?

Management: I don't understand the question ...

Parvati Rai: So, basically on the operating margin, you did mention that when somebody did question that the raw material cost was one of the reasons for an improvement in margin. So, you did mention that it was not exactly the raw material cost, but also the company's own IP that was used. So, I just wanted more clarity around that, on how it helped improve margins, and going forward, I mean, should w e expect more margin expansion as the company uses the IP products?

Management: See, what really happens, if it's our product developed completely in -house and we sell it, typically the margins have been reflecting on our various years in the P&L, which yo u've seen in the last three years. What happens sometimes is a mix of contracts is not just our products.

They also take some integration and make it more deliverable. In which case, then, when you buy products and integrate, obviously, it's not our margin . It's an integrated margin of the overall system. So, margin tends to come down. So, it's a question of the contracts we take, and depend ing on that, the margin varies.

So, coming back to the question of this year, what we do, why we're saying 35 % to 40% , a range is basically because the kind of revenue, which projects will get executed over the course of the year. That may vary. That is why we have given a range. But if it is only our products, it will be around 40%. But when you increase, when you try t o integrate systems, it comes lower. So, cumulatively, it comes to 35 % to 40%. So, we're likely to do a better revenue, higher revenue, and if the range, then the margins are so metimes lesser. That's why we've given a range. But we're closer to 40%, which is what we expect .

Parvati Rai: Okay. So, one last question. Primarily with respect to the order inflows that you spoke, so you did kind of put in at around INR1000 crores f or the full year of FY25. So, quarter three , we did mention about INR5 to INR6 billion over the next couple of quarters, which we did say in Q4 around INR300 crores.

So, I mean, I want to understand of the INR1000 crores order inflows that we're talking, would that be spread out across the year, or are we expecting in Q1 and Q2 to have broken the last quarter a major chunk of it, at least 50% out of th

at, during the first half? And we just want to

understand how the inflow would be there during the first part of the year.

Management: This will be spread through the year, because th e inquiry, some have come, some have to come.

So, there will be delays in the inquiry and negotiations and final order happens. So, I can't give you a quarter -to-quarter estimate at the present moment. In our own thinking, in our budget, we expect to, not ship more than 10 % to 15% of the incoming order book for this year's execution.

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So, it's all meant for next year and year after next execution. So, the order flow will happen over the year. I can't clearly specify the exact quarter it will happen, though we have an indication. But, you know, it's not better to commit on that right now.

Parvati Rai: Okay, that's it from my side. I'll fall back in a queue. Thank you.

Moderator: Thank you. Next question comes from the line of Gagan Thareja with ASK Investment Managers. Please go ahead.

Gagan Thareja: Sir, the first question is around the guidance that you've given. In your top line guidance, you indicated a 20 % to 25% margins, outer limit of 40%, which is lower than what you've done this year. And yet, I think you indicated a profit guidance of 30%. So, I'm just sort of trying to reconcile if the margins year -on-year are going to be slightly lower than what they have been in '24, then why would, the profit guidance be 30% for a sales guidance of 20 % to 25 %?

Management: See, this depends on revenue growth, operating costs, and overall margin, and also the kind of products which we ship this year. So, that is why I've given you the approximate guidance numbers. I think we should retain, we want to retain the guidance of, trying to somehow make the bottom line growth as important to our office, our operations. So, our focus is there, and focus is on margins.

So, there are some contracts we've taken up which probably has lesser margins. The revenue growth may be higher than what we've suggested. If we manage to ship those revenue, but our mind is on the bottom line growth. So, that is why we've given you this, and not given a complete, ever segment correct representation which is mix of contracts except deliverables. So, I've given you growth numbers accordingly.

Gagan Thareja: So, what you're suggesting is that either the top line can be more than what you're currently guiding?

Management: Can be more, can be more. We want to retain our guidance for the bottom line, so can be more. So, it depends on how the year proceeds. So, that is why I've given you a typical number range.

Gagan Thareja: Okay. And you've also somewhere in your PPT indicated that share of DRDO contracts will come down in revenue contribution, and that of MOD will keep going up. Is it possible?

Management: I don't know. Did I make it to the PPT? I don't think so. I think I made it in the CNBC interview this morning. Maybe you listened to it. Maybe you're one of the listeners. I don't know. See, what I was asking this question was brought in a very broad kind of perspective. There's a lot of dependency in DRDO contracts now even today, we do a lot of DRDO business. And that is another contract which you get.

Based on which repeat contract comes from Bharat Electronics or HAL or the PSUs. This is how the line of business has been going except some few contracts like Precision Approach Radar we directly got a contract bidding openly in MoD tenders. What we did tell the CNBC interview

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here is that going ahead we will continue to engage with DRDO for our programs. This is where we learned our business.

We learned our competencies. We'll continue to engage with them and try to do more with DRDO. But having said that, if you want to scale the company to a

few thousand crores it has

to necessarily come from a market which is MoD-driven. MoD-driven markets are very large. So we need to address that market. We have to get the growth which we are planning to especially considering that the competency the company is build over so many years and also that we have taken money to do product development we are in the market actively developing products.

So these have to finally go to MoD sales. So we are trying to engage MoD at a large level to see whether we can have products when the inquiries are coming in where most companies work with collaborations. We try to work with in-house IP. So that is where the development mode financing is coming into picture. Going ahead 3 years, 5 years I think scaling will happen with MoD business that's what I said.

Gagan Thareja: Right sir. I'm just trying to understand from a margin and working capital perspective are the MoD orders going to be different in their constitution compared to the DRDO orders?

Management: It again depends on whether the MoD contract is purely designed 100% designed developed by

us or it also involves vehicles and other subsystems generator sets, UPS, antennas, building. If these were to come into picture there will be integration costs also attached to it and the kind of contract, the margins will vary.

It is only our contracts with IP then we compete with foreign vendors. So the margins tend to be higher. Again, it clearly told here your contract is not [inaudible 32:26] because you have to bid against very many companies and consortiums and we have to get a lower score and be there. So there will be a mix of both.

I don't think it is a clear-cut answer. What is important thing is we want to scale the business multi-fold in the coming years and we want to be profitable in the coming years going ahead. So we want to see that sustained bottom line growth is happening over the many years. This is the idea. Obviously, some contracts the margin levels will come down because there is competition and we are integrating.

So that we have to be very clear about, but these are all contribution margin pricing which we need to do. As long as we are able to handle the overheads and shift the consignment, that's what we look at. The size of business is very, very large. So the focus is going to be to build products to address the size of business. That is going to be the - not that we will not make any bottom line that is not the kind of business we are looking at.

Gagan Thareja : I appreciate that. From a capital standpoint my question was simply that while looking at you guys...

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Management: I have explained to you on that. See we also get advance against every contract and in a MoD contract typically what happens is, it is not a contract which is a one-off shipment. It is going to be during the course of a few years there were multiples of orders. The shipments happen over various stages of the overall cycle of production on the overall project life cycle or the program cycle. So there is cash in flow coming in together and we have advance also ahead. So we should be able to manage the working capital with non-fund limits, bank guarantee limits. We should be able to do that. I don't think we'll be very hard-pressed for working capital going ahead. We're also generating a lot of cash ourselves.

I don't think we're particularly worried about my . Of course, we need to do the conversion cycle, reduce net working capital we have to bring it down and this is mostly happening not in MoD contracts or production contracts, it happens more towards development contracts, acceptance and so many other things happen. So as long as the production contracts become larger in the overall percentage which we have the working capital cycle will come down. So we expect

it to

come down going ahead not go up as a percentage of the contract.

Gagan Thareja : Optimally, how much should it come down by I mean, what could be a stable, sustainable working capital in days sales ?

Management: I think Venkata just said the next 2 years we'll come to expect over 280 days. And going ahead, we'll probably with the nature of contract and business we'll try to bring it down consciously.

Gagan Thareja : Okay. And sir on the BrahMos seeker what's the status of development because the order pipeline for BrahMos as a company is fairly large, more than 30,000 crores . In between you and I think Electronic Corporation of India the seekers have to be supplied and is the qualification for that already done from your end ?

Management: They're yet to fly it as a missile. That is getting postponed for various reasons. So as and when they complete the trials we should get the contracts. So today, we're not projecting the contract internally maybe it will happen in the course of this year.

Gagan Thareja: Is this for the BrahMos NG or is this for the current version of BrahMos?

Management: BrahMos NG is still not a product which has been launched. It will be for the current BrahMos.

Gagan Thareja : And what could be the possible timeline for making the approval?

Management: I'm not able to comment. You should ask BrahMos that. It's the wrong on my part to comment on that. They have to do the field trials and then come back to us, but they are showing urgency and maybe 3 months , 4 months because next month it starts raining they won't do the trials. So maybe after the rain comes on immediately the trials will happen, but in the meantime they're talking about some orders for pre-production. So this all has to happen. Hopefully, over the course of this year this should convert is what we're hoping, but we can't say for sure.

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Gagan Thareja : Right. And HAL now has clearly indicated that [inaudible 36:41] 16 per year sort of assembly and delivery is already scheduled and with the Nashik facility coming on stream towards the

second half of this financial year probably 24 a year. So from that perspective you perhaps get some visibility over and above that.

They also indicate that for the next 3 years they have a pipeline of almost 160,000 crores between helicopters and aircrafts. I'm presuming that from an avionics standpoint you are very much there to participate in both the platform and fixed wing and rotary. Could you give some idea I mean does this visibility coming from HAL give you some sort of a line of sight for the next 3 years, 4 years on work related to that?

Management: It's a bit too early for us to comment on it. These are internal programs and projections of HAL. Unless we get indicative RFQs from them on timelines on delivery and whatever we're developing in some of the aircrafts which you're talking about I won't be able to comment. We've taken a very small percentage, very small contract value compared to the numbers you're talking about for this year very important.

So the contract once it comes we'll deliver probably this year, depending on their schedule. The rest of the things the inquiries have not come. So as and when it happens we'll be able to take it.

We're not projecting it in this year's order intake.

Gagan Thareja : I get that point. My question is that from if HAL gives the visibility of 5 years, 7 years challenge?

Management: They've not given us any visibility for us to comment on it.

Gagan Thareja : They're talking on their investor calls so I'm presuming that there is a good [inaudible 38:31]. I'm just trying to understand and assess what could your opportunity size from that standpoint?

Management: We can't comment on it because we don't have any visibility there. So we don't want to comment and get into another

call which says why this didn't happen. I'm only commenting on what I have knowledge base about and what may happen tomorrow we'd be very glad to obviously participate. We're looking forward to such requirements. At the present moment we can't comment because trials are all in some of the aircrafts and after trial completion and acceptance and then how the aircraft force and HAL view this then only contracts can be happening. So it's a bit premature for me to comment on those things.

Gagan Thareja : Okay thanks. I will get back in the queue.

Moderator: Thank you. Next question comes from the line of Abhishek Poddar with HDFC Mutual Funds. Please go ahead.

Abhishek Poddar: Hi, sir. Thanks for taking my question. So regarding the margins, sorry, one question on this, we have about 40% from development contracts and 50% plus from production. Would the margin be very different in these contracts and also as your production contracts would increase, as the revenues increase over the next 2 years, 3 years, 4 years, would we see a mix on the margins

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because of that happening? And the reason I'm asking this question is because when your peers are there their margins are much lower when their production is a major part of their revenue mix.

Management: Okay. See, this question is answered many times. See, what happens is margins are not depending on the development or production contracts, especially when it comes with DRDO driven programs. It remains static irrespective of what it is. What really makes the difference in margins is what is the competitive scenario and at what cost we got the product. Is it L1 business, et cetera?

Some portion of the L1 business, obviously, the margins become lower because we buy, integrate, some of them to make the systems. Some of the other contracts that you have developed everything in-house, our margin becomes higher. It depends on how much we contribute towards the product. On the final delivery. That's how the margins vary. It has nothing to do with development or production. That's one hand. That's not also true when you look at another perspective.

Suppose the MoD, business comes and we are competing with so many people, we need to compete and get contracts. So obviously sometimes margin will suffer. But again, quoting INR50 crores contract, INR20 crores contract, INR150 crores contract in DRDO. The contract is INR1,500 crores, INR2,000, INR3,000 crores, INR1,000 crores kind of contracts in MoD. So obviously we may not be able to keep the same kind of margin percentage because a lot of bottom comes and integration happens. The margin comes down there. But overall revenue will substantially go up, kick up multiple times higher. So this is the business to be in.

In those businesses, what we plan to do is wherever electronics is coming into picture, if we can develop the electronics in-house with our own IP rather than relying on foreign IP and foreign products and do manufacturing alone for them, our margins then become necessarily higher.

And once the margins are necessarily higher, it also gives us the leverage to see, if we can be competitive in reducing margins, can I quote be a level-one business. So this is a leverage for me to win more contracts.

And also support the products for the next 20 years of lifecycle support . The local support is not going to costly support from foreign OEMs. This is the name of the game as I see it. Each people work out differently. A lot of companies who don't have a local IP depend on foreign OEMs to provide IP. So they become costlier. But still they win the order because their margins can be very low. They win orders. So this is a game that's being played.

Today, India doesn't develop full systems. We're one of the few companies that are trying to say, why didn't we develop the full systems

here in India rather than having collaborations? So this

is how it goes. Our future, what we're looking at is, develop products ahead of time, build the products in-house, see that when the new inquiry comes in make one, make two, or buy and sell whatever opportunities come from M oD. Can you position our products with IP and product tested here to give a better winnability and scale the business substantively? That is the game which we are trying to play

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Abhishek Poddar: Regarding the order book that we have, the pipeline should of 2024 that you mentioned. Should we assume that the system integration contract can be margin dilutive , those are very limited in those?

Management: For a contract on hand, there is two contracts where there is a lot of system integration or bought over, a building land and building, all of this coming into picture. Some, one or two contracts, the margins are lower. But rest of the contracts are our exact development on IP developed by us, so it remains the same as what we've been doing all along.

Going ahead in the next 1000 floors we'll talk about, these are not contracts which is going in for multiple vendors and mix of contracts and integration is not there. So there , the margins are likely to remain what we've been doing the last so many years.

Abhishek Poddar: And just one more question. On the BrahMos [Inaudible 43:45] This year's product was tested in 2018, and now it is yet to be tested. This confidence that we have that we should be getting the orders based upon the product quality, or what assessment is that, sir, if you can give some more color on this?

Management: Our product quality is good. It is just that they've not taken it for flight trials for a long time for various reasons. The moment they take our flight trials and they passes the flight trials, we should get an order. This is what they've been telling us, but I have no control over when they will test it.

So we are also impatiently waiting like you , when the trials will get conducted. The one thing, one difference is our seeker, whatever you say, like I've always told you, is that we designed everything in-house. The gimbal is designed by us, the motor controller is designed by us, the mechanical substance is designed by us, the transmitter is designed by us, the signal processor is designed by us, the up-down corner is designed by us. Everything is designed in-house. We don't buy. So obviously the quality is in our control.

Moderator: Thank you. Next question comes from the line of Renu Baid with IFL Securities. Please go ahead.

Renu Baid: Yes, hi. Good morning, sir. Two quick questions from my side. First, just want to pick a bit of your inputs in terms of, again, in terms of guidance. Sorry for this. You mentioned about 50 %, 25% revenue guidance and 30% profit guidance, despite dip in operating margin. So is it that you're expecting a sharp jump below EBITDA when it comes either in terms of other income or sharp shrinkage in the finance cost? Any big change in the tax rate that we're expecting? Just trying to understand the math behind this.

Management: There's no very elaborate math. We kept the guidance conservative in terms of revenue. That's all I can say because depending on the mix of deliveries we do, we don't expect a substantial increase in other income because it remains whatever it is. Maybe a marginal increase may be there. We don't know. It depends on the capital during the course of the year. With other budgets,

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we think it will be remained around similar or slightly more is what we expect. And operating costs also, we have done the budget and cleared the board .

So you have an idea what the costs are. The idea is to keep the revenue growth, the bottom line growth. So we will try to

deliver some products to see that the bottom line growth continues to

happen. So that is all there is. Maybe the top line may also go up. But we didn't want to give

guidance on that because numbers are getting multiplied by market. So we don't want to give the multiplication and then fall back later.

Renu Baid: Sure. Secondly, if you look at the backlog closing backlog, especially for production orders, now we are nearly back to INR500 crores kind of order book. As of now, we are nearly INR480 crores kind of in close this year. So of these INR480, INR490 crores of order backlog for production orders, what proportion should be executable in fiscal 2025? The fact that you mentioned that Arudhra would be over 2.5, 3 years based on BEL's execution schedule?

Management: Yes, I think a large portion will get executed the coming year on the production contracts. I don't want to give a percentage, but it will be above 60%-70% will get executed this year. And some of the development contract will get executed this year is what we're thinking. We're also putting a small portion of the new orders coming in this year to be executed this year. And that is our budget internally being made.

Renu Baid: Sure. And in terms of investment in capex, how are we looking at our spend for fiscal '25-'26? In terms of expanding capacity capabilities for new projects?

Management: Over the next two years, we plan to spend some INR100 plus crores on capex. And so it all depends on when we start the capex purchase order and how long the buildings and other things equipment come in. So whether everything will get spent this year or it will be more to go to next year is something we have to, the committees are working on, working on the proposal for the board to clear. But over the next two years time, we should be able to spend that. Because we need the infrastructure for the future growth to put in. So we bought the land already for this. So construction will start and some contracts will be placed over the next three, four months. You see that infrastructure is getting created. This is one part of the capex we do. The other is our development. We continue to develop products. There also will be a larger part of the spend will happen this year over last year.

Renu Baid: Got it. And lastly, within the INR2,000 crores order pipeline that you have highlighted, are there any notable large projects or orders which you would want to highlight and which could be helpful for us to track in terms of progress in terms of investments and awarding?

Management: No, this is a bit too early for us to say. Let that happen. Let it all come up to the open, and then we will implement.

Renu Baid: Yes, any input in terms of where are these large projects like Ashwini, LLTR, etc etc, which where we were betting a reasonably large part of the pie. Where are they in terms of pipeline?

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Is it a part of the pipeline or still not in the foreseeable future the way the end markets have behaved?

Management: It is part of the pipeline only. This is not part of the INR1000 crores. I'm talking about revenue or order intake this year. The inquiries have come, we'll all be quoting, and we do not know who will get the order and what percentage we'll get. So we'll wait and watch the next few months to see what happens.

Moderator: Thank you. Next question comes from the line of CA Garvit Goyal with Nvest Analysis Advisory LLP. Please go ahead.

CA Garvit Goyal: Good morning, sir. Congrats for a good set of numbers. Just two questions. One is on the industry perspective. So are you people witnessing any kind of potential risks on the supply chain or demand side that could lead to a slowdown in near to medium term? Additionally, is there any emerging competition that might be capturing the market share or thereby impacting our order flows?

Management: We don't see any supply changes presently. We have no problem in getting material. So we don't see that. So that is not the problem. The second thing is you're saying there is a risk from challenges. What did you say?

CA Garvit Goyal: Emerging competition or any demand slowdown?

Management: No. Competition's always been there, but I've not seen any particular risk which has to be considered. Obviously, obvious risks are always there because the products we're trying to develop is already available abroad. So people do tie up and bring the products here. So that risk has always been there and continues to be there. The other risk is our revenue, what are the contracts we get with the DRDO, competition, this is always there, these risks continue to be there.

So the idea is, what we're trying to do is, try and be, build ahead of time to see that we meet requirements early and do an early mover kind of an advantage we have. Since we're developing in-house everything, we're trying to invest ahead of time and build the product to address the competitive risks which you're talking about.

CA Garvit Goyal: And any demand slowdown expected in the near to medium term?

Management: No, no, demand is very high, we are looking at a number of opportunities going ahead, a number of opportunities. It all depends on how we build products and whether we are competitive and

the opportunity arises. So this is how, and the other thing is build bandwidth internally to the office to see that we address the opportunities. So we are seeing those issues and we are addressing them presently.

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CA Garvit Goyal: And sir, regarding the utilization of QIP funds, so could you provide an update on the current status, specifically like how much of the QIP funds have been spent so far? And when can we expect the launch of any significant new products financed by these funds?

Management: On the development, as recorded in the balance sheet also, you'll see the INR40-odd crores has been spent over the last year, but largely out of all the INR40-odd crores and INR30-odd crores will be materials to procure for the products. And the people cost about INR7 crores to INR8 crores, INR10 crores or something people cost, the overhead cost will be there on the development. We will continue to spend a large portion of the development funds this year.

And the products, at least the physical products will start coming out in the next 6 to 10 months, will start coming out. And then we have to go through trials, flight trials, ground trials, whatever trials are necessary, and pass the trials. We are not able to clearly determine the timeline for trials because it's a multi-agency system. The government has to get involved in all the trials. So we are trying to see how best to address that and how quickly we should do it.

And that is going to be a work in process. But our end development, we will finish. But further, the product, we have to spend money on actual trials. And then only the contracts can happen.

So, but we are confident the products will meet the requirement. And it's world-class, today's generation products we're designing. So the second-to-none world-class products we're designing. So hopefully customers like it and allow us to do the trials and take it further.

CA Garvit Goyal: Fine, sir. And, sir, you mentioned INR40 crores is spent already out of, I think, INR500 crores we have raised. So what is the expected timeline for fuller utilization of these funds?

Management: If INR500 crores comes in various things, working capital, we're given a lot of classifications.

Development funds at QIP time is INR160-odd crores. It's a development fund which we have taken. Of course, the rest of the money also is available for development because it's all available as cash in our office today. So we're a

bit, we're keeping money now, looking at opportunities

and spending it. As the market turns, what are the areas where the market requirements are large and which you can address?

So we're trying to deploy that money to address the market requirements without actually spending all the money and then see the markets are moving slowly. So we're taking a cautious outlook on how to do this. Wherever we think there's immediate opportunities and there is unaddressed by anybody in the market, we're trying to invest money there and see that the unaddressed market is addressed by us.

So this becomes easier and also a world-class product for them. So we are doing that effort in-house. And I think it's a next-to-three-year kind of a program. And the idea is to be able to get some orders for the products against development we do today. We want to keep the development money in rotation. So we can continue to do further investment going ahead to scale the company to INR8,000 crores turnover. This is what our intent is. So let us see how it goes. But we have the money now so we are quite carefully spending it.

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CA Garvit Goyal: Sir, last question is on de-risking from the defense sector. Like last time you mentioned about some negotiations happening on other industries other than the defense. So how do you look at it? How do you see the other industries' contribution to our top line, say, next three to five years down the line?

Management: No, I didn't understand the question. What is that? I didn't understand the question. Can you repeat, please?

Moderator: We've lost the line. Next question comes on the line of Jatin Jadhav with Sahasr Capital. Please go ahead.

Jatin Jadhav: Hi. So sir, basically my question was pretty much answered but I just want some clarity from you. This question is regarding your competition. So based on your competition, your EBITDA margins are around 40 and others are slightly on the lower end. So I wanted to understand, since you are saying that you will maintain these margins, is it because of the IT we have developed in-house and the products we are making in-house and integrating them as well? That's why we have a higher margin compared to other competition?

Management: There are two reasons for it. One, we started development of products ahead of competition

many years back. So we have built, as you see with DRDO, we do parts of the product. Over a period of time, we have started building a large part of the product DRDO. And they will design all of us. There is other [0:57:08 people] may develop a smaller part of the product.

So [0:57:12 with the market now], we may we are probably getting repeat business from whatever we did seven or eight years back. And that has started coming in and kicking in. So that automatically. And second, we never developed the development cost. We never recovered from all those products. So we invested. In the last 15, 18 years, we have been investing on product development and competing with foreign OEMs and selling those products in India, absorbing the cost.

So we've been doing incremental development with our own money. And we return off all the development costs as part of revenue expenses. We never capitalized at all through our life of data patterns. So maybe those are all kicking in now. And we get repeat orders and numbers are coming. And our cost model is different because you don't either support it by an integrated by others. Since you're not buying anything, maybe the bottom line is better. We don't know. Maybe that could be a reason.

The second reason is probably some of the requirements are urgent. And some customers feel that we are in a position to deliver against the urgency and meet the requirement. So we get a lot of single vendor orders. So other people have to design and develop. We probably

have a design

in-house. So maybe we get a lot more single vendor orders in other companies. And here again, since we have done a building block kind of a development all through our life, we tend to use the building blocks rather than redesign from scratch. And those are tested. So the timeline should deliver us far faster. So this could be a second reason.

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I can't exactly comment on other people's business. And it's not right on my part to do that because I don't know the strategies, what they employ. But what we are doing is what we think is right for our business.

Jatin Jadhav: Makes sense. One more follow-up question regarding this. So as we eventually will, currently also we are in the system and we supply a complete system. So as and when, whenever we [0:59:09 need] some complete system, we command a higher margin?

Management: No, again, that can't be said. There's no zero one answer to this question. It depends on what the complete system is. If it is going to be a lot more vehicles, you know, you understand, no? I really don't know. What we are trying to do is maximize Indian content or in-house content in a contract. If we do this, I have a better P win in a competitive situation. That's all I'm saying. So we're trying to put our money and yield this and so we can scale the business. See, India doesn't have products. We rely on DRDO today for building products. They are the only design agency in India. So the rest of us are, you know, in the private sector are doing collaboration with foreign OEMs to bring the product here and then do a work share. So when you do a work share, obviously you have to share our own margins also, right?

So what we are trying to do, the opportunities are now very big opportunities. If we can address our portion of the opportunities in Indian systems designed in-house, I have a better P win and hopefully we'll have a better bottom line. One may not go with the other, but the scale has to happen. The scale happening will all grow because the requirements are so large. We're looking at least five-year growth. We're not looking at a quarter-to-quarter scale.

Jatin Jadhav: Sorry, one follow-up question regarding the market size per se. Regarding just the radar systems that you are providing, how big of a market do you see growing or growing up to in the next four, five years or three to four years, wherever, as far as you have visibility?

Management: See, market size is very large, but it's not addressed by us everywhere because, you know, when you make close-in weapon systems, for example, LRD, you know, L&T gets an order. The radar gets imported. Something comes part of the weapon. So the big systems, you know, when an integrated system comes, radar becomes a portion of the integrated system. And it's not accessible to us because we don't have the weapon. So, what really happens when all this happens, when India starts collaborating in-house in India, ecosystems start developing when we combine our strengths together and address the opportunities, then you can say the market is bigger for us.

So not all opportunities on radars are addressable directly by us. It still comes from abroad, either in technology transfer or joint production or something of the sort. What I am seeing on addressable buyers in the next four, five, six years is upwards of INR20,000 crores, which we can address.

So we are working towards that. That is the first thing we are doing, building our own products. Second, we are also doing the product development, which is not even addressed by us, get the

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products out. Then maybe we can collaborate with the OEMs in India to see why are we importing this when India can offer a solution. Look at an ecosystem we built here. So it's a very long-term

play strategy. It depends. We are starting from scratch in India now.

So the offer field is very open. It depends. It can be competitive, give world-class products, meet customer requirements within timelines. Then we have something going, and we need to collaborate with people in India also. So we look at all opportunities. How is the long-term game? And that is why we need the bottom line to scale the business because we need money to scale. We want to put a lot of money in development. We are looking at a three-, five-year kind of horizon for whatever we are trying to do. We are not looking at a year-on-year horizon at all.

Jatin Jadhav: Got it, sir. That's pretty much it from my side. Thank you so much for your valuable insight. And all the best for the coming year.

Moderator: Thank you. Next question comes from the line of Manish Kumar, an individual investor. Please go ahead.

Manish Kumar: So most of the questions have already been answered, so I'll just skip them. I have one last residual question, and this is in terms of the human resource, the employee cost, which is what I'm looking at on a quarterly basis. And I'm looking at the employee cost as a percentage of the expense that you have. So what I saw is that there is a...

Management: Manish, I'm not able to hear you clearly.

Manish Kumar: Is it clear now?

Management: Yes. Talk a bit slowly so that I can put the pieces together.

Manish Kumar: Sure, sir. All right. So my question is in terms of the employee cost as a percentage of the expense that you have quarter-on-quarter. That is the context. So what I saw is that there's a very peculiar pattern, right? This is always, you know, the percentage number, which is the employee cost as a percent of expense, is always the highest in quarter one, and it gradually reduces to quarter two, three, and four.

And this has been a constant pattern during the last three years. So I just could not put my head around as to why this is so cyclical, the employee cost. It has happened for almost the last three years, every quarter, quarter one, quarter four. So if you could give some insight?

Management: You are commenting on employee cost as a percentage of revenue?

Manish Kumar: Expense. Percentage of expense.

Management: See, what happens is, traditionally government business is a year-end business. If you have looked at by 2017-'18 balance sheet, P&L, you would have seen that almost 80% goes to last quarter. And first week quarter we used to make loss, cash loss. We have very difficult to manage it to see that our quarterly revenue is also managed properly. And we went public once we knew

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that there will be some reasonableness in our quarterly work. And then on-hand contracts are there which we can deliver on a quarter-on-quarter basis.

So the employee costs, though are not varying so much on a quarter-to-quarter, on a percentage of revenue, it will be higher in the first quarter going down the second, and accordingly last quarter. The last quarter tends to be the largest revenue quarter for us. This also last year we managed to contain it, bring down the last quarter to only 35%-40%, as against 50%, 55% which was there previous year.

So that is the ratio you're seeing. And another maybe, we have increments also coming in April, so maybe that pushes up. We recruit through the year. We're recruiting a number of fresh engineers and even lateral recruits through the year. Our size of number of employees is going up substantially about 20% year-on-year because we are building competency for tomorrow. And all the people we are building and training, so that we can do large systems tomorrow at various levels.

So we are continuously recruiting. So that also could be, I don't know exactly what the numbers are, but I think this is what is happening.

Manish Ku

mar: Right, so my concern was that, I was thinking that, and I might be totally wrong, that maybe we are hiring only for specific projects and when the projects are getting over, maybe we're having people leave the organization. In that case, my concern was that how we are retaining the knowledge and the expertise that we have built over the years. In one of the slides, I saw that some of the core team members have stuck in the organization for almost two decades. So I was

trying to relate if this dip in the employee costs in the later quarters is because of any churn which is happening. Looks like the answer is no. Can you please confirm that?

Management: So we are managing our employees really well. Of course, there is people leave because they get very well trained in data patterns. So they go and join multinationals. We are aware of that because the training level here is very, very, very high. We're unable to get lateral recruits, so we recruit from college directly. Our CTO started from college 35 years back.

Most of the people who are 20 years plus are all state employees of the company from directly from college. So we take a lot of people from direct college and train them at all walks of life for testing, development, software, hardware, mechanical, everything. So, but that is not the reason. We're not losing very many people. Compared to maybe multinationals and other IT, I think our attrition ratio is far, far lower. And also we have some 100 people as shareholders in the company.

Manish Kumar: Thanks a lot. Thanks.

Moderator: Thank you. Next question comes from the line of Vishal, an individual investor. Please go ahead.

Vishal: Yes. Sir first I would like to place my congratulations to you for such a good set of numbers and the value addition, the value creation you have been doing to shareholders. Thank you very much

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for that. And my question was, if I look five years ago, our data pattern figures, so can I, you know, can we assume, you know, because at that time, if I compare that time to current times, what we have achieved today is, the [1:08:41 term] at that time is the profits are of current time. So are we looking forward to repeat the same fit print maybe in next five years or earlier than that or even earlier also?

Management: Vishal, that is our intent well, is going to do it.

Vishal: And sir, can you throw some light on, what could be our general execution rate and percentage as a percentage of the order backlog?

Management: I would not comment on that because it depends on, it's not only left to me to execute the contracts. It also, the timelines, which the customer wants execution done. Okay. More often than not, we find that in the production contracts, we can execute in one or two years, everything. Even if you give me 1,500 contract, I'll execute it. As long as already development is carried out, all I have to do is set up a line and I can execute it.

So we have all the competency. We have a second place machine. We have automated test equipment. We build our own automated test equipment for production line systems. We do everything in house. Since the process definition is our line is defined by us. Electronic copper manufacturing, you know, EMS line, we have two lines in the office already. We have end test in the office. So everything we have in house. So we can execute. But what happens is, customers don't want everything scheduled overnight. You know, give you a quarter-to-quarter turnover. So then we have to stick to it.

Second area where the concern is, where, you know, when large development happens, then the development cycle takes the time. You can't execute a development program in three months and six months because not only do we design and produce, there are certification agencies get involved for bright safety and bright subgrantee it

takes time. Documentation and process. So

that really limits us, not on just the capacity what we have in terms of delivery. We have finite capacity of development, but on production, we can increase capacity very fast.

Vishal: So you say we cannot lay any specific percentage, on the completion percentage ...

Management: We have the percentage. We have, for example, we say INR1,000 crores, what we can do INR2,000 crores, how can we deliver? But we are matching. That is what we're doing is, we're trying to enhance our capacity in terms of infrastructure. We're creating additional infrastructure because we think we need to scale three years from now. Our order will happen two years from now where if I go for external testing, I may have a delay in delivery.

So we're creating the test standards and equipment in our office. We get large contracts for integration. I may not have factory space. So enhancing factory space to see that in anticipation of contracts happening two years from now, we're starting investing ahead. We're also expecting growth, substantial scaling happen in the next three to five years.

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So our competency building, manpower building, management bandwidths, everything on a top to bottom level, we are scaling our competencies and bandwidths. We have a very, very active HR team which is looking at all skill development from bottom to top and mandatory training

programs to do this. So a whole lot of things are happening to see that we're not caught wrong footed when we scale. And we expect to scale because the market size is so big. So we are very bullish on the market and our competence to deliver on the market. So we are actually investing ahead of time, not only product development, but also for delivery and manpower.

Vishal: Okay, okay. So thank you very much. And so I also place best of luck and you keep achieving such great value additions for yourself, for the team and for the shareholders. Thank you very much, sir. Thank you.

Management: Pray for us, Vishal. Thank you.

Moderator: Thank you. The next question comes from the line of Devansh Agarwal, an individual investor. Please go ahead.

Devansh Agarwal : Okay. So one very specific question with respect to Arudhra radar . In some publication, it was mentioned that Bell got the order of INR2,800 crores for Arudhra radar . However, in our presentation, it shows around INR180 crores of order for Arudhra or something. Is it not possible to directly take the order from MoD or why is there a difference between the quantum? This is what I'm trying to understand.

Management: See, these are all the traditional way. DRDO has its own investment money and they develop radars required by Air Force later. And they finished the development about seven, eight years back and they must give it to MoD and Air Force and it is approved. Then the transfer of technology went to Bharat Electronics as a nominated partner. See, the process in India all along is that once development gets done, it is transferred to production agencies which is BEL, BDL, HAL, et cetera. And as of then, the services want the contract or more products.

They then get the revenue approval from MoD and once the approved things comes in, they place a single vendor order on the PSUs. And during the development, people like us have done the product development for parts and subsystems. The transfer of technology agreement which BEL signs includes our name. So, the idea is to see that that has been qualified. So, they would back-to-back place the order on us. So, whatever we have designed for that part. So, that is the way the whole business is done. Today, it continues to happen like this where DRDO has developed products. But in MoD tenders, this is open to all of us.

We are free to do whatever we want. We build the full systems. So, this comes in various

us kinds

of categories from make one, make two and other categories in MoD tenders. We are also participating in those categories of tenders where we can build our own system, our own radars. Not only us, a lot of companies in India have started saying, let us do this and look at the opportunity ourselves either on by themselves or in collaboration with foreign vendors. This is happening. So, as more and more of this starts happening, then we'll start building the whole system ourselves. So, this is the way it's going today.

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Devansh Agarwal : And the second question, sir. Sorry. We saw on your presentation that there's an increased focus on the offset. Is there any action going on? The reason I'm coming from is recently Azad has announced some kind of offset with Rolls Royce and it saw great momentum in the markets at least.

Management: No, we've never... I don't think there in the presentation we talked offsets. We are not in the offset game. We build our own IP. We've not done any manufacturing for any foreign OEMs today and we're not really an offset partner. We do have partnerships with various companies, but that is on product development rather than offset.

The offset is a low value, low margin proposition normally to do manufacturing alone in India. We didn't want to get into this long back though we had a capability to do it because our focus on IP development will go. So we intend to build products rather than focus on our offsets. So we've not... Daily recipients are very large offsets.

Devansh Agarwal : Got it. And all the best, sir. For a retainer like us, it's always a good moment to see the stock price running. Thank you.

Moderator: Thank you. Next question comes from the line of Arnab Bhattacharjee, an individual investor. Please go ahead.

Arnab Bhattacharjee : Hello, sir. Good morning. Just wanted to know about any R&D team here in the team, in this year?

Management: We're not able to hear you. Your voice is breaking. Hello?

Moderator: Just give me a moment, sir. Mr. Bhattacharjee, please go ahead with the question. Mr. Bhattacharjee, please go ahead with the question. Mr. Bhattacharjee, can you hear me? Please go ahead with the question.

Arnab Bhattacharjee : Yes, I'm able to hear you. Sir, I believe that, when it comes to radars, it's a very complex process, and it requires a lot of technical knowledge. So I just wanted to understand how our R&D team is doing. If you can give us, share with us a story that we had in the recent past. How do you

plan on upscaling for the new development goals that we receive? Do you have collaborations with foreign universities, foreign businesses?

Management: We started building radar components and parts with DRDO over the last 20 years or 18 years. Then we started building upgrade programs to get the competency of IP and software and domain, other than just electronics. We started contributing towards upgrades of radars for ISRO, for the tracking radars.

We delivered about 6 and 6 tracking radars upgrades for them, or operational more than 10, 15 years, with [inaudible 78:20 Sierra Ricota] and in Trivandrum. So this is where we started learning. Then we started building our own surveillance radar, again, open-ended with ISRO.

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ISRO allows us to build a full radar. So we started learning outside and doing very modern systems with DRDO on the subsystem levels. But the domain, et cetera, we started doing outside. So we started actually putting non-defence radars where we learned our competencies, and those are installed and working for seven, eight years now. So when opportunity came with the MoD tenders for a precision approach radar, we decided, why don't we develop the radar from scratch? And we were lucky that we could demonstrate the radar

in 18 months from scratch, and we won the contract for about INR380 crores, INR250 crores to be delivered in two and a half years, which we delivered last year, last quarter we delivered the full system. So hopefully we expect some more orders. If at all it happens, if a customer requires, hopefully we'll get more. So this has been a long journey in putting products. We have a domain team to continuously engage in development of radars. We're now participating in MEC2 programs in the MoD. We have a couple of export contracts for radars, which we're developing for one European country as well as a South Asian country. We've got some few radars orders which we're developing and probably execute this. This is our IP and our radar. So we are investing continuously in radar development and IP development, not only in radars, but also in electronic warfare. We are fortunate to work with DRDO for many years now and learn with them and build products for them, and in the process learn domain and competencies and capabilities.

So that we can address the future requirements of India on the EW program, which also is exportable. So it has been a continuous journey. It's not an overnight thing and we don't have foreign collaboration. It's all India DRDO, what we've done, ISRO, and other areas where we've studied books, go, implement, study, fail, correct, learn. It's been a process.

Arnab Bhattacharjee : Thank you, sir.

Moderator: Thank you. Ladies and gentlemen, we have reached the end of question and answer session. I would now like to hand the conference over to the management for closing comments.

Management: Thank you, everyone, for attending this conference and thank you for all the very interesting questions about our company. We are interested in building, scaling the organization as we go along. It has been a long journey for data patterns. It's not a startup, though we behave like a startup within the organization. We've built up competencies over many areas, process, infrastructure, all of them done. The markets have opened up largely, so we are developing products for addressing the markets, increase our total address for market.

We are in line with whatever we are doing. We are in, our products are under development. We expect that we'll scale the next three to five years. We need to substantially scale the organization. We're building infrastructure to meet that expectation and the government is very motivated to do more in India and that is the right kind of, that's the right thing for us because we've always been saying Made In India with pride, so we hope to do a lot more and scale the business. If you have any further questions, kindly address the questions in Go India.

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We'll be free to, we'll be very glad to answer those questions. Thank you very much. Thank you for the call. Thanks.

Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2024

SEC/SE/052 /202 4-25
Chennai, August 05 , 2024

To
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra(E),
Mumbai - 400051
NSE Symbol - DATAPATTNS To
BSE Limited
25th Floor, P .J. Towers,
Dalal Street,
Mumbai - 400001
Company Cod e: 543428

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Conference Call

Dear Sir/Madam,

Further to our earlier letter s no. SEC/SE/040 /2024 -25 dated July 23, 2024 intimating the schedule of Earnings Conference Call on the financial results for the quarter ended June 30, 2024 , please find enclosed herewith the transcript of the Earnings C onference Call held on Tuesday , July 30 , 2024 at 03.30 P.M. IST.

The transcript of the earnings call is also available on website of the Company.

We request you to take the above on record and oblige.

Thanking You.

For Data Patterns (India) Limited

Prakash R
Company Secretary and Compliance Officer
Membership No: A34652

Encl: As above

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"Data Patterns (India) Limited
Q1 FY '25 Earnings Conference Call "
July 30 , 2024

MANAGEMENT : MR. S. RANGARAJAN – CHAIRMAN AND MANAGING
DIRECTOR – DATA PATTERNS (INDIA) LIMITED
MS. REKHA MURTHY RANGARAJAN – WHOLE TIME
DIRECTOR– DATA PATTERNS (INDIA) LIMITED

MR. VENKATA SUBRAMANIAN – CHIEF FINANCIAL
OFFICER – DATA PATTERNS (INDIA) LIMITED

MODERATOR : MS. MONALI JAIN – GO INDIA ADVISORS

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Moderator: Ladies and gentlemen, good day and welcome to Data Patterns India Limited Q1 FY25 Earnings Conference Call, hosted by Go India Advisors. As a reminder, all the participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Monali Jain from Go India Advisors. Thank you and over to you, ma'am.

Monali Jain: Good afternoon, everyone, and welcome to Data Patterns India Limited Earnings Call to discuss the Q1 FY25 earnings. We have on the call Mr. S. Rangarajan, Chairman and Managing Director, Ms. Rekha Murthy Rangarajan , Whole Time Director, and Mr. Venkat a Subramanian, Chief Financial Officer . We must remind you that the discussion on today's call may include certain forward -looking statements and must be therefore viewed in conjunction with the risks that the company faces. May I now request Mr. Rangarajan to take us through the company's business outlook and financial highlights, subsequent to which we will open the floor for questions and answers. Thank you and over to you , sir.

S. Rangarajan: Thank you, Monali. Good afternoon, ladies and gentlemen. It is my pleasure to welcome you all to our Q1 FY25 earnings call. I hope you had the opportunity to review the earnings presentation available on both the stock exchanges and on our website. Before Venkat presents the financial results, I would like to provide a brief overview of some important updates and key highlights for this quarter. As we review our performance for the first quarter of FY25, I am pleased to report that our commitment to excellence and strategic focus has positioned us favourably and we started the year on a positive note.

During Q1, our revenues ha ve shown a healthy growth trajectory driven by robust performance in our core segments and successful order deliveries. We are committed to in -house development of strategic products which will increase our TAM and allow growth in the coming years. We have strategically advanced up the value chain by developing comprehensive systems using reusable building blocks, leveraging our existing competencies.

We have spent 54 crores on new product development initiatives , out of the funds raised through QIP last y ear. Our financial performance reflects the strength of our business model and the effectiveness of our strategic initiatives. We have seen an increase in both our top -line and bottom -line in line with past years and as per our internal estimates.

In Q1, our revenue from operation witnessed a double -digit growth at 15 %. EBITDA demonstrated commendable growth increasing by 33 %. EBITDA margins during the quarter stood at 36 %.

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We have a robust order book as on date of 1,147 crores. The growth has been seen across all verticals, development orders contributing 53 % of the top line and production orders at 43 %. The broader context of our performance is shaped by the significant transformation underway in India's defence sector.

The government's initiatives suc h as Atmanirbhar Bharat and Make in India, coupled with increased capital outlay are driving this change. In the recent Union Budget presentation , our finance minister announced , an allocation of 6.21 lakh crores for the defence sector for FY25, which is the highest allocation at 12.9 % of the total budget. The budget sets aside 1.72 lakh crores for capital outlay. To bolster the armed forces, ear marking off 1.06 lakh crores for domestic capital procurement, providing further imp etus to Atmanirbhar Bharat. India expects

to reach at least 3 lakh crores annual defence production and to reach 50,000 crores export by FY29. Keeping the sectoral trail wins in mind, we are committed to sustaining a revenue growth rate of 20 % to 25 % and m aintaining margins between 35 % to 40 %.

We aim to capitalize on the following opportunities , focus on flight control radars, expand radars

and smaller radars for UAVs, ensuring cost competitiveness with in-house IP in radars, develop electronic warfare products to meet the requirements of Army, Air Force, and Navy, provide military radios, radio relays, and other equipment required for our services. We'll continue to do product development to narrow the gap between what we import and indigenously what is available. At this point, I'll pass the floor to Venkat for his comments.

Venkata Subramanian: Thank you, sir. Good afternoon, ladies and gentlemen. We are happy to present our strong performance highlights of Q1. Let's delve into the overview of our financial results.

In Q1 FY25, revenue was up by 16%, 1,404 crores, which was in line with our estimates.

Development contracts contributed to 31% of the revenue, production contracts, 50%, and service contracts, approximately 11% of Q1 revenue, highlighting the diversity in our revenue stream. Similarly, our order book keeps growing and stood at 1,017 crores as on June 30, which is driven by growth both in development and production orders. The order book today is 1,147 crores, including the orders negotiated in July 2024. More development orders are generating and translating to higher production revenues.

Profit before tax stood at 43.5 crores, while profit after tax witnessed impressive 27% growth, reaching 32.8 crores. Our net debt-free balance sheet reflects prudent financial management. As of June 30, 2024, we hold over 670 crores in cash, cash equivalents, and investments in liquid funds, underscoring our financial strength and liquidity. Overall, we delivered a strong performance in Q1 and are confident of steady growth momentum for the full year.

With this, we will now proceed to the Q&A session.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Dipen Vakil from Phillip Capital. Please go ahead.

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Dipen Vakil: Thank you for the opportunity, sir, and congratulations on a steady execution. Sir, my first question is on the lines of, how do you see the new order win momentum going ahead for FY25. As to what kind of quantum of orders are you expecting going ahead and which will be the areas, you are seeing new orders to come from?

S. Rangarajan: As I mentioned in the last quarter call, this year we expect overall 1,000 crores order intake, new orders. We have, I think we have a couple of hundred crores already received. We expect the orders to start coming in the probably end of Q2, mostly in Q3 and Q4. That's the order intake we are expecting. And it is going to be based on, radars, electronic warfare, and these kinds of avionics where we have already delivered some products and repeat orders are expected in all these areas. And mostly it's out of what we delivered products earlier, products are expected to follow this year. Okay.

Dipen Vakil: So, you also mentioned about the trend that you have done towards new product development. So, any highlighting products that you'd like to mention about for the new product development and the kind of opportunity that can arise from that?

S. Rangarajan: It's a bit premature. I don't want to say an open call exactly what products are developing. That is why I've given a brief background on this. It includes a whole range of radars and electronic warfare equipment plus communication systems. This is in line with whatever we decided a couple of years back that we should start developing products.

This is not available in the country, and we are importing these products. And so, that is why we raised money. We started spending the money building products. It's coming out quite well. So, maybe in the next few months, once the products are out, once we demonstrate, we start looking at how the revenue mix can happen after that. It's a bit premature to talk about it in an open forum.

Dipen Vakil: Got it, sir. Sir, I have a few more questions, but I'll join back the queue. Thank you.

Moderator: Thank you very much. The next question is from the line of Jyoti Gupta from Nirmal Bang. Please go ahead.

Jyoti Gupta: Good evening, sir, good set of numbers. Two questions, one is the emphasis of ELINT and the COMINT. What kind of market are we seeing in this COMINT and ELINT systems in electronic warfare? So, what kind of time do we expect in the next five years? Second is, on your slide six, I see that there's a certain trend which is given to us where usually the first quarter is weak, followed by improvements in the second and third quarter, and obviously fourth is the best. Do we expect the same kind of trend in FY25 as well?

S. Rangarajan: Okay. I can't be very specific on the time brought in by COMINT and ELINT. There are a number of programs with India we are developing with DRDO, and once it fructifies into a production contract, we expect back-to-back orders to come to us. I don't have an exact number, but the number of other inquiries and make one, make two programs are happening from Air Force for COMINT and ELINT. There are also airborne ELINT and COMINT requirements coming up. I've not summed the total value, but we are actually working on those areas along

with DRDO .

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With DRDO, over the last maybe more than a decade, we have developed a number of products which is world -class in both COMINT and EL INT areas. So we expect that to stand us in good stead and address the market against im portant systems as and when the inquiries come. We're already working with DRDO in some of the programs in these areas.

So, this is one of the important areas. And there are two other parts of COMINT and ELINT in EW, w hich is the radar warning receiver an d the jammer, electronic countermeasures , we're also working on them. So, we're working on all of EW systems. We hope that this will all give us a substantial kind of revenue in years to come. But I can't comment on the exact number at the present moment b ecause too many programs are there. We don't know which we will win and where we are going to go. But yes, we are committed to this area of operation. We are investing a lot in these areas.

Coming to the second question on how our revenue flow goes quarte r to quarter. Traditionally, as a company, we have been quarter four heavy in all of our earlier pre -public IPO days. More than 80% is on quarter four. With the order book with us for one and a half years to a visibility of orders, we've been managing to m ake the order. It's not so much quarter four driven so that we are also profitable in the quarter one, two, three, four. But again, giving like what he said, quarter one will tend to be the lowest and as we go along, hopefully quarter two, quarter three should go up.

But this year, we're going to have probably a larger quarter three and quarter four rather than a quarter one, quarter two as we see it. Because the nature of orders we have received and also on the offtake from our customers based on their production requirements, they're dependent on both.

Not just the nature of orders, also on which the customer is willing to take at what point in time. So, looking at that, I think quarter one, quarter two will be a bit less. Quarter three, quarter four should be higher is what we see as of now.

Jyoti Gupta: Okay. Thank you. Well, actually, I had a few

more questions on the ELINT and COMINT part

only because I know these are very important and critical platforms that you've been developing and working on. To seek clarity call from you. That will be all on my side. Okay.

Moderator: Thank you very much. The next question is from the line of Harshit Kapadia from Elara Capital. Please go ahead.

Harshit Kapadia: Thanks for the opportunity, sir. Just wanted to ge t a sense on the order inflow which you mentioned of 1,000 crores . Would it be largely driven by product , or would it be driven by the developmental part for this year?

S. Rangarajan: I think this year it will be driven by earlier products which were deliv ered. Repeat orders are expected now. Maybe some of the development which we're doing now can also pan out to become orders. We'll know this towards the end of third quarter or fourth quarter. But what we have in mind is mostly towards already designed pro ducts and repeat orders have to come.

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Harshit Kapadia: And when you say repeat orders, would you be able to give a sense of the system? On the radar side, are we talking about the Ashwini, Rudra radars, all those systems?

S. Rangarajan: See Ashwini it's a competitive bid. So, we do not know which version we'll get. That is why we don't want to go contract specific because we don't have control on the market. So, we have a bunch of contracts which we expect. We expect that some of them or most of the m should come our way. There are some specific contracts which we have developed as a unique vendor. Hopefully when that happens as a repeat contract , we should get back -to-back single vendor contracts.

So, we have a bunch of them. I don't want to get int o exactly which contracts because I'm not in a position to exactly say when what will happen because this is government -driven orders. So I don't have absolute control on the timing nor on the contract. But we have a bunch of contracts and w e expect that w e should get 1000 crore s kind of new orders this year going ahead.

Harshit Kapadia: And the contract size, would you be able to give us a sense? Will it be like sub -500? Any one which could be, let's say, 500 crores plus? Any one big order?

S. Rangarajan: No, that all depends on the competitive bid we win. It can be a sizable order. But we're not

looking at that because when a tender comes, you can't predict the outcome of an open tender. So we don't consider. And I make a commitment on behalf of the company on order expected. If we normally go, not covering the tender contracts where we have a probability, but we're not sure whether we'll get it. So when we give an estimate, it is more on what we already developed and what we expect as single vendor contracts. The other things may happen. If it happens, it becomes additional on top of this, whatever we projected to you.

Harshit Kapadia: Okay. And given the current visibility you have, even for FY26, would that 1,000 crores run rate continue or do you think any spurt can happen? Because we were also looking at integration in a bigger way, rather than just being a component supplier or a subsystem supplier. So anything on FY26 which can come to us?

S. Rangarajan: See, one thing which we're doing is slightly different from others, is that we're developing products for the future. That is why we've raised money, and also we're retaining money instead of giving every year dividends. Retaining money because we're going to do a lot of product development going ahead. And also infrastructure development to address future manufacturing requirements.

So we'll be spending on capex both on development as well as on actual infrastructure. So, the idea is to scale the company substantively from what prior course we've been doing.

See, the market size is very, very large. And we're used to importing these sys

tems from various

countries. Government is very clear that this cannot go on. We are putting a lot of policy in place to see that it is truly made and designed in India. It's an Indian content year and year the Indian content percentage as a mandatory requirement.

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With all this, our idea is since we have specialized for many years in building component subsystems or large part of the systems all these years, we decided that we'll build the complete system ourselves. So that is why we have committed ourselves to raise money. And we are in the process of development.

Development is started. We are building the products. So as soon as the products become available and certified and flight tested and things like that, the expectation is that it will also substantially increase our order intake.

Idea is to increase the TAM very large to 10,000, 15,000 crores to 20,000 crores of TAM. So, a percentage of that we should be able to get an order. We also look at very, very high-speed growth coming in the coming years. That's the reason we're looking at it. So, I can't specifically talk about 25, 26, or 26, 27. There's a series of products we're doing. It's not one product. It's a bucket of products, a bunch of products we're designing. And all of them will look at the address of the 20,000 crores market.

So that is what other than the competitive bids which we participate in, these are all. What we're doing in development is uniquely different from what is already available in India. So, we hope that it will pan out properly. That is a commitment to developing products.

Harshit Kapadia: Fair enough, sir. And another question is on, we have been probably one of the companies who have developed seekers for the BrahMos missile. So I have the final selection done between you and the other PSU company who have also developed the products, or is it still some final conclusion is there, and when the results are expected to come out?

S. Rangarajan: The seeker, I think government is talking about it now. But we don't have an active inquiry at the present moment. We expect that considering that they've got a lot of orders now and looking at not importing seeker and making India. We believe that we'll get an opportunity shortly to address that requirement. As of now, I can't comment on it because we don't have contracts at hand. But we expect that going ahead, our belief is that we should be also having contracts going ahead.

Harshit Kapadia: So, the contract will get split between you and the PSU, or there's only like one take all?

S. Rangarajan: It's expected. Obviously, we are two vendors, so both the vendors should be considered is what we expect. But, you know, I can't talk for the government. We are talking future, and I really can't talk for the government. But we are hopeful. Let me say that we're really hopeful. We have a good product, so we are hopeful that they should procure from us also. So as soon as it happens, we'll announce it once it happens.

Harshit Kapadia: And this last question on RADAR. There's been a development on the Uttam RADAR, and there's one private company already there. They're also looking at more companies. Would Data Pattern be participating in that, or would it be staying out?

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S. Rangarajan: I don't know whether they're really looking at another vendor and all that. I don't know where you heard this, but I'm not aware of such a requirement. Essentially, there is one vendor, and also there's an important vendor equivalent for this. But the opportunities are very large. There are other platforms, and also if better products are available, maybe somebody will consider that. We are addressing these areas in new products, but the outcome is not very sure. But, yes, we are seizing

the requirement and trying to see what we can do, whether we can do a world-class product with those requirements. We're working on this. Broad development is on, but I'm not very sure what you're saying. I can answer that question. But, yes, in a general category, we're addressing that and looking at products which can be world-class in this category.

Harshit Kapadia: Fair enough, sir. No issues. All the best for future, sir.

Moderator: Thank you very much. The next question is from the line of Koundinya from Jefferies. Please go ahead.

Koundinya: Hi, sir. Thanks for the opportunity. A couple of questions. The first one, continuing from the previous participant's question, just on the Sukhoi upgrade program, we understand there is also a plan to upgrade the radars as well as the Virupaksha radars, which are also kind of an extension of the Uttam radars and all. So just trying to understand, if there's an opportunity for data patterns to participate in this, if not just specific to radars, what is the total opportunity size that we can address in this total upgrade program, if you can provide some color on that, please?

S. Rangarajan: Yes. We are interested in this Sukhoi upgrade program. We're trying to develop products in these programs. We don't have an order on inquiry. We are trying to develop products in this program because the program requirements are very large. I don't know how this election process will be going ahead, but we want to be one of the participants in this program. So towards this, we are doing a lot of investments and building products.

Koundinya: Sir, we understand that the radar for Sukhoi upgrade program is an extension of Uttam radar, kind of modification of Uttam radar, correct us if that's wrong. So just trying to understand, if that were the case, will that be an open tender basis or will it again go to your peers on a nomination basis? How does it work in general?

S. Rangarajan: You're talking about a future program. How can I comment on it? These are all government initiatives. I can't talk for them. That is why I said we know about the requirements. We understand the requirements are large. We are committed to working to providing solutions and products in this category. How government will react? What will they do? I really don't know. Obviously, we will try our best to see that part of it or all of it comes to us. This is our interest because these are all the areas where we have very strong competencies. So obviously, we will try to do our best to see we get something in this. The future will say what really happens. We are investing ahead of these areas. That's all I can say now. I won't be able to talk on behalf of the government of India.

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Koundinya: Okay.

S. Rangarajan: You understand that, obviously, right?

Koundinya: Yes, yes, I get it.

S. Rangarajan: The Air Force and the DRDO Division or HAL Division. So the three large players in the division and definitely I'm not a player in this division. I can be a contributor to our decision-making based on the product capabilities.

Koundinya: Fine, sir. That's understood. So my second question is on the order of flows. I'm not sure if you already answered this question. But this quarter, we saw a dip, per se, on the order flow front. So just trying to understand, is it something to do with the timing mismatch? Or how should we look at it? If you can help us understand that, please.

S. Rangarajan: The order flow is a bit delayed. We expect the orders to happen in the third quarter, fourth quarter now. We would rather have it in the first two quarters, obviously. But that has not happened because there are certain trials being undertaken. And the decision-making is a bit delayed. We hope that we come properly in trials and we get the orders in the third or fourth quarter.

So there is a delay, but we don't believe that we will get the orders as we committed earlier to you. But it will happen. Maybe towards the second quarter, something should start coming in. Third and fourth quarter, we should get a larger order book is what we think.

Koundinya : Okay, fair enough, sir. Yes, sir, if I may ask one last question on the margins in this quarter. I mean, we saw a good jump in margins. Is it something to do with, a greater share of your service orders and production orders in the execution mix and therefore the margins? How should we look at it? If you can help us provide some color on that, please.

S. Rangarajan: The margins are as per internal estimates, the margins vary with the contracts we execute. We have been repeatedly saying this. It depends on the contract. Some contracts where IP is very high, where we don't import anything, we design everything from scratch. Then what happens is our margins are higher. Sometimes we have to integrate, then the margins become lower. Sometimes we've got a competition in an area, then margins tend to become lower. So it's a mix of programs. So we believe that these are sustainable going ahead, depending on the contracts we execute.

The idea is that since we do all the IP development in India and we import very little. Actually we don't import except components. We don't import at all any systems and subsystems or even building blocks made in India. The margins look to be better for you.

But more importantly, what none of us are looking at is that these have been developed a couple of years back, three years back. Every year we invest in product development, and we write off the product development as part of the revenue expenses. We don't capitalize it, so you don't see

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all of them. But this is a longer-term play in developing products. So when the production order starts coming in, you see the bottom line is picking up. That's what you see what's happening. But this has been the way we've been building products all through our life. It's nothing new here. Going ahead, we do large systems where some systems have to be procured and integrated. Obviously, the margin profile will come down, but the size of business will be higher. So we need to look at how to scale the companies substantively. But we don't want to look at the low margin in a normal-run business. We want to be an IP-driven business. And towards this, we are spending a lot of money in product development. That's why we went for QIP also. You see that we build the products, which is 100% designed in-house. And we build not just the electronics, we build the mechanicals. We build all of those things, design all of them, so that the complete control of the entire equipment is with us.

That's what we're trying to do. It's tough, but we've been working on it for many years to build a capability like that, and we want to strive to build more capability to see that we build that on the entire systems in India and not look at buy and make. Other than that, we want design and make. That's what we're trying to do.

Koundinya : Sure. And just last question. So this kind of sub-test was already considered when you gave 45% margin guidance for the year, right?

S. Rangarajan: I didn't give 45%. See, every one of you are talking on behalf of me, putting more words in your mouth, and I'm very worried when you say those things. I didn't give 45%. I said 35 to 40% is what I told in the first call in, I think, May. I would rather say something and beat my estimates rather than say something and fall back. So I've been saying 35% to 40%. I never said 45. I don't know who said it.

But I would love to do 45%. But let's hope it happens. Today, we need to look at what kind of mix of orders we're going to contract. And we made a budget for the board, and

and we will be looking seriously how to build as we go along. But, yes, we're looking at 35% to 40%.

Koundinya : Sure, understood. Thank you very much and all the best. Thank you.

Moderator: Thank you very much. The next question is from the line of Pawan kumar Gajwani from Citi. Please go ahead.

Pawankumar Gajwani: On slide number 28, there has been an increase of around \$400 million in intangible assets. Can you help us understand this increment about?

S. Rangarajan: See, what we are doing this time, unlike earlier days, is that we're doing substantive product development. So, we have taken about trying to close the market. We're trying to build products, not against contracts. And that is how we tell that, how do I increase the total addressable market from 2,000, 3,000 crores to what we're addressing now, to 15,000 to 20,000 crores? You have

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to scale the company to a core company or a micro-core company. I need to be able to have products to address the market.

The other way is we tie up foreign OEMs, bring the products to the work chair, and look at the lowest core kind of thing, which everybody else is doing. Against doing that, we decided, let us build IP and build the product here, but then have the products. These products have to be demonstrated, flight tested, go through certifications, participate then in tenders, and then try to win contracts. We do that. Our cost is much lower than a competitor who imports and integrates. So we have a flexible margin. So we'll be able to address the market. Maybe more competitive is what we thought. And since we have done a lot of product development earlier, we used the building blocks to try to reduce the risk of development and also time frame to develop the products.

Accordingly, we got clearance the load and what the QIP done. So, once we started doing this, product conceptualization took some time, how to do this, the design fundamentals, principles. Now we have started building the products. So, these are all now shown as intangible assets. Most of the intangible assets will be 80% or 85%, will be in terms of inventory materials, which is bought against these programs and products, and which is getting converted into actual products. These are all at the present moment shown as intangible assets.

Pawankumar Gajwani: Thank you for this.

Moderator: Thank you very much. The next question is from the line of Amit Mahawar from UBS. Please go ahead.

Amit Mahawar: So, I just want to understand in FY25 and FY26, it seems your business with HAL and BEL is still very significant. Do you have any impact of any potential delays, especially to HAL when you supply machine, computer, and avionics for Tejas and other platforms?

S. Rangarajan: There are delays. We hope the delays don't continue and they pick up. We have orders on hand. There are some delays in accepting deliveries. And so since there are some delays, we are trying to, deliver some of the products so that our commitment to our board and what we've done is actually being delivered. So we are, mixing products and delivering. But I don't know in the future how long the delay will be. I don't have an idea on this. We hope that the delays won't continue and we will deliver.

Amit Mahawar: My question is more to understand for you in case there's a potential LD on HAL. For potential delays, how does it impact you back-to-back?

S. Rangarajan: LD on HAL has no impact on me. If we deliver delay to HAL, then there is an LD with HAL, charges on us. Then there is an issue. But here we are ready. The delay may be an acceptance or order work from BEL based on their manufacturing needs. We will not have any LD on those things. So I expect that if it happens, I'll be very surprised.

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Amit Mahawar

: Very clear. Second and last question is more on your revenue, particularly from these two PSUs plus your exports in 2025 and 2026. You've been a large one of the decent component exporters to the Western world, both Israel and potentially, if I'm not wrong, some other European buyers. How do you think your exports will move in 2025 and 2026?

S. Rangarajan: Firstly, the market which has opened up, a huge market opened up, is in India. So, our focus is on the Indian market. From earlier, we are using with DRDO building blocks and subsystems and selling to DRDO and then developing with DRDO rather. Then when the production order happens in PSU, we get a part of the production order, then basically what we have designed. This is the model. This continues to be a model.

Only thing we try to do a larger portion of that with DRDO. But we're also now scaling to directly address MOD requirements. There you cannot do part of the system. You have to build the full system because tender requires you to show the full system. So towards that, we're developing products and the various category of make one, make two kind of things and participating in tenders and trying to win tenders. So that work is on.

These are typically larger orders because the requirement directly to the users of the full system. So we're trying to do that. This is mainly the focus area of what we're doing. And what we're doing now is developing products against this OEM requirements, direct requirements from Army, Navy, Air Force. And also where some upgrade programs are happening, whether we can do part of the upgrade by building our own products instead of relying on imported technology. So these are two areas we're trying to really funnel, develop products and get our growth.

That's the main area. But yes, we've got some contracts from abroad. We've not got much product orders from Israel. Earlier we used to develop products for a UK company. It's a worldwide defence OEM. So we continue to build that. In 2013, we've been delivering our design products there. And that is a found favor, and they're getting a lot more orders. Back-to-back, the orders are increasing to the UK company, and we do monthly delivery to this company. Even during COVID, we were delivering monthly, they're very happy. So we continue to get some contracts.

We also participated in some requirements in Europe as well as in South Korea. We received some radar orders from them. This is designed by us in India, and we'll be exporting it. Exports start in three, four months. We are just getting export clearance from government. So we should start doing that. So we will do this. Probably about 100 -plus crores of orders we have, which we'll execute. Of course, most of them will go to this year.

Expect more orders to happen from UK. As more orders will happen. But at the moment, this is not a very large percentage of our order book. It's probably 10 % to 15% of our order book at the present moment. But going ahead, we would like to do more exports. But presently the focus is India because opportunity is very large and real here.

Going ahead three years, five years from now, I think we will focus on outside India opportunities and once the full product starts coming out, there will be opportunities what we

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design and do here. The same thing is usable across the world. So we will start diversifying outside India as we go along.

Amit Mahawar: In terms of thousand crores this year and whatever we expect next year , in 2025 and 2026, any specific developmental significant orders that we should think in mind for data patterns ?

S. Rangarajan: Let's see what happens, you're looking at a thousand, two thousand, five hundred thousand crores order. You hope that thousand crores will happen. Which of them happens this year, which happens next

year, I'm not very sure. So we have an idea, but there's no control over delays. So that's why I said. But largely, these orders, as I see it, is all already developed orders. Of course, see what happens in all of them, though it is developed, the entire repeat exactly is not zero -one repeat. Some customization also happens .

So some development takes place. These are large contract orders, large -size orders for us and very important to us. So we classify in production orders because the development content is very limited. But mostly, it's a repeat contract is what we're expecting and what we've already delivered .

Amit Mahawar: Thank you very much and good luck, sir.

Moderator: Thank you very much. The next question is from the line of Gaurav Uttrani from IIFL Securities. Please go ahead.

Gaurav Uttrani: Thank you for the opportunity, sir. Sorry if I missed the question, sir. We've seen a material decline in order inflows for FY24 and Q1 as well. So going forward, in which segment, we are expecting a major inflow and how our order inflows look like for FY25 and similarly for FY26?

S. Rangarajan: I thought this question was asked earlier. We're expecting probably an order intake of 800 to 1,000 crores this year. This is FY25 -26 is what we expect. We've got some orders in the first quarter. The order intake has been a bit delayed than what we would like. But I think towards Q3, Q4, we should start getting the orders is what we think.

Gaurav Uttrani: So, would it be more towards the development or production orders?

S. Rangarajan: This will mostly be repeat orders of what we've delivered earlier.

Gaurav Uttrani: Sir, in the order book, we have mentioned there is a break -up of underwater and tanks, contributing around 3% and 2%, respectively. So which are the products and who are the customers in this segment?

S. Rangarajan: See, tanks mean it will be DRD or CVRD. We're doing some work for them on some missile loading systems. We've got an order that is under design, and hopefully we should deliver this year. And for underwater, we work with a lab called NPOIL and NSTIL. There are two labs in DRDO who do underwater, sonar, and torpedoes and things like that. We worked with these labs for quite a few years, and we have some orders from NPOIL, which we're executing. Again,

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fully designed solutions for NPOIL. So I don't want to get into which exact product because of the NDAs we signed with them, and they may not like us to disclose in open public what we developed with them. But underwater, we work with two labs.

Gaurav Uttrani: That's all from my side. Thank you.

Moderator: Thank you very much. The next question is from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP . Please go ahead.

CA Garvit Goyal: Good evening, sir. Congrats for a good set of numbers. My first question is I was checking your previous earning presentations where you used to guide for 25% to 30% top -line growth. Then

it got reduced to 25%, and in recent PPTs, it is 20% to 25%. So further, if I look at Y oY growth last year and this quarter too, we are showing only 15% growth in our top line. And same numbers are there for bottom line if I exclude the interest income, which we are getting on the QIP money, right? So my question is what is wrong in the terms of executing the order book? Are we facing any challenges because of which we are not able to meet our own guidance? Kindly put some color on this.

And secondly, like a previous participant also mentioned about delays in supplying to the HAL due to some engine supply falling short from GE. So how do you see this is going to impact for our next nine months?

S. Rangarajan: I don't remember saying 25% to 30% in the previous quarter. I've always said it's 20 %-25%. I don't know how it became 25% to 30%. So I'm not changing m

y guidance. What I did say la st

quarter, if I remember, the top line was at 20%-25%, but we'll maintain a 30% growth in the bottom line is what we said. And somebody was asking that it doesn't work out and all that.

I also answered that question. So we expect a larger bottom line growth than top line growth is what we said. Top line may grow, but even if top line growth is 20 %-25%, we'll have a 30% bottom line growth is what we mentioned, as I remember last time.

Anyway, coming back to this on the flatness of quarter one, quarter two kind of thing and why the revenues are not growing. See, this depends on the contracts which you have and which is executable for the quarter. Sometimes what happens, the customer doesn't want to deliver it.

There are two parts to it. One, whether we c an deliver it within the time frame of quarter one, quarter two, or second is the customer wants it to be delivered. So in these cases, there are large contracts which we can't develop and deliver in one quarter, two quarters , it takes a year, year and a h alf.

So we've also projected it to be end of this year or next year, some deliveries, large contracts happening , development is happening there. We're going as per schedule. But, yes, we could have delivered a few products, but there was a customer acceptance delays out there, so we could not deliver those even though the products were ready because there were acceptance issues in terms of customer requirements.

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So this is what I was telling the last participant, I think he asked me this question. So this is something which we can't control. What we need to have is a larger order book and more product to be, manufactured.

So if some of the product won't go, we kick in with some other products, which is also ready.

This is what we're trying to do. We have an order book, and we expect some cont racts to happen. Sometimes you take advance action on products you expected, which can be quickly delivered to the customer also within a week. We try to push it through. So we have to do all this to see that the reven ue model and the delivery model is happening properly.

But our model , if you take Data Patterns, traditionally we've been a Q4 -focused organization in delivery. We managed to make it Q1, Q2, Q3, Q4. We see Q1 will be smaller, Q2 will go gradually up, and Q3 and Q4 will be the largest kind of delivery that will happen in Q4. But that is in line with the government procurements. Normally it's Q4 -centric. In production order, we're able to actually send something in Q1 and Q2 in line with what they expect.

But this is largely what it is. And I did tell somebody, one of the other callers, I said that this year Q1 and Q2 will be slightly more – it will not be growing very fast. But Q3, Q4 is going to be our partners this year. That's what I said. But even if s ome delays happen with the customers, I don't think it should affect us because it should ship some of the products the customer wants. There are other requirements which can get shipped.

So we'll focus on areas where customer wants deliveries and put ou r effort there is what we're thinking. But I don't think all contracts are like this. One or two may happen, especially with some government customers, some delays may happen. But that should not affect us largely is what we're thinking. Our internal plan is to see that that doesn't affect us.

CA Garvit Goyal: Secondly, sir, you mentioned 1,000 crores order inflow this year. So , is it for FY25 or FY25 and FY26 aggregate basis?

S. Rangarajan: It is FY2 4, FY2 5. Current financial year. The next 10 months is w hat we're expecting. Some orders have already come in. Some orders were quoted which should come in. Some are yet to quote. Inquiry should start happening. So we have a list of orders which we expect to happen. So that is why it's 8

00 to 1,000 crores we should have an order influx here.

CA Garvit Goyal: Understood. All of my questions are answered. Thank you very much and all the best for the

future.

Moderator: Thank you very much. Ladies and gentlemen, in order to ensure that the management is able to address questions from all the participants in the conference, please limit your questions to two per participant. The next question is from the line of Abhishek S inghal from Naredi Investments. Please go ahead.

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Abhishek Singhal: Good afternoon, sir. Thanks for the opportunity. Sir, my first question. In Q4, our two contracts delayed due to inspection not done by our customers. So what is the current status? And ou t of this, how much d id we book the revenue in Q1?

S. Rangarajan: I don't want to get into those specifics, Abhishek, if you don't mind. It's an open conversation. I don't want to be so specific in each contract, which customer. That will not be taken in good spirits or good by the customer or the market. So I won't answer that specifically. Yes, those are all happening. Whatever we told you issues were there. That's all getting addressed. And one by one, things are getting shipped.

And we are in touch wi th the customer and things are getting shipped. We're trying to see that it doesn't affect our delivery mechanisms by having other contracts, other products delivered. We're trying to mix. And so we're also internally discussing how our manufacturing has t o be done, rather produce more and dispatch lesser if required. That is the strategy we're following , so this should not happen as a regular feature. So we understand, but it's not correct to get into any specifics on these areas. I hope you appreciate it.

Abhishek Singhal: Okay, and second question. In Q1, our revenue from service segment is 11%. So going forward, what is revenue split for FY25?

V. Subramanian: Overall, for the full year, it will be around 10 % to 11%. But Q2, Q3 will be slightly lesser. But overall year, it will be 10 % to 11%.

Abhishek Singhal: Okay, thank you so much, sir. That's all from my side.

Moderator: Thank you very much. The next question is from the line of Manan Vandur from Wallfort PMS. Please go ahead.

Manan Vandur: Thank you for the opportunity. I just wanted to clarify one thing. In the opening remarks, you said something about exports to be 50, 50% by FY29. Did I hear that correctly?

S. Rangarajan: Okay, I was talking about Government of India made notifications. They said we need to export 50,000 crores by 29. These are all statements made by our government representatives, not mine.

I'm just repeating that the opportunity is large. Government is thinking of large opportuniti es to be created in manufacturing and defence requirement which can either be exports or consumption in India. There are large requirements. I'll be only talking about that. Not my export.

Manan Vandur: Yes, and in the presentation, the capex is me ntioned as around 150 crores over two years. Would you be able to specify what are you spending it on?

V. Subramanian: That was actually the past few years of capex is what it is written. But we plan to augment our capex to the need of contract specific r equirements whenever we get a contract. Probably we'll be spending another about 150 crores plus over the next two years. That is the plan.

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Manan Vandur: Okay, okay. And in the opening remarks, sorry, I missed one more thing. What is the total addressable market for the current product portfolio that we have?

S. Rangarajan: Actually, you know, we don't look at it like that. This is a very difficult question to answer. See, you know, traditionally, we have been building subsystems with DRDO. And there are specific opportunities to address. And th

ose opportunities can get converted from production orders

based on BEL and HAL's production back -to-back we get. Then we look at the opportunity in the future. But again, there will be delays with that. And this is how we've been doing. We continue to do that work.

But off late, what has happened is, because of the, imports being not preferred by our MOD and services, PMO has stopped that. There's a number of urgent requirements coming up with the services. And tho se back -to-back, such kind of urgent requirements, DRDO has to deliver quickly. So we are able to actually deliver some systems quickly to DRDO to address this requirement. Those few things have come up very handy for us because we can do all of those systems in -house. So that has been happening.

So I can't give you just a touch on the exact time, what is it presently, and what we're addressing percent age. It doesn't work like that. But what we have started doing is to address questions like this, and also build strategy in the company.

We're looking at specific visible opportunities coming from MOD now. And we've got to build those visible opportunities where the players are not very many, and they need to be designed in India opportunities. So towards addressing those opportunities, we raised money to build products, which is what we're doing now, present engagement. You look at those opportunities, it will be about 15,000 to 20,000 crores kind of addressable market total use of market. We hope that we're able to participate in those markets, address those opportunities, and convert them into revenues. This is the intent. We're working towards the intent and developing products in those areas.

Manan Vandur: Thank you. Thank you so much. That's it for me.

Moderator: Thank you. The next question is from the line of Aditya from Sowilo Investment Managers . Please go ahead.

Aditya: Hi, thank you for the opportunity. My question is more on the lines of the subsystems. I understand that your intent is to have IP and develop the products in-house but when it comes to subsystems of your system, how much of it is, say, locally procured and how much of it you're dependent on imports and your resilience to, say, global supply chain shocks?

S. Rangarajan: We import all the electronic components. We design the printed circuit boards. We design the mechanical parts. Some mechanical, some drives or some sensors in the mechanics room may have to be imported because it's not made in India. Largely, we try to do Indian systems . So other than some electronic components and very complex printed circuit boards, which we need to get it done from abroad, design being done by us, the rest are largely Indian. Very few

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components, really. Some encoders and things like promotion systems may come from abroad. We don't make the encoders in India.

So whatever is made in India, we try to maximize Indian content. Import is a low -cost portion of our overall cost structure. And, of course, electronic components are the major import components, which we do. The rest is all done in India.

Aditya: Okay, and in your opinion, is there room for sabotage in terms of if somebody is able to track your supply chain, is there a means where there is room for some kind of a backdoor entry.

S. Rangarajan: Sabotage, I understand. Backdoor entry means?

Aditya: Backdoor entry as in access to your system, access to data, which is, I mean, passing through the system.

S. Rangarajan: The one thing we have is very strong. Before we even, when we were 10, 15 years back, everything was rented in our company. The table was rented, furniture was rented, computers rented, air conditioners rented. The only thing we had is IP. So there we had firewalls. The one thing we protect is firewalls, extensive amount of firewalls, and mirrored servers, offset s

ervers.

We do a whole lot of stuff.

And we also signed with IB. IB does an audit with us. This is defence . We're really high up in the audit as well as the IP protection. We don't host our servers in cloud. We host it ourselves. We don't have anything to do with the outside world. We try to have everything inside. So, we manage our IP fairly well in our office also. So that is one that we don't expect much of a tax. Whatever we do, we immediately take care of it. And second, it is limited to the front line and it doesn't go into our backup servers. Access is very limited, even to our own people. We have access rights and who can access.

We have a lot of systems to do that. And we also have third party coming in, hacking our systems to find out, are you okay, not okay. So we do this consistently, see that there is resilient network in our office and firewalls. Having said that, the other thing is, what we import, etc., component visibility , I think there are sites which, government publishes that import is happening here. That kind of information is public. What is public is public.

But not out of us, it will not go to public. And anyway, we buy components from registered suppliers. We don't go through traders as part of our defence requirements , we cannot. And because certification of components is necessary, conformance certification is necessary, we need to ensure that every batch, for the last 15 years, which components come from which batch, which Intel component, we store all of them. Because if any failure happens, we need to know which batch has failed and what is the defect in this procedure .

So it's a fairly deep process in all these things. So I think we're not complacent. We understand this is happening, but we are also addressing those requirements. Thank you.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for closing comments.

S. Rangarajan: Thank you for joining me on this earnings call . As I said during the opening remarks, we want to build an organization built out of IP. And we're going ahead to build large products, very, very complex products in radars and EW and in communication systems. We're looking at what is being exported, imported into the country. And it's time to say, can we build this in India?

We've been doing this for many years. So , we have a competency model, which we are improving and building products here. We also have a number of engineers from 400-500 people. Now we have more than 900 engineers working in the office. We're taking fresh engineers and training them. We are also creating infrastructure to see whatever development is done , the production also will follow quickly , if the order comes next year , we are in a position to deliver on those things. So this is a defence and aerospace systems. These big systems is a long-term play. We need to have an order book of three, four years to see that we scale the company. Today we're talking about one and a half, two years of order book.

We're trying to see that we build products and get an order book, which is at least three years so that it can scale the company. We hope that we'll do this in the next two years to three years' time. But we want to substantially scale the capability. The opportunities are large. We have built up competencies. We want to address the opportunities. We're very bullish about this. We hope we're able to achieve what we want to do. But the effort is on to build a fairly large organization going ahead.

Thank you very much. Thanks for your patience in listening. If there's anything further you want to ask, please address it to Go India . They are our partners here. They will get all the answers to you in time. Thank you very much for this.

Moderator: Thank yo

u very much. On behalf of Go India advisors, that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Nov 2024

SEC/SE/078 /202 4-25
Chennai, November 15, 2024

To
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra(E),
Mumbai - 400051
NSE Symbol - DATAPATTNS To
BSE Limited
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Company Code: 543428

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Conference Call

Dear Sir/Madam,

Further to our earlier letter s no. SEC/SE/069 /2024 -25 dated November 05 , 2024 and SEC/SE/071/2024 -25 dated November 06, 2024 intimating the schedule of Earnings Conference Call on the financial results for the quarter and half year ended September 30, 2024 , please find enclosed herewith the transcript of the Earnings Conference Call held on Mon day, November 11 , 202 4 at 05.30 P.M. IST.

The transcript of the earnings call is also available on website of the Company.

We request you to take the above on record and oblige.

Thanking You.

For Data Patterns (India) Limited

Prakash R
Company Secretary and Compliance Officer
Membership No: A34652

Encl: As above

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MANAGEMENT : MR. S. RANGARAJAN – CHAIRMAN AND MANAGING
DIRECTOR – DATA PATTERNS (INDIA) LIMITED
MR. VENKATA SUBRAMANIAN – CHIEF FINANCIAL
OFFICER – DATA PATTERNS (INDIA) LIMITED

MODERATOR : MS. MONALI JAIN – GO INDIA ADVISORS

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Moderator: Ladies and gentlemen, good day and welcome to the Data Patents Q2 FY '25 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in a listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and zero on your touchtone telephone. Please note that thi s conference is being recorded.

I will now hand the conference over to your host, Ms. Monali Jain from Go India Advisors.

Thank you and over to you.

Monali Jain: Thanks, Ryan. Good evening everyone and welcome to Data Patents India Limited Earnings Call to discuss the Q2 and H1 FY '25 Earnings. We have the senior management of the company on call, Mr. S. Rangarajan, Chairman and Managing Director and Mr. Venkat Subramanian, Chief Financial Officer. We must remind you that our discussion on today's call may include certain forward -looking statements and must be therefore viewed in conjunction with th e risks that the company faces.

May I now request Mr. Rangarajan to take us through the company's business outlook and financial highlights, subsequent to which we will open the floor for questions and answers.

Thank you and over to you, sir.

S. Rangarajan: Thank you, Monali. Good evening, ladies and gentlemen. It is my pleasure to welcome you all to our Q2 FY '25 Earnings Call. I hope you had the opportunity to review the earnings presentation available on both the stock exchanges and our website. Before Venkat presents the financial results, I would like to provide a brief overview of some important updates and k ey highlights for this quarter.

In Q2, as you have seen from our results, our revenue growth in the second quarter has been weaker than expected, primarily due to a deferment of a scheduled delivery from one customer worth INR27 crores. Take off of this will happen in H2 and we are confident of meeting our FY '25 revenue growth guidance of 20 %, 25%.

We are expecting order inflow of around INR700 crores to INR800 crores in FY '25. We've received orders of INR83.5 crores till H1. We have further received orders of INR82.7 crores in October. We are L1 for INR227 crores, which we expect delivery within 12 months. We have a very strong bidding pipeline and we're targeting for anothe r INR2,000 crore s to INR3,000 crores orders in the next 18 to 24 months.

Despite the challenges in revenue, our team has been focused on driving operational efficiencies and improving the overall profitability of the business. This has resulted in improvement in margins. We are hopeful to achieve our stated guidance of EBITDA m argin at 35% to 40% for the full -year.

Our order book at the end of Q2 stood at INR971 crores. The order book as on date stands at INR1,281 crores, including orders negotiated. Our dedication to research and development has

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resulted in the development of several new products, which have been planned to demonstrate to be able to participate in larger tenders and thus incr ease the TAM for Data Patterns.

Data Patterns is strategically utilizing the proceeds from QIP to advance the product development initiatives. A significant portion of QIP funds have been allocated to expanding research and development capabilities. We are leveraging that to drive the de velopment of next - generation products that align with emerging industry requirements and technological advancements.

We've been continuously recruiting talent to enable us to address the new product developments and ensure sufficient training resources are available for the planned growth. For total headcount was 1,504 with 1020 engineers at the end of Q2. We advanced up the value chain by developin

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comprehensive systems using reusable building blocks and leveraging our existing competencies.

This strategy has facilitated our expansion into new geographic markets, including Europe and East Asia, where we have successfully competed with foreign OEMs. Our sustained investment in products and technology, totaling INR124 crores in capital expenditure over the last 5 years and an anticipated capex of about INR150 crores in the next 2 years to meet the anticipated growth.

Our financial performance over the years reflects a strength of our business model and EBIT effectiveness of our strategic initiatives. Despite decline in revenue, our gross margins reported, our import improved and are at 76%, up 700 basis points from same quarter last year. EBITDA was down 16% year-on-year at INR34.3 crores.

However, we were able to maintain the margins at 38%. Profits were at INR30.3 crores, down 10% year-on-year, while margins are better at 33%. Our in-house designing and development are yielding better margins given the operating leverage and prudent financial management. We have robust order book as on -date of INR1,281 crores, where growth has been as seen across all verticals, development orders contributing 18% to the top line and production at 73%.

Our diversified order book with significant contribution of Radar at 67% and Avionics at 21% highlights our strategic positioning. Our order inflows during the quarter was lower than expected. On that note, in Q2, we secured the following orders, including production orders for export Avionics worth INR15.7 crores, production order from DRDO for Avionics worth INR6 crores.

Keeping the secular tailwinds in mind, we are committed to sustaining a revenue growth of 20% to 25% and maintaining high margins between 35% to 40%. We aim to capitalize on the following opportunities, focus on fire-control radars, expand radars and smaller radars for UAVs, ensuring cost competitiveness with in-house IP in radars. Develop electronic warfare products, meet the requirements of Army, Air Force and Navy, provide military radars, video relays and other equipment.

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At this point, I pass the floor to Venkata for his comments. Thank you.

Venkata Subramanian : Thank you, sir. Good evening, ladies and gentlemen. We are happy to present our financial performance highlights for Q2 of FY '25. Let's delve into the overview of our financial highlights. In Q2 FY '25, revenues were down by 16 % to INR910 million due to delay in delivery of order worth INR207 million.

Development contracts contributed to 18 %, while production contracts 73 % and service contracts approximately 9 % in Q2 FY '25, highlighting the diversity in our revenue streams. Electronic Warfare and avionics contributed highest to the revenue at 48% and 19 % respectively. Similarly, our order book stands at around INR971 crores as on 30th September, with a good mix of both development and product -- production contracts. We were able to improve our gross margin at 76 % led by better product mix. In H1 FY '25, we maintained the revenues at INR1,951 million with gross margin at 74 % and EBITDA margins at 37 %.

Our net debt -free balance sheet reflects prudent financial management. As of 30th September 2024, we hold over INR557 crores in cash and cash equivalents, underscoring our financial strength and liquidity. Overall, we delivered a decent performance in H1 and are confident of a better second half and a steady growth momentum in the years ahead.

With this, we will now proceed to the question -and-answer session. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question and answer session. The first question comes from the line of Dipen Vakil from Phillip Capital. Please go ahead.

Dipen Vakil : Thank you for the opportunity, sir. Sir, my first question is related

to your order inflow . So you

have posted that this year we'll be getting somewhere close to around INR700 crores worth of orders in FY '25 and in next 2 to 3 years, we'll be getting somewhere close to around INR2,000 crores or INR3,000 crores worth of order.

Sir, is it possible for you to tell us the kind of order pipeline which is there, which gives you confidence for such a great order inflow. So I don't want the numbers, I understand for the competition, you may not be comfortable with numbers, but at least the areas where such tenders are out and bidding is going on?

S. Rangarajan : Okay. See, as you are aware, our strength is in radars and electronic warfare as a percent plus any avionics. And since we have done a fair amount of development across the radar platform or airborne radars, we expect some additional contracts enabled us to happen. Similarly, in electronic warfare, we have done some developments and these are all critically required for our services and our development organizations.

So we believe that these orders also will come our way. So these are two areas of the contracts we're expecting and regarding the other INR700 crores expected, these are all -- some of the orders already been executed. We expect repeat orders to happen and some are new orders which

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discussions are on order -- in order with the customers and the orders are expected in the next two to three months' time to see that we execute all these orders probably in 6 to 12 months. So they are in advanced stage of discussion. I can't give you the exact order retail, but that is how the numbers have been made up.

Point three is, we are also using the QIP funds. We are actually developing very large products. These are coming into some maturity now. The next three to four months' time, the first of the products will get announced and we believe this will also find a fair amount of interest in the services in Air Force, Navy, etcetera. So we expect -- maybe based on our demonstrations, we expect some initial development contracts to happen to then go through various levels of times. So we are very positive on the order intake going ahead, though there has been a delay in the first quarter, this has been pushed for reasons beyond our control. But these are all happening. It is being pushed but not lost, so it will -- orders will happen . And on the other area where we are doing development, we are very, very confident or aggressive to see that this is coming out very well, products coming out very well. So we expect that this will really give the phillip for a substantial growth in the company there in next few years.

Dipen Vakil: Got it, sir. Sir, and on similar lines , you mentioned that capex also, you are going to do a capex of close to INR150 crores in next two years. So everything will be largely on the product development side or there's something which will be there also from the interest side or maybe some other acquisition side of it. So how do you see your capex stabilization in next few years?

S. Rangarajan: No, no, you're talking about asset INR150 crores, right?

Dipen Vakil: Capex?

S. Rangarajan: Capex right?

Dipen Vakil: Yes.

S. Rangarajan: Yeah. Basically, we are planning infrastructure because in keeping with the product development, we've already got additional land, some building construction we are going to do, plus also all the test equipment and production infrastructure which has to get generated. So this will take over the next one to two years, because once the large orders start happening, we need to have a streamlined production infrastructure to deliver on those requirements. See, these are all very complex systems and these are not -- it's not like a normal commercial system where quantities are there.

Quantities may be large, but the value is very high. So there's

lot of tests and integration which

has to happen. We need to have some infrastructure to do all of that. So we're planning ahead to see that these are all in place by then large contracts happen, we will have the infrastructure to start deliveries. So this we'll be phasing it out in the next two years and we have an idea what to do. We have the land already available with us.

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So plans around to see how we can build on it and all the other test infrastructure which we need to produce. So more capex mostly is in that area. Yeah, we are thinking about the other merger or acquisition , but we have not really taken a stand on this as of present moment.

Dipen Vakil: Got it, sir. Sir, last question, you have mentioned that this year's growth guidance is close to around 20% to 25% growth and next year you are confident that you will be looking at an order inflow of close to around INR2,000 crores in FY '26. Sir, so is it -- and with the delivery timeline of close to around 6 to 12 months for the orders which are coming in, do we see it -- is it like can we presume that this we will be doing better than 25% growth in coming years, say, two years down the line versus the 25% growth that we are doing right now?

S. Rangarajan: Your intentions is grow fast, but I can't comment on that particular growth line now. I think we will probably wait for another one quarter before we see which orders are going to come and what timelines this can get delivered, because the clutch of orders which we're expecting, some will be delivered over many years, few years, some has to be delivered in 12 months and 18 months.

So we need to see which orders happen in the next few months' time by which time then we can

give you a proper guidance on next year deliverables and how the growth is. But our interest is to grow fast. That is why we have raised money to build products because though the initial growth is 20%, 25%, we would like to grow at a faster rate in the coming years. But how it's going to happen, I'm not at liberty today because we need to see the mix of orders happening. We will be able to guide closer to year end, we'll be able to give a guidance next year. But they are thinking a lot ahead on four, five years of delivery and contracts for four, five years and that is why enormous amount of infrastructure and development we are doing today. Imagine 70%, 65%, 70% of the organization are development engineers. So you can imagine the amount of development which we're doing in products.

And so our focus is build in India, design in India end to end so that we can compete with international companies in large format contracts. So towards that, we've been putting efforts. I'm sure it will fructify you in the coming years.

But we will tell you more and more as and when things start happening. There will be a lot of things in mind, but it actually all become real. So we will wait a few months to see how the reality happens.

Moderator: The next question comes from the line of Nemish Sundar from Elara Capital.

Nemish Sundar: Just wanted to check on something. So, sir, HAL has recently received order for the Dornier 228 upgrade. So will Data Patterns be playing any role for avionics in that?

S. Rangarajan : Yeah, co -ordinate Dornier 228 upgrade program depends on how HAL takes this further. At the point, I can't comment because the tender is in technical evaluation now, but we have quoted.

So we'll have to wait and watch how HAL decides and how competition is there and what is

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their present level of thinking. We want to do this, but we'll have to wait and watch the next few months what really happens.

Nemish Sundar: Okay. So estimated timeline, we would expect something around in the next six to 12 months some update on...

S. Rangarajan :

Yes, six to 12 months, definitely we expect division because they need to deliver maybe in the year 2026. So they should finalize it. If I were HAL, I'll finalize it faster. So really I don't know what happens. But yes, I think we should get some idea in the next six months next time.

Nemish Sundar: And just one more question I had. On the BrahMos missile, the seekers, is there any update on the seekers between you and the other PSU player who was involved? So any updates on that?

S. Rangarajan : We are yet to carry out the live test. Every month they're saying this month. So I hope this month the live test happens. Once the test happens, we expect contracts to happen from seekers because India wants to do Indian seekers. We expect that to happen . But I can't comment let the live test happen, missile tests are happening, it is yet to happen.

Moderator: The next question comes from the line of Aman Soni from Nvest Analytics Advisory .

Aman Soni: Yes, sir. Hi. Sir, in last con -call when -- when we asked about the effect of delayed Indian supplies to HAL from General Electric, you indicated that the company will be able to manage by supplying other products and there will be slight growth in Q2. But if you look at the current numbers, it seems we were not able to do that compensation.

So can you please throw some light on what went wrong for us in this quarter? And secondly, we are maintaining our guidance on top line basis for full -year. So is it same for bottom line as well like 30% growth we were targeting?

S. Rangarajan : See, normally we try to keep some other contracts in case that doesn't grow, we do this. But in this case is not only one contract group we delivered, there is a series of other things also. There were some delays on acceptance or valued delays are happening. So we are not able to compensate whatever we could not do. So this is probably next quarter or next half year, we should be able to deliver it.

That is why we are maintaining guidance of 20%, 25% as we predicted last time. That will go because this contract -- all the products are ready. So as and when it is cleared for delivery, we will be able to deliver it. So we're waiting for that to happen. So if these costs have shifted, we didn't plan to shift firstly when it happened nevertheless. As regards the guidance, idea is to increase bottom line more.

But the contracts which you are expecting still not happened. So there is a shift in the contracts. So I'm hoping that the contracts will come. We are taking some advance action. I will be able to talk about it probably end of next quarter better than what I can do, but we'll definitely maintain our -- whatever guidance we gave you last year.

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Aman Soni: Like profitability guidance for 30% is maintained right now, right?

S. Rangarajan : This is what we would like to do. As of now it stands, we'll have to see whether the mix changes as we go along. Whatever mix we are having should give us better bottom line. That is why we said the 30% guidance. So, we will see how the mix goes. At the end of probably next quarter, we will know.

Aman Soni : Got it. Thank you very much and all the best.

Moderator: Thank you. The next question comes from the line of Saumil Shah from Paras Investments. Please go ahead.

Saumil Shah : Hi, sir. Our order inflow for the past 6 months is just INR83 crores. So, why is it so less? Any particular reason for that? Are we facing any competition or something like that?

S. Rangarajan: No. These orders have got delayed. This is not competition. We have not lost. Whatever we planned, we have never lost the order. We only get the shifting of the order book , in the sense that inquiries have not come and they got postponed , for reasons which we can't control. So, which you all expected to happen in the first 6 months. They got postponed to

the second 6

months now. So, we expect that.

Also, we negotiated INR220 crores as L1. That also should come probably in the next 1 month to 2 month's time . Because the authorization order taking also takes time. But generally, there has been a general delay in inquiries and contracts. Nothing to do with competition. We have not lost the orders.

Saumil Shah : Okay. So, basically, what we have guided for INR700 crores to INR800 crores for this year extends, I mean, we can get to that order book.

S. Rangarajan: Yes. Already it is INR80 crores plus INR80 crores , INR160 crores , INR170 crores received by October. Plus, another INR200 crores already we have L1. So, it makes about INR400 crores .

Another INR300 crores -INR400 crores are in the pipeline. There are lot of inquiries coming now. These are all single tender contracts. Whatever I am projecting to you are all orders where we know for sure it will come to us. Whatever we project to you is not based on tender orders. Tender orders, we don't know which way it will go. So, we are only projecting whatever which has to be ours. But unfortunately, some of them, inquiries are getting shifted for some reason from decision at the customer end. And it is not beyond our control. But it will all happen. What will happen is they won't accelerate delivery. They will shift the order. But delivery, they will want it urgently. So, we are trying to take advanced action on those components so that when the order happens, we don't delay deliveries.

Saumil Shah : Okay. And for FY26, as we are expecting orders of INR2,000 plus crores, so normally what is the timeline for delivery once we get the order?

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S. Rangarajan: No, I didn't say FY26, INR2,000 crores. I said 18 -24 months. INR2,000 crores plus INR2,000 crores -INR3,000 crores. See, this depends on the mix. I am not able to say now because the product mix decides what delivery schedules are going to be. Some of them have a 3 -year delivery line. Some has 18 months. Some has 12 months. So, we will get a mix. So, that is why towards the end of this year, depending on what contract we are going to get on the delivery time they are going to ask, I will be able to give proper guidance for FY26.

Saumil Shah : Okay. It was just, I mean, in the presentation, we have mentioned that expecting orders worth INR20 billion in FY26. So, that is the reason why I asked you. Okay, that is it from my side.

Thank you and all the best for the future orders.

Moderator: Thank you. The next question comes from the line of Hardik Rawat from IIFL Securities. Please go ahead.

Hardik Rawat: Thanks for the opportunity. Wanted a clarification on the capex guidance over the next two years. So, this INR150 crore s is largely towards R&D . What part of this will be towards the infrastructure building that you talked about?

S. Rangarajan: See, R&D is shown differently. So, all INR150 crores , we are talking only about capex in building test instrument, test facilities and lines to be set up for production as and when it happens. It is just an average value. It is not an exact number. The exact number will work out with more clearance in the next 1 or 2 quarters. But the idea is we will be spending a bit more to see that infrastructure is created and production volume happens so that we can address the production requirements.

Hardik Rawat: Sure. What do we envisage that R&D spends to be like for FY25 and which areas will this be targeted at?

S. Rangarajan: See, already we have spent some INR67 crores on R&D spend over the last 12 months or so. And out of which majority is actually materials. Inventory procured towards product development. We will continue to buy materials and also build in certain areas. So, this will go on to see that the products are getting finished. So, that development is there and

the money has

been earmarked for this development. That is why we have taken PAP funds to do this exercise. The product development mix is going to be in three, four areas. One is in radars. And these are airborne radars which we are designing ourselves. Second is on electronic warfare suite. We are developing again airborne warfare suite. There is also ground systems on electronic warfare we are designing. The third is participating in some make two programs on radars and EW. These are also areas where we are participating.

Fourth is in communications. Building our own radios, network radios and things like that which is required for all Army, Navy, Air Force. This will be required as you go along. And so, we are building Indian avios, Indian wave forms and systems like that. So, the four areas we are working on. We still have some additional money.

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We are planning to build on some satellites but we just postponed that because we want to get clarity on how the business is going to happen. Though we have complete competency, we build our own satellites and launch it. When the money is there, we want to be very sure how to spend the money until we get the idea of contracting what is going to happen.

We have postponed this a bit. As and when we get clarity, then maybe we can start spending the money. At the present moment, it is in the bank. But these are the main areas where we are working on at the present. And as we go along, there are new requirements from the market which is coming up. So, the cash available is always good.

We can address those opportunities quickly and we have the early bird advantage. One good thing is that we do all of the system development in -house from mechanical engineering for airborne systems to structural, whatever, all the electronics, the domain, the IP and the test equipment infrastructure, the demand requirements for all of them. Everything is done in -house. So, that gives us an advantage that we have a tight coupling of the product and design and a delivery time frame which is not practical for anybody else to buy and integrate to do.

So, based on need in the market and the customer, if we can address the need, we have an early bird advantage. This is what we want to try to leverage rather than going to foreigners and getting a tie-up and then building it here. We are putting this effort on building local competencies and products. So, that is where it's going to go.

Hardik Rawat: Thank you. With regards to the delivery that got deferred in the current quarter, was this a GUI-related entity or was this for some external exports customer?

S. Rangarajan: This is a GUI -related entity, but there is also an export customer. We are also talking to them to see if we can deliver next quarter. This is not last quarter. Products are getting for next quarter.

Again, there may be some extensions in delivery. We don't know. We are trying to talk to them to see if products are ready and we would like to ship it. So, we are going ahead to see what we should do. This business has always been a last quarter business all along, apex with government.

But what we've managed in the last 2 years is to somehow stabilize the quarter -to-quarter with some kind of long -term contracts on hand. So, we are able to mix and juggle and see that contractually we try to even out the cash flows and deliver quarter -to-quarter. But sometimes this happens that it's not in our control. Though we do the development production on time, sometimes the acceptance takes time and then it goes over to the next quarter or next half.

We need to probably, get more contracts so that this smoothening is possible and also look at it. So, that is how the company is working towards to see that a lot of order book, order book size become much bigger. So, then we can plan it based on even

if there is going to be ups and downs

in acceptance areas and lifting material from government, we still will be able to even out cash flow.

We are trying to build product mixed and contract mixed such a way that, we can give a more predictable quarter -to-quarter uniform kind of delivery. We are still there. We are trying to

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achieve it. We have done quite a lot in the last 2 years. But this quarter, we could not manage it. But we will bounce back again is what we think.

Hardik Rawat: Got it. And, sir, in this INR20 billion to INR30 billion worth of pipeline that you talked about over the next 18 months to 24 months, can you give us a rough idea as to what proportion of this could come from non-government of India export orders?

S. Rangarajan: We do export. We are planning to do some INR100 crores export this year. We won some nice contracts in Europe and in South Korea and also in the UK. We built some products for the UK. And it is done and UK products have done very well in the last few years and they are all getting large orders. So back-to-back they are also increasing the order on us. So that's a good thing. But see that our focus is at the present moment is an Indian market.

See, in India, all along, we've been doing subsystems and components for DRDO. And the market for MoD is just opened up full systems. It is our endeavour to see that we address the big market with full systems so the substantial scale can happen, not be a INR500 crores company, but get into a INR 2,000 crores, INR5,000 crores company. We want to do that. So, the market is there.

And, of course, it's a slow market. It takes time to get the contract. But there are some low-lying opportunities, low-hanging fruits. If we can be quick, nimble, and the technology is outstanding, we'll be able to address the market. So, that is what we are trying to do now to see the next 2, 3 years. We are nimble and very advanced products we're trying to design, which the customer would love to have. So, we beat the competition and get contracts.

So, that's what we're trying to do. So, we're doing this. Meantime, also looking at 4-year, 5-year kind of horizon where we can also win contracts with the MoD. So, it's a mix of things we're trying to do to get scale. So, that's where we are today. So, this, I don't know. I answered the question. I'm not very sure.

Venkata Subramanian: So INR20 billion to INR30 billion, whether it is largely exports or local.

S. Rangarajan: So, exports are going to be a bit less now because focus is not there. We need to focus on exports. We want to put a separate export team and build that capability and competence because here today we are a very R&D-driven organization. So, we need to move to a different marketing model to see that. We are internally thinking what is it we should do. We are planning to see what we can do there.

But export takes more time. Why I've talked about Indian full systems and orders is once the full systems come in India and the first order intake happens and we start delivery, then these products can be exported to the world because these are complete equipment, not parts of an equipment. That will then really bring us the export 2 years down the line. We should start exporting.

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Now, itself some inquiries have come based on what we delivered to customers, here in India. We've got some contracts with Hungary which is going to get delivered. Similarly, we'll get some contracts with UK for full systems. If these things happen, it is good. But then we need to put a lot of marketing orientation and sales process there to see that we can get the larger orders. But it will happen a bit slowly. Focus is going to be more on Indian full systems. The scale can happen substa

ntively in the next 3 years.

Hardik Rawat: All right. This is really helpful. Thank you so much and all the best for the second half.

Moderator: Thank you. The next question comes from the line of Jyoti Gupta from Nirmal Bang Institutional Equities. Please go ahead.

Jyoti Gupta: Thank you for the opportunity. My question is, while our major contribution in revenue comes from radar, we also see that the biggest customer is BEL. We missed our estimates by the same proportion of the delayed delivery. Is it because there was this delay in receipts on the BEL side or what? And second is, do you think such kind of delays in receipts to happen because our largest customer is BEL? And is there somewhere a delay in payments coming from BEL which might impact our third and fourth quarter numbers as well?

The other thing is, while we are concentrated on the domestic part and exports are going to take a setback, how confident are we that the production, the development products that are there, will have enough span for the next 3, 4 years? Can you throw some color on this?

S. Rangarajan: Yes, I couldn't understand the second question. Let me answer the first question and come to the second later. First is, radar contracts to BEL are not the largest contracts. And there is no delay with BEL. So, it's not BEL that we are talking about. The delivery delay is not part of radar. And the assumption that it is BEL and they have delayed placement or lifting of contracts is not correct. It is not BEL. So, I've not named BEL. And it is not BEL anyway. So that is not, one. Second is, in continuation to the same question is, if this is going to happen regularly, what

happens really? See, I'll tell you what, some of the government institutions, based on their need, they lift material and sometimes postpone material because their own requirement to delivery may change because they buy material from so many people and based on which they do. But what happens is, after some time, they have to deliver, then urgent deliveries happen. So sometimes some shift happens.

So, we need to take care of our requirement, get more contracts rather than we have no control over their lifting, delaying, deferment, all of them. So as an organization, I think we need to take care of that from our side and plan better. So, this is what we're learning. Sometimes it happens, but we never expected that one or two quarters will continue to not keep delays. So that is affected this quarter. We need to plan much better from our side.

So, we can't blame the customer for all this. We need to take care of it and see that. So, we are working towards it. We are trying to develop further products where these products need is very

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high from the customer. So, delays will not happen. The customer will push the institutions to deliver. So that is the focus we are trying to do, see that this kind of things don't happen.

So that's the first part of the question. Second, I don't know what your exact question was.

Development span. Can you repeat the question please?

Jyoti Gupta: What I mean is that your concentration, your research and development part is commendable.

And your information is more on developmental products and projects. Just wanted to understand, is there enough span for the next 5 years that whatever we are developing will be sold out in the next 5 years , while maintaining the same margin? Or do you think there could be some dip in the margin s going forward?

S. Rangarajan: No. Whatever products we are developing now, we are developing because we believe they are low hanging fruits and the requirement is large. Whatever products we are trying to do now because see one -off product development, one contract , we will have to take it tender -based. We can't do product development against that because win or

lose will happen on a tender. So, we don't want to risk that.

So whatever product we are trying to develop here will be required in quantities which will be delivered over many years, maybe 7 years, 5 years, 6 years, etcetera, 3 to 7 years. So, this will give you repeat production year on year. And these products which we develop, once we start getting contracts in India, they have the same requirements outside India but similar requirements are also there. So that also gives me an export potential also.

So, we identified a few products like this which has got a fair amount of scale and the size of business is extremely large. Initial orders maybe a few hundred crores but subsequent to that the production order is a few thousand crores. So, we are trying to only look at such contracts because today with the cleaning the overheads and size of the business and the opportunities which is there, we are not really looking at low value, small products, one -off contracts, getting to one tender business.

We may participate in one or two but that is more because we have a competency. With a little bit of value add we do; we can build the product. But that will not be a focus area. Focus area is long-term products. And yes, these all should happen in the next 2 to 3 years. Production products should happen in 2 to 3 years. We cannot wait 5 years, 7 years, it is a long time to wait and do product development today because we need to live the next 5 years and scale the business.

So, we are very, very focused on how to scale the business in the next 3 to 5 years to much more than 3 to 5 times our size we need to do this. So, we are looking at products which will give us that kind of bandwidth, the addressable market and a long -term contract order book, a few -year order book on hand so that this up and down and quarter to quarter should not happen.

So, we are looking at really large business growth and products coming out very well. Actually, outstanding engineering is coming out in what we are doing. And we believe that the customer

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would love the products when it comes out. So, we are very, very gung -ho, very positive on what we are doing in the short and medium term. Long -term, we will have to look at how to do this, but short and medium is what we are looking at now to bring stability and growth, substantive growth in the company.

Jyoti Gupta: So, one more question. What about the Dornier side? In our last conversation, you said that you have done your part of avionics, yet the Dorniers have not been, is there some issue with the avionics part in terms of delivery of Dorniers. Is that resolved or is there something, or have I missed out on the information?

S. Rangarajan: No, we have delivered whatever was told to us. We delivered in record time, radar and EW systems. We delivered in record time. 8 months to 12 months, we delivered a completely new airborne systems, fully qualified and certified and shipped. So, they are undergoing flight trials now. So now HAL has taken a decision. How do you want to do? Do they want to import? Can they look at Indian products?

So, the tender has come. So, they will evaluate the TECs happening. They will evaluate the process and then come to a proportion. We are pushing, saying that we have outstanding products. And this is jointly done by DRDO and us. So, this is a good product. It is world class. So, it is Indian. And we can meet their commitment. We meet everything we tick the boxes. But it is for the HAL and the user to decide what they want to do. So, I can't comment on it. But we have done our part and we have to wait to see how it really plays out.

Jyoti Gupta: So, we have competition from the international players or within domestic only you have competition?

S. Rangarajan: No, there is no domestic competition for us. In most of w

hat we do, there is no domestic competition. It's all international competition.

Jyoti Gupta: Okay. And is our rate cheaper or theirs is cheaper? I mean, since we have done an excellent job, then we should be bound to get this contract for down here going forward.

S. Rangarajan: We don't know what price; it is a tender. Nobody knows what the other person will quote. I have no idea. We have an indication of what they will quote, but nobody knows what they quote. So, I can't comment on that. But it is not just quote or price. It is more on how India views programs from India and how decisions are going to be taken.

We hope that we should convince them to take Indian product. So that's where we are. We have done our job, as I told you. We do the sale process now and see what really happens.

Jyoti Gupta: Okay. All the best, sir. I'm sure you will do very well.

Moderator: Thank you. The next question comes from the line of Saumil Shah from Paras Investments. Please go ahead.

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Saumil Shah: Thanks for allowing me a follow-up. So, what is our current debtor days?

Venkata Subramanian: On a trailing 12-month basis, as of September, it is 243 days, which is in comparison to March 23. March 23, it was 308 days and it has come down to 243. March 24, also, we had 280 days. September is on a trailing 12-month basis.

Saumil Shah: So, are we looking to get it down further, by the end of this year or this is a normal debtor days for our type of industry?

S. Rangarajan: No, see, it all depends on the product mix, the order contract mix. Development contracts take longer time because though we develop some products and most of what we develop, most of the contract is our development. But what I mean, it goes through a lot of trials and testing, sometimes field trials, sometimes aircraft trials and until that is done and some modification we require after trials. So, these are development in nature, no? So there tends to be some delays in payment because there is some addition, subtraction happens.

But more and more production contracts we get, then the payment cycles because there is no new design validation verification and trials. So, it goes to a normal acceptance process already done. So, the debtors days tends to come down. Today there is a lot of mix of development contracts. That is why the extended timelines are there. We believe this has to be brought down as we go along. It will happen over the next 1 or 2 years.

More and more we start, our product develops getting to a series production and then the quarter-to-quarter delivery happens there, or month to month it happens. Or sometimes the next two years, we expect it to be a month-to-month delivery, not even a quarter-to-quarter delivery. When these kinds of things start happening, and that is 70% of our business, if we do that, you will see debtor days will come down substantially.

We have to work on that kind of product mix. Today what's happened is, the whole business in India is DRDO driven and development driven. That's the only business we've been seeing.

We've not gone into the production model where the MoD tenders come in one, and most of those vendors are all going to BEL and HAL and on a nomination basis a lot of things happens. That is what is happening.

Very few are really coming to private sector because the entire product should be available and some of them make one make two takes a long-life cycle to see that the orders are placed and all

that. So, this is a slow process. The government is clear that they have to shift the way we are doing, but it takes time to shift and also to forest our entire product to be there to position , demonstrate .

So, this will happen over the next few years. But in the meantime, we need to see how to move away from the so large development to contracts to prod

uction orders. What we are trying to do

is we are developing our own products other than what DRDO development products are there , which will directly go to services. So that is another area where the substantive hardware can happen -- delivery can happen, but again in that initially some testing is involved, it will take a

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year, year and a half then it goes into production, but we have to move from this to that, then debtors will come down substantially.

Saumil Shah : Okay, And sir what percentage of our sales is to government companies versus the private companies?

S. Rangarajan: See, all are government here, very little private here. See this HAL, BEL and all the large companies only are ordering because they get the large orders and through DRDO once you have done some product development, then they get the final order as a system integrator fully. They back -to-back order with us. So it's either PSU or the services MOD business is what mainly. Other than for this year, maybe more than 15% we do exports, that is all private, but we're exporting.

But look in India context, they are very little private. Slowly it will have to happen. The large organizations, Tata, L&T, whoever this, let's say, Adani, all of them start getting large contracts and where their consortium approach takes place, an ecosystem gets done in India and we start developing products for them, then the kick -in of private sector business starts, but till now since they are not really developing also, they're all tying up with foreigners to bring product, the kick -in from India is going to be Tier 4, Tier 5 on components rather than subsystem, systems like what we do.

So it's going to take some time. The ecosystem is to kick -in, after which we'll have Indian private sector. We are also talking to a few to say, why don't we do this? We need to create an ecosystem here, see that Made in India is possible, but these are all in work in classes now.

Saumil Shah : Okay. So as of now, all India sales is all to government companies and exports to private companies?

S. Rangarajan: That's right.

Saumil Shah : Yes. That's it. Thank you.

Moderator: Thank you. The next question comes from the line of Omkar Chitnis from Trade Brains Private Limited. Please go ahead.

Omkar Chitnis: Thank you for giving an opportunity. Sir, my first question is, sir, how many contracts are you expecting to get from IP business by FY26 and how many patents do you hold as of now?

S. Rangarajan: Come again, how many -- what did you ask first question.

Omkar Chitnis: How many contracts are you expecting to get by from IP business by FY26 and how many patents do you hold?

S. Rangarajan: See whatever we get, see it's very complex phenomenon here. Whatever we get contracts it's development is done by us. So IT belongs to us in terms of products development everything

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100%. The number of contracts varies. It doesn't make sense to give you number of contracts, it give me 100 plus or 60 plus, sorry, 100, 200 small parts are also there. So that doesn't actually answer any question, but yes all of them are designed by us.

We are not a system integrator as now, all products are developed and designed by us, but this comes for a tricky question of what IP we mean. So when you do with government, sometimes DRDO, though we do development as part of the contracting process, the IP gets transferred to government. So it is our IP, it also gets transferred to them. So that's a tough question to answer because that is the way the nature of business is in India, government wants to own all IP. So that is there.

But we use the IP to build the next products and we take on from there on. And they do program wise, we do product. So we differentiate with products and then grow the b

business. The second

question is that we have patent, we don't have patent, we have one patent long back, 10 years, 15 years back they did. But the focus is not to build patents. We're building products here. We're not doing basic research and which is patentable. Here the product IP belongs to building products. These products exist in the international market. So really we don't want to really build any patents and process here and we are not in that game at the present moment. We want to scale by building products because India is importing and there is enormous opportunities in India. We want to address and build business here. So I'm not really looking at the patentable kind of developments here.

Omkar Chitnis: Sir, as you mentioned, you want to tap international market. Are you planning for any partnerships, any joint -ventures with global defense companies for technology development?

S. Rangarajan: We are getting orders, already some three, four companies approached us and we are all building products for them. They are also increasing the size of orders to us and getting more product developed by us. Slowly it's happening because last 5 years, 6 years, we've had excellent performance, systems were not failed, they are working very well. So we're getting confidence. So slowly more -and-more companies are coming and we are also, but actively we have to do that. We need to have a marketing arm to see the proper development is happening. Today, our bandwidth is more focused with the Indian programs, but I think we are putting some international brand with marketing brand to recruit and train and address markets so that we start getting small orders and 5 years from now, we wanted to be a very big business. So we need to do that we've not done that yet. We are getting some contracts, but that is not a sustained, what do you say marketing effort which you have put. We need to do that.

Omkar Chitnis: Okay. Sir, my last question is, sir, out of INR971 crores order book, out of that any orders from Israel, East Asia and European Union?

S. Rangarajan: Israel no, East Asia yes, Europe, yes.

Omkar Chitnis: What percent of that order book, sir is it possible to quantify?

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S. Rangarajan: They have got INR100 odd crores of Europe and East Asia.

Omkar Chitnis: Okay, sir. Understood. And thank you, sir.

S. Rangarajan: UK is above from Europe, including UK. INR100 odd crores, I don't -- exact amount, but it is INR120 crores, INR130 crores as something of that sort.

Omkar Chitnis: Okay.

Moderator: Thank you. The next question comes from the line of Sahil Karia from Whitepine Investment Management. Please go ahead.

Sahil Karia: Yes, thank you for the opportunity. Sir, could you just let us know about the Dornier 228 platform? Like have you participated only for the IAF platforms or also the Indian coastguard platforms?

S. Rangarajan: So presently the tender is I think Naval, Indian Coast Guard will follow I think.

Sahil Karia: Sorry, sir, couldn't get you.

S. Rangarajan: No presently the tender, answer the tender. I think present tender is for Navy. I don't know if the tender is for Indian coast Guard. If Indian Coast Guard requires it, it will follow. The present tender, I think I'm not very sure, but they don't tell us the end -use, requirement tender only has come, but I think it is for Navy.

Sahil Karia: So could you just tell us like for how many aircrafts or like for how many platforms you all have the tender for?

S. Rangarajan: How is that relevant?

Sahil Karia: And so we can get the size of the order book or like the size of the order that the company has for the Dornier 228 platform?

S. Rangarajan: So we have quoted a price now, we don't want to disclose all that now on open forum, it's a tender which is still in -process. So we can't expect this.

Sahil Karia: Ok

ay. And sir, the next question is like since we are like spending our development -- development money on the radars, different types of radars and specifically on the airborne radars. So do we have any plans in entering GaN based radars?

S. Rangarajan: All are GaN based. We've been doing GaN based from 2014.

Sahil Karia: Sorry sir?

S. Rangarajan: Not today, all expand radars which we have done is GaN -based and the first radars we delivered to ISRO in 2013 -2014 for coastal surveillance radar which we designed was a GaN based, SSPA -

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based system which we delivered in 2014 a full radar was designed and delivered by us. Then we won the contract for precision approach radar we won about INR380 crores. This is aligned radars for Navy and Army -- Navy and Air Force. That is also full KR module GaN based, which was -- we won the contract and all the deliveries have been completed last year.

All lines radars have been installed, we are expecting one more order, the negotiation is over, the order should come probably next two, three weeks, all negotiation is completed. So that is also GaN based only. And we have some orders for transportable so lution approach radar for Czech Republic and Hungary, that is also GaN based. We delivered the Dornier 228 contract airborne radar that is GaN based air module, AESA already delivered the delivery in 10 months for the date of contract, full airborne radar was delivered by us.

We are now working on two other programs for helicopters and things like GaN based and then the new developments and proto type are GaN -based, everything is GaN based. And this we've been doing for last 10 years not today.

Sahil Karia: Okay. So, sir, if like we have already developed the GaN based radars and we are into it. So are there any plans to enter the Uttam radar or the radar for this to cold platform the IS planning?

S. Rangarajan: We want to do everywhere. We want to be only source everywhere. So where would you not want to do? We will definitely want to be there. It all depends on government whom they address and what they want to do, but we are ready.

Sahil Karia: Okay. Thank you so much sir. Thank you.

Moderator : Thank you. The next question comes from the line of Susheel Aggarwal from NPCC. Please go ahead.

Susheel Aggarwal: My point was actually recently HAL specifically they have been awarded a huge project for Dornier for other LCA, MK IA...

S. Rangarajan: What is that Dornier?

Susheel Aggarwal: Dornier, LCA helicopter and I know they have been awarded recently last 6 months, major project for around INR80,000 crores, INR90,000 crores. So are we expecting some awards from everyone is from those things?

S. Rangarajan: Yes, we will be quoting wherever we are complement with requirement and so we need to see because some of the products already approved and we are the only supplier in the LCA platform and Dornier anyway the tender is new, tender is going on we don't know what's going to happen. On the helicopter side, we have some products which we already certified for and some contracts can happen.

So it all depends how it's going to go and what government decides to do. We have some products, but I can't tell you exactly when the contract will happen, will it happen at all, I can't

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tell you, but yes we are looking at those kind of requirements. It depends on HAL and government how they want to go ahead whether they want to import or they want to do the India, the decisions are been taken by them, but we have products for them.

Susheel Aggarwal: Other thing is on this long -- this high -value projects that we have been talking since we have been telling that in 2 years, 3 years?

S. Rangarajan: I'm not able to hear you clearly. There is some background noise. Can you repeat this question?

Susheel Aggarwal: Means 5.1 high -value projects what we are talking that very big value project we are expecting when we can expect in 2025 or in 2026, when some timeline is there?

S. Rangarajan: I can't give you clear predictions today. Their work, how it happens is you build the product and it has to go to certification, qualification when the contract has to happen. We expect that in the next 3 years, this all should happen, maybe earlier, but I can't exactly give you timelines.

Susheel Aggarwal: And the last thing, I want is that if some order details are put in between also during because we are getting any update only in the last 3 months, only on 3 months, that becomes a long -time. There is a long dark period in between, so if you can get some updates in -between, it will help us?

S. Rangarajan: Yes, see, we don't want to keep telling any order we don't announce. So that is why we normally announce only in -quarter end or the results, but if a big order happens, maybe we'll like announce it, we'll see. But this has happened that this is coming to the end last year, it is not like that. There has been a general delay in the contract this year. But those contracts were not lost, none of the contracts have lost. We believe that the orders will happen now. This is again some of the divisions have postponed these orders. But let's see what we can do, if we can announce it earlier let us see.

Susheel Aggarwal: Yes, because similar type of orders, other competitor companies are announcing, it will help us.

It will give investors more confidence because once you get orders then it gives more confidence to the investor.

S. Rangarajan: I understand what you're saying. We didn't want to do every week announcement and all that, that's why we kept it away like this, so that we are not really unnecessarily doing this, but nevertheless, I appreciate what you're saying. We'll discuss internally in the Board and see what we need to do.

Susheel Aggarwal: Okay. Thank you. Best of luck for your next H2.

S. Rangarajan: Thank you, Susheel.

Moderator: Thank you. The next question comes from the line of Anay Mittal from Nvest Analytics Advisory. Please go ahead.

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Anay Mittal: Sir, thanks for the opportunity. Sir, I just had one question. I really enjoyed the conversation that you spoke about where you were speaking about the end-to-end solution rather than a standalone product. So you actually elaborated a lot on that today. But if you can give us some idea as an investor in terms of what could be the target market for such product, number one. And number two in terms of value.

And number two, do we have any other competitor who does that type of product, which you believe that you are in the process of making and you are close to what you said. So do we have like any visible competitor in India who can be -- who can win give some competition to us. If you can elaborate more on that, it would be a great?

S. Rangarajan: See the target markets I am looking at is about INR5,000 crores, INR10,000 crores or above is what we want to build products for. We don't want to build products for small contract value. It is anyway we are doing with DRDO. These are all large contracts and we want to look at that and that is how we have taken money in building products. As regards competition is concerned, India is a large country always you have competitors.

So what we are trying to do is being a bit ahead in terms of product technology and ahead engineering. So if you look at it, we are ahead of others, but it's all depends on how government deals. Finally, everything is a government division because it's DRDO division, it is user division, services division, Air Force, Navy, they all get together and decide whether they will say okay, product is good you go ahead or we'll wait 3 years, wait

other people do also do, then
we will see that also can happen.

So that is the risk element here. We want to eliminate the risk element, very urgent needs and address the needs immediately. It's a product which is international quality. And immediately there is no competition available with the kind of timelines which we are aggressively put for ourselves. So we're trying to see whether that works. So we'll see, we'll push, we'll see it works. We are hoping it will work. They are very committed to what we're doing. It's a 24/7 development work we're doing here.

So we are really putting our heart and soul in it. So I hope we will be successful and pray that we'll be successful, but yes, we are doing what is best there. And these are all large orders. If it comes fully or it gets split into two people, three people, then the value of the contract comes down. We believe that it should, but it should give us some large business in the next 2 years, three years is what we're doing. And initially we should get some development contracts, which will recover our development money also is what we're thinking.

Anay Mittal: Okay. And sir, and also when you spoke about this, you also gave your strategy on first catering to Indian market and then the export market on those products opens up, is there a rule that we have to go that way or it is only that it acts as a proof-of-concept for us in India and hence it is successful and hence it acts as a sample for other countries as well, if they have to come up and order those solution. So are we not waiting at the expense of India to grow is my question, sir to direct?

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S. Rangarajan: I agree with you, maybe we should try it also parallelly. We are a bit moving -- we want to do this because it all involves lot of right testing and other things and we're doing part of the product, part being done by government. So we need to collaborate with them before we go out. Some of the things we're doing on our own, we don't need government. There we can track the go ahead. The products are nearing completion. We need to start testing waters like you said. This is

another discussion internally we are doing.

So we were focused on doing India first. We are also like you people are also telling in the office that maybe we should do in parallel also, we are trying with the idea and let us see where it goes.

The product has come out, maybe in exhibitions participate, all this we need to do to start why India first, why not outside. If India is there, it gives confidence to other users in the world that already is accepted in India, but that is not mandatory in some cases, like you are saying so we can also go abroad. We're not done that till now, but maybe we'll consider doing that also.

Anay Mittal: So that's -- maybe you know it better than us, sir, but it's only a suggestion from investor point-of-view that if you have room for growth?

S. Rangarajan: Yes. I agree with you, we'll agree to do that. This discussion has happened in Board meeting even three days back.

Anay Mittal: Great. That's it from my side. Thanks and have a wonderful 25 onwards.

S. Rangarajan: Thank you.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now hand the conference over to the management for closing comments. Please go ahead.

S. Rangarajan: Yes, thank you. So what I would like to say to the investor and analytics people is that this business is more year-end business as of now, doing lot of development contracts we've taken. We've tried to even out last few years. We'll try to do that more as we go along. My -- whatever we committed to the market, we stand by that. We still think in the next 6 months, we will deliver all the products as we planned. We have the orders in hand, some are expected orders still and we are ahead and product develop

ments in those areas. These are -- this is point number one.

Point number two, genuinely what we're trying to do is build a large company here, build infrastructure, build products and those products will have to be world-class. And those will give us substantial business hold to see that several -- at least a few years order book we should have on hand. Any large defense business has not 1.5 years or 2 years, but at least 3-plus years orders on hand before they know that year-on-year, they know what they're going to deliver.

They're trying to achieve that by building products, getting the TAM and then see if the contracts will happen. I think we are doing the right thing. We are very convinced that we're doing the right thing, the direction is very clear. They are not trying to buy and sell and integrate to see that the order book comes at low L1 business everywhere and increase my size of business and

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keep delivering it because I feel that with the size of business which is there, if we do IP in India and build and build big, it may take some time.

But that is going to actually build solid organizations which can stand on it by itself and then scale and even grow outside India, we are trying to be there. We are probably trying very different from others, but I think we are steadfast in what we're trying to do and we don't want to -- one or two mistakes happen or delays happen, but that should not affect us in our long-term direction and growth.

I think we are in the right track. We are very convinced that what we're doing is right and have built-up outstanding competency in product engineering, which is every visitor who comes here, including some of the foreign who came last month, they were actually astonished with the engineering. So we believe we are on the right track. We're getting the right signals from even international bodies.

So we will have to put our head down and build the organization. This is what we want to do and this is what the Board wants me to do. So we're on the right track. We believe we will do very well in the coming years. So thank you for the patience and thank you for listening to me. If you have any doubts, any questions, kindly forward it to Go India and they will forward it, we'll get them answered for you. Thank you very much.

Moderator: Thank you sir. On behalf of Go India Advisors. That concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

SEC/SE/103 /202 4-25
Chennai, February 12, 2025

To
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra(E),
Mumbai - 400051
NSE Symbol - DATAPATTNS To
BSE Limited
25th Floor, P .J. Towers,
Dalal Street,
Mumbai - 400001
Company Code: 543428

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Conference Call

Dear Sir/Madam,

Further to our earlier letter no. SEC/SE/093 /2024 -25 dated February 03, 2025 intimating the schedule of Earnings Conference Call on the financial results for the quarter ended December 31, 2024 , please find enclosed herewith the transcript of the Earnings C onference Call held on Thurs day, February 06 , 2025 at 10.00 A.M. IST.

The transcript of the earnings call is also available on website of the Company.

We request you to take the above on record and oblige.

Thanking You.

For Data Patterns (India) Limited

Prakash R
Company Secretary and Compliance Officer
Membership No: A34652

Encl: As above

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"Data Patterns (India) Limited
Q3 FY '25 Earnings Conference Call "
February 06, 2025

MANAGEMENT : MR. S. RANGARAJAN – CHAIRMAN AND MANAGING
DIRECTOR – DATA PATTERNS (INDIA) LIMITED
MR. VENKATA SUBRAMANIAN – CHIEF FINANCIAL
OFFICER – DATA PATTERNS (INDIA) LIMITED

MODERATOR : MS. MONALI JAIN – GO INDIA ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to the Data Patterns India Limited Q3 FY '25 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Monali Jain from Go India Advisors. Thank you, and over to you, ma'am.

Monali Jain: Yes. Thanks, Rico. Good morning, everyone, and welcome to Data Patterns India Limited Earnings Call to discuss the Q3 and 9 months FY '25 earnings. We have the senior management of the company on call, Mr. S. Rangarajan, Chairman and Managing Director; and Mr. Venkat Subramanian, Chief Financial Officer.

We must remind you that the discussion on today's call may include certain forward -looking statements and must be therefore viewed in conjunction with the risks that company faces. May I now request Mr. Rangarajan to take us through the company's business outlook and financial highlights, subsequent to which we'll open the floor for Q&A. Thank you, and over to you, sir.

S. Rangarajan: Thank you, Monali. Good morning, ladies and gentlemen. It is my pleasure to welcome you all to our Q3 FY '25 Earnings Call . I hope you had the opportunity to review our earnings presentation, which is available on both the Stock Exchanges and on our website.

Before Venkat presents the financial results, I would like to share some key updates and highlights for this quarter. While we faced certain delivery deferrals from customers, our overall execution momentum remains strong. On the profitability front, we achieved better EBITDA margin standing at 40% for the 9 -month period.

In Q3, as highlighted in our earnings release, we maintained an order book of INR1,184 crores, including orders worth INR89 crores in negotiated till date. This is driven by 2.5x growth in order inflows, which stood at INR240 crores for the quarter, bringing the quarter -- total of the first 9 months to INR324 crores. We remain optimistic about delivering strong growth and are firmly on track to achieve our full year revenue growth guidance.

We anticipate a major ramp -up in the quarter 4 and remain confident of achieving 20% to 25% revenue growth by FY '25 while maintaining strong EBITDA margins at 35% to 40%. In the third quarter, a substantial portion of our revenue and order inflow was driven by exports market. From the outset, we are focused on developing and designing our products in India, and we are now intensifying efforts to introduce and expand the presence of our indigenous products in international markets. This shift towards export marks an exciting and positive development for the company. We remain dedicated to securing additional export orders and our current international order book is a testament to steady growth and successful diversification within

our overall order pipeline. Our international order book stands at INR106 crores as on 31st December 2024.

With a robust bidding pipeline, we target INR20 billion to INR30 billion in new orders over the next 18 months. Our dedication to research and development has led to the creation of several new products, which we plan to showcase at the Defence Expo in February 2025 in Bengaluru. These innovations will enable us to participate in larger opportunities in the medium and long term.

We are strategically deploying funds to accelerate product development with a substantial portion allocated to expanding our R&D capabilities. This investment is driving the creation

of

next-generation products aligned with the emerging industry needs and technological trends. We have progressed in the value chain by developing integrated systems with reusable building blocks, drawing on our core strengths.

This has helped us expand into important global markets like Europe and East Asia, where we are now effectively competing with major OEMs. As we move forward, our focus is on growing our addressable market, where we would now shift our focus towards complete systems.

Our aim is to establish ourselves as a system supplier, addressing not only the needs of India, but also those of other countries. With a trained workforce and improving delivery capabilities, we are well positioned to meet the demands of international markets. As of December 31, our order book stands at INR1,095 crores, with growth observed across all verticals where

development and production contribute 47% each.

In Q3, we secured a production order for EW worth INR80 crores, a production order for radar worth INR53 crores, a production order for avionics export worth INR53 crores. We recently saw Indian government allocated INR6.8 lakh crores for the defence budget in FY '25-'26, marking a 9.5 increase from the previous year.

A substantial INR1.8 lakh crores has been earmarked for upgrading military capabilities with 75% of the modernization budget dedicated to indigenous weapons and equipment. These create opportunities for defence sector as a whole. Overall, we are committed to sustaining growth rate of 20% to 25% while maintaining EBITDA margins between 35% to 40%.

With that, I'll now hand over the floor to Venkat for his remarks.

Venkata Subramanian: Thank you, sir. Good morning, ladies and gentlemen. We are pleased to share the highlights of our financial performance for quarter 3 and first 9 months of financial year '24-'25. Let's take a close look at the results. During the quarter 3, revenue came at INR117 crores, up by 29 percentage quarter-on-quarter. Development contracts contributed to 37 percentage, production contracts to 59 percentage and service contracts approximately 4 percentage of Q3 revenue.

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Radar and ATE were highest contributors to the revenue at 62 percentage and 18 percentage, respectively. Our order book remains strong at INR1,184 crore as on date, including the orders negotiated, driven by growth in both development and production contracts.

We achieved an improvement in gross margin to 80 percentage, up by 1,260 bps, driven by a favorable product mix. For 9 months, revenue stood at INR312 crore, down by 7.5 percentage year-on-year, but with a strong gross margin at 76 percentage and EBITDA margin at 40 percentage.

Our net debt-free balance sheet reflects our prudential financial management. As of December end, we hold over INR575 crores in cash and cash equivalents, underscoring our financial strength and liquidity. As mentioned by our CMD, we are on track to meet our stated guidance of '24-'25 with 20 percentage to 25 percentage growth in the revenue.

With this, I open the floor for Q&A. Thank you.

Moderator: The first question comes from the line of Dipen Vakil from Phillip Capital.

Dipen Vakil: Congratulations on great margins, sir. Sir, my first question is on -- so over the years, we have moved from a revenue guidance of close to around 30% to now to 20% to 25%. Sir, so I want to know what are the challenges that we are currently facing so that -- because of which we are not able to target high growth? And what kind of triggers are expected or what kind of triggers are we looking for in such a way that we can expect a growth of close to around 30% going ahead, sir?

S. Rangarajan: See, in the capital equipment market, the market order book doesn't happen on a year-on-year, effort goes many years behind because the order happens. It takes

sometimes 3 years, 5 years or

8 years, depending on what we did some years back, the contract starts happening now. Of course, the conversion rate to contract can be much quicker in the coming days. But having been where we are as defence industry in India, that is how the actual contract happens over a period of time.

Today, Board is increasing it. So whatever we did many years back, the contracts are coming as the repeat contracts now and some new orders and development contracts are happening, which is what we have driven today in the revenue growth you've seen today.

Going ahead to say what triggers are necessary to increase the scaling or increase in revenue growth faster, we need to have an addressable market, which is larger and build products that further addressable market and see that those initial entry orders have received which are tested based on which repeat orders, production orders start happening.

That could be the trigger point. So what we have done actually is raised money to build products to increase the addressable market of INR10,000 crores to INR20,000 crores. Once we increase the addressable market, develop the products, position it, go through the process of acceptance

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and then the contract should happen, which will scale growth substantively. There are two things which has to happen.

One, the growth is just to grow faster. Second, we need to have an order book for a few years,

not 1, 1.5, 2 years order book. We need to have order book 3 to 5 years on hand. We expect to do this over a period of time.

And that is the reason we are doing very internal R&D, tremendous product development we're doing. So this company can propel to higher growth and also have a stable order book, which is at least 4, 5 years, 3, 4 years at least, so that we can have predictable growth patterns in the coming years.

Dipen Vakil: Got it, sir. Sir, my next question is that -- so recently, so Defence Secretary as well as -- has mentioned that there are some heavy ordering expected in the next couple of months. Sir, so -- and this quarter, somehow I was not able to see the order inflow guidance for full year. Sir, so what is the order inflow guidance that you are expecting for FY '25?

And while I understand that you have guided for INR20 billion to INR30 billion in the next 18 months, so can you highlight two to three major orders which are expected -- which are there in that INR20 billion to INR30 billion guidance?

S. Rangarajan: I wouldn't want to get into very specific programs because see, bidding happens in these programs. It will be not correct to in the open forum to discuss which order I'm expecting which contracts. So I would rather not get into -- that is why we're giving overall guidance.

But I'll tell you this, we have another couple of months to a year end. There have been a shift in the order intake and the shift in certain amount of products, decision-making has taken some time, but we have not lost those contracts. The contracts are still firmly in our hand in the sense that the bidding will happen and we should get those contracts.

So during the next 1-year time frame, I think we should be able to build the orders keeping in line with our next year guidance, which we'll talk about in the next session. After year-end closing, we talk about it. We'll have far more greater numbers in our hand in the next 3 to 4 months' time, and we'll be able to give you some guidance to take this forward. I can give you overall general is that there are major programs have participated.

Our products have been accepted and those bids are about to happen in the process of happening. Some we already quoted. So the decisions have to happen. I'm not in control of when the decision happen, but I think in the next few months, those decisions will happen. The order will

I come.

We projected some of those orders even for next year deliverables and taken advanced action on that. That is an internal decision we've taken. But at this point in time, I don't want to give you exact details of the order book in open forum. Maybe another 3, 4 months from now, we'll give you better guidance on that.

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Dipen Vakil: Got it, sir. Sir, and last one, sir, on the execution side of it, sir, we have seen a degrowth of 16% this year, largely attributable to the delay in deliveries because of the clients' request. Sir, so that has impacted us for the second or third quarter in a row. Sir, when do you expect this to turn around in terms of delivery starting to happen or maybe offset from -- by execution of some other projects because that is leading to degrowth in our overall numbers now, sir?

S. Rangarajan: Yes. We are working on both strategies, as you said. We are engaging with the customer. We expect that we would be able to get some kind of clearance to go ahead in the next few weeks' time. Products are ready. So once that is -- acceptance testing is done, we will ship it hopefully this quarter, Q4, we expect to ship those products.

But like you're saying, eventually, that is not happening. We are also working on some products we have planned for Q1 of '25-'26. We also planned that we expect to keep the delivery ahead of schedule. So working on both strategies so that our guidance remains, we're able to continue to deliver on our guidance.

Dipen Vakil: Got it, sir. Sir, and export, sir, on the export, so this time, we have seen a huge growth in our export revenue. So can you tell us from which area have we got this export orders? And what kind of execution are we looking at going ahead in exports?

S. Rangarajan: See, these are all very preliminary export contracts we've got. So it's a welcome thing for us. The only thing which I would like to say here is, see, we've been a product development company. It's very nice to know that our products are going to European markets, very advanced Western countries and where our IP is being accepted. So we started quoting in a few places. We were successful in last year, we got these orders 14, 15 months back. We developed the entire product, radar contract, of course, modified existing radar, but it's a completely new design. This has been delivered and our customers have accepted it. So going ahead, we want to see that more products we develop in India, we want to see that this is showcased abroad.

So we are planning to set up a proper marketing organization in the coming year to see that we will start looking at export. It will take time to graduate large orders in export and get a substantive business there because -- we need to have a field product, most of the products have

quoting, maybe the quoting to building orders can be faster in the Western countries than it is in India today because of the process which is more cumbersome here, but we have to go through the processes.

So we are in the process of building an organized structure to address this. But before we do that, we need to have products which we can be marketed. See till now, what happens is in India, we've been only subsystem supplier. We need to graduate the system supplier, then those products are exportable. So we are working internally to build the products, which are export worthy, then take it back to export.

So this is going to be a slightly medium and long-term kind of an approach. But yes, we are starting on it. To come back to your answer, what areas, here, we have worked in one area which

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has given us success in radars. Initial orders have been in radars. But over a period of last 7, 8 years, we've been developing some avionics for European customer. And that we can

continue to

deliver on a month and month earlier, so a quarter-to-quarter basis, not on a month and month basis.

Their orders have gone up. Consequently, they're subcontracting our orders also has come up. And here, we have designed the product. It is not a build-to-print production contract with low margin. That is not the way we have done it. It's all our IP, developed products have gone ahead. That is accepted, customers happy. So increased the volume of business here.

Now we're producing multiple systems per year -- month, and they're very happy with our performance. Even during COVID, there was not 1 month delay in our product. They're very happy with this. They're considering other programs for this. There have been a lot of visits from foreign large OEMs to our factory.

We are quite impressed with what has been achieved here. So in the months ahead, I think we need to engage with them to carry through this process to see that we start getting initial trial orders with them, new customers. But these will be perpetual orders. If we get the first orders and successfully implemented, then they're not really depending on one customer here, but their own marketing capabilities and their order book, part of it will come to us, maybe a small part, but it will give you sustained revenue.

So we're going to start building that capability going ahead. And we think Aero India also is going to expose us to a number of foreign OEMs, who visited us are going to come there, and we've had some time slot appointments made there. So this is a process. But I think they like what we're doing. They like the engineering.

So I believe that we are in the right path to see that we increase our revenue in exports. Second thing also we are doing is not only building the products, but also building a lot of people with capability. You can't take an order and not deliver. And then we want to surprise them with delivery ahead of schedule, faster than what they would imagine, for which we need to create infrastructure in India, to see that the development delivery and manufacturing is in place, the expectations, very fast delivery which we can do.

So we've now crossed more than 1,000-odd engineers in the workforce in 1,500 people we have and recruiting more engineers. They are getting trained in our existing development, whatever we're doing for DRDO and others.

We're doing the odd development getting trained. So a lot of trained manpower is also getting done and use this as a foundation and then start exporting is what we're thinking because it has to be go global as you go out. Yes, the large market is India. This is the only time when India has opened out to Indians and on defense aerospace, the excitement is very much here. We have to address this market. But this is capital equipment market.

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It is tender-driven market. There is zero or one market. So we need to also buttress it with export orders with IP from India so that the bottom line also is also taken care of, build that and then take it to export. In which case, we have steady revenue month-on-month, quarter-to-quarter revenue also will come in there.

So this kind of balances the kind of capital equipment market, tender market which we are addressing in India. So we need to have a mix of both. And we're building an organization to do that. We want to invest in infrastructure, equipment and development to see that we are gearing

ourselves to see that delivery models can happen along with the marketing infrastructure we want to set it up.

Dipen Vakil: Got it, sir. That's really encouraging. Just one suggestion on your PPT, sir. Some of the disclosures have been reduced, especially on the new order wins, maybe on the client side of it. Request you not to decrease the disclosures because that really helps us to see the trajectory of the company.

S. Rangarajan: Yes. Purposely, we did it, Vakil, because I don't know when -- see, it is going to open market. I'm very -- as you ask me a question, I give you a direct answer. I don't know the impact of all these answers to the open market. So that's the reason we are trying to not to give specific on every order who gave the order kind of thing. So we will internally discuss with our management and Board to find out what line to draw where and then come back to you.

Moderator: The next question comes from the line of Jyoti Gupta: from Nirmal Bang.

Jyoti Gupta: Good set of numbers I anticipated, I mean, our numbers are in line. Two questions I have. One, while moving to exports is actually fared well for the company because of the kind of products that you're making. My first question would be, will the margins be better than what -- because last year, the entire story was about indigenization because of better margins and not looking at exports. But now everybody is moving to exports, is it because the margins look better compared to what we are anticipated going forward?

Second thing is, while I understand that two things that there have been delays, but the numbers, which is inventory days, which has increased from 187 from 155 and your cash conversion cycle. Do you anticipate in FY '25, this to be elevated? Or is this going to come down from 187 in FY '25 and cash conversion to actually improve by the exit of FY '25?

S. Rangarajan: Okay. I'll take your question 2 first and 1 later. While details will -- Venkat can give you. I'll just immediately react on your inventory days. See what's happened is we -- I've been informing this, we went ahead with 2 large contracts for radars, where we said margins may not be very high, but it is necessary to build capability to build complete systems.

And it's a very large space radar kind of thing. So we have in the last 1.5 years, designed the radars, a whole lot of material is blocked in manufacturing. It's a large radars. It's a very, very large radars. So a lot of material is blocked in terms of manufacturing, and it's a long gestation in terms of development and manufacturing gestation and test gestation.

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So a lot of our money on inventory is actually more than 60% -- 50%, 60% of the inventory is actually only on these 2 projects. We expect to deliver one project by end of this March and probably Q1, Q2 next year, we expect to deliver the rest of the product. So once we do this, the inventory will come down substantially because this is driven by 2 main orders, which is going to go out and delivery is happening.

So that is on one hand. And taking as a trailer to this, we expect inventory days to come down and going ahead whatever next year because this kind of inventory-oriented contracts may not -- normally, we don't take. But because the complexity of the product is so, so high, we said it is necessary that this kind of complexity, we need to design from scratch and build a competency which is unmatched in India.

So we took up this contract at very low margins, but we have taken that because it is -- we need to do 2 things. Capability building has to happen and that has to be demonstrated capability. It is not that I say I have capability. The capability comes in product demonstrations. That has to happen to build confidence to larger customers to look at us going along to how to build scale, a few thousand crore company, you need to have big, big contracts. So for that, we said this will be a baseline. So we took the contracts.

And based on which we have learned a lot from these contracts. So there is addition in capability. So that has happened. But normally, our product mix is very different and it's all IP-driven and not material-driven. And that is what you witnessed in the last 9 months also, our EBITDA margins and gro

ss margin the same. It's all IP-driven.

We -- as against other companies, we buy and integrate, we design everything in-house. Of course, it takes enormous amount of effort in predevelopment and a whole lot of revenue expense and things happen in the previous years, but we tend to write off all those things on the year of realization of product.

We don't capitalize it, except for the large products where we've taken money from the market, we're building capital. Otherwise, on the normal products, we do market where we get an order and we build development, we do not capitalize those revenues. We write it off. So that's what's

happening. So the second question is, yes, it is going to come down. The reason for this is only 2 contracts.

Coming to your first question, why are we going global? Why some emphasis on export? Is it because we get higher margins there? No, that's definitely not the reason. We have made a new system in India, we would expect to get a higher margin in India. There we are doing part of a system because when you export complete systems, it's a different product game.

Again, we are getting it into all the OEMs on to subcontract development and testing and equipment here because they also look at a cost multiple, which is lower here in India than in U.S. or Europe. So they're looking at it at a slightly lower price. So really, we do not go for export just for the margin. Margin, I think we should drive it out of Indian business.

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If foreigners compete in Indian business, their margins on a system level, I think we are comparatively -- we have a lot of advantage in doing in India, especially in India. Without sacrificing large margins, we still be able to compete effectively with the foreigners. And since everything is foreign in India today, I think it gives a ground playing field to see that why don't we build those products and compete with the foreigners in India.

So that is the business we are in. And we continue to put a lot of effort in this. To follow this, once you build the product, there are a lot of other areas, countries in India who are used to buying some products, we will start exporting to those countries first. That is the product mix which we are doing.

The other portion of exports we're doing subsystems on development delivery for the foreign OEMs is they get a number of years of business ahead, they plan ahead. And so it allows us to give you quarterly revenue, monthly revenue stabilize revenue process, which can mix both capex tender business and a revenue business which goes month-on-month. So it is a good mix to have, and this has been discussed internally.

We said we need to -- since we have a capability to build world-class products, we should expand our shores, get more marketing because we have been very engineer-driven inward-looking company all along. Now we want to say that now we are public limited company. We should not prevent ourselves only to look inwards. We should go out, start looking export seriously. So we have just started doing this. It's only beginnings in our life. I think next 3 to 5 years, we should really go into it because we need to have both the mix, not only into India. We also have to get export and be well-rounded company. So that is the reason why we're doing it.

Jyoti Gupta: Okay. Sir, one last question on the avionics part. Now when I -- when we heard the BEL saying that they'll be delivering a lot of EWs for the LCA Mark -1, while the LCA Mark -1 platform itself is delayed. Should that -- should avionics -- so -- and your -- even you have one of the products, which is your Intermediate Jet Trainers. Is there any way you are not -- is the delivery for LCA for you also happening? Or is it somewhat a bit staggered because how come the BEL is making deliveries for LCA Mark -1? And is it the same case for

you or is it not?

S. Rangarajan: Every problem is industry problem. So we are not alone and nobody is alone. We're all together in this. If a big program gets delayed, then there is an impact to all of us. Maybe the impact for BEL will be more because they are larger suppliers and nominated basis, they get lot more orders. We get smaller orders, so the impact will be less.

But on a balance sheet, on a P&L of ours, the impact matters. So what we need to do is to not allow this impact, we must have an order book, 3 - to 4-year order book, mix of contracts, mix of programs so that we can mix and match and deliver and take care of the shareholder interest and revenue projections you make, we need to do that. This is what actively the company is doing in terms of strategy, product development and marketing.

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We need to scale up all of that to see that these small things should not affect the company performance. One or 2 things should not affect. It is affecting today, which is not good. So we have to strengthen areas where it will not have an impact on us. We're working on a strategy to see how to do this.

Moderator: May we request that you return to the question queue for follow-up questions as there are several participants waiting for their turn. The next question comes from the line of Lavina Quadros from Jefferies.

Lavina Quadros: Yes. Sir, I just wanted to understand a flavor from you on -- there are a lot of concerns that whether in India, defence indigenization is going to get slowed down, defence spend is going to get slowed down, ordering activity will slow down. I wanted to understand from you, are you seeing any changes on the ground particularly?

So this budget commentary has clearly not been for capex anymore. But just wanted a sense -- but defence spend has been good. So I wanted a sense from you on what is the kind of movement you're actually seeing in terms of ordering activity, tendering? If you could just give your thoughts? Thanks.

S. Rangarajan: Actually, our interaction with MoD senior IAS officers and MoD people, my personal interaction has been very positive. They are looking at modernizing processes, looking at lacunas in process, delaying procurement activities, also providing a level playing field to industry vis-a-vis DPSU alone. They're looking at all of these things.

And I think MoD is concerned that there are delays and the delays are not acceptable. So, they're looking at process to see how we can quickly do things. The activity is on. It's promising to see that major changes in processes will happen to allow more industry participants and faster ordering is going to happen. Matter of fact, I think Defence Secretary has recently joined online to say that we're going to see that industry is going to give a lot of orders.

So, I think they are serious, and they are -- they do know that the bureaucratic issues should not slow down this process. Second, you are looking at the international context now. The necessity that India has to defend itself very strongly. And we need to -- and our PM and the government is very clear that indigenous defence is a mandatory requirement to make it a strong country. No country with zero defence or limited defence capabilities can be strong. All of us understand that and more so our Prime Minister. So he is very clear that it has to be indigenous and PM is very clear. So there is not going to be any letup in my mind. I think if at all, you see with the international outlook, what is happening in the international world, we should rededicate ourselves to do much more in India and faster in India and believe in ourselves, give opportunities to see that we can go through the opportunities, maybe fail a bit, but we'll get up and run.

But the opportunity has to come from government because they are the use

rs. We would strive

and we will also emphasize that they should do more to do more in India and enhance capabilities

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in India and development delivery in India and also go global from India. I don't think any one of us are thinking second or thinking that this is not happening. We are very, very bullish about India and the process.

There are changes, delays, but we are bringing up notes to ministries to say that we need to look at it. We need to look at it slightly differently. We have done this five, six years one way. But yes, we have built up capabilities, but that is not adequate in Indian context. We need to do more. So all of us are striving to do more, and I'm sure the government is behind us, and they're going to encourage us to do more. I have no second thoughts on this.

Lavina Quadros: All right. And sir, lastly, one more just aspect. I know everyone's asked about exports already. But let's say, between a lot of commentary on government-to-government discussions on exports of products, be it to Southeast Asia, like, for example, orders were expected for HAL, BEL, there have clearly been quite a few delays.

Now just generally, again, are you seeing scope on pickup on that side or any commentary that, let's say, the larger companies start getting orders sooner because eventually, it will flow down to you all apart from your own individual efforts in those countries. Any thoughts over there?

S. Rangarajan: Okay. See, I'm not too prudent nor we are not part of that kind of nominated export contracts, which DPSUs get because of government-to-government contracts, unless some part of the small part gets from us. Clearly, we are not looking at this and planning ahead based on this. And I don't want any more government delays or product delays to affect us. So we need to go outside the system.

We want to be on our own. Go contract the end user, the OEM, B2B customers, not B2C, probably. Some B2C we have done, but through B2B. So big OEMs, we need to contract, get contracts from them on an individual basis, not because of it going through a DPSU, that may or may not happen. We are not really focusing on that. It happens, it happens, it happens in spite of me. I've not done anything for that. So I'm not really going to focus on it.

We're going to do our own bit homework, our own effort, our own products, our own marketing reach, outreach and then give very competitive, high-value products to our customers. So this is what our effort should be and the direction should be. We have to work on that. I don't think we should work on these areas because the market is so big and opportunities are there.

If we are able to gear ourselves up, build products and give a reasonable pricing, and quality products, I think we should get this. But it's going to take time. It is -- see, because nobody trusts an Indian developed product overnight in the Western world. They are not used to it. So it's going to take time to break the barrier, get the first initial contracts, prove that it's working, get the buy-in and say that they are happy, then they'll find the advantages because there are a lot of advantages when people like us get to give products in OEMs because they are also plagued with the same problems for 20 years, suppose 25 years, suppose obsolescence of electronics.

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And the larger OEMs in the U.S., European market, they keep on doing new products based on new components coming in the market. They keep doing and they start obsoleting their older products. But these older products are still in line, in line with the products delivered to end customers. So they have a lot of problems, how to maintain those. Company like us will go the extra mile and maintain products for 20 years, stock components for 20 years, maintain

there

because we need it.

We are hungry. We are hard working. So we will ensure that our customer is happy. We will not let go our customer. So it's a good thing for both organizations to work like this together because we have a need to do such things. So I'm thinking that we should expand the marketing organization and also the infrastructure to deliver quality products much ahead of time. That's what we want to do in the next 3 years.

Moderator: The next question comes from the line of Renu Baid from IIFL.

Renu Baid: Yes. Sorry if I missed this in the start of the call. If I look at the YTD inflows, it's been quite weak, and we have reiterated INR7 billion to INR8 billion of annual guidance. So if you can help us with where are we placed with respect to L1 orders and orders where we expect closure in the next 3 to 4 months, that would be helpful?

Also for next year, what sort of large orders do we have certainty, which are a part of the INR20 billion to INR30 billion order inflow guidance that we have given?

S. Rangarajan: I don't know about L1 contracts. We can't -- only if tenders open, we can do this. Yes, even yesterday, we have L1 in some contract for INR13 crores. But we're not -- we are going to bid more of those contracts, but where -- IP belongs to us and so we become L1. So we're going to do that. We are going to participate in a number of MoD contract directly.

So we are in the process of doing it. But we can't give you a projection on all of them because only when the tender bid is open, we know whether we are L1 or not. But on the guidance itself, while, yes, there is a lot of slippage in the programs which we actually planned for this year and next year, the contracts have not happened because of some events delaying the closure of these contracts.

But we have not lost the contract. Contracts are still live. We expect that this is activities happening in the customer end, see that we quickly release tenders and close those contracts. I think in the next 5, 6, 8 months' time, those contracts should start coming in. That is why we say the INR2 billion to INR3 billion you're talking will be there. There are major programs.

Again, basis for disclosure, what we want to do, we don't want to specify the programs because I don't know how this is read in the open market. That's why we're keeping quite earlier, I was telling everything, when Renu ask, I did tell everything. Today, sorry, you have to excuse me to say I'll be a bit more circumspect in what I say. And I'll give you general guidance. There are big programs offing. They've got delayed because of monetary reasons, clearances in the government. So that is all it is happening, we'll do.

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And a lot of new programs, DRDO has got a number of new programs sanctioned and that levels of sanction. Money sanction has happened. So they're all in the development stage now. And I think we are very advantageous position in those programs, having developed the EW capabilities where all of them are required and the complete system capability we have achieved in this, we believe we are very well positioned to take a portion of those contracts.

But again, I don't want to name the contracts. But yes, we have done that. We have also done a lot of products is already approved. We're hoping that those products will be approved by the users. If we approve those products, back-to-back contracts will be a few hundred crores in each

of them.

So we are working -- both DRDO and us are working together to see that the approvals are acceptable to the users and users back us rather than importing the products from abroad. So we are working actively. I've also made representation to MoD to do this.

So I hope all this will pan out, but the path, direction is right. What we're doing is we are convinced the direction is right. The r

e has been delays, but I think we will get compensated in the next few months. I will be more specific, Renu, after about 3, 4 months. Once more clarity comes on the product, when exactly quotations happen, then timelines are very clearly visible. But I will tell you, post contract, I tell you which contract I got.

Moderator: The next question comes from the line of Arafat Saiyed from InCred Research.

Arafat Saiyed: Yes. Sir, my first question is on your deferment of contract. So can you quantify the number in this quarter, which got deferred for the next quarter? Or how is that things will pan out?

S. Rangarajan: Okay, no, no, no problem. It is about -- totally deferment contracts is about INR70 crores. One is actual product available should have gone last quarter in the previous quarter, got deferred again. So that is about INR20-odd crores. And the other product is mainly ready, the experience contract to happen. So the contract happened very last minute. And what happened is the inspection process has initiated.

The product is ready for dispatch. But based on the customer need, we got the product up, but there is an MoD requirement. The contract got delayed with three months. We received the contract, it is ready, we expect they have to come for inspection soon and ship it. These are two.

There are other program -- products which orders are expected and somehow the development has happened but the order has got deferred. So there are a mix of these kind of things.

Arafat Saiyed: Got it. And second, sir, can you just please guide on the order pipeline for the next couple of years, if you can share some quantum, how much amount you're looking to bid over the next couple of years?

S. Rangarajan: I will give you this, another few months after because we have now -- some of the programs which we thought will happen last year have got postponed. So I don't want to talk out of turn and take ownership for something which I cannot take ownership. So let me wait for -- I think

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the clarity will come in the next 2, 3 months, these contracts will start moving ahead, and I'll be able to tell you properly. So that is one.

Second point is we have done a lot of development in the last 15 months. We've done some world-class products. The complete products have been designed. We want to showcase them in Aero India. This is the next week. We expect that the users -- very senior users, senior people will visit us and have one-on-one dialogue with them that how we use these products. and which is urgently required by the services.

So we expect that some kind of a positive reaction has to happen. We worked very hard in the last 15 months to make this possible. And it's really truly world-class products we have done. We all required a few thousand crores of each is required by the users. So we hope some breakthrough happens and they take seriously.

They take it seriously. We need to work for the next few months to convert them into initial contracts. And after flight testing and other things, we get into larger contracts. So that is the path.

We are well -- from our side, we have done whatever we can in terms of capability demonstration and product demonstration. Now we need to wait for users to do the policy framework and see what to do and take interest in it. So I'm just saying early for a few months, we will have some more clarity how it turns out, and then I'll be able to tell you a bit more to the investors that this is the direction that is happening.

Moderator: The next question comes from the line of Abhishek Singhal from Naredi Investments.

Abhishek Singhal: Sir, my question is relating to we had raised INR500 crores for product development. When will that development be completed? And when will the revenue start coming from the development? And how much revenue will come from

this INR500 crores QIP? And second question, what kind of order book are you expecting end of this financial year? Thank you sir.

S. Rangarajan: Yes. See, this end of financial year, we're not very clear because only 50 days is available in the financial year. Maybe some contracts will happen. We are working towards some contracts, maybe INR100 crores, INR150 crores something like that. We are working on contract conversion. But it may have in this way or that way. It may take a bit longer. We do not know. But the larger contracts which we are quoting for is going to be all a few hundred crores. So this

will happen over the next year or so. A number of those requirements for products for the contract will happen. A lot of development will happen ahead of time. So we have been in a position to deliver much ahead of time, much higher requirement compared to normal organization to start from scratch. So that is how we are developing products. Coming to your first question on QIP implementation. We've maybe spent about INR100 crores already, about INR80-odd crores on product development, mainly in 5, 6 categories. I think that is also I think announced, not announced, exactly what we've done. Okay. So we have done that

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INR84 crores or something we have capitalized on this. This is basically on radars. One is the radars.

Second, EW suite. Third is in software defined radio. Fourth is some make-to programs we are participating in and 5, 6 and a few smaller items which we are participating in putting products together. The good -- the important thing with all this product development is we made this building block so that even in the existing new contracts, which we are going to bid with DRDO or wherever, the building blocks we have developed for specific products can be reused in these programs.

And all of them require what is called as a no cost, no commitment trial. You need to trial, give a demonstration to the customer before they short listed to commercial bid opening. So to allow that to happen, people import and then integrate or represent somebody and do. They're saying they build the building blocks, they reuse the building blocks and go for participation in the trials, so which allows us to also look at a bigger portion of the addressable market with our products.

So that is how we have done. So there are a two-pronged attack in how we're building these products. So it's all come now. Some of the products which I talked about development, a portion of the development which we have done and products have been finished or almost finished, we're going to showcase in Aero India.

So that is what we do. We put a large money in this development of satellite. We have slightly deferred the satellite development initiatives because I'm not very confident how the business model works out. Initially, we were thinking that it will be a large business model.

But with all the start-ups and a whole lot of IDEX and things like that and pricing and small company start-ups being preferred for certain things, I do not want to take a step by investing INR200 crores, INR300 crores on product development which will actually take about 2 years of satellite development to launch and maybe third year to start getting a contract or so.

And how the government changes their mindset are not very clear. So we'll not -- though we have a full competency to build satellites and we launched the satellite, it's all working for 24 months now, every part of it designed in-house and also the sensor itself is designed in-house now.

But because lack of clarity, we'll not put that extra. With more clarity coming from Ministry of Space, maybe we will also attempt doing that as going ahead next year or so. But today, we restrict ourselves to areas where we see low-hanging opportunities, low-hanging

fruits where we

can be first come kind of opportunity advantage.

So we're trying to put that in this area. We spent about INR85 crores, INR88 crores now, and we have money in the kitty to spend more. So we are being -- we are cautious about spending the money. We have cash on hand, but we are very cautious about spending the money because we've been very clear, return investment is going to happen. So that's where we are today.

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Moderator: Our next question comes from the line of Garvit Goyal from Nvest Analytics Advisory LLP.

Garvit Goyal: All of my questions are answered. Just one question. Like you mentioned to some previous participants like you expect getting clearance from customers in upcoming weeks. But let's say, we don't get that. So then also, do you still believe like we will be able to do INR320 crores, INR350 crores kind of top line in Q4 via a different product mix and delivering to different customers? So that's my question, sir.

S. Rangarajan: Yes, that's what we're working on. We are trying to postpone some of the contracts in the case this doesn't happen. But we are very positive indicating the customer that it likely will take place in the next week, 2 weeks or so. They will come for inspection and go ahead, in which case we

can deliver it in March. So we're hoping that we are continuously engaged with the customer. But nevertheless, we're also taking some alternate action to prepone some of the contracts for next quarter. We're doing both, Garvit.

Moderator: The next question comes from the line of Alisha Mahawla from Envisio n Capital.

Alisha Mahawla: Just wanted to understand that since we were mentioning that some of the development contracts that we've taken, which will be executed over the next few quarters with slightly lower margin, exports also is not delivering -- is not offering margins superior than the domestic business. So can we expect the margins to now start gliding lower and probably end at the lower end of our expected margin band?

S. Rangarajan: What we're doing is we are trying to build a product mix that some with lower margin, some with higher margins. We're focusing such a way that our bottom line business, whatever we are talking growth rate to you and to our investors, it's not marginalized. We don't want to reduce that. So we believe we should keep the lower margin.

EBITDA or whatever may come down. But the bottom line PAT, revenue will go up because margins are lower and the PAT percentage may go down. But the PAT, as overall PAT compared to last year to this year, we will retain gross margins as predicted to you as committed. So that is what we're doing. So we'll have a mix. I don't think we should get into really a situation where I'm going to give you less margin, lower PAT kind of numbers in the coming quarters.

We will try to mix delivery such a way that, that doesn't happen is what we're aiming to do. A number of our own IP products, so we expect that, that will compensate for the loss on margin in some quarters.

Moderator: Ladies and gentlemen, due to time constraint, that was the last question for today. I now hand the conference over to the management for closing comments.

S. Rangarajan: Thank you, everyone, for joining us on the Q3 Investor Call. Yes, I understand that there are various questions and concerns which have been brought out by you. We are also well aware of that. We are taking remedial actions to see how to do this. We are on the right path. We are doing

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product development, a host of IP is being generated and large products required by India, where we're looking towards India to develop where we're uniquely positioned.

We're positioning ourselves very well there. Products are coming out actually very well. A couple of European

customers have come, head of the institutions have come and seen the products, and we're very happy with the engineering. So all of them have given us good that we will have to work with you going ahead. If this is being done by you and such a large team, we will be very happy to work with you. So I expect things to happen.

I think the path is very clear. We're also investing ahead to see that once we get a contract, we're able to execute contracts in time and ahead of time. We're also putting infrastructure not only in terms of test facilities and manufacturing infrastructure, we're also putting trained manpower and building capability across the board. We are also spending money, going to spend money in the coming year, a lot of IT infrastructure in terms of PLM, licenses and this and that, which will become a backbone to become a large company.

We need to scale to a large company. And whatever is necessary to scale to a large company, they are doing on capability, on infrastructure, on IT and backbone and also on people, training, scaling up people capabilities, all of them are doing. I think we are going in the right direction. Enormous amount of money is getting spent in product development. You will see it coming more.

Hopefully, some contracts will happen in the next 2 quarters to say that, yes, we've gone in the right direction and we've got orders which will scale. So that also will happen. And the third initiative we are taking now is try to slowly start moving up the export chain. So we are going in that direction. Again, it is all coming out of capability and product capability driven.

From a competency model, we are trying to build products. A lot of people worried whether we go export, the margins have come down. I don't think so. What we were trying to do is not a scheme, not services model, we are doing a product model. With the product model, yes, it has -- we have to be competitive with respect to certain countries from their OEMs or subcontractors. But that does not mean less margin in my mind. I think we will do this properly is my belief.

More and more orders we start getting, I'll be able to say what is the calibration we do, how do we want to do this further? We'll understand from our experiences. But we -- I think we are in the right direction. And we are very, very bullish about growth going ahead.

Orders have got delayed, but I think we'll continue to get the contracts, large contracts, and we're very well positioned in all those large contracts because the products approval and it is all flying very reliable and it is advanced. And we built an organization. There are actually people who

have come there.

We're very happy to see the engineering capabilities which have built over the last 2 to 3 years' time. So I think the direction is right. So we will continue to press on the direction what we're doing and look towards how to scale markets.

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Thank you very much for listening to me. Any other questions you have, kindly mark it to Go India, and we will see that every question of you is answered. Thank you very much. Have a good day.

Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

SEC/SE/018 /202 5-26
Chennai, May 2 6, 2025

To
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra(E),
Mumbai - 400051
NSE Symbol - DATAPATTNS To
BSE Limited
25th Floor, P .J. Towers,
Dalal Street,
Mumbai - 400001
Company Code: 543428

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Conference Call

Dear Sir/Madam,

Further to our earlier letter no. SEC/SE/009 /202 5-26 dated May 12 , 202 5 intimating the schedule of Earnings Conference Call on the financial results for the quarter and year ended March 31, 2025 , please find enclosed herewith the transcript of the Earnings C onference Call held on Mon day, May 19 , 202 5 at 11.15 A.M. IST.

The transcript of the earnings call is also available on website of the Company.

We request you to take the above on record and oblige.

Thanking You.

For Data Patterns (India) Limited

Prakash R
Company Secretary and Compliance Officer
Membership No: A34652

Encl: As above

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"Data Patterns (India) Limited
Q4 & FY 25 Earnings Conference Call "
May 19 , 202 5

MANAGEMENT : MR. S. RANGARAJAN – CHAIRMAN AND MANAGING
DIRECTOR – DATA PATTERNS (INDIA) LIMITED
MR. VENKATA SUBRAMANIAN – CHIEF FINANCIAL
OFFICER – DATA PATTERNS (INDIA) LIMITED

MODERATOR : MS. MONALI JAIN – GO INDIA ADVISORS

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Moderator: Ladies and gentlemen, good day and welcome to Data Patterns (India) Limited Q4 and FY '25 Earnings Conference Call hosted by GO India Advisors. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Monali Jain from Go India Advisors. Thank you, and over to you.

Monali Jain : Yes. Thanks to you. Good morning, everyone and welcome to Data Patterns (India) Limited Earnings Call to discuss the Q4 and FY '25 Earnings. We have the senior management of the company on call: Mr. S. Rangarajan , Chairman and Managing Director; and Mr. Venkata Subramanian , Chief Financial Officer. We must remind you that the discussion on today's call may include certain forward -looking statements and must be therefore viewed in conjunction with the risks that company faces.

May I now request Mr. Rangarajan to take us through the company's business outlook and financial highlights, subsequent to which we will open the floor for Q&A. Thank you, and over to you, sir.

S. Rangarajan : Thank you, Monali. Good morning, ladies and gentlemen. I'm pleased to welcome you to our Q4 and full -year FY '25 Earnings Call. I trust you had the chance to go through our earnings presentation, which is available on the stock exchanges as well as our company website. Before Venkat takes you through the financial performance in detail, I'd like to begin by sharing some key highlights and strategic updates for the quarter.

First of all, I'd like to begin by congratulating the Government of India and our armed forces for their resolute and successful handling of the recent India -Pakistan conflict. This decisive response has once again demonstrated the strength, preparedness and technological superiority of India's defence capabilities. The successful deployment of the BrahMos missile has played a pivotal role in the mission, stands as a testament to India's indigenous defence innovation. We at Data Patterns are proud to have made a small, yet meaningful contribution to the BrahMos program and it is a moment of great pride for us to support the nation's strategic defence initiatives. It gives me great pleasure to share that Data Patterns has delivered a strong financial performance in Q4 and for the full year. We've achieved a remarkable 36% year -on-year growth for the full financial year. Our Q4 results were particularly encouraging with revenue doubling compared to the same quarter last year.

We are proud to have achieved our guided revenue and profitability targets for the year, reflecting our execution and operational discipline. While gross margins saw some pressure due

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to low -margin strategic contract delivered in the Q3, Q4, this is largely offset by a few higher -margin projects, allowing us to maintain healthy financial performance. Gross margin for the full year was 61% and PAT margin was 31%. PAT grew by 22% in line with our guidance. We remain focused on driving sustainable bottom line growth and are confident in our ability to maintain both revenue and PAT momentum in the future. During the quarter, fresh order intake was lower than anticipated, largely influenced by external factors beyond the company's control. As a result , our overall order book for the year has been modest. We continue to maintain a healthy pipeline and remain confident that these delays are temporary and will translate into

stronger inflows in the upcoming quarters.

The company has made strong strides by initiating development of fu

ture -ready products and

gearing up for several large upcoming contracts. With these strategic efforts underway and a healthy pipeline ahead, the company remains optimistic about a strong order inflow for the full year.

Data Patterns received positive feedback on the product showcased at the recent Aero India. Company's commitment to R&D has driven several new innovations, positioning us to seize larger opportunities this year and beyond. The defence ministry focused on doubling orders and ensuring a steady supply chain over the next 4 -5 years. Data Patterns is well placed to benefit from the growing defence sector in India.

We have advanced in the value chain by developing integrated systems with reusable building blocks, leveraging our core strengths. This has enabled us to expand into key global markets like Europe and East Asia. Moving forward, we are shifting our focus to complete systems to grow our addressable market. Our goal is to become a leading system supplier, serving both India and other countries.

With the required manufacturing and testing infrastructure, skilled workforce and enhanced delivery capabilities, we are well equipped to meet international market demands. During the full year, we achieved some large orders for radar, EW orders from MoD, PSUs, et cetera. We have also developed and delivered transportable precision approach radars. This is expected to open a few more opportunities in the near future.

As of March 31, our order book stands at INR730 crores and as on date, order book is at INR860 crores, including negotiated contracts. Our international order book stands at INR107 crores as on 31 March. We remain optimistic about delivering strong growth and are firmly on track. We anticipate a good ramp-up in order inflow in FY '26 and remain confident in achieving 25% to 30% -- or 20% to 25% revenue growth for FY '26 while maintaining strong EBITDA margins at 35% to 40%.

We are happy to inform you that our Board has recommended a dividend of INR7.9 per equity share of INR2 each, which is subject to approval of the shareholders. With that, I will now hand over the floor to Venkat for his remarks.

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Venkata Subramanian : Thank you, sir. Good morning, ladies and gentlemen. We are pleased to share the highlights of our financial performance for Q4 and full-year FY '25. Let's take a closer look at the financial results. In Q4 and FY '25, we are pleased to report a strong quarter and a solid close to FY '25, marked by significant growth both in top and bottom lines. Revenue for Q4 FY '25 stood at INR396.2 crores, up 117 % year-on-year and 239 % quarter -on-quarter.

Development contracts contributed to 57%, while production contracts and service contracts contributed to 42% and 1% of the Q4 revenues respectively. Radar and ATE segments were key revenue drivers contributing to 60 % and 20 % respectively. Our order book remains strong at INR730 crores as of 31st March, 2025. With the orders negotiated and yet to be received, the order book as on date stands at INR860 crores.

Gross margin for Q4 dipped slightly to 49 % due to delivery of low -margin contracts strategically taken by us. However, for the full year, the gross margin stands at 61 %. EBITDA for Q4 was INR150 crores, up by 61 % year-on-year and 177 % quarter -on-quarter, with margins in line with the guidance at 38 %. PAT came in at INR114 crores in Q4, growing at 61 % year-on-year and 155% quarter -on-quarter with a strong PAT margin of 29 %.

For the full-year 2025, revenue reached INR780 crores, up 36 % year-on-year with 53 % from production and 43 % from development contracts. Gross margin for the year was 61 %, EBITDA stood at INR275 crores, up 24 % year-on-year, with a gross margin of 39 %. PAT for 2025 was INR222 crores, up 22 % year-on-year with a strong PAT margin of 31 %. We remain a deb

t -free

company in FY '25 also.

As of 31st March 2025, we maintain a robust liquidity position with over INR453 crores in cash and cash equivalents. As mentioned earlier, we remain firmly on track to meet our stated guidance of 2 %0 to 25 % revenue growth. With that, I now open the floor for questions. Thank you.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Dipen from Phillip Capital. Please go ahead.

Dipen: Thank you for the opportunity sir and congratulations on a very strong performance and also congratulations on your contribution to Operation Sindoor. Sir, my first question is in the line

of, sir, in the earlier quarters that you had mentioned that some of your revenue recognition was impacted due to a client request on deferment in delivery. Sir, are those orders now delivered? And is it possible for you to quantify those?

S. Rangarajan : Some of it has got delivered. Some is yet to be delivered. We are still waiting customer clearance inspection for some of them. I wouldn't like to quantify the order value, but I think this quarter or next quarter, that also should get delivered.

Dipen : Got it, sir. Sir, my next question is that in your PPT, you've mentioned that BrahMos seeker has now been successfully tested. So any feedback or any clarity in terms of when you will get any orders? Are there any further processes that yet to -- which are currently undergoing?

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S. Rangarajan : Yes. We've been waiting for the flight tests on the missile to happen for quite some time now. We're happy to announce that the flight was carried about three to four weeks back. There's an excellent flight, textbook flight and textbook performance, we expect that in shortly, we should get more -- some more orders from BrahMos for the development of additional units will be asked. Following up with that, we expect also production contracts to happen. Maybe in the next month plus probably another year, the production orders also should happen.

Dipen : So production orders are expected in next year, you are saying?

S. Rangarajan : May happen this year, but it will happen early, but they are also -- they would like to replace imported seekers with Indian seekers as per mandate. And the products work very well. They're also pushing us to see that we get all results ready for delivery at the earliest opportunity.

Dipen : Got it, sir. Sorry?

S. Rangarajan : It should happen.

Dipen : Got it, sir. Sir, can you help us with what are the systems that you're supplying for BrahMos?

S. Rangarajan : Today, we do all the launchers for them. Ground -based, mobile -based launchers for all three services; Navy, Air Force and Army. We also supply the air version on Sukhoi 30. And the test systems for all of three areas. As now the seeker is also tested, hopefully, we'll get some contracts to deliver those also.

Dipen : Got it. Sir, your performance in FY '25 has been robust in terms of your export orders and export revenue as well. So right now, we stand at close to around INR100 crores in export orders. Any export orders which are there in the advanced stages in pipeline?

S. Rangarajan : We are discussing with -- to some requirements. We've quoted for some. We are awaiting results from the quotations. And also, we've appointed some representative s for these products of ours. It's already delivered in India and abroad. We expect some traction to take place during the course of this year.

But I can't really comment on exactly which order will come at what time. So we don't know the international competition for all these products. Well, there are not many companies in what we want to do, so we expect some contracts to happen.

Dipen: Got it, sir. Sir that's all from my side.

Moderator: Thank you. The next question is from the line of Atul Tiwari f

rom JP Morgan. Please go ahead.

Atul Tiwari : Thanks a lot and congratulations on very strong set of numbers. Sir, I have two questions on future order intake prospects. So the first is slightly longer term. I mean, if you could shed some color and light on what is the opportunity size that you are trying to address through all the R&D and the development efforts that you are making, say, over next 4, 5 years?

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I mean, there is a value of orders that you could be bidding for based on your capabilities and R&D programs that you are undertaking. So that is a slightly longer -term question. And for FY '26, what will be the size of order intake? Or what is the prospects that you are bidding for?

S. Rangarajan : The products are developed -- basically, we have taken advanced development of various products in radars and EW and communicate systems as well as seekers. These are all -- this is -- we intend to see that we scale the opportunities in India and our own top line. We expect that the size of opportunities or the TAM for all this probably vary between INR20,000 crores to INR30,000 crores.

So each -- this is why we took out -- took money from the market in product development. These products are in advanced stage of development. Regarding FY' 26, some of the orders have got delayed, what we were supposed to get in FY '25, but we expect those contracts to happen. And

maybe it's somewhere between INR1,000 crores and INR2,000 crores is what we expect during the course of this year to get orders.

And planned -- based on the planning of those orders, we already started some work in development and infrastructure creation as well as component ordering expecting these contracts to happen.

Atul Tiwari : And sir, this INR20,000 crores to INR30,000 crores TAM, it will be over what period of time broadly?

S. Rangarajan : I can't comment on that, but we should -- it should all be in the -- anywhere between 3 to 5 years, 6 years depending on production requirements from our Air Force and Navy, whatever their requirements are. Back to back, it will get -- it will also reflect on our delivery model. So it will be around 5 years, 6 years is what I'm thinking.

We have to wait and watch really what happens, how long the flight test takes. All these things are not in our control, but we're gearing up to all of those things.

Atul Tiwari: Great, sir. Thanks a lot. Best of luck for future.

Moderator: Thank you. The next question is from the line of Renu Baid from IIFL Capital. Please go ahead.

Renu Baid : Hi, good morning sir and congratulations for the strong performance. My first question is on the order flow side. If you see, last year, we were indicating probably inflows in '26 could be in INR20 billion to INR30 billion range, including probable success for some developmental projects.

So, a, the question here is because of the current situation where we have seen a big sharp jump in emergency procurement in the near term, do you see that decision-making or finalization of these developmental orders under Make-II program could get potentially pushed back by 6 to 12 months or you think we may see some initial success coming this year? That's the first question?

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S. Rangarajan : See, development contracts are made to go through its own cycle because the products have to be developed, evaluated and based on which the RFPs will be issued based on field trials. So it is going to be very difficult to speed up such programs. But what we are getting interesting requirements is that some of the products we have delivered earlier, repeat requirements are coming up for fast delivery requirements.

So these things have started coming in. I hope they will get converted into contracts early. But yes, there is a -- we find there is an u

rgency in repeating some of the products, which already we have delivered. So that also is there. There's -- definitely, there is some movement, but how this will all pan out, what kind of contracts we are going to get, we have some idea, but we don't want to comment on it at the present moment until it really happens.

Renu Baid : Got it. So of the INR10 billion to INR20 billion inflow range, which you are suggesting for '26, what percentage in your view could be driven by these emergency procurements, which are like INR2 billion to INR3 billion in ticket size? And this could be meaningful for us, both in near-term order inflows as well as execution?

S. Rangarajan : See, some of the products already we delivered. Repeat requirements are coming up. They could be around INR100 crores, we don't know. Again, this is very, very subjective because we need to get the inquiries, and then, we need to quote. But there are -- second area is we're also gearing ourselves for some emergency procurement MoD tenders, where in the last 2 to 3 years' time, we have developed product categories, which meets those requirements of the end users. They are putting their demonstration systems up so that we go through the FET, the evaluation trials properly. If these were to be successful, we expect some more -- a few hundred crores also to happen. But that is going to be dependent on competition and the success of the trials on which we have to bid the products for. So those -- these are the areas.

The third area is whatever we have delivered earlier and back to -- contracts have happened to some of the PSUs. Back-to-back, we expect order inflow to take place for our delivery. So that is -- that also is our discussion. It should also happen in the next 3 to 6 months' time. So we are gearing ourselves to produce against those contracts so that some of the development, some of the inquiries that comes this year, we would probably be able to deliver this year itself, meet our top and bottom line requirements for this year's guidance.

Renu Baid : Right. So can one infer that this could be almost between INR5 billion to INR6 billion for us in order size for the short-cycle delivery projects from all these three areas?

S. Rangarajan : No. What is this 5 billion to 6 billion I don't understand. What did you say?

Renu Baid : Rupees, INR I don't talk in dollar terms. INR500 crores to INR600 crores range coming from all the three categories that you highlighted recently.

S. Rangarajan : It should be more than that. It should be above INR1,000 crores.

Renu Baid: Got it. That is pretty encouraging. And second, within the longer -term projects, if you can share some updates in terms of how is the progress on the Make -II projects, the R&D team ramp up? And any notable new products where you think it could be in advanced stage for approvals and that can open up a next leg of revenue stream for us?

S. Rangarajan: Yes. The major revenue stream we're expecting, where investments have happened, to the extent of INR140 crores to INR150 crores were spent in the last 1.5 years in product development, comes in the category of fire control radars, airborne fire control radars, airborne electronic warfare suite, including receivers and jammers, ground and airborne or ship borne communication equipment as well as we've also built -- based on whatever we've been delivering.

We've also done a lot of work on the ground based ELINT, COMINT and the jammer. We are working on the Make -II programs for ADFCR. We're also looking at detection of very low cross -section UAVs, detect and jam. So these are all areas where the company has put in a lot of effort in the last 1 to 2 years' time. And these products are coming to some maturity. Hopefully, in the next few months' time , the products will come out, and then, we'll participate in c

ontracts.

Inquiries is happening. So these are the areas we're looking at presently.

And the other area, which is going to help us, is because of the seeker -- successful seeker flights, we expect some more contracts to happen in those areas. We're also developing additional seekers, not just for BrahMos, also on air defence seekers, we're developing. We have contracts on that. We should deliver on them. They are also expected to go into some numbers based on initial success is what I was told by the customers, but we had to wait and watch what happens. But now that we have a full competency here, we're building a whole range of these seekers for newer programs and newer missile systems. I hope all this pans out well. But these are all being done in -house, fully developed in -house, so these -- and the idea is to build these things, which is going to have a repeat requirement over many years based on the production of weapon as well as the platform. So that is the idea.

So there is no -- the move from just -- not just project -oriented one -off systems to a regular requirement, which is felt over 3 to 4 years' time, which gives you a better cash flow, a better understanding of future business and a sustainable growth model. That is what we are focusing on presently.

Renu Baid: Thanks much and best wishes sir. I have questions and balance sheet. I will come back.

Moderator: Thank you. The next question is from the line of Lavina from Jefferies. Please go ahead.

Lavina : Hello, sir. Congratulations, again, on a good set of results. Just two questions. One is, sir, of the export opportunities. It's a well -known thing that Europe -- globally, you're seeing a rise in defence spend, right? I just wanted some high -level thoughts from you as -- can India actually contribute over there?

I mean, do we have the technology to actually go out there and supply to Europe in a big way or do you think the actual opportunity can end up being far smaller particularly for Indian companies, right? And any products, if you can shed some light there? And secondly, on the domestic side, has the government taken any concrete measures for increasing private sector contribution in the defence supply chain or to improve working capital?

S. Rangarajan : Yes. See, we have been an import -centric country in Defence and Aerospace till date. We are now graduating to try to build more in India. And since equipment -- fully designed equipment is not done as of now in India, we still rely quite a lot on foreign OEMs with their technology transfer and work share arrangement to meet MoD criteria of Indian content.

So having said that, it's not going to be very easy to export full systems immediately. But that should be a long -term goal. And we have to have a direction to do this. More and more you develop in India, more you will be able to address their requirements. The Western countries have their own internal compulsions to build within their own supply chain within the country. They normally do not import.

And second, there is a lot of also, what do you say, export -- import controls or export controls, which we need to address in their government agencies. So even getting specifications from our Western Nation for requirements in defence has a challenge -- is a challenge. But having said all

that, there are opportunities to look at on a growing European requirement. And then may be a competent capability is established in India.

It is possible to do part development in India for future requirements of their Western systems requirement. So we are also in touch with one such company where we can do a joint development of radars, where this will not only look at -- address requirements in India, but also globally, we can build systems together.

So we are in touch, we are working very actively. We expect that -- in

these cases, we also want

to co-invest to build world-class systems. This is how we want to go ahead. It is going to be very difficult. Some of the ground systems we can definitely deliver, which is what we are exporting today now. But on the real defence equipment, which is going airborne, it has its own challenges to build full systems and then ship it to them.

But we can collaborate with them. There are definitely opportunities of collaboration based on -- because we have a capability model, and they also have shortage of that kind of capability within their countries. Scale up drastically is not very easy in Europe. So we should be able to address those opportunities. We want to put in a marketing model and market organization to address such opportunities.

And coming to your second question on India, yes, definitely, there is support for Indian equipment, Indian IP. And it is up to us in India, the private sector, to stand up, be counted, build the systems because very difficult when user has very little confidence because it's always imported. They've always been talking about, you would have read the papers, that we need technology from foreigners.

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So with that kind of mindset, suddenly say, I can do everything in India and they will believe you. As a user, it becomes very difficult from -- when you put yourself in their shoes, it's going to be very difficult to say suddenly, you can do all this. Why were you not doing it so many years? So seeing is believing. So we need to take that extra mile, maybe the extra risk, build the products, show them it is world class and the belief will happen over a period of time.

This is the path that Data Patterns is taking, investing ahead, convincing our customers that this is possible to do in India and then go ahead and get the contracts. It's a tougher way of doing things, but it's a long-term game. And so as we've always been a development model company, we said we will go for a long term rather than buy and sell, which we've never done in our life.

We think it will pan out. Our direction is right. We are convinced about what we're doing. We're very bullish about opportunities in India, and we have to build a capability and a product to convince the customers. This is where we are.

Lavina : Thank you.

Moderator: The next question is from the line of Jyoti Gupta from Nirmal Bang. Please go ahead.

Jyoti Gupta : Good morning sir, great set of numbers. My first question is the net working capital days is still quite high in FY '24; from 421, looks like we're going to 468. When can we -- what kind of net working capital days should we be seeing going forward? So -- and the other thing is in terms of revenue when you say INR1,000 crores in FY '26, just from the repeat orders, it looks like you're anyways crossing your current actual revenue growth of 36%, going to 41%.

So that looks quite robust. And the last question is, why did we in this year, FY '25, did some low-margin contracts, any particular reason for that?

S. Rangarajan : Okay. First question on net working capital. We are still -- one is it bided about more than 50% in the last quarter. So that also comes as a net working capital looks at -- the ratio looks higher. But more importantly, this business is -- we've done a lot of development centric contracts and integration test, field test, flight test, all of them take time. So that is the reason why the working capital is stretched for these contracts.

I think given another 2 to 3 years' time and the development is lesser and the production is more, then the turnaround time will be faster, cash realization is faster, working capital days will come down. So this is a transitory state. We need to give the time frame to see that this pans out and we're able to get -- see we're trying to scale the revenue as well as the bottom line, a

nd we're

trying to do this very, very fast.

When you do this, we need to have products to address market, and they have to work through development cycle. So that is the reason why we are -- where we are. But I think this is going to come down in the next 2 to 3 years' time. Having said that, we're not really -- we are still a 0 debt company. So we are able to manage that. And I think we'll continue to manage this in the coming years to happen.

Regarding revenue growth, you were saying that -- I didn't understand the question correctly, as you were saying some...

Jyoti Gupta : You said that you would have something like INR1,000 crores just from the repeat orders because of the emergency procurements. That is to the extent of INR1,000 crores and you delivered it?

S. Rangarajan : No. I did not say that. I did say emergency procurement is going to contribute INR1,000 crores. From what is clear, it's probably about INR100 crores. I don't know exactly because the inquiry that started coming in and you've to see how it processed. I said repeat orders from what we've done earlier, which -- back -to-back orders which you've start gett ing should be a more of -- more than INR1,000 crores is what we are saying.

That is only -- that is not revenue, but the order book. And we expect the revenue between INR1,000 crores to INR2,000 crores order book in the course of this financial year, we s hould get is what I said. Okay. On the third point, you talked about a lower margin. See what happens is, till now, we have been building products for DRDO and subsequent to delivery model.

We do a lot of IP generation. We are -- we don't recover developm ent costs in those contracts, and we absorbed -- throughout our life, we've been absorbing development costs and on a product and then gone ahead. So when the contracts come in, it looks like -- bottom line is slightly better in those kind of contracts.

But going ahead, we have to make integrated systems, and our company also has to build the capability to build completely integrated solutions, which will involve buying equipment, building large value equipment, the underground cabling, power systems, the mechanical structures, some of the things, which you need to buy out and integrate also.

But that itself is a challenge because to do very large, huge value programs, we need to also gear up with a competency base in the organization. I'm happy to say that in the last 1.5 to 2 years' time, we built up a fairly good project management team and an organization which can repeat or build big programs and good products in hundreds of crores or INR1,000 crore s plus single contract we can do.

So we took this contr act strategically to say the margins are not important. It is important that we build capability in the company. So that is why we took it. Point number two, all of the electronics are designed in -house, which is probably has its own capability to scale to large value contracts and radars tomorrow.

There are two reasons why we took it, and that is all going through proper phases. However, that has not affected our bottom line because with the additional revenue, our bottom line business has continued to be 20%, to above 20% is what we had projected last year, and we continue to retain that guidance. So this is the reason.

Jyoti Gupta : And so what has been the -- I mean, I saw your thought that you developed so quickly, and it was actually displayed in Aero India. Have you received orders on that? How has been the response on that product?

S. Rangarajan : The response is very good, but that doesn't convert into orders so fast because we need to put it to go through trials, and you see, because only after the t rials are completed, the product is then -- can be absorbed. But yes, there is

a lot of discussion taking place with the users. We believe that they will give us opportunity for the trials. And then once the trials go though, there will be opportunities of converting into a fairly substantive business.

So we're working with the agencies to see how it can be taken up. We are of that this will -- this is the path that has to be taken. It is going to be a long -haul kind of a program development product. That is why the money was taken to the market, but we are on track. We have done a world -class system, specifications are very good.

The foreign OEMs, who have come, visited us and seen the product, are also quite happy and the kind of development we've done and the capability we have built. So I think we're going in the right direction, and India will recognize that this is the way to go, and hopefully, give us more avenues to build such systems in India.

Jyoti Gupta : Great. Thank you so much sir and all the be st. I am sure you will do very well going forward.

Moderator: Thank you. The next question is from the line of Sandeep Agarwal from Naredi Investment.

Please go ahead.

Sandeep Agarwal : Hello. Thank you for the opportunity. Sir, just a follow-up regarding the margin question. Sir, could you please elaborate the primary reasons and factors that lead to significant sequential and year-end contraction in the margin and what is the sustainable margin at gross level and EBITDA level we expect?

S. Rangarajan : No, I didn't understand your question at all, Mr. Agarwal. Can you repeat the question properly because I couldn't understand? I know about margin, but beyond that I couldn't understand.

Sandeep Agarwal : Sir, what is the sustainable margin at gross level and EBITDA level expected?

S. Rangarajan : I'll try to repeat the question. What is the...

Sandeep Agarwal : Sustainable margin.

S. Rangarajan : Sustainable margin on EBITDA level is what you're asking, am I right?

Sandeep Agarwal : And EBITDA and gross level we expect ?

S. Rangarajan : Okay. That depends on the contracts, know ? It can't be generic answer. It depends on the contract, whether it is fully designed by us, in which case, the margins is expected to be slightly

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higher because we don't buy and integrate. Whatever other people buy is also done here. So the material cost becomes low, but that should not be taken as a margin directly because what they build as part of their business, other people, we're doing it ourselves.

We're not spending money on product development. So it cannot be across-the-board answer, but whatever we are trying to do is a sustainable product margin because there's a lot of IP development happening and which gets written off. Of course, in these large contracts, we've also capitalized the product development effort. But I think whatever we have been doing till now, we should be able to sustain.

Sandeep Agarwal : Sir, the current level -- sir, my next follow-up is the current level of margin is sustainable. Are we -- sir, just directionally, we want to know the pattern?

S. Rangarajan : See that's what we have told 35% to 40% EBITDA margin, we will be able to sustain.

Sandeep Agarwal : 40% EBITDA margin?

S. Rangarajan : 35% to 40%, we will be able to sustain.

Sandeep Agarwal : 25% to 40%. Okay.

S. Rangarajan : I said 35% to 40%. But anyway, I think the line is not very good at your end.

Sandeep Agarwal: Thank you. I understand.

Moderator: The next question is from the line of Garvit Goyal from Nvest Advisory . Please go ahead.

Garvit Goyal : Good morning sir. Congrats for a decent set of numbers. My first question is on our order pipeline only, like since the last 1 year, we are talking about the order inflow pipeline of INR2,000 crores to INR3,000 crores and our completion timeline is around 18 to 24 months.

And again, in the recent PPT also, we are talkin

g about a similar pipeline.

And last year, we did not achieve the order inflow that we projected for. So I want to ask, can you please elaborate on the key factor or the structure of hurdles that are delaying this pipeline conversion? For example, are we losing the orders to our competitors or any other strategic things that is facing -- that is bringing some challenges to convert this pipeline into order book, sir? So that is my first question?

S. Rangarajan : Okay. See, whenever I talk about projected orders, we do not consider competitive tenders because competitive tenders can go either way. So we do not take that into consideration in our projections. Whatever projections we're talking about in pipeline, these are all single-vendor contracts. Basically, due to earlier delivered contracts, maybe on competitive basis or whatever, which repeat orders are likely to happen, so this is what we project.

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Second is we've not lost those orders, it's only got postponed. And that is -- those are reasons, which are beyond our control. Some of the programs have got shifted, and the contract is supposed to happen. Some orders which our customers are supposed to get from MoD has got postponed. Some of the orders have happened now. So back-to-back, the orders should start happening to us in the next few months' time.

And we hear that the project which has not got cleared is getting cleared now is what our customers are saying. So I expect that this -- during the course of this year, those contracts should also happen. So that is the second one. Third, because of what has happened with our border, it

also likely that we'll get some orders, which is getting fast-tracked. So some orders also are likely to happen, which will all contribute to our order book.

Garvit Goyal : So when we are saying for next year INR1,000 crores to INR2,000 crores, so are we pretty much sure like minimum INR1,000 crores will be there or is it just like an expectation you have to run it and you are having not any control over it?

S. Rangarajan : No. We are sure about this order because these orders have already been received by customers and back-to-back inquiry should start in the next month or so. And we will be the single vendor contract for all of them based on our earlier delivered products. So we are sure of those orders.

It's a question of 1 or 2 months here and there may happen.

But nevertheless, since we want to develop some -- deliver some part of those contracts, we've already started the necessary groundwork to see the delivery models can happen. So that also we have started taking advanced action.

Garvit Goyal : Understood, sir. And sir, secondly, in the last couple of quarters, we were talking about some chips from part product supplier to end-to-end solution provider. So can you please update us on the progress in this regard, how we are going on in this direction, what kind of inquiries are we seeing? Have you made any further development, which will lead us to a big negotiation or big order in the upcoming months?

S. Rangarajan : See, getting into full systems is what we're attempting to do. We have done successfully in some of the contracts. We have delivered the precision approach radar to Air Force and Navy. One more order came, that also has been delivered. So we have developed -- based on that, we've developed a product radar for the international market. That has been accepted and delivered. That is under installation.

So like that, we have started development products. We were also -- earlier, we were doing only receivers for EW. And now, we are trying to do a full system with our own direction finder, all of those systems, which can be vehicle-integrated mounted. So we made the vehicle integration systems. We're taking for demonstration.

So wherever possible, slowly, we are doing -- adding up on ex

isting competencies and product

capabilities and finishing the product to end systems, but to transfer it into end system order, it will take a bit more time because all of them have to go through demonstration trials and then

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based on which the contracts can happen. That's a slightly longer route, but that is the only route we need to take because if we keep being a component supplier, our scaling is going to get limited to the available market space which we have.

So the idea is to increase the TAM, and so the full system has to be done. That's what we're doing. But it will take a bit of time to see that this is happening, and they have to go through a lot of flight tests and all that depending on their platforms. So it will take time, but it will also be large orders as and when it happens.

Garvit Goyal : Understood. And sir, just one last question on the guidance part. I remember when we used to -- approximately 4 to 5 quarters back, you were targeting around 30% earnings growth in bottom line, basically, year-over-year. So -- but this year, we ended up with 22% growth. So can you please provide insight into whether this change reflects a revised internal outlook? Additionally, going forward, how investors should think about the sustainable earnings growth over the next 2 to 3 years?

S. Rangarajan : Actually, I think the mistake is in probably communication or understanding. We did not say 30% bottom line growth would happen on '25 -- '24-'25. We told only about 20% and our topline growth of 20%, 25%. Bottom line, we talked about guidance of 20%. Today also, I'm saying the same top and bottom line growth.

30% happens, may -- can happen on the bottom line, but that we're not at the present moment in order to tell. It all depends on the contracts, which happen and how our execution timelines are with respect to customer requirements, based on which it can be up at a later date. But today, we are looking at a 20%, 25% topline growth and a 20% bottom line growth is what we're looking at. And we want to stick to that guideline, not 30% bottom line, maybe it will happen. It's possible it can happen, but at the present moment we can't comment on that.

Garvit Goyal : Then for FY '26, what is the number you are quoting for bottom line growth?

S. Rangarajan : 20%.

Garvit Goyal : 20%. Okay. Understood. And sir one last thing on the...

Moderator: Sorry to interrupt, sir. I would request you to come back in the queue for further queries.

Garvit Goyal : Just last question, sir.

Moderator: The next question is from the line of Yash Poddar from Viansh Ventures. Please go ahead.

Yash Poddar : Yes. So firstly, congratulations on the set of the numbers. I wanted to actually understand a little

bit about the R&D expenditure pattern for the company. Last couple of quarters' presentations, you have spoken about a decent amount being invested towards the R&D side. Now there are two questions with regards to that.

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The first one would be, going forward, and as we speak today, presently, the R&D spends would be -- how would we attribute this R&D spends from a revenue standpoint? Are we able to attribute the R&D spend to any specific, say, customer base or the revenue segment and be able to pinpoint where we are deriving maximum benefit from the R&D expenditure currently?

S. Rangarajan : Okay. See, traditionally, whatever product development we were taking we used to write it off by revenue expenses because this is all part of our requirement, which is posted against an inquiry or the inquiry tending to happen. So with the market information, we start development ahead. So we are ahead of the curve, and we have a delivery model, which is faster. What, otherwise, would have been imported, we said we'll develop it.

So that is how we've been doing it all along.

Today, we are trying to get into a full -system business. So the development expenses is going to be far, far higher. And all of them have to go through what is called as flight trials and trials on the field, which is going to be a longer -term duration. And also when anything goes through a fighter aircraft, qualification, certification also takes a long time.

So these are not products which you develop, which you'll get contracts in the same year. It is going to take 2, 3 years before a contract can happen. Maybe 2 years or 3 years even for flight test or qualification certification to happen, after which the contracts can happen. So this R&D, which you're talking about is a longer -term spend.

That is why we sold shares and got some QIP money, which we dedicated to perhaps, which is -- which we're developing. And that we have spent more than INR140-odd crores on product development in the last 1.5 years' time. So we continue to spend on those kind of large projects. This has a very large requirement in INR20,000 crores or INR30,000 -- INR20,000 crores -- INR15,000 crores to INR30,000 crores worth of adequate requirement is there.

So we said let us develop this and see that we scale the company substantively as we're going ahead. So that is the reason we spent it. Yes, now that some of the products have started coming near maturity, we're also seeing whether some prototypes can be sold this year itself. So we are attempting to do so that the conversion of R&D to actual reality revenue can happen.

We are on the path of doing this. But I can't comment on it at the present moment because this is in my head and the company is doing what is necessary. We need to go ahead and do this.

Yash Poddar : Okay. Understood. Understood. And my other question was with regards to the TAM that you have mentioned previously, and I think one of the questions you had answered previously that we are trying to expand the TAM of the company. So if I were to look at and allude to some of the things mentioned in the previous calls with regards to new age defence products such as UAVs and the next 10 years of how defence procurement is looking.

How would we be positioned today in terms of both R&D as well as execution? And so -- and would this also have a correlation with the 20% topline -- sorry, the 20% bottom line growth

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that you're mentioning or in terms of profile, this is going to change drastically over the next couple of years?

S. Rangarajan : Presently, our focus area is in radars. It can be radar airborne, ground, naval, et cetera. Radar itself has got too many classifications. It's very many types of radars. We are addressing all types of radars. As far as UAV is concerned, we're looking very small cross -section UAV to be detected a few kilometers away. We are building radars for that also. We see that we can do. Second is on electronic intelligence and jamming. We're working on both airborne and ground -based systems. We've done a lot of work on all of them in the last 15 years. But now we're adding other areas of spoofing and things like that. So a number of other areas, including jamming, we're building products now. It will be a bouquet of products, which will address the evolving requirements as -- in different war scenarios, which we are facing.

So this is the second thing, which we're doing. The third thing to do, secure communication across all platforms. This is also in a fairly advanced stage of completion. It should start trials in the next few months' time. So all this is required. Fourth is integrated systems, including vehicle,

vehicle support system manufacturing so that it can be not just the radar, but also as an integrated requirement meet the complete requirement of customers.
We're also doing that to see that we are

addressing that. Fifth, as long as we can supply correct to the platform supplier or weapon system supplier, we can also look at some kind of seekers to do this. We have a lot of ideas, and it all comes from a common pool of development. It's just not just ideas, but we need to build capability to produce this.
Today, we are nearly 1,600 people working in Data Patterns, nearly 1,100 engineers are working here, rapidly enhancing our engineering capabilities and design capabilities. And that is another thing which we're putting up. We're also spending about INR150 crores in the next 1 to 2 years' time to create infrastructure to production, test and validate systems which we expect the contracts to happen in 2 to 3 years coming.

So we need to be ready to deliver. So that also is happening because infrastructure takes a long time, right? We are doing that. So all around development efforts are being done.

Yash Poddar : Right. This INR150 crores is a forward guidance for the R&D expenditures, sir or is it for capital expenditure?

S. Rangarajan : Capital expenditure. R&D expenditure, already we have budgets and we've already spent over INR140-odd crores in the last INR150 crores, INR107 crores, I don't know, some number we have spent. We have seen our kitty some more -- these are all approved programs we've taken up in-house. And additional expenditure will also happen. And moving with the scenario what's happening we see, again, also as long as the competencies exist, we'll continue to build products very aggressively is what we're doing.

Yash Poddar: Okay. Thank you so much for answering all the questions.

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Moderator: Thank you. The next question is from the line of Dhavan Shah from Alfaccurate Advisors . Please go ahead.

Dhavan Shah : Thanks for the opportunity. My question is on the BrahMos side. Out of the total cost of BrahMos, can you share what would be our opportunity size, in terms of the percentage also that is fine? And secondly, maybe 2, 3 years down the line, this production and service business contribution to the revenue, can it inch up to 70 -odd percent from currently roughly around 55% - odd?

S. Rangarajan : I'll answer the second question first. As long as the product development has happened and approvals happen, definitely, the production should start growing 70% and above. This is what we think we'll do. We'll continue to develop products maybe 20% or 15%. That is how this has to go for a mature model. Since there is lack of full products in the Indian market, which is designed in India, today, the gap is very high.

We are trying to address the gap in competencies which we have, so that is what we're doing. Regarding the first question on BrahMos, I can't really tell you because I can't forecast this. We have quoted somewhere, the orders have to happen. And we are a bit premature to say what is the value of the contract now and what percentage of the overall contract. I don't want to address that now, sensitive. And let us -- let it happen, then maybe one of those following questions after it happened, maybe I can talk about it.

Dhavan Shah: Sure, sir. That's it from my side. Thank you.

Moderator: Thank you . The next question is from the line of Rupesh from IntelSense Capital . Please go ahead.

Rupesh: Hello, sir. Thank you for the opportunity and congratulations on fantastic results. I have two , three questions. I will ask all of them together. So first question, sir, is on Ashwini LLTR radar.

I think we were expecting a fairly decent -sized order, but you have said that the bid is competitive, so if you can provide an update on that? That is question number one.

Question number two is on Sukhoi 30 upgrades. I mean, if you can give some color on which products are we involved in, are we involved in AESA radar, BRM/BTM radar warning receivers

or jammers, some idea if you can give so that we can estimate the contribution per plane? And then you can -- if you can also update if you have received any development orders in Sukhoi 30 upgrade?

And then when do you -- in your estimate, when can we see commercial orders that is second. And then the third one is, sir, I see, this FDR in your presentation. So FDR, my understanding is there is an airborne FDR and a land-based FDR. So if you can just map out the opportunity and our positioning in that? And have we received any development order for either airborne FDR or land-based FDR? So these are my three questions?

S. Rangarajan : As regard Ashwini Radar, BEL has got the order last year, I think March -- February -March, they got the order, '24 -'25. So we are in discussion with them. We expect that their requirements will flow down to us, and based on which we should be able to make an offer, and hop efully, when there's a contract in the next 3 to 6 months' time. I hope this will happen.

Yes, that's an important contract for us. We're waiting for the definitions because there are a lot of changes in the definitions. The original LLTR, what is designed by us, all the electronics was about 10 years back. So a lot of obsolescence and capability changes, also DRDO is suggesting as part of this contract, because it has to now support next 20 years. So modern component, modern architecture, some changes have been planned.

So that is under discussion. So hopefully, it will happen in the next couple of quarters is what we're thinking. As regards Sukhoi 30, this is a contract which is already placed on HAL and HAL back -to-back has to do something. We are develo ping products against it. We don't have a contract on this. We have developed the radar warning receiver. It's flying in both our early warning radar, Netra, as well as the LCA. It's a successful flight.

For the last 6, 7 years, we've been flying it. It's done some very good performance. Based on which we believe that this RWR we will configure for Sukhoi 30. Again, we don't have an order for this, but we have a product which meets the requirements. We've also designed -- as part of the larger view of incr easing TAM, we've also designed the AESA fire control radar hardware. We have to do the software. We're looking at some collaborative support with the government to see whether this can fly and go ahead. At the present moment, we don't have an order, but we are working towards completion and development and see that we can take the flight trial if possible. We have also developed the jammer parts as an EW suite fully. Part of it is flown, that is the RWR.

The other one is not flown. So that is getting als o completed. We have a product. We're doing internal tests of the products. These requirements are very large. Only last -- a few months back, DACH cleared about INR7,400 crores for the jammer parts. And earlier also, another 100 sets has already been plac ed for Sukhoi 30 upgrade for HAL. So the requirements are large.

So that is the reason we said we will design the products and build it. Products have been designed. We are under testing in the office, and we're looking at opportunities to how to take it to flight trial. We've also done some work for Navy, where earlier delivered jammer parts from international companies, we have upgraded the parts with our hardware and electronics.

So we expect that to fly, which gives us an opportunity t o flight test our electronics and software, which should also come in handy when newer system should we, but what we're doing today is all AESA. Even the jammer is AESA. So I don't know of any development order for all of them. This is the future large bus iness opportunities, which we have addressed, and we're trying to see whether our development will meet the requirements.

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As regards the SDR, we have developed with DRDO the hardware for airborne SDR, which is already flown in the LCA and is likely to fly in other platforms in the coming months. We've also done development of UAV -based systems as well as ground -based Manpa k-oriented, network managed Manpa k systems.

This is -- we've been starting development in last 1.5 years, and it has come to a very, very, very high level of maturity, which can be encrypted data with frequency hopping and also supports the encryption of Government of India encryption. It is in line with what India is importing on form fit function capabiliti es, but completed design in India. We've also done all the waveforms, which is necessary for it.

We expect that, that should be presented to the users in the next couple of months. And hopefully, we will start some testing and field testing to take place. These are all necessary because when you're going to integrate a system, data links, this, that, all of them, which is electronics, I think we need to have a competency model to build products so that it will be a showcase -- it will be a bouquet of progr ams and products, an integrated solution we can give. So that is the idea with which product development is happening here. We don't have additional contracts for all of them, but we expect contracts will happen once the product is mature because specific ations are world -class. This is what we're doing.

Rupesh: Thank you for answering my questions. I have more, but I will come back in the queue.

Moderator: Thank you. The next question is from the line of Abhi from Wise Capital. Please go ahead.

Abhi: Thank you for the opportunity. So in the last conference call, you mentioned that two large space radar contracts account for approximately 50%, 60% of your inventory. Could you please clarify that whether any orders related to these contracts were delivered during this quarter?

S. Rangarajan : Yes. We've delivered the hardware for one of those radars. Second radar will be delivered probably in the next 6 months.

Abhi: So sir, given that deliveries have been made on these large space contracts, could you please explain why the inventory levels have not been decreased according to this quarter?

S. Rangarajan : Inventory has come down with respect to what has been delivered. But the second radar, the inventory is still with us. It's a very large inventory because, as I told you, we don't have much of margins in all these contracts. So it is very high inventory oriented, and that is still in our books.

The third is for contracts we expect to deliver this year, we also work ahead of time in buying electronics to see that we can deliver, expecting some contract to be finalized in the next 15, 20 days' time, but we need to deliver it in the next 4 to 5 months' time. We won't be able to start buying material post-contract to deliver on their requirement. If the requirements are urgent, the order is going to be a single tender.

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So we've already started manufacturing against those things. So what we do is slightly different. We do based on market inquiries and the surety of the marketing guys and the customer request, we start developing and producing products ahead of the contract to see that we can deliver along expected lines.

So some of the contracts, government agencies, there's a lot of delay, internal delay, but they still insist that we deliver ahead. So that is a model we've been doing with them. And as long as assured that the contract is not going to get slipped, we will try and do that. So third point is you must look and understand the inventory in our defence equipment is going to be on the higher side because not only development takes place.

But after development and testing, there is customer certification

trials, acceptance trials, all of this

takes enormous amount of time, which is not in our control. And if we don't do this, we'll find that we're slipping on delivery models. Since we have a commitment to deliver and continue them, we try to take these things on inventory and then build the products and keep them ready.

So test cycles are long, lead times are long.

So we need to address that. That is the nature of the beast as far as defence equipment is concerned. This is worldwide. You will find that it has never been the just-in-time inventory.

And second, these are all projects which come hurried and then the customers, though it has taken 2 to 3 years for them to place the order, they want deliver in less than 6 months and 1 year.

So to handle such kind of customer request, I need to have a cost model, which is very different.

And that is what we are doing.

Moderator: Thank you, sir. The next question is from the line of Dipen from Phillip Capital. Please go ahead.

Dipen : Thank you for the follow up opportunity. Sir just one question from my side. What would be the estimated execution cycle for the current order book? And for the order pipeline that you have mentioned, say, INR1,000 crores to INR2,000 crores in FY '26, how quickly can the execution cycle be over there as well?

S. Rangarajan : More than 70% to 80% of the existing orders on hand will get executed this year. And we expect that some portion of the orders, which is coming this year, we'll execute this year itself. We are taking advanced action in terms of procurement and design, which is going to be done. All that is happening as we speak. So that is -- I think it answers your question.

Dipen: Sure, sir. Thank you so much and all the best for FY26.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, this was the last question for today's conference call. I now hand the conference over to the management for closing comments.

S. Rangarajan : Thank you very much for all the people who have joined investor call. I'd just like to say that, I've been repeating this for some time, the opportunities in India is very large in defence markets.

We have been habitually importing. So there is a large opportunity for Indian systems to come

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in, especially with the Make in India initiative, which government is supporting. There's an opportunity that is very, very large.

It's not that we lack in confidence and capability. It is we're never allowed to do things in India at earlier days. I think it is our responsibility to build up products, address the market and the opportunity. So we are very, very bullish on the opportunities and our capability to deliver or address them.

Towards this, we have -- we are going ahead with development of products, spending money to prove that these products are world -class customers. Only after they see that this is available, they will have the confidence that India can also do these things. So it's our responsibility to see that this is done.

We are actually talking in three , four areas. I've also -- during the call also it has come out. We are working very, very aggressively on building full radars, all kinds of radars, airborne, ground -based radars, search, track, fire control, all of them, whether -- all of those radars we build. And this is built 100%, including mechanical design, everything is designed in -house.

Second is complete EW suite for air and ground, including jammer. We believe it's a large opportunity. We need to look at it and do this. Third is the RF seekers, which we are talking.

Fourth is the communication equipment and integrated solutions, various kinds of application.

This is not withstanding the products we do with DRDO. We do for all platforms.

Parts or some other parts or major parts of systems, where a lot of design work and development a

nd software comes from DRDO, the rest is being done by us in the electronics. We engage with them. And these have been my customers in the last 20 -odd years. We've learned -- a whole lot of knowledge has come into the company based on a continued work and relationship with DRDO.

So this is -- continue to grow, and -- but that's not alone. We're not just investing in product development. We're also investing in infrastructure development, which will take time. We have bought the additional land. We are building this infrastructure, also test equipment to do the seekers and radars and validation and also scenario simulators, which can do test in the ground before we launch it in the air.

So all of this to get customer confidence building in -house here, that is also happening. And look also at the export market. We're also looking at joint development of very, very high -end UAV -based radars, along with a foreign company. A joint development can happen that we are co -investing to see that we can address world markets.

We need to do this more to go, not just Indian government -oriented requirements, also reduce this across so that we have other customer bases and goes global. We want to do that also. So we're talking to in various levels. We need to address -- we are an engineering company. We need to improve our marketing organization to address larger opportunities, but we are on the track. The direction is very clear.

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We're very bullish on our growth and we're taking all efforts to see that we build competencies in products in India. If you have any further questions, please send it to Go India and we will get all of your questions answered. Thank you very much for your patience and listening to this, be part of this call. Thanks a lot.

Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2025

SEC/SE/056 /202 5-26
Chennai, August 13 , 2025

To
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra(E),
Mumbai - 400051
NSE Symbol - DATAPATTNS To
BSE Limited
25th Floor, P .J. Towers,
Dalal Street,
Mumbai - 400001
Company Code: 543428

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Conference Call

Dear Sir/Madam,

Further to our earlier letter no. SEC/SE/042 /202 5-26 dated August 0 1, 202 5 intimating the schedule of Earnings Conference Call on the financial results for the quarter ended June 30, 2025 , please find enclosed herewith the transcript of the Earnings C onference Call held on Friday, August 08 , 202 5 at 09.15 A.M. IST.

The transcript of the earnings call is also available on website of the Company.

We request you to take the above on record and oblige.

Thanking You.

For Data Patterns (India) Limited

Prakash R
Company Secretary and Compliance Officer
Membership No: F13620

Encl: As above

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"Data Patterns (India) Limited
Q1 FY '26 Earnings Conference Call "
August 08 , 202 5

MANAGEMENT : MR. S. RANGARAJAN – CHAIRMAN AND MANAGING
DIRECTOR – DATA PATTERNS (INDIA) LIMITED
MR. VENKATA SUBRAMANIAN – CHIEF FINANCIAL
OFFICER – DATA PATTERNS (INDIA) LIMITED

MODERATOR : MS. MONALI JAIN – GO INDIA ADVISORS

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Moderator: Ladies and gentlemen, good day, and welcome to Data Patterns India Limited Q1 FY '26 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participants' lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand over the conference to Ms. Monali Jain from Go India Advisors. Thank you, and over to you, ma'am.

Monali Jain: Thanks, Par. Good morning, everyone, and welcome to Data Patterns (India) Limited Earnings Call to discuss Q1 FY '26 Earnings . We have the senior management of the company on call, Mr. S. Rangarajan, Chairman and Managing Director and Mr. Venkata Subramanian, Chief Financial Officer.

We must remind you that the discussion on today's call may include certain forward -looking statements and must be therefore viewed in conjunction with the risks that company faces.

May I now request Mr. Rangarajan to take us through the company's business outlook and financial highlights, subsequent to which we can open the floor for Q&A. Thank you, and over to you, sir.

S. Rangarajan: Thank you, Monali. Good morning, ladies and gentlemen. I'm pleased to welcome you all to our Q1 FY '26 Earnings Call . I hope you had the opportunity to review our earnings presentation, which is available on the stock exchanges and on our website.

Before Venkat takes you through the financial performance, let me start by sharing some key updates and strategic commentary from my end. We have delivered a reasonable start to the year despite some delays in customer approvals that impacted the pace of revenue recognition . Nevertheless, the quarter has met our expectations. Our order book now stands at a strong INR1,079 crores with more than INR320 crores of orders received since the start of the financial year, including some orders from BrahMos and Mo D.

Our export order book remains healthy at about INR100 crores, and we're seeing increase in traction from international markets. Post the Operation Sindoor, we are witnessing heightened urgency from the government to procure and deploy indigenous defense equipment, some of which aligns well with our capabilities.

However, to participate meaningfully in such opportunities, it is critical that companies have fully developed products and complete internal trials before submission. This underscores our strategy. We must build first to be eligible to win.

At Data Patterns, we have consistently invested ahead of the curve to expand our addressable market, especially in areas where there are no existing domestic products. Our goal is to identify

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these opportunities, leverage our core competencies and develop differentiated capabilities that give us a sustainable edge.

We remain deeply committed to R&D and product development. We already deployed over INR120 crores in the new product development activities with a focus on building indigenous capabilities across radar systems, electronic warfare, communication systems and airborne systems.

Our continued efforts in the product development have resulted in products of international quality. We are optimistic that these products will soon be tested and potentially lead to bigger contracts. These initiatives align with our long -term strategy to scale our total addressable market, and we're doing that with discipline and foresight. At the same time, we remain unwavering in our focus on profitability and value creation to our stakeholders.

To conclude, the environment is shaping up positively, both domestically and globally. Our pipeline

line is strong and we're confident of achieving full year growth guidance of 20% to 25% , revenue growth while maintaining healthy EBITDA margins in the 35% to 40% range.

With that, I'll now hand it over to Venkata to walk you through the financials in more detail.

Venkata Subramanian: Thank you, sir, and good morning, everyone. Let me take you through the financial highlights for the first quarter of FY '26. Q1 FY '26 revenue stood at INR99 crores, down by about 4.6% year-on-year due to customer approval -related delays that deferred dispatches and revenue recognition.

Cost of goods sold declined by 30% year -on-year due to favorable product metrics. EBITDA came in at around INR32 crores, with margin at 32.3%, showcasing our operational efficiency even on a lower top line.

Net profit stood at INR25.5 crores with PAT margin at 25.7%, highlighting our continued focus on profitability. We expect pickup in the execution and revenue growth from Q2 onwards backed by a strong order book and visibility. As mentioned earlier, we remain firmly on track to meet our stated guidance of 20% to 25% revenue growth.

With that, I now open the floor for questions. Thank you.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Dipen Vakil from Phillip Capital.

Dipen Vakil: Sir, my first question is on the lines of -- so this quarter, out of INR183 crores of order wins, majorly, we have won orders on the AMC side or services side of contracts. So , can you tell us more about this contract in terms of their execution period and the cyclicality or when we can -- how is the ordering pattern for it, whether they are awarded yearly? So , can you give us some - - shed some more light on these orders?

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S. Rangarajan: The main AMC contract we received is from BrahMos. This is for a 5-year AMC, but it's predated AMC from -- starting from last January. I think January or March. February. So this is -- normally, we do the AMC in 3 years to 5 years for BrahMos. And this is a 5 -year AMC contract, which is billable yearly.

Dipen Vakil: Okay. So , we can expect similar contracts to come in every 5 years or every year?

S. Rangarajan: See what happens is this 5 -year contract is for orders executed. And post warranty, these contracts have come for what we executed earlier. We also have orders for additional BrahMos deliverables this year. We're also expecting additional BrahMos orders because more orders are now coming from BrahMos , from the Air Force and Navy. So those back -to-back orders we expect also to Data Patterns.

We also expect more seeker orders. So , it's a question of older orders, we get AMC. As and when the new orders come and their warranty period is over, we again get an AMC. It's a comprehensive AMC we get from BrahMos. It's been going on for 10 years plus now.

Venkata Subramanian: And there are some few products where warranty is still continuing. So once that warranty is completed, we will get AMC contracts on those systems also.

Dipen Vakil: Got it, sir. Sir, and talking about the order pipeline that you also mentioned that there's a strong order pipeline right now. And also recently, government has granted AON for a fire control system for BrahMos.

Sir, so is it possible for you to give us that out of INR2,000 crores to INR3,000 crores of order inflows that you're expecting in 18 to 24 months, how much of -- can we achieve more than INR1,200 crores in this year, which will help us to sustain like the decent execution visibility going ahead? So , can you give us some more clarity on that?

S. Rangarajan: The number of contracts which we're executing, which we expect -- there is rollover of this Ashwini contract. This is still not -- we haven't got the order. BEL have got an order. Back -to-back discussions are on, we expect

the contract maybe in the next 3 to 5, 6 months' time. That also should come this year.

There are a number of contracts, which -- for airborne radars which we've done development .

These also are expected to fructify in the next 5, 6 months' time. Similarly, we have a list of this kind of what we call the order pipeline and where we are a single vendor. So the contracts are supposed to happen. So we believe in the next 6, 7, 8 months probably before end of the year or early next year, we should get some INR1,000 -plus crores orders.

We are also on -- the other thing, we've also done development -- product development using the funds taken from the market. These are all mature, getting to development maturity. We expect there will be some development contracts for these orders for flight testing. So , we have a list of such contracts. I don't know whether I can tell you exactly which line item or how much

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the value is going to be. But the order pipeline of this INR1,000, INR2,000 crores we're talking about are 2 billion to 3 billion which we're talking about is all based on those kind of contracts.

Moderator: The next question is from the line of Hardik Rawat from IIFL Capital.

Hardik Rawat: My first question would be with regards to the delays that you mentioned. So, sir, could you please tell us exactly which orders have faced these delays in customer testing? And what could be the quantum of slippage in revenue recognition that we've seen in the quarter?

S. Rangarajan: I don't want to name customer and value. Value, I can tell you around maybe INR27 crores. But they just started testing now. Last 10 days, work has started. Customer acceptance has started. So, if this goes on properly, we should be able to bill it in the coming quarters. But this is what is planned.

At least every quarter, we plan to bill it quarter. But because of inspections getting delayed substantially, we were not able to do this for the last 1 year. But inspection has started now. So hopefully, that will get billed probably this quarter.

Hardik Rawat: Got it, sir. Sir, another question was with regards to your commentary on the order inflows. Now your commentary is quite encouraging. And it would be a fair assumption that roughly INR15 billion -plus worth of order for the full fiscal is something that we should be looking at, INR15 billion to INR20 billion on an overall basis?

S. Rangarajan: There are contracts likely to happen. But unfortunately, we are not able to cover the exact time of the contract now because there are some delays happening which is beyond our control. But yes, INR15 billion can happen, maybe slightly less or slightly more, but it depends on how government really moves these kind of products.

But more than -- other than what we've already done, there are other products which are going through MoD, FET. This is what's called part of the tender, they're going through field evaluation trials on EW. There are a few products ongoing in EW. We successfully crossed an EW product. So, we expect the tender bid to open. Hopefully, we will get the order.

And some more are in pipeline next month, this coming month and next month. Some more are -- these are all products which is 100% designed in-house vis-a-vis other companies which we import and integrate, has been designed in-house. We expect some traction in EW programs on ELINT and Comint and ground systems. So there are requirements like this.

Similarly, there are requirements of single tendering for a radar warning receivers, which is going to be airborne for Sukhoi 30 and other platforms. Those are also expected. So timing may vary now and then.

But other than the pipeline which we've talked about, the new requirements that Government have come up because of this Operation Sindoor, and we're also participating in the

se kind of

contracts now. We probably started about 2 years back developing these products, truck -

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mounted systems. So, the specifications are meeting, and we are continuously improving specifications to see that we meet the international specs and meet the customer requirements. So we expect some more contracts in those areas also. Plus the -- our seeker for BrahMos has successfully flight tested. We expect some contracts to happen in the next coming months. And after that, once that is delivered, we're talking about some 100 systems, et cetera.

But most of the seekers now -- all the seekers now are imported seekers for BrahMos, the idea is to make this indigenous. If this happens now, I expect a substantial increase in order as we go around in the coming year.

Hardik Rawat: Got it, sir. Sir, speaking of BrahMos, what would be sort of a value of orders that we could see, say, for example, 100 of these systems get -- assuming that we receive that order, what could be the potential order size?

S. Rangarajan: It's a bit premature. Let me get closer to it. First, we'll get the development order executed. And then towards nearing the date, we'll be able to tell you the size of order because I don't want to predict the value business before inquiry comes from BrahMos. That will not be correct. So I can only tell you it would be substantial.

And these are all the things which will give me yearly -- see, what we're trying to do is you can't have a 1-year contract order book for that -- that does not augur well for defense agencies, especially on capital goods. We need to have at least 3, 4 years of order book. And then only we can invest in scale.

We are doing the opposite here in India. Because you need to have products and to address the market, we are actually putting our money and developing hundreds of crores or putting money

and developing and getting the products online, then going through evaluation trials and things like that.

It's a very hard way of growing. But the only way accessible to us. Otherwise, it's just only collaboration. So we have taken the hard route and going through what we think we are competent and where there are no such product available in India, so we're trying to be unique in that and building products and putting our money and effort on this.

So, it's a different strategy which what we're doing, and I think it will pan out in the next 5, 6 months. You'll see that some traction is happening in all these areas.

Hardik Rawat: I appreciate it, sir. Sir, one last question before I get back to the queue. Our employee costs have seen a 27% Y-o-Y escalation. Just wanted to understand what has driven this? Is this headcount - driven or simply wage inflation?

S. Rangarajan: No. It is headcount -driven. There is wage revision plus headcount driven. Suppose we want, from a INR700 crores, to be a INR5,000 crores company in the next, let's say, 4 years, 5 years,

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we need to do not just the products. We are building upfront products, going through flight test, getting qualified, so the orders can come in the next 2 to 3 years' time.

Once you do that, you also need to have people to see that we produce the kind of -- we cannot scale like this. These are all complex products. And though we do automated test equipment to produce them in numbers as we go along, the types which you do is so large, it is not the same type of product which is done in 100,000 pieces. It becomes very simple.

The types are so large and so many, and all are complex that it is necessary to have quality people, trained people to do this. So, we have started recruiting people, training them for their requirement as we go along.

The second thing -- third thing we are doing also is creating infrastructure, production

infrastructure,

anticipating these contracts to happen. So, we will be spending now so that we will be able to deliver in 3 years from now or 2 years from now, the contract happens and deliver. You can't deliver. Suddenly it takes INR700 crores, to INR1,500 crores to INR2,500 crores. It's not practical. We can't do it. We need to put in the infrastructure and see the delivery model happens. So, these are all cautiously done and we are going ahead and investing in people and training. And that is how the cost is going up.

Moderator: The next question is from the line of Amit Dixit from Goldman Sachs.

Amit Dixit: A couple of questions, sir. The first one is on the -- if I look at the order inflow texture, so FY '24, '25 orders have largely been -- order inflow had largely been on production side. But Q1 FY '26 has been skewed on services side.

So just wanted to understand that whether this is the kind of pattern that we will see going ahead, also that services would be a major portion or it is just that certain orders have been delayed, and we expect the normal order profile to be back to 70%, 75% of production? And whatever services we get, it will be, of course, plus, over and above that?

S. Rangarajan: See, it cannot be a service -oriented business what we have because we don't have too many contracts actually delivered to customers. Order delivered today, mostly in the last 10, 15, 20 years has been to DRDO. And that doesn't mature into a services contract or AMC contract later. Only when it goes to the actual users, services contract starts happening. So, this has just started, right, we're just starting with the users. Direct deliveries to MoD, Army, Air Force is happening now. That will then mature into service contracts.

So what you see in BrahMos is a long term -- in 2006, we've been delivering BrahMos branches. So the services contracts happening with more and more BrahMos deliveries, more service contract happening from that. It's one of the few contracts which is happening like this. Many more should happen, only once you put -- populate more hardware orders on the -- with the users. This will happen in the next few years.

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So our main order book will be on actual delivery contracts as well as development contracts. But this year, I think from this year onwards, the development contracts have become lesser, and we think the delivery production contracts will become more. We've taken a lot of development contracts earlier.

This will all, hopefully in the next year or so, mature into production contracts as we go along.

And now that we are doing our own in-house development for Mo D requirements, we expect direct delivery contracts to happen -- or production contracts to happen with the Mo D.

Amit Dixit: Got it. The second one is on the recent AON that was recorded for INR67,000 crores. Now if we look at it, there are several items that actually fall within your purview. So any broad idea of TAM you would like to provide from that INR67,000 crores? And also on the execution side, we saw that Q1 F Y '26 was skewed towards BEL. So is it the kind of revenue profile that we will see during the year or to just in this particular quarter?

S. Rangarajan: I can't comment on the AoN because what is realizable out of those contracts, when you bulk it together, I won't be able to comment on it. We only look at contracts which is accessible to us.

So not just -- whatever AoN is published, we don't really look at it very seriously. So I can't comment on that.

On the second area which you're talking about, it all depends on the kind of contract, whether it be BEL or HAL or ECIL or Mo D and depending on the timeliness of when they want the delivery to happen. So that -- it depends on that, not necessarily it will only be BEL-oriented or any other organisation oriented.

It depends on the mix of contracts that we get.

Ours is not a quarterly revenue business. That is why we are saying that towards the end of the year, a lot of contracts will get delivered towards the end of the year, maintaining our -- whatever position we've taken, say a 20%, 25% growth. Actually, what I expect is the top line growth is farther. My more worry is on the bottom line. We wanted to retain 20%, 25% bottom line growth is what we plan to do. So that is where our focus is and also increase the scale of the business.

Moderator: The next question is from the line of Jyoti Gupta from Nirmal Bang.

Jyoti Gupta: My question was on a similar line in terms of BEL. Two things that I wanted to understand was, one, is there -- while you have different platforms where you're actually delivering, is there a course where the margins I had anticipated slightly higher, is that -- are we getting lesser margins from BEL compared to other platforms? Or is it like this quarter has been a little bit of a washout?

Second is, you will be delivering the radars of the EW for HAL and that is -- it looks like high. But if the numbers for LCA Mark -1s increase for FY '26, which is likely to happen given the engines will be delivered on time, higher than what we expected, like we were expecting 5 LCAs, but I think we should look at something like a 7 to 8 LCAs this year. Will that not also help you improve your revenue as well as your profitability? Just your thoughts on that.

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S. Rangarajan: Okay. On the first question which you had, you said our margins have come down. Actually, our margins have gone up. Gross margins have gone up to 80%. I thought we have done very well on the gross margin. You're probably talking EBITDA. EBITDA is a different story because the top line comes down, expenses remain the same. So EBITDA comes down. But our gross margins have increased.

So the profitability has actually increased, not come down. And this -- as and when the revenue goes up, EBITDA also will go up because that is a fixed cost to the company, which will go up. So I don't think we are worried about our profitability at the present moment. Whatever you're delivering, whoever it is. It doesn't matter which the organization is. They are IP-driven products. Our profitability has only gone up.

The point is the revenue has come down because of nondelivery in certain items because of customer acceptance delays. So that is what was explained earlier also. So that is actually the reason why we could not deliver what we want to deliver. But that is getting compensated next quarter.

And some of the orders have taken a long lead time for manufacturing, design, development and manufacturing. So it doesn't fall in the quarter-to-quarter category. So this will happen during the course of this year. The larger orders, 1 order we've already executed last year. One large order, INR180 crores, we expect to execute this quarter or next quarter.

So it's been 1.5 years kind of development time frames. Those take a lot of time to build. It's a very, very complex system, so it's taking time. So that is the first question. I think you misread our numbers.

On the second on LCA Mark -1A, we don't actually do much in LCA Mark -1A or LCA. We are doing the cockpit displays, and that is the one thing which we have on an order. They want more for the additional 97. The inquiry has come. We have not quoted because what we already developed, the deliveries have not happened to HAL. So after HAL picks up the delivery and pays us, then we will make quotes for other things.

But we do have orders for the LCA Mark -2. We do the glass cockpit, which is called the Large Area Display, LAD order. It's a very modern system, thinnest system in the world like an F-35 that we'll be delivering in the next 3, 4 months' time. We do the mission

systems for LCA Mark -

2. We have the order to do that.

We expect that we should populate LCA Mark -2 with a lot more of our products, including the EW. LCA Mark -1A also, we had the EW, which is flying very well. But unfortunately, government decided to import it from ELTA Radar and Uttam Radar is not being considered presently under the change in things.

So accordingly, because it comes to the package, we didn't get the RWR, though it is flying very well. But we will be considered for the Mark -2 and we are also being considered for Sukhoi 30 for that.

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So there are a number of such programs, which we're working on. But LCA Mark -1A we're not very sure really what is the level of contribution unless they take our new radars and port it to LCA Mark -1A. This is all on a discussion stage. I can't comment on it at present. But we're very, very bullish on the future.

There may be 1 or 2 programs we are not in but on an overall level, if you take, since we have done a lot of product development, we are very bullish about scaling the company and looking at contracts beyond INR5,000, INR10,000 crores in the next few years' time. That is where we are trying to pitch our business.

Jyoti Gupta: Okay. Sir, I would like to understand one more thing on jammer ports that you have worked on, where all is it being -- who have been -- I mean, which all platforms are there being used? And what's the kind of order that you received on that.

S. Ran garajan: See, we can't receive an order. The government has no provision to place an order on private sector at the present moment, unless we go through an RFP and a proposal of RFI/RFP and open tender. However important or needed the whole contract is for them, they cannot do this. But it is proceeding very well.

We have developed the part which is going through air trials now, air trials meaning aerodynamic trials and the liquid coolant trials are all going on. It will be finished in the next 1 month. Our own methodology of jamming technologies, techniques is being tested. The hardware has been fully realized. So that is being tested. Hopefully, in the next 1, 1.5 months, we can finish it.

We've also made an offer to Air Force to fit it into the SU -30. They have taken it very positively because of the -- this is a self-protection jammer, which is fitted to all the aircraft. It goes in the wingtips of both the wingtips and this will be jamming coverage. So since we have done this and they've seen it, they've taken a very positive view about it.

Internally, they are discussing how to give us a Sukhoi 30 to do a no cost, no commitment trials. We believe in the next 1 week, we should get clearance to accommodate a Sukhoi 30 for us, is really to see that we do flight trials. And once the flight trials are over, then the inquiries will start for flight tested equipment.

We believe that there is no other company in India. Of course, DRDO's there, they're already having a part, and that is also going to go through flight test. So we'll have an alternative, and we believe we have done very, good very modern, low weight, better aerodynamic part with more jamming efficacy, more power.

So we believe we stand a very good chance in this. But we have to go through the rigors of flight testing. It will take us 1, 1.5 years to do this. Post that, the requirements are large. In January of this year, government has -- MoD escalated that for some INR7,400 crores for the jammer part for the EW suite. We have the RWR.

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We have all the antenna. And everything on the jammer port plus the jammer port has been designed in-house. So we become automatically a player to be considered as long as we do the flight testing, and Air Force has promised us that they'll give us a Sukhoi 30 to flight test.

So government is very positive on industry participation in industry-driven R&D. And after delivering validation of the 5 systems in ground, they're willing to even spend on flight testing on their own, which is a welcome difference in the last 10 years. So we believe we are very well positioned there.

But for all this to happen, because this contract value is about INR10,000 crores, requirements are there. So we believe that we are well positioned in it. But all this will take time for it to --

this is all the TAM I'm talking about, this upfront money we're taking to develop. But it's -- we have done our end of the job. We believe that we'll continue to do well. So probably another year from now, I'll be able to answer your question more clearly.

Moderator: The next question is from the line of Krishna Doshi from Ashika Stock Services.

Krishna Doshi: While most of my questions have already been answered, I have a question that like right now, we just mentioned that the development contracts are going to go down, while we are going to see an increase in the production contracts. So just trying to understand sir, how is it going to impact our margins?

S. Rangarajan: See it doesn't matter what contract we take of development or production because our company normally funds the development ourselves. So the price is given for the production value, only the price is given to customers even during development contract. So actually, we don't charge a nonrecurring development fee in most of the contracts we take up. So I don't think there is any difference between production and development in terms of gross margins.

And the second is, during production contract, there is also -- government compensates us for the U.S. dollar exchange rate and reputation. All this is also taken care by them when a production contract happens. So typically, we don't think we have a problem between margins and type of contracts.

Krishna Doshi: Okay, sir. And is it possible to quantify like what sort of orders are we expecting, when it comes to the emergency procurement? Like what will be the quantum of the orders that you are expecting?

S. Rangarajan: Very difficult to predict, ma'am, because emergency procurement has a bunch of requirements, and out of which some of them we can address, but these have to be demonstrated, field evaluation trials have to happen.

And then you pass the field evaluation trials, then you are -- the lowest quote gets a contract. It's a lot of competitive bids. Most of the emergency procurement contracts goes towards either PSUs or indirect imports through an Indian agent or made in India, some kind of a company.

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We have our own designs where IP belongs us. In EW, we have done a lot of work. Similarly, some of the systems in avionics, their procurement is happening now, and we are participating in these kind of replacing imported systems with Indian capabilities. But what we will turn out in terms of contract book, I cannot tell you.

And we are confident that EW some of the things we will be able to convert because we have done all the development in-house, so we should be cost effective is what we are thinking. But only when the commercial bids are open, we will know. So I can't really detail out extent of value of contracts. This has to come quarter-to-quarter as and when we win the contract.

Krishna Doshi: Okay, sir. And just a last question. So it was regarding on the export side, now that we are seeing the NATO rearmament plan and as we already know, we are doing a substantial export to the U.K. market. So just trying to understand how are we going to scale up there? And is it that now we are seeing better opportunities in export also? Like earlier, I remember you saying that our focus is the domestic demand. Like are we now shifting our focus towards

export?

S. Rangarajan: Yes, our focus still remains domestic because there's a huge untapped market. We import 80% of our defense requirements, in various forms, though it is finally called Indian-made. A lot of systems, subsystems in that is imported. So the focus is to try where we have competencies in technologies and IP capabilities.

We can differentiate on the rest of Indian companies. We would like to focus on that because there is immediate need and it's a long-term need to see that we can address those needs. So we will do that. But however, we don't want to -- not to look at export, we would like to look at export.

But the NATO country, whatever you're talking about, those requirements is to scale up defense equipment, et cetera, they have a local supply chain. It's very difficult to break that supply chain to build available systems. And new technologies normally they try to do within their own country.

None other countries like to import defense equipment, different technologies. Nobody likes to import. Western Countries don't import defense technology of outside us. So what really comes down to company -- countries in India is manufacturing contracts to reduce their cost. That is really what happens though we do manufacturing also, our focus is not pure and fire EMS line. We are an IP driven organization. So we try to build, add value and then build and then sell. So where that is possible, we are trying to do that. Yes, in U.K., we've been doing some work. We expect that to increase. We're also trying to do some more work with the same U.K. company. They're transferring certain technologies in manufacturing. But these are value-driven

products, not manufacturing for manufacturing sake.

Similarly, we are trying to also look at collaborations in certain disciplines where we can not only look at contracts abroad. But more importantly, these can get indigenized and main Indian company for Indian markets, we can produce them.

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So we'll get some opportunities. We have to expand our scale you go along, we had to put the marketing organization for, but this is a slightly longer -term goal, take us 3 years to put the marketing infrastructure and then address U.S. and European markets. But what we can do is once the products are done in India, full products are done by us. We can also sell to Far East Asian countries, other than Western countries, we can also sell the contracts in systems to. So there is automatically a byproduct of what we do in India and get exported because a lot of products are technologically advanced and second to none. So we should be able to address the market, but that's going to take a bit more longer. First, we need to improve in India, then we can export it.

Moderator: The next question is from the line of Jai Chauhan from Trinetra Asset Managers .

Jai Chauhan: So I just have 1 question. Like with companies like Astra Microwave also working with RF & Microwave and radar domains, what are your key differentiators when competing for tenders? And how does it work exactly, sir?

S. Rangarajan: See we also do RF & Microwave. We don't do only RF & Microwave. we already also -- like them, we started like a subsystem and some part of the system. We're graduating ourselves to a complete systems company now. We have more than 100 mechanical engineers doing mechanical design on thermal structure.

So we are putting people to design full systems on Radar , Signal Processing and everywhere, similarly IP for EW, IP and radar, IP and communication. So I think these are the differentiators. We are not on RF & Microwave alone. We do RF & Microwave also. That's not the only end to what we do. We want to build complete systems.

Jai Chauhan: Right, sir. Understood. But if you look at -- if I look at the competitor, like for example

, Astra

case, if you take an example, they're also doing complete subsystems like in radar domains. And I just wanted to understand like how does this work in the tender system when you apply for the key competency that you have in the specific product? And like how do you win tenders for the same? Is it divided between the companies? And how does it work exactly?

S. Rangarajan: There are 2 kinds of business. 1 is it goes to end user, end user buys complete equipment, not parts of the equipment. The second is you design it and send it to the development agency, which is DRDO kind of organizations, where they design the system and ask the subsystems to be tendered out or components to be tendered out. All of us compete for the component subsystems. So whatever you are talking about will be applicable to the second part, where you sell to or go to tender with DRDO as the component goes slow kind of business goes. Some of them goes because you have competency other people don't have, so they do single in that cases. Some of them open tender, limited tender and competition happens. So it depends on the end use, really. We are trying to -- we have worked with DRDO for last 25 years. Learned a lot from them and through contracts from them. Today, I think the time has come, not only to look at only DRDO

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markets . We also have to look at the MoD market, because Mo D market now it's opened up to Indians.

Just not 15 years back, not open to Indians, but they only want full systems. So our focus today is to build full -- if you want to build scale, you want to be a INR10,000 crore s company, it's going to be very difficult to do this by making components and subsystems.

Okay, it's going to take a lot of time. And everywhere, there is one more competitor, who will come at a slightly lower cost, and you will still lose the business. And it also takes development, production takes a lot of time. So we decided that we will build a competency metrics and a product capability, build the product for the end user. This is the game changer, which is what we are putting a lot of money and development effort to.

So the company is changing from a component and subsystem vendor to a system vendor. So this is what's happening. So that is a change which you'll see in the next 2 to 3 years, how the Data Patterns will be taking a complete shift in the way the business is done by us in the last 20

years to what we're going to do in the next 10 years.

Moderator: The next question is from the line of CA Garvit Goyal from Nvest Analytics Advisory .

Garvit Goyal: First question is on the delay that happened in this quarter due to some customer approvals, you mentioned some trial are going on. So my question is like we are saying that testing is that happening now. And at the same time, we are saying in Q2, we will start ramping up. So what is giving you this confidence that even if the testing doesn't result in execution in Q2, then we will be able to grow in Q2? That's my first question.

S. Rangarajan: No, I don't think you understood what you've been talking about at all. Because what we talked about is orders, the delay -- delivers a single contract for the last 1 -odd year, we've been postponing quarter -to-quarter because customer acceptance has got delayed. That is what we talked about.

Now in our office and the acceptance is happening, products will obviously meet the requirement. It's a production order. It is not a development order. There's no development in this. The repeat production, which got to deliver first in 2005 is what we're talking in 2025. So only thing they have to come for acceptance.

Without acceptance, they can't ship it. And that is why the delay has happened. They have been here now. As long as they continue to be here and acceptance goes on, till September, we should be able to

dispatch what I said. It's got nothing to do with Q3 or Q4.

Garvit Goyal: No, actually, my question was a little different, but you understood. I'm just trying to understand, like you mentioned on Q2 onwards, ramp -up is going to happen, like we will be able to see decent execution, right?

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So I'm just trying to understand like this quarter was affected by the customer delays and the delay is still continuing through Q2, what is giving you the confidence that on Q2 onwards, we will be able to execute in a decent manner? Like is it any other projects that we are working on or any other contract that we will be delivering is what I'm trying to understand.

S. Rangarajan: Any contract, this can happen. This is the government of India. Any contract will happen. I have no control over government of India. So I can only answer the question as I see it today.

Tomorrow, if the guys don't come for inspection, again, the delay may happen. I have no control.

We believe it will not happen because there is an urgent need for them to develop. Already we are 2 years behind schedule in the early delivery, and customer is shouting, end customer.

So hopefully, they will not put any spokes to deliveries from our side is what we hope because there's an urgency to pull from the customer, end customer. But whatever I say, finally, is government , PSUs, they decide when they pick up a product, when they don't pick up a product. I can't be sure that this will happen.

But at the present moment, whatever indications we have, I don't think they're going to have a problem in the next quarter 2, quarter 3. They enrolled our program because they need their products urgently.

Garvit Goyal: Got it. And secondly, on the margin front, on a Y -on-Y basis, there is a slight dip in the margin.

So I want to understand like what is the key reason for the same? And because we are still sticking to our annual guidance. So I just want to understand what is the key reason why, on a Y-on-Y basis, our margins are low?

S. Rangarajan: See, margins are governed by product mix. Sometimes we take contracts with very low margins or not normal margins because we believe it's a long -term -- this product will have value to the company. I can create some IP, I can create an order book, which is going to scale multiple times and scale the company.

So based on some strategic decision -making, it takes some contracts with low margin. Ideally, we don't take most of the contract. We don't take with low margins because it is going to be L1 business. We are mostly not there in most of the businesses. We can also compete, but our focus is try to build more products with more IP -driven products, which is differentiated from rest of competition. And that is how we are trying to take contracts. So that is the first part.

On the second part, what you are talking about, year -on-year, it's come down. What has happened is the -- because of that 1 or 2 contracts, which is taken with lesser margins, say last year over last to last year, the PAT percentage or EBITDA percentage might have come down.

But what has not happened if you look at it is my overall PAT has gone up 20%, 21% as commented by you. So the PAT has gone up. The margins is a question of the mix of contracts which you have taken consciously to see where it adds value to the company.

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And if you look at this quarter, our gross margin is higher. But since the revenue is lower, the EBITDA margin is lower. That is what I explained in the first question to Philips. So that is where it is.

Garvit Goyal: And lastly, on the product side. In your annual report, this time, you have highlighted many new products. So I just want to understand, in the PPT also, you mentioned about some new products that are in the testing phase

for which we will be able to get some orders. So I just want to understand on the product part, like these products is the data that on only 1 which has this kind of portfolio for these products in India?

S. Rangarajan: As I understand it, yes.

Garvit Goyal: And who are the customers for like -- can you give us the names of the areas we are getting to via these products?

S. Rangarajan: This is -- one is, let's say, fire control radars, airborne. We are looking at upgrade opportunity in SU-30 and MiG -29 for Air Force and Navy. This can also go to LCA Mark 2, if they choose to buy it. But this is a DRDO decision, we can't decide for them. What we are pitching for this as and when the capability of the product is established, we'll pitch for it.

Similarly in EW, again, for the upgrade contracts as well as the new aircraft, which is being designed in India, we can pitch for both of them. Why we pitch for the upgrade contracts and built products have been issue is that there is no single company in India, who have a complete product, which can look at the upgrade.

Point number 2, the upgrade opportunities is a volume business, and that will be finalized in the next 2 years' time, 3 years' time, which is a substantive business, which is more than INR10,000 crore s to INR15,000 crores. So when there is open market and the competency doesn't exist and the product doesn't exist in India in the private sector, we said we can do this.

The other companies has to come in is multinational for foreigners. But foreigners will not work with the Russian companies, Western companies. So the market is then only to India. So DRDO is also doing their own products in these areas because the Air Force has given them money, Navy has given the money to build the products to them. So they are in parallel doing this.

We are also in the industry, it's industry-funded -- our funded product development program, which we think that we'll probably build the product ahead and meeting the requirement and exceeding the specifications.

So this is a kind of gambit we've taken and building products. So those are all kind of products, which you see. Which is unique to an Indian industry context, but not unique to government of India. Indian government is also doing what they're doing. But we are trying to pitch our systems against -- to see whether this can match their requirements, and we can get an order book which is substantial.

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Moderator: The next question is from the line of Rupesh Tatiya from Shree Rama Managers PMS .

Rupesh Tatiya: I had 2 questions, 1 on BrahMos and 1 on MPA, Maritime Patrol Radar. So on BrahMos, I heard you say that you have won some seeker order. The clarification I am looking for is, is this for BrahMos or is it for BrahMos NG?

S. Rangarajan: Okay. I'm not -- I think you mis -- misread my statement. I've not received the BrahMos seeker order. We had a seeker order, which is tested now and proven successful. We expect -- we have some inquiries now. We expect the contract to happen in the next month or so.

If once that this contract is done as a predevelopment contract or a production contract, we expect that production orders should also follow, which is sizable value. So we are focused on making it a success. We already started development of those activities so that we can do an outstanding product for BrahMos seeker. And hopefully, we'll get a...

Rupesh Tatiya: But this is BrahMos or next-generation BrahMos NG?

S. Rangarajan: BrahMos NG is not part of Indian contracts at the present moment. We've not even signed any memorandum of understanding with the Russian Government on NG. So it is still not in the play, as I understand. Yes, there were NG figure out, but I don't think we have it with us.

Rupesh Tatiya: But there is some -- I mean I read some news articles that

that in a couple of days, there is some manufacturing facility tender.

S. Rangarajan: I also read a lot of news articles. I don't know, 90% of these articles, I'm unable to believe. Although I'm in the same subject area, 90%, 95%, I'm unable to believe. Every week, every 2

days, some articles are coming up. And I really don't know where they pickup the data really.

Rupesh Tatiya: Okay. So this is BrahMos gimbal ARH you're talking about? And any time lines you can give around these orders?

S. Rangarajan: Some initial order is supposed to happen in the next 1 month or 2 months' time, they are supposed to call us for negotiations. And once we deliver this and qualify the system, then they said that they will place orders for production, may be a letter of intent to production a lso will get placed along with this.

We have to wait and watch what happens. Maybe 6, 9 months from now, we should be in a production order is what I'm thinking. Again, this is my guesstimate. It is finally BrahMos has to decide, and it will happen. And when the approvals happen for the first lot, which we deliver. But I think in that time frame, we should be able to do this is what I'm thinking.

And the second question you had is on the Maritime Patrol Data. We have done our end of the work and given it to DRDO. DRDO is flight testing it. Flight testing is still not completed. Since flight testing is not completed, at the present moment, maybe is planning to import the radars from ELTA .

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So that negotiations are on from HAL to ELTA , negotiations are on now. We may miss the bus for the patrol radar because it is up to DRDO when they will position the radar and do the flight test in Navy. If that is done in time, maybe it can get considered. But if they delay it, t hen it will not get considered.

But what DRDO is saying is other than the Navy, there is also Coast Guard requirement for 30 plus radars. And that also is likely to happen. But time line is something which I'm not in a position to comment on.

Rupesh Tatiya: But sir, this NPA , this is in the context of which program. This is Dornier 228 upgrade you're talking about or LUHII because that part is not clear to me.

S. Rangarajan: Dornier 228.

Rupesh Tatiya: So what you're saying is Dornier 228, we might ha ve missed the bus.

S. Rangarajan: We don't know that. As of now, the contracts have not been placed. But until DRDO approves the product because we have only done the hardware there, they are putting the software and playing it. So unless DRDO approves it to maybe that all the flight tests are over and completed, it will not get considered. So we are all hoping that the flight test and approve it.

Rupesh Tatiya: Okay. And then with these 30 radar orders, which will -- that will be which platform subsequent some of that first got...

S. Rangarajan: Coast Guard.

Rupesh Tatiya: Okay. So first lot you might have ELTA radar, the second lot onwards, there might be the cities...

S. Rangarajan: No, no, there is no first lot, second lot. One is for Navy. The second one is Coast Guard. What Navy buy. So we don't know. Coast Guard, it's not an organization. So they don't have to take inputs from what Navy has done.

Rupesh Tatiya: Okay. And then my final question is on NETRA, maybe Mark 1a, Mark 1, Mark 2, all 3 program s, if you can give some idea about where these programs are, what is our contribution and when can we see some orders?

S. Rangarajan: Again, this is DRDO's decision who they pitch the contract to. We have flight proven ESM and EW. ESM and RWR already fli ght 4 and NETRA. So for NETRA 1 and NETRA 2, if they consider it, that will become a contract for us. The rest of the subsystems is all on tender, radar and second radar all in tender, it all happens. So it will be L1 basis.

So we will pitch for it, but we are not predicting any of

those things because any contract which

is L1, we do not know whether we'll get it or not. So we don't add it to the pipeline.

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Rupesh Tatiya: What are the time lines? I mean, number of aircraft yo u can -- because I think -- I'm hoping after operation Sindoor hopef ully, there is more requirement?

S. Rangarajan: It's already 2 years since the program has been approved. Again, because of money sanctions, it has still gone back to CCS. So once CCS clear s it, it will probably might be taken. I can't comment on time lines. It's best you talk to the government officials.

Moderator: The next question is from the line of Rahul Jain from LionRock Capital.

Rahul Jain: I'm relatively a bit new to the company. You consistently mentioned a pipeline of orders of about

INR20 billion to INR30 billion over the next 18 to 24 months the last few quarters. Is it possible for you to either kind of give some sense of what are the key programs one should be looking at to get a better sense of when those orders could come?

Or the other way to look at it would be, obviously, India's defence budget is going, but is there any specific areas we should be following up on to get a better sense of the opportunity in plant of Data Patterns over the next few years from an ordering perspective?

S. Rangarajan: Okay. Second question first. We do not do pipeline based on the budgets, defense budget. It has got no relevance to us because that is a very big number. And we can't whittle it down to what really comes where we can address the market.

So we don't look at those kind of numbers. The pipeline is made up of contracts, what we believe will be repeat orders based on contracts already delivered and approved, developed and delivered to customers. And we expect the repeat order to happen. So that is all based on what the previous services you've done.

So that pipeline is what we talk about and where the order should only come to us and not to anybody else, it's not competitive bids. But at the present moment, I won't be able to give you line item-wise because we don't have inquiries for them. The inquiries have to come, and which will not preempt the customer. It's also sensitive information, and we won't be able to discuss it in public.

Rahul Jain: Okay. But is -- like any -- I understand, obviously, radar is a big part of the business?

S. Rangarajan: Radar, EW, a whole lot of other substance avionics, what we've already delivered. All this will come into repeat, we've done for naval systems. A lot of things were done with DRDO. And all of them are repeat orders will happen either through HAL or Bharat Electronics. So there will be the overall agency to put the systems together.

Finally, it will come to one of those companies. But the timing and the value proposition, I won't be able to tell you. I have some idea, but I can't divulge that in an open discussion.

Moderator: Ladies and gentlemen, that was the last question for today due to time constraints. I now hand over the conference to management for closing comments.

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S. Rangarajan: Thank you, all. Thank you for the patience. Thank you for tuning in and asking questions and listening to our commentary and the interest shown in Data Patterns. I just need to conclude saying that again, we're very bullish about the future markets. We were doing it. I think we're doing a lot of right things in Data Patterns.

We have a differentiated product. We are building competencies, very differentiated to rest of India. We're building products, which is equivalent to what Western countries are offering there in Europe and U.S.

So we believe as a product, what we'd like to develop is second to none. And there's a huge need in India to Make in India. But though we talk about Make in India

and the processes to Make in

India is also very tough. There has to be an Indian content kind of quality requirement. The design in India content is not specified.

So it also allows import to happen from various quarters and does some value add here and sell to India. So there is -- this also allows a lot of imports to happen. And we have taken a hard route of trying to design and develop in India and address the market in Indian IP. If Indian IP is developed, we can also export it to the rest of the world.

We believe that is a way to go awarded a longer term. And we have taken the longer route and harder route, considering that we've been in business for many years. They built up ground up development thanks to ISRO and DRDO, we done the product development in-house. The competencies are developed in-house we decided that that's the right way to go.

And since there's a huge untapped market in India, I said we should be able to get a percentage of the market, provided, we have products to address the market. That is why we took money from the market of INR500 crores to the product development activities. Those are spent wisely and we are counting the pennies to spend the money, build the products in EW.

It's a very, very modern product for EW suite. We also developed a 5 control radars for SU-30. We're already doing the remittance systems, transferable SDR and a whole lot of other products for the Make 2 program for EW ground-based in radars, which we are trying to participate in.

I'm sure some of them will be successful. The combined market we are trying to address in all this is more INR25,000 crores. So given the percentage of the market, I think, is substantial.

Though we're not going to be happy with a percentage, we would like to take the whole market being ahead of others. We are trying to see how to do this. The customers have been positive, Navy and Air Force, particularly very positive to what our products are demonstrating and showing to them.

They're willing -- they're giving a full support to us, offering the aircraft to us to see the upgrade and flight testing can happen, which they'll probably spend more money than we have spent on product development itself.

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So I think everything looks good now. The products are coming out very well. It is going to take some bit of time to convert these large opportunities and make it as an order for our revenue.

We are also putting infrastructure, build the capability to manufacture them build people to see that this can be delivered and also support these systems.

All of them are happening. We are investing steadily ahead of time, see that the company within the next 3 years' time to scale to a INR30,000 crore s company revenue. This is what our interest is. Having been in this business so long, we want to be leaders in this business going ahead.

We're also going to focus coming down on exports to see we're not only dependent on government business in India, and we can distribute the risk across many other agencies and be part of a larger organization outside India. We will put our efforts going ahead to see that we build an organization which can also be export -friendly. This is what is the idea. This is the strategy. We're working towards this.

As a present moment, we believe that we're going in the right direction. And that's all I want to leave you all with. If you have any questions further to this, please send it to Go India. We will more than happy to answer the questions.

Thank you once again for listening in and the interest in Data Patterns. Thank you all.

Moderator: Thank you. On behalf of Go India Advisors, this concludes this conference. Thank you for joining us, and you may now disconnect your lines

Call: Nov 2025

SEC/SE/089/2025-26
Chennai, November 19, 2025

To
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra(E),
Mumbai – 400051
NSE Symbol - DATAPATTNS To
BSE Limited
25th Floor, P.J. Towers,
Dalal Street,
Mumbai – 400 001
Company Code: 543428

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 – Transcript of Earnings Conference Call

Dear Sir/ Madam,

Further to our earlier letter no. SEC/SE/080/2025-26 dated November 10, 2025 intimating the schedule of Earning Conference call on the financial results for the quarter and half year ended September 30, 2025, please find enclosed herewith the transcript of the Earnings Conference Call held on Thursday, November 13, 2025 at 10.30 A.M. IST.

The transcript of the earnings call is also available on the website of the company.

We request you to take the above record and oblige.

Thanking You.

For Data Patterns (India) Limited

Prakash R
Company Secretary and Compliance Officer
Membership No. F13620

Encl: As above
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“Data Patterns India Limited
Q2 & H1 FY 26 Earnings Conference Call ”
November 13, 2025

MANAGEMENT : MR. S. RANGARAJAN – CHAIRMAN AND MANAGING
DIRECTOR–DATA PATTERNS INDIA LIMITED
MR. VENKATA SUBRAMANIAN – CHIEF FINANCIAL
OFFICER– DATA PATTERNS INDIA LIMITED

MODERATOR : MS. MONALI JAIN – GO INDIA ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to the Data Patterns India Limited Q2 and H1 FY26 Earnings Conference Call hosted by Go India Advisors LLP. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Monali Jain. Thank you, and over to you, ma'am.

Monali Jain: Thank you, Anjali. Good morning, everyone and welcome to Data Patterns India Limited earnings call to discuss the Q2 and H1 FY26 earnings. We have the senior management of the company on call; Mr. S. Rangarajan, Chairman and Managing Director; Mr. Venkata Subramanian, Chief Financial Officer.

We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risks the company faces. I now request Mr. Rangarajan to take us through the company's business outlook and financial highlights, subsequent to which we can open the floor for Q&A. Thank you, and over to you, sir.

S. Rangarajan: Thank you, Monali. Good morning, ladies and gentlemen. I'm delighted to welcome you all to the Q2 and H1 FY '26 earnings call. I trust you've had a chance to go through our earnings presentation available on our stock exchanges and on our company website. Before Venkat takes you through the financial highlights, I'd like to begin with a few key business updates and strategic insights from our side.

We delivered strong revenue growth during Q2 and H1 FY '26, with top line more than doubling year-on-year at INR407 crores compared to H1 of last year, along with robust growth in EBITDA and profits. Margins were lower during the period owing to the execution of a strategic project amounting to INR180 crores during the quarter. The contract was taken at a competitive price considering long-term possible opportunities.

Despite this, our profitability remains healthy. EBITDA and PAT stood at INR100 crores and INR75 crores, respectively. Our order book, including the orders negotiated and the pending receipt stands at around INR1,300 crores with fresh order inflows of INR351 crores during H1, including significant orders from BrahMos and ECIL.

In H1, we also secured EW orders developed the QIP fund. So far, we've utilized approximately INR122 crores from the QIP proceeds for product development. The products are at an advanced stage of development. We expect more high-value orders in the coming quarters as our technology and products gain wider acceptance among customers.

Our export order book remains healthy at around INR80 crores. The Transportable Precision Approach Radar, TPAR, exported to European customer has successfully completed client acceptance. We expect some positive traction from international markets.

At Data Patterns, we are proactively developing systems well ahead of formal requirements to ensure we are ready with these opportunities, as and when these opportunities emerge. We effectively participate in MOD tenders. It is essential for companies to have products that are already developed and internally audited.

Our approach focused on anticipating future defence needs and building indigenous solutions in advance. This strategy not only enhance our eligibility for high-value tenders, but also positions us as a preferred partner. As we pursue growth, our focus on profitability remains intact, and we continue to prioritize quality margins over short-term expansion.

The company is transitioning from a subsystem supplier to a full system

s integrator, designing

complete radar and EW systems with in-house expertise, creating a strong differentiation in the market. We also continue to focus on investing in people and infrastructure to cater to the future expansion.

Looking ahead, the overall business environment looks -- remains encouraging, both in India and international markets. With a healthy order pipeline and strong execution visibility, we are confident of achieving earlier guidance on revenue and margins. With that, I now request Venkat to take you through the financial performance in detail.

Venkata Subramanian: Thank you, sir, and good morning, everyone. I will take you through the key highlights of our financial performance for the quarter and half year ended 30th September 2025. Q2 FY '26

revenue stood at INR308 crores, up by 238% year -on-year and 210% quarter -on-quarter, driven by strong execution across multiple programs.

H1 FY '26 revenue grew 109% year -on-year to INR407 crores, reflecting sustained operational momentum. EBITDA for Q2 stood at INR69 crores , up 100% year -on-year. H1 EBITDA was INR101 crores higher by 41% year -on-year. Net profit for Q2 was INR49 crores, up 63% year -on-year.

For H1, it was INR75 crores, a growth of 18% year -on-year. Q2 gross margin stood at 39% while EBITDA margin was 22% and PAT margin was 16%. Margins for the quarter were lower due to the execution of a strategic low -margin contract explained by our CMD. However, the core profitability remains healthy and margins are expected to improve in H2 with more balanced product mix. Working capital is well controlled at 343 days.

We expect to collect most of our current receivables in H2 and aim to maintain the working capital days at the similar level for the full year. Strong H1 growth demonstrates our execution strength and robust demand environment. With a solid order book and encouraging inflows during the first half, we remain confident of achieving our full year revenue and EBITDA margin guidance. Thank you. And now we open the floor for questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question comes from the line of Amit Dixit from Goldman Sachs.

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Amit Dixit: Congratulations for a very strong set of numbers, sir. A couple of questions from my side. The first one is on the strategic order that we executed. Essentially, as it seems from the financials, it was a short -term order executed in real quick time. Do we expect to participate in more such orders as and when they come?

If so, can you mention your -- where do you think the -- you will bid for these orders? I believe it is in Radar in this case, but whether it will be Radar, EW, I mean, which segment you are looking forward to bid? And how do we see this going ahead? I mean, because that is certainly margin dilutive but revenue accretive?

S. Rangarajan: See, I can't discuss much on the strategic order. That's why it's called a strategic order. But we took this contract because there is a large potential for multiple such contracts. What we need to say from our side is that the product has been executed very well. Customers are happy on the performance of the product.

And there are two things to take away from this product. One is there is a future potential. I can't explain the potential at the present moment due to the nature of the contract. And -- but there is a future potential. Point two, this is the first time the company has taken such a large contract, which involves power systems, building, construction, mechanical systems, design of something like 140 tons of material as a payload, which can be moved.

This is a whole -- it's a very complex mechanical -- electromechanical system. Electronics also is state -of-the-art world -class. So to do all this, we need to put a large team to see that we

can

execute this contract with customer focus and satisfying the customer needs and meeting the complete specifications.

We could do that. This itself is a good thing because going from a smaller product company to large systems company, this development or capability development is very important. And I think we have managed that. That is the second important thing which we could achieve in this. This is all I can say at the present moment.

As regards future such contracts, similar contracts, et cetera, obviously, when something happens when we believe it is strategic and gives a technology perspective as well as revenue growth and bottom line future growth, we will obviously participate, but it's a competitive environment.

We may or may not be able to get all these contracts. But yes, Data Patterns wants to grow in this line of business, complete systems. So we are working both on the radars and EW and other areas of avionics as well. So we do take up strategic contracts in all areas of applications, not necessarily only the radars. I hope it answers your question.

Amit Dixit: Yes, sir. The second one is on our consortium for AMCA. So this consortium is with BEML and Bharat Forge. Just wanted to understand the rationale of participating with these 2 partners. And what is our scope in the consortium? And I know it is very early, but if you could just highlight

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the kind of share we will get out of total value of AMCA or whatever metrics you want to quantify, that would be very helpful, sir?

S. Rangarajan: As you said, it's a bit too early. It's an RFI response. And after RFI shortlisting takes place, an RFP happens and then the contract goes to somebody. It is only one company which gets the contract. So it's very early for me to comment on it. But why are we in this is because Bharat Forge is a large Indian company.

There's a lot of capability building complete systems and well -positioned for growth. And they are also similar to us in the sense they do want to do everything in India. So that makes us -- in terms of alignment, it is very good. Second area is that our focus has been in avionics, and we do state -of-the-art avionics in the country.

As a matter of fact, the more -- what we do, nobody else in India does in terms of avionics range. So we have the cockpit solutions. We have radars, we have electronic warfare. We have a whole lot of other systems which can go into any F ighter aircraft. So we can add value in all of them. And there's also electronic integration, which is necessary as part of this. Exactly what role what each one would play will have to be decided based on how the overall thing pans out. But I think it's a good fit. We'll wait and watch what the customer says and whether there's an opportunity for us to get a contract or not. We should be able to talk about it a bit later as and when more clarity arises in the situation.

Moderator: The next question comes from the line of Jayakanth from Bandhan Alternatives.

Jayakanth : Very strong set of numbers. Sir, I just wanted to ask you, there was this recently DRDO had come out with this RFI for shared -aperture antennas where there will be merging radars, EWs and communications. So I don't know how much you can share about this. So I just wanted to get your opinion with regards to how Data Pattern is going ahead with that. And plus, there was this -- I just wanted to get a sense from you for the jammer pods for the Super Sukhoi if it is possible by Data Patterns, if whatever is being planned by the MOD. Yes, that's from my side?

S. Rangarajan: Regarding first one, RFI, I'm not clear exactly which one you're referring to. What is shared -aperture radar I'm not very clear about that.

Jayakanth : This is under the DRDO TDF where they are planning to have this shared -aperture radars, merging the radars, EWs a

nd comms to radar, Slash RCS on battle platforms, especially for your air force and your Navy ships and ground vehicles ?

S. Rangarajan: I'm not aware of particular requirement you are talking. So I'm not able to comment on it. As regard the jammer pod, yes, we have developed the pod for the Super Sukhoi and that testing is happening in -house. We've already offered this to Air Force. The Air Force team also addressing this and understanding what we've done.

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So the process is on at the present moment. That's all I can say. I don't know what else you want me to say because I think we need requirement specification. So pod is developed. We will use QIP funds and develop the system. It's just not the pod, but also the complete EW suite for the Super Sukhoi. Pod is part of it. So yes, it is under evaluation and further development along with reps from Air Force.

Jayakanth : And sir, one more thing. There was this news wherein the radars which were used for your MiG -29, there were some issues. So are we going to be supplying some of it?

S. Rangarajan: See, these are all -- a lot of things comes in the newspaper and article comes. I can't comment on so many articles that's coming. Where the origination of the article, I really don't know. We have developed our own radars for -- which can fit into MiG -29 as well as Su -30 and such similar fighter aircrafts. We have a program running internally funded, and we are building the products. These are all in advanced stage of development. But how it will pan out, where it really go is really we can't comment on it because there's a lot of -- this is based on Air Force and Navy requirements. So how the paper will proceed, people are aware that we are doing things, but that's all I can say, and we continue to complete development and take it to a level of completion so that then it can be considered for their requirement.

Moderator: The next question comes from the line of Dipen from Phillip Capital.

Dipen : Congratulations on a very great set of numbers. Sir, my first question is, I wanted to know, so how are the order wins which are expected in H2 and beyond? So any large or high -value platform or platform -related subsystem expected because your guidance is close to around INR1,000 crores in second half and INR2,000 crores to INR3,000 crores in 18 to 24 months. So any high value -- so color on high -value platforms would be helpful ?

S. Rangarajan: I don't want to talk about specific future contracts on an open line. I should say, yes, there are more orders expected as you go along in H2. And that is why the guidance of what has been

given. We expect some more contracts to happen in the next 3 to 4 months' time. That has to happen.

And regarding the rest of the year -- beyond that, I think at the present moment, I don't want to comment. We will consolidate for the year now and understand what the order book is going to be like next year, what new pipeline we are looking at next year. And then that will come on the earnings call probably post this year. We will give you some guidance. But we don't have any particular guidance beyond that at the present moment.

Dipen : Got it. Sir, any update on BrahMos Seeker? And so like we were expecting it to get some trial contract in this quarter. So any updates there?

S. Rangarajan: Yes, the negotiations are completed. So the contract has to come, and we are already in advanced stage of product development. So yes, we are very keen to see that, that contract comes and

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quickly deliver because there is likelihood of production orders in this. So we are -- there's a high focus on these contracts.

Dipen : Got it, sir. Sir, last question on the export orders. Sir, you mentioned that earlier you have already gotten an export order from a Euro

pean region. So any other region opening up or you are seeing traction for your products in the export region. So Europe was one, so any other areas that are showing some traction?

S. Rangarajan: Yes, there are other interested customers. So we have -- they're going to Europe, specifically for addressing the requirement in Europe and outside Europe also in South America and things like that. So there are active -- we're making active proposes in all these areas. We have to wait and watch really what happens and how each country develops requirement shapes out. Yes, that is one.

Second is we also have -- this is what we expect on TPAR which I have told you. We also are looking at other contracts, which is from the U.K., which we have regular order, which we're executing. We expect the increase in that volume business also. Third, we're also looking at co-development of worldwide requirements in certain areas of radar and EW.

So with some large foreign multinationals. That also is in the play. So that not only we develop for India, we also want to develop for the world in some areas where we have competency. So we have signed such agreements also on co-development to see that we invest ahead for not only India requirement, but also go worldwide. So things are happening.

We're also looking at export market very seriously now, and we're going to put a team for export and see how we can build an export market for ourselves. It's all necessary because we're doing parts and pieces at the earlier days. Now the complete systems are happening. whenever systems are completed, I would like to see that this is exportable and look at export markets as we go along.

So there is going to be a focus on export going ahead. It's going to take a bit of time. The size of business here in India is large. Nevertheless, we need to see that we not overly stressed only in India, and we must have a pan-world product offerings. So there is going to be -- there's an intent from management to see that pursue such requirements.

Moderator: The next question comes from the line of Lavina Quadros from Jefferies.

Lavina Quadros : Sir, again, congrats on a good set of results. Just an extension of the export question only. See, when I've gone through your presentations, you're already exporting radars. You've always mentioned that. This particular quarter, you have mentioned that it's the first fully developed radar on the export side by Data Patterns. Any sense you can give on how it changes your export market potential? Does it change it at all? Can you get more inquiries because of this that you all have fully developed it? Just want to understand that bit ?

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S. Rangarajan: Yes. That is what I answered in the last question also on capital . See , one is doing a part of the system for some OEM that is based on OEM's actual requirements and they keep ordering the parts, which is already developed for them. But the other one is when you build a full system, there are requirements outside India, so we can address that requirement also.

So this is the second way of doing it. Actually, mostly large systems are only exported outside, not parts of it. It gives a larger opening for us to actually build products for the rest of the world. So the focus should be there as we go along. But we started with subsystems and now we have

gone into systems. So we will focus on both of them.

As and when the products are ready here in India, we'll also look at export markets outside of India also. So the important thing is once we test in India, this is also then additional markets we're looking at. So this is how it is. But this -- of course, the TPAR order came originally to exports.

So we modified the existing position of radar. We did for airports and Navy in India, a complete redesign for a transportable application. India doesn't

have this. But now that we've got the

European contracts and some other contracts, maybe India will look at it also go along, but to answer your question, yes, there will be opening of more orders, hopefully, because these products will work well, delivered works well, then I think this is a gradual way of getting into exports as we go along. And these are complex systems. So there's not much competition worldwide for these kind of systems.

Moderator: The next question comes from the line of Jyoti Gupta from Nirmal Bang.

Jyoti Gupta: Congratulations on a good set of numbers. Two questions. One, what percentage of INR667 crores, which part of your receivables would be realized in H2? Could we see anywhere between like 80% of that of INR667 crores. And the other thing is, then do I increase my revenue guidance from INR850 crores, which I've taken to INR1,000 crores this year and margins would be sustained close to 40% or it will be slightly higher because I believe your upcoming contracts will have higher margins.

And this INR180 crores is one-off and that we do not see any such low-value contracts in the next two quarters. Also, how low was the margins from this contract? Was it like sub-20% because you had a very good rollout in terms of your contracts that you've been actually executing in the last 3, 4 years that I see?

S. Rangarajan: Okay. The exact percentage of collectibles, I really don't have an answer off the top. A large portion of the collectibles will be collected in the next H2 is what we think, whatever is collectible. Venkat, would you agree?

Venkata Subramanian: How much of the current order book will be delivered and...

S. Rangarajan: No, she's talking collectibles I thought. Jyoti, you have collectible or you talking debtors or order book?

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Jyoti Gupta: Collectibles, sir, you're not audible, sir. Can you be a bit loud?

S. Rangarajan: Exact numbers, I don't know we want to give, but then yes, most of it will be collected during H2. That is to answer question one. Question two, we remain with the guidance given earlier. I don't want to -- obviously, there will be slightly upward movement on the revenue guidance because there is this contract which is executed.

But on the bottom line guidance, we remain whatever we've told earlier. We don't want to modify at the present moment. And regarding exactly what we got in this contract, we are not in a liberty to say exact margin and all that in an open call. So you would understand that it is not practical for me to say this. What is the other fourth question you asked? I remember only 3 of them.

Jyoti Gupta: Sorry. So I have two questions, which I'll take offline, sir. So maybe since you're not comfortable, we can actually discuss it offline.

Moderator: The next question comes from the line of Sumant Kumar from Motilal Oswal.

Sumant Kumar: So my question is regarding the working capital. So we are still in cash conversion cycle of 345 days. So I understand the nature of the business, okay? So in any way, what is the key steps, key initiatives we have so we can reduce this cash conversion cycle to a lower level? And what is our target for, say, next 2 to 3 years for this?

S. Rangarajan: See, what happens is we're doing a lot of development contracts. This takes a longer time for cash conversion once we deliver and test, we have integration and things like that in testing, field testing. So take a longer time to really achieve the cash conversion cycle. So once we move from larger development contracts to production orders is yet to happen, something happens, but it's not the way we ought to happen.

We need to have a lot of order book where we can do quarter-to-quarter sales. And then production orders get you what maybe a few months collectible, et cetera. Unless that happens, cycle will not change so dra

stically. Going ahead, I think gradually, it will from 345 days, it will come to 270 days and then maybe go down further depending on the kind of contracts we get, nature of contracts, but in all of these contracts, there is a lot of advance given by the customer. So that goes towards funding of the contracts really. And we still remain a debt-free company. Sumant Kumar: Okay. So that is not included in this cash conversion cycle?

Venkata Subramanian: No, that is not included.

Sumant Kumar: Okay. So considering that, what is our cash conversion cycle?

Moderator: Mr. Sumant, I'm sorry to interrupt, but we cannot take more than 2 questions. May I request you to join the queue again?

Sumant Kumar: This is a second question, I think.

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S. Rangarajan: Can you answer this?

Venkata Subramanian: What is the question?

Sumant Kumar: My question is -- so the advance you are getting from the customer, if you consider that, what is the cash conversion cycle for us?

Venkata Subramanian: Yes. If you exclude it, it will be around 310 to 315 days such thing at current position. But going forward, the new contracts that we are expecting are expected to have more advances, then obviously, the cash conversion cycle is expected to net off that advances. Cash conversion cycle will be better than what you see as a number now.

Moderator: The next question comes from the line of Hardik Rawat from IIFL Capital.

Hardik Rawat: Congratulations on a good set of numbers, sir. My first question would be with regards to the strategic order. Now I understand that you cannot share much more details on the specifics of the project. But from a margin standpoint, would it be safe to assume that had we not exited this project, our EBITDA margins for the current quarter would have been in the guided range of 35% to 40%?

S. Rangarajan: Yes, definitely.

Hardik Rawat: Got it, sir. And for the disclosures given in the PPT, roughly INR200 crores of execution has been done for the DRDO in this quarter. Would it be safe to assume that a large part, if not all, roughly 75% would be towards this large order? What would be the overall contribution? A large part of it. Sir, second question would be with regards to our order book, which currently stands at INR640-odd crores. Sir, could you please mention three or five large orders which are priced in this? And what would be the value of those contracts?

S. Rangarajan: I don't have the list of orders on hand with me to answer this. And I don't know whether specific contract price I want to really share it. We normally don't put it on website all that because of this reason that we calculate, and we don't do this week to week when the order comes, we don't push it. We don't share such information.

The large contracts, I mentioned also, there's some large contract from BrahMos and one from ECIL. I also mentioned that in the part of the opening remarks itself. So then there are a number of other contracts which we have and some more are expected. We have quoted, negotiations will happen. Some more contracts are also expected in the next 3 to 4 months' time.

Hardik Rawat: And one last question was with regards to the disclosed INR550-odd crores worth of orders which have been negotiated, but just not confirmed. Should we expect that these orders should get confirmed in the coming month or 2 or a part of it has already been confirmed as on date?

S. Rangarajan: No. We expect in the next 2, 3 months, during the rest of the year, we should have -- they sometimes takes time. And so the contract once we negotiate it takes a few months or sometimes

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2 months. So there are MOD contracts which is taking some time. Some -- for some or other reason, it's getting postponed. So we expect, yes, in the next

2, 3 months, we should get the contracts.

Hardik Rawat: Got it sir. So with that, these orders confirming our total order inflows would stand at about INR350 crores plus INR550 crores, so roughly INR900-odd crores. How do you look at the order inflows picture for FY '26 as a whole and in absolute terms? Should we be -- are we well poised considering I'm not looking for any guidance here. But do you seem confident in crossing that INR1,500 -odd mark since the order inflow -- order awarding trajectory has been pretty good this year?

S. Rangarajan: Yes.

Hardik Rawat: Got it. I have more questions, but -- sorry, sir, yes, you were saying?

S. Rangarajan: Yes, we have -- we expect more than that contracts in the next few months.

Moderator: The next question comes from the line of Garvit Goyal from Nvest Analytics Advisory LLP.

Garvit Goyal: Congrats for a good set of numbers. My first question is on -- I just want to understand and know

about the new products that are currently into development. And maybe in the next 6 to 12 months, we are going to launch these products. So can you put some color on this area, sir?

S. Rangarajan: We're working on radars on a number of them actually, various kinds of radars. One is airborne fire control radars, then there are ground radars for detection and even detection as well as fire control. We're also looking at EW programs for airborne podded and unpodded versions and also for detection -- drone detection on the ground, we have advanced products in drone detection and passive as well as other products, which are also jammer drones.

Already we participated in a number of trials, products maturing very well. And out of which already we've got 1 or 2 orders from MOD. So this also will get executed in the coming year. So there are a number of products in those areas where we are addressing the requirements of our country.

We're also doing some communication systems. This is also in advanced stage of development. Fourth, there is a lot of glass cockpit and a whole lot of other things for avionics is also under development. So there's a variety of programs and products which we are doing. And overall, if you look at the landscape, it will be in products in radar, EW, avionics, ESM, electronic intelligence and such similar requirement and also drone detection and jamming. These are all the areas which we're working on. And those areas are also seekers. They are building some next-generation seekers.

Garvit Goyal: Good to hear, sir. And all these products that we are currently developing, this is for both India and export opportunity, right?

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S. Rangarajan: Not all of them, some are only for India with specific programs, which is we can't export all so. But some of them are generic. See, we have a standard approach ever since inception, been doing building blocks because once the building blocks are ready, it is easier to develop future systems like modifications, add and subtract, we can get a full system up. So address the market.

Second is O1 kind of tender markets, it's also risky to develop products. So if we can use building blocks, then we derisk ourselves in the development area. So this is the second area why we do this, and we've continuously done this all through from inception. We continue to do that. So the building blocks itself can be configured for various applications, which also are exportable. They are looking at some opportunities like that also. And they're working with partners outside India to see how to address their requirements. We are doing both, yes.

Garvit Goyal: And sir, overall, what is the expected TAM for all those programs? See, it's my second question only, ma'am. So I think you can allow me. So yes, just to understand what is the expected TAM for all these programs, the products that is currently under development,

sir ?

S. Rangarajan: For TAM, that is about INR15,000 crores to INR20,000 crores. TAM is large. So that is how the development happens...

Garvit Goyal: I missed that number?

S. Rangarajan: INR15,000 crores to INR20,000 crores...

Garvit Goyal: Understood. And we will be the first one who are developing in India...

S. Rangarajan: Pardon.

Garvit Goyal: We will be the only one in India who are developing these kind of products, isn't it?

S. Rangarajan: See, it's what we believe. We do not know what is happening in the backyard. So really -- We have -- we believe what we're doing and we commit ourselves doing what we're doing, yes.

Competition is not only India, it comes from abroad also. There are mature products abroad, which is also -- do a work share and offered in India. India actually imports more than 70%, 80% of our requirements. So you should not forget that. You can't say it's not made in India, only Data Pattern is doing it, so you'll get all the orders. That also doesn't happen. People tie up with foreigners, and we offer the products in India.

Moderator: The next question comes from the line of Vishal, a Shareholder.

Vishal: This was regarding the AMCA program. Now there is also one other consortium of L&T and BEL are also bidding for the contract. So what are the probabilities in case the final contract goes to that consortium, the avionics portion may again flow back in some form of other to Data Patterns. Is there a probability?

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S. Rangarajan: We believe -- we hope so. We don't know because the initial RFP is still unpublished. So until

we know the RFP and what really comes, it's only RFI now. So I can't comment on what is really planned on delivery in the first 5 prototypes, what avionics is planned and how they are asking us to see the so-called partners or RFI responses to buy and integrate it. It is all not visible at the present.

Vishal: But the probability is high, right?

S. Rangarajan: I even don't know whether they are planning, what they're planning. The RFP is not out, so we do not know.

Vishal: Okay. And sir, what is the broad time line would you put for the AMCA program? You said the time line is not still sure, but it would be maybe 1 year or so or maybe more than that? For more clarity on this?

S. Rangarajan: I believe they want to place the contracts early. It's in less than a year, maybe 6 months is what they're saying. So we need to wait and watch how the process goes.

Moderator: The next question comes from the line of Vandit Jain from SageOne Investments.

Vandit Jain: I have just one question around the AMC contracts that we see as part of the order book around 31%. Can you explain the nature of contracts of these AMC contracts, particularly with respect to BrahMos, what business are they?

S. Rangarajan: See, we have delivered BrahMos fire control systems, groundworks launches, airborne launches, the test systems for BrahMos missiles done this from 2006, we've been delivering the systems, some of them in 2013 or '18. So I think what we've got here is mostly ground systems.

We have a maintenance contract where we have to keep the uptime guarantee and deliver it. We already have people distributed our service engineers around India, take care of immediate response and satisfy the customers quite happy. And in continuation, we've got some contracts for the next 5 years.

Vandit Jain: So this will not require any further capex or any investments from our side?

S. Rangarajan: No.

Vandit Jain: Got it. Thank you.

Moderator: Thank you. Due to time constraints, the last question comes from Yash Poddar from Viansh Ventures.

Yash Poddar: So my question was about the -- I would like to flip the lens on the strategic contract order and ask the question regarding we have taken this at a competitive price because there is a strateg

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reason behind it, and that also brought down the margins. But if we normalize this, if we assume that going forward.

We are to get repeated orders within this category itself, irrespective of the quantum, it could be the same, it could be larger. What would be the actual normalized margins for this type of a strategic contract order if you had taken it at a regular rate and not the competitive pricing, how much further would that take up our margins?

S. Rangarajan: This has to be negotiated with the customer. I think you had asked that question to him, not me. As and when the requirement comes, the inquiry comes, we quote and the negotiation happens. So it's a very -- the question today is not answerable by any of us. It will be happened only when it really happens. So we believe we stand a chance because the contract size will be larger. And so maybe we should be able to get a reasonable margin. But exactly what it is, I have no idea at the present moment.

Yash Poddar: Okay. And my second question was about that in the presentation, we are seeing that you are estimating INR1,000 crore s inflow for the remaining part of the year. In this current quarter, the larger component has come out to be a developmental revenue. So the remaining INR1,000 crores expected inflow, is that going to be more towards -- can you tell us like the breakup between the production development and AMC side? How will that be split up the remaining INR1,000 crores?

S. Rangarajan: I'm not really -- I'm not -- actually don't have a paper in front of me to answer this level of detail. But I don't know this INR1,000 crores next few months. I don't know whether given. I don't know.

Venkata Subramanian: That is including the INR552 crore s of contracts already negotiated to come which we are expecting to come. And most of it is all product related. Something may be development and something may be production contracts, but not on AMC not service basically.

S. Rangarajan: There is going to be a production contract. If it happens, a sizable contract should happen. But for the next 2 to 3 months, we should know. We're expecting more orders to happen. I can only say that. And whatever the guidance we have given, we will accomplish and exceed the guidance contracts.

Yash Poddar: Okay. So if I understood this right, I'm just double checking my understanding that INR1,000

crores that is expected to come will be primarily production and development and not services.

S. Rangarajan: What Venkat is saying, yes.

Yash Poddar: Right. Okay. Thank you so much.

Moderator: Thank you. Due to time constraint, that was the last question for today's conference. I now hand the conference over to management for closing comments.

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S. Rangarajan: Thank you all for tuning in and asking the questions and being on the earnings call. We believe we are on the right track as a company. We're investing ahead to build products to address the large markets. We've -- in India, we've always relied on imported products all through. And very few companies actually build products except in government agencies like DPSUs and DRDO.

Most DRDO-driven programs for DPSUs, is where the products really come in.

And other companies, large companies collaborate with foreigners to build the products in India.

We've taken a different approach to build indigenous products with its IP-driven, capability-driven products. We continue to focus on such programs and products where there is a bottom line business also as we go along. And we have taken QIP funds to invest in such programs and products.

I think we are on the right track. We're very bullish on the future as we go along. We're also working very closely with DRDO on very strategic programs and products, which have to deliver

to customer on an urgent basis. So the requirement for machine mode projects in DRDO also has increased considering the geopolitical situation in India.

And based on this, the requirement to convert into the contracts into products early, seeing it reaches the customer early is also felt the need in DRDO and other parts of our users. So we are addressing such urgent requirements ahead of time so that we are always ahead of time in delivery.

And second area is we're building very competitive, very capable products, world-class systems.

Any product designed here is world-class, contemporary technology. And we're building an organization to continue to go on this building products for India and outside India. Like I said in one of the calls, we're also trying to work in partnership with outside large multinationals to see whether they can do co-development.

There are options, possibilities because currently, there's a situation there also in Europe and other areas where investments are being made in defence, which is easy to not even talk about there because of the existing environment worldwide. So there is a need for addressing market requirements urgently.

We're trying to see what is it we can with our competency address those requirements. So we're getting into serious discussions ground, may have in face-to-face meetings, they're coming here, we are going there to discuss to see whether we can address the worldwide requirements at the speed in which they themselves cannot do probably one-third the time of their addressing requirements. We can do this faster. It finds favor with our customers abroad. And also that we are willing to co-invest in such product development is also finding favor.

So I think that is the second area where we will focus on and get into exports in a serious way.

The advantage of exports is that we work with private sector there. And also the requirements are very large. Unlike here, where we talk about 1 product takes 2 years, 3 years to go through qualifications, 5 years to wait for an actual contract to happen. They will do this in 1 to 1.5 years, 2 years' time.

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We're able to get into production mode very much faster. Requirements are large and they're immediate and current. So we can address this. So we believe that scaling up is faster in such requirements. So the size of business accessible is not as big as we can do in India, but this can be a longer term and also via media solution to see that we grow the business. So this is the second area we are focusing on.

To enable this also to see that we can continue to do on this journey, you also have to see the required manpower is built and competencies are built. That is why we're continuously recruiting people. You will see that in our P&L also, the staff salary and all that, you see there's substantial increase in salaries and things like that. This is basically because we're taking more inputs. We also have people training them. That is also happening.

We're also working on capex to see that whatever products we develop, we are actually future

ready and the products developed -- once developed and the production order comes, we are ahead of time in delivering the production orders. So we're not wanting -- we're not doing it stage by stage. We are doing it in parallel to see that we can deliver quickly. Our ambition is to see that we grow fast and deliver quickly to see that we scale the company much faster. So all this is what we say thinking and based on which the management is working to see that the various pieces are in place, the foundation is in place and the strategy in place to see that we can address this. So I think we are going in the right track at the present moment. Big contract should happen maybe in another year, a couple of years, 2 years, 3 years. It will happen, which c

an really propel the growth of the company for far higher heights than what we've been able to do in the last 2 years. So we've been growing at 20%, 30% year-on-year. I think with the large markets, we should grow faster as we go along. We're taking some directives and investments to see that we drive the business to a faster growth stage as we go along 2, 3 years down the line.

So that's all I want to leave you with. We are very serious about what we're doing and committed to trying to build a model company with IP-driven organization. We are in that process of what we're doing that. We hope that the future is -- addresses with the confidence which we have, it will work out the way we want.

Thank you again for joining us in this earnings call. Any further questions, please address it to Monali Jain and Go India Advisors, and we would be happy to see that we give you the right answers. Whatever we can in an open forum, what we can, we'll definitely see that we give you the right answers. Thank you once again to all. Thank you.

Moderator: This brings the conference call to an end. On behalf of Go India Advisors, we thank you all for joining us. Thank you and you may now disconnect your lines.

Call: Feb 2026

SEC/SE/113 /2025 -26
Chennai, February 12, 2026

To
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra(E),
Mumbai – 400051
NSE Symbol - DATAPATTNS To
BSE Limited
25th Floor, P.J. Towers,
Dalal Street,
Mumbai – 400 001
Company Code: 543428

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Earnings Conference Call

Dear Sir/ Madam,

Further to our earlier letter no. SEC/SE/106/2025 -26 dated February 02, 2026 intimating the schedule of Earning Conference call on the financial results for the quarter ended December 31, 2025, please find enclosed herewith the transcript of the Earnings C onference Call held on Friday, February 06, 2026 at 09:15 A.M. IST.

The transcript of the earnings call is also available on the website of the company.

We request you to take the above record and oblige.

Thanking You.

For Data Patterns (India) Limite d

Prakash R
Company Secretary and Compliance Officer
Membership No. F13620

Encl: As above

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“Data Patterns (India) Limited
Q3 & 9 Months FY '26 Earnings Conference Call ”
February 06, 2026

MANAGEMENT : MR. S. RANGARAJAN – CHAIRMAN & MANAGING
DIRECTOR – DATA PATTERNS (INDIA) LIMITED
MR. VENKATA SUBRAMANIAN – CHIEF FINANCIAL
OFFICER – DATA PATTERNS (INDIA) LIMITED

MODERATOR : MS. MONALI JAIN – GO INDIA ADVISORS

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February 06, 2026

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Moderator: Ladies and gentlemen, good day, and welcome to the Data Patterns (India) Limited Q3 FY '26 Earnings Call hosted by Go India Advisors. As a reminder, all participants' lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchstone telephone. Please note that this conference is being recorded.

I would now like to hand the conference over to Ms. Monali Jain from Go Advisors. Thank you, and over to you, ma'am.

Monali Jain : Good morning, everyone, and welcome to Data Patterns (India) Limited call to discuss the Q3 and 9 Months FY '26 Earnings . We have the senior management of the company on call, Mr. S. Rangarajan, Chairman and Managing Director; and Mr. Venkata Subramanian , Chief Financial Officer.

We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risks that the company may face. May I now request Mr. Rangarajan to take us through the company's business outlook and financial highlights, subsequent to which we can open the floor for Q&A. Thank you, and over to you, sir.

S. Rangarajan : Thank you, Monali. Good morning, ladies and gentlemen, and thank you for joining us for the Q3 and 9 months FY '26 earnings call. I trust you had an opportunity to review our earnings presentation available on the stock exchanges and on our website.

FY '26 is shaping up to be a good year, in line with our expectations. Our order book has reached an all-time high of INR1,868 crores, largest in the history of Data Patterns , underscoring our strong execution capabilities, deep domain expertise and growing relevance within the defence ecosystem. Order inflows during 9 months FY '26 until date have remained healthy and well diversified across services and applications, reflecting increasing customer acceptance of our products and solutions.

Key wins during the period include large production and development orders for electronic warfare suites from ECIL and the Ministry of Defence , further strengthening our position in high-value mission-critical programs. Our export order book remains healthy at approximately INR63 crores, and export continue to evolve as an important pillar of our long-term growth strategy.

We are actively involved engaging with our customers across the international markets while strengthening our export-focused marketing and business development activities. We continue to execute regular business in the UK. and expect export momentum to improve further as our complete system offerings mature.

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We believe this strong momentum is sustainable. The recent Union budget has also reinforced the government's long-term commitment to defence modernization and indigenization with a meaningful increase in capital procurement.

The sharp rise in allocations for other equipment, including radars, electronic warfare systems, missiles and advanced electronics clearly signals a focus on new age defence technologies. This aligns extremely well with Data Patterns' core strengths and long-term strategic direction, positioning us favorably for future growth.

Let me give you all a brief overview of financial performance. During Q3 FY '26, we delivered a strong quarter with revenue growing 48% year-on-year to INR170 crores, supported by improved execution across defence programs. On a 9-month basis, revenues increased 86% year-on-year to INR580 crores, reflecting a meaningful scale-up in defence-led execution.

EBITDA for the quarter stood at INR78 crores, up 44% year-on-year with EBITDA margins

sustained at a head

lthy 44%. Profitability remained robust with PAT rising 31% year -on-year to INR58 crores, translating to a net profit margin of 34%. Overall, we are pleased with the quality, consistency and resilience of our earnings.

In addition, we are pursuing co -development activities with global defence majors, particularly in radar and electronic warfare domains. These partnerships are aimed at developing solutions not only for Indian defence requirements, but also for global markets, enabling us to leverage our competencies on a worldwide scale.

We're also engaging with Indian large corporates to build an Indian defence ecosystem. We have partnered with Bharat Forge to bid for the AMCA production and are one of the three shortlisted to get the RFP. We're also attempting to develop other electronic systems to strengthen the Indian content with Indian IP with Indian large corporates in line with the GOI stated objectives of Atmanirbhar besides providing a competitive edge to our partners.

We're actively involved in developing the smart cockpit and avionics systems for LCA Mark 2, which we believe will be adopted for AMCA. We're also offering the advanced sensors like infrared search and track and missile approach warning system for LCA Mark 2 in partnership with a European partner Made in India content. Strategically, Data Patterns is steadily transferring from a subsystem supplier to full systems and solution provider for the defence sector.

Our focus is not limited to any single platform or application. We're actively pursuing opportunities across radars, electronic warfare, avionics, seekers and other mission -critical defence electronics, and we selectively undertake strategic contracts that offer long -term relevance and scalability.

We continue to invest ahead to offer strategic systems with in -house IP, meeting user time lines, which will give us a competitive edge. Our internally funded development are advancing well and should be offered to the users in the coming years, which should scale our revenues. The

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long-term goal is to scale revenue meaningfully over the next 3 years while maintaining high profitability, technological independence and selective global expansion.

Looking ahead with strong policy environment, rising defence allocations, increasing indigenization and a clear shift towards advanced electronics and systems, we believe Data Patterns is well -positioned to benefit from long -term defence spending. We remain committed to delivering 20% to 25% revenue growth over the medium term, maintaining healthy EBITDA margins and preserving our net debt -free balance sheet.

With that, I'll now request Venkata to take you through the financial performance in detail.

Venkata Subramanian : Thank you, sir, and good morning, everyone. I will take you through the key highlights of our financial performance for the quarter and 9 months ended December 31, 2025. Q3 FY '26 revenue stood at INR173 crores, registering a strong 48 percentage year -on-year growth, driven by improved execution across multiple defence programs.

Revenue for 9 months FY '26 increased sharply by 86 percentage year -on-year to INR580 crores, reflecting significant scale -up in operations and sustained execution momentum during the year. Production contributes highest to the revenues at 57 percentage, followed by development at 37 percentage.

EBITDA for Q3 FY '26 stood at INR78 crores, up 44 percentage year -on-year with EBITDA margins maintained at healthy 44 percentage, highlighting the strength of our operational model. For 9 months FY '26, EBITDA grew at 42 percentage year -on-year to INR178 crores, supported by favorable execution mix and operating leverage.

Net profit for Q3 FY '26 was INR58 crores, up 31 percentage year -on-year, translating into a net profit margin of approximately 34 percent

age. PAT for 9 months '26 stood at INR133 crores, reflecting 23 percentage year -on-year growth despite quarterly variations in execution mix. Gross margins remained strong during the quarter, reflecting the high -value nature of our product portfolio and strong in -house capabilities. Overall, profitability continues to remain healthy and resilient. Working capital remains well controlled, and we continue to focus on efficient execution and prudent capital management.

With a record order book, strong execution visibility and disciplined cost management, we remain confident of achieving the full year revenue and EBITDA margin guidance. That concludes the financial highlights from my side. Thank you.

Moderator: Thank you. Our first question comes from the line of Amit Dixit from Goldman Sachs. Please go ahead.

Amit Dixit : Congratulations for a good set of numbers. A couple of questions from my side. The first one is going back to the EBITDA margin. I mean, 46.5% is a number that no other radar electronics

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company has achieved in the world possibly at this point in time. While you highlighted in the prepared remarks that it is on the account of favourable execution mix?

But what we see in the execution mix that there are -- avionics is coming, there is EW system. So, I mean, it's all about the -- our core platforms that are coming to fore that seems to be sustainable. So just wanted to understand that what kind of EBITDA margins do we expect given that these are your focus areas in the future as well?

S. Rangarajan: See, EBITDA margins is a composite addition of various contracts executed during the quarter or the year. So, it will depend on the competitive scenario plus what products we are really doing and how much of it is designed by us and how much bought out is going to be there. What you see when the EBITDA margins are higher or the gross margin more importantly than EBITDA margin will be in products, which is completely designed in-house.

Why is that higher? Because the building blocks, which some of the companies import, even including large corporates outside India, then they build the overall system based on the building blocks which is imported or brought out. Whereas we actually design the building blocks work on our raw material cost and write-off the revenue expenses on the year of development as part of our P&L.

So, when this adds up and we use our own kind of building blocks into end systems, the gross margin goes up. But you need to keep in mind that we have done all the development and there's a cost attached to it. It's actually been written off. If we were to not do that, then the EBITDA margins will probably be much lower. So that is to answer this.

And then generally, we try and address markets based on our strength of products rather than compete in every area where we buy and sell or trade or integrate alone. We do not participate in such contracts. We participate to build IP and those contracts where there are a lot of Indian content -- there are a lot of DP content, that is where we participate. So, largely, the EBITDA margin should be similar to what we've been presenting till date.

Of course, there will be changes because some of the systems, there has to be integrated -- integration happens and like trucks that we brought in and things like that on a system level. In those contracts, the EBITDA margins or the gross margin comes down. And consequently, the EBITDA margin comes down.

I hope I answered your question. It's not a straight answer because the EBITDA margin is a mix of so many things as part of the execution of various kind of contracts we take up.

Amit Dixit : Quite clear, sir. The second question is essentially on exports. Now looking at the current EU India FTA and the possibility of some of the big bang deal happening, particularly on Rafale.

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mean -- and there could be some reciprocal element to it. While I don't want to go into that, the point is that we have made a good foothold in export market now with PAR and all and export revenue is 9.6% in this quarter?

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So just wanted to get a sense on what all products we are kind of seeing a good traction in the export market and how this EU India FTA is going to help us. So, from an overall perspective, from a macro sense, if you can give us some picture on that, sir?

S. Rangarajan : The opportunities are fairly large in the world market today. Earlier, India used to be a low-cost country of sourcing for the world market. And -- but what we have done, what we are doing is actually IP-driven products. So, there's a shift in what we do and what typically is imported, especially in the defence scenario.

But of rate because the spend in the European market is going to go up due to the geopolitical environment, I think there's an opportunity for us, companies like us who have strong IP-driven product development capabilities to participate and address some of the needs where they will be spending.

We need to do a lot more work in the export market, go meet people, talk to them, invite them here. All this has to happen. So, we've already started doing this before the FTA was signed, and there has been some considerable traction with a few companies, and they've shown a lot of interest in what we're doing to see whether this can be deployed or used or modified for their

requirements in their avionics and other areas of operation.

We've started getting RFPs from them. And hopefully, this will all turn out to contracts going ahead. So, we need to -- these are early days. We need to actually do a lot more work in the export market, put a team together and drive the export market on a consistent basis to see that at 2, 3 years down the line, we have a steady business, which can scale.

We have competitive advantages in terms of competencies, which is world-class. Second, our cost of development is far lower than the cost of development in Europe. Third, since everything is done in-house, more than what the large corporates do because they rely on a lot of contracts to do it. We're able to bring an economies of scale and cost to them.

Fourth, the time frame which we can deliver, they are just astonished that we can deliver these things in a time frame which they never imagined is possible. And they like that especially because they have a need and the need has to be addressed and they're not able to actually deliver to their customers for a few years, and we bring in that additional strength to see that deliveries can happen early.

On top of that, we are also willing to co-invest in some of the product development, which can be used worldwide. This is also of interest to them. And since we have raised money and we have money in our kitty, we can co-invest and not just looking at Indian markets, but also world market as we go along.

So, there's a multipronged strategy on exports, which we need to formalize and we are thinking about it, put a team behind it and start this activity probably next year early to see that some traction happens and export is possible. We are also attempting to do some similar things in the US markets.

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Now the trade agreement in the US is also done. The duty structures have come down. So I think we should be able to get some early wins and all this. It will take some time because it will be early wins for where they get used to our culture, our quality process, etcetera, etcetera, because these are all certified programs. And once the confidence comes, I think the scale can happen much faster than what we can do in India.

So, we are seizing the opportunities. We understand it. We

are very excited about the opportunities is happening. And especially fits our kind of development capability we have done about 1,100 engineers, recruiting another 150 this year. So, we are building a competency skill, which will be useful in these areas. Earlier the opportunities were not there. The opportunity is opening up now. I hope we are able to address the opportunities satisfactorily and grow the business.

Moderator: Our next question comes from the line of Hardik Rawat from IIFL Capital. Please go ahead.

Hardik Rawat: Many, many congratulations to the management team on a robust quarter and healthy growth and inflows. Sir, my first question is with regards to the inflows themselves. So, the PPT and the press release mentioned that orders negotiated, which are not awarded as on date stands at about INR11 billion?

Just wanted to understand by when do you expect these orders to be received? And what could be the broader mix between development and production within this? Any large orders that you'd like to highlight, which is the orders that are negotiated?

S. Rangarajan: I think these contracts should happen in the next 1 to 2 months' time because these are only document work which has to be done in time. So, I think next 1 to 2 months' time, we should get converted into contracts. This consists of a large portfolio of products. Some in the development area. But again, like I said in an earlier question, we have taken a contract, which is in the core competency area of Data Patterns.

So, it is more of redesigning what has already been designed for a different application, airborne application. That is one of the larger orders we have got, which is -- which we should be getting a signing. And it's in line with our competencies. That's all I can say at this point. I don't want to get into the exact nature of the contract. I think once the contract comes, we'll be able to discuss more in detail.

Hardik Rawat: Fair enough, sir. And with these orders coming in, we could possibly be looking at an order book of about INR18 billion to INR19 billion whenever they come, which will be very sizable. And like it was mentioned in the PPT, the highest ever for us. What would be the execution cycle, so to speak, for this order book?

S. Rangarajan: Again, it varies. There are service orders as part of the contract, AMCA, etcetera, which will be done over the many years. The order deliveries itself, some can be delivered next year, some year after next, etcetera. Again, it depends on the contract. There are multiple clutch of contracts, which add up to this INR1,800 crores. So very difficult to say exactly.

I've not done the arithmetic to see that. We will be doing it now. But these are not the only orders. We also expect to sign more contracts in the next 2 to 3 months' time, probably another INR500 crores, INR600 crores of contracts, which can get signed. And during the course of next year, we're also looking at a number of single contracts based on what has already been designed and developed, but also is expected.

So, the order book is expected to grow, and we are trying to see whether advanced action on design, advanced action on production can happen so that we can scale the business substantively in the next coming years.

Hardik Rawat: Fair enough, sir. My last question would be with regards to the working capital cycle; you mentioned in your opening remarks that it's been fairly contained. Could you please put a number on that? And in addition to that, our cash on hand is at the lowest in the last eight to nine quarters. Could you also please delve a bit into what kind of receivable cycles you're looking at within that end of this cycle?

S. Rangarajan : Can you repeat the first question? I couldn't understand it.

Hardik Rawat: Yes. Sir, you mentioned that working capital

has been largely contained. If you could put some number to that as to what kind of working capital days you're looking at? And secondly, our cash balance is at one of the lowest levels in the last eight quarters. How are you seeing the situation? And do you expect some large receivables that are sort of materializing in the near future?

S. Rangarajan : I'll answer the second part of the question. Venkata will answer the first part. The debtor situation has been extended, but we are expecting all the cash to come in the next 3 to 4 months' time. And that will again take care of the cash on hand situation you talked about. There are some large development contracts we have taken in the last year and year before last, and they are in the final stage of acceptance to the customers on integration. And once that is done, we expect the money to come in.

These are large value money, which will be coming in, which will recharge our cash battery. So that is going to happen in the next 2, 3 months' time, a maximum of 4 months' time, I think we collect all the money. So, this is one. The other one regarding working capital, I think Venkata will answer this question.

Venkata Subramanian: Yes. See, working capital, it was around 428 days in March. It has come down to -- we have not published the balance sheet numbers for December. But internally, it has come down to 340 days. And we expect it will be remaining at the same level by March end also. But going forward, once all the collections happen, it will improve.

And as we have been mentioning in our earlier calls also, over next probably some three to five years' time, it will gradually come down to 270 to maybe 300 days. That is the working capital cycle that we are expecting in -- it is in line with our expectations only.

Collections on development contracts is getting delayed, but the production contracts, we are able to collect it faster. So, we expect maybe around 270 to 300 days of working capital cycle going forward, sir.

S. Rangarajan : And we also get advance against all these contracts help us. So, the net borrowing from banks is actually zero. We only work on bank guarantees. Non-fund limits is what we're working on. That is also the second point. Third is we obtained very large development contracts last couple of years. And all of them have a very high potential of multiple times getting into production orders, which can be a few thousand crores each.

So, we have selectively participated in programs. So, it will give us long-term gain on a large scale, which is what the company is actually working towards, the whole organization working towards scaling up the technology. So, it's in line with what we're expecting. And the working capital is going to be large, and it is larger than because of development contracts.

Moderator: The next question comes from the line of Dipen Vakil from Phillip Capital. Please go ahead.

Dipen Vakil: Congratulations on a healthy execution. Sir, my first question is relating to the order inflow. So, sir, we usually mentioned that our order pipeline is close to around INR20 billion to INR30 billion in the next 18 to 24 months. And considering that we are looking at a strong order wins in fourth quarter, would you like to update on the order inflow guidance going ahead as well as

to what we are seeing, especially one is overall order inflow and another is on the recurring side of what kind of recurring orders can we expect going ahead?

S. Rangarajan : I won't comment on the recurring orders, but I can comment on the order pipeline. Products we develop now, we can expect another \$2 billion to \$3 billion of order pipeline and capability.

Matter of fact, in a couple of years, I think it should go much beyond that if what we think won't happen. Of course, we have no control over the market

and the timing of when the contracts

come because the government, all my business is government.

But the products we have developed and how it's been appreciated by the customers and the quality and the reliability of the products and the advanced nature of technology, which is deployed in the products, the requirements which we have quoted against and got the development contracts are all large value contracts going ahead and multiple systems are required across India.

So, if this fructifies, our order book situation should scale up multiple X times in the next couple of years or 3 years' time is what we expect. We've been driving the product development activities towards scaling substantive revenues, and we are on track at the present moment. We're still work in process because the orders have not come. The repeat products have been delivered, but we should -- it should -- in our minds, it should turn out to be large contracts going ahead. This is one.

Second is with our initiation into export markets also, we believe that this also should take off and start giving us some -- in a repetitive business you talked about, probably another couple of

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years down the line, both in civil aviation as well as defence equipment. We are working on both sides with a few companies. If we can scale up the number of organization and get the initial dive-ins and initial products inside. I think the next 2, 3 years, we will probably get repetitive business outside India.

Here in India, mostly it's project-based. So, we're not able to predict repetitiveness. Though we get into AMCA program and LCA and some helicopter programs and all of them. There is plagued by delays on deliveries from our ASEAN customers. But our product deliveries also get delayed, acceptance get delayed. But in the mature market, where there is a need, there is a predictable business is what we expect.

Whatever orders we're getting from UK, it's a predictable business. They give you a long-term order, which is monthly deliveries. We want the part portion of our turnover to at least be that so that we can tabularize these, these ups and downs or unpredictability in the market. We would like to do that. Strategically, I think that is necessary. So, we're working on both ends of the spectrum to see that we don't miss out on opportunities in India.

We are also bringing some repetitive business in the hot markets. We're working on both. It takes a bit of time because these are opened out just now to us, and we have to focus -- we've been looking in India all through our life. Now our focus is also shifting to out of India along with the concentration in India. So, we are aware of the opportunities and are aware of how to scale this business and guided by our Board. I think we are on the right track, and we're very excited about the opportunities lying ahead.

Dipen Vakil: Got it, sir. Sir, that's very encouraging. Sir, my second question is on the Brahmos side of it. So, in this year also, major order received, we are looking at missiles from Brahmos. So, is it like a new product? And any update on the seeker trials that were ongoing from Brahmos?

S. Rangarajan : We've completed the seeker trials. We've got a development contract with marginal differences, which go into production orders. We'll be delivering it in the next 1 or 2 months' time ahead of schedule. And I think we've done a good job in the product development. It's a reliable product.

Once that is done, we expect Brahmos to give us -- start getting the production orders.

We've also gone ahead and ordered the equipment for production testing. So that will be arriving in the next 3, 4 months. So, we can set up a line for series production with month-to-month deliveries will happen starting '26, '27. And this is one area we have done.

Second is on other than Brahmos

So, we've also done a missile-to-missile higher band seeker. That

is also in the advanced stage of delivery, development and delivery. We expect some repeat contracts there. We want to focus on this kind of seeker capabilities with other OEMs to see whether we can use this for other OEMs or modify it for other requirements also.

So, seeker should start -- we can't put a time line. But what we hear is it should start by this year onwards, this calendar year, that is financial year '26-'27, we should start getting production orders.

Dipen Vakil: Got it, sir. Sir, congratulations on the Brahmos order. It was a long-awaited one. I'll fall back on the queue for further questions. Thank you and all the best.

Moderator: The next question comes from the line of Shirom Kapur from Jefferies Group. Please go ahead.

Shirom Kapur: I just want to ask on your order flow. So, last quarter, you mentioned in your press release that you had about INR550 crores worth of orders negotiated, but yet to be received. This quarter, our order flow was about INR240 crores. So -- and you've also mentioned you have about INR1,100 crores worth of orders negotiated and completed. So, just wondering, INR300 crores from that last quarter's number has spilled over and as part of the negotiated orders? And that's first clarification. Could you give that?

S. Rangarajan: Actually, I've not done this calculation the way you're asking. Maybe you can write to Go India and we can write back to you. I'll do the -- let me look at the order what I told last quarter and this quarter and see whether there's an overlap or already it's been received. Let me do this exercise and get back to you.

Shirom Kapur: Sure. No problem. And just on the time lines of these orders, so you mentioned INR1,100 crores you're expecting this in the next 1, 2 months. And the other -- in your presentation, you've also mentioned another INR500 crores on top of this, right, which could also come this quarter. So, are we expecting around INR1,600 crores worth of orders this quarter itself? Or could some spill over to next year? Just wondering on time lines?

S. Rangarajan: It should happen this quarter.

Moderator: The next question comes from the line of Aman Soni from Nvest Analytics Advisory LLP. Please go ahead.

Aman Soni: Sir, most of my questions are answered. Just one clarification on this industry-wide shipbuilding capex happening over the next few years. So how does management assess the addressable opportunity here? Like any of our product categories falling into that opportunity, sir?

S. Rangarajan: We've not actually addressed the shipbuilding as such. We work on equipment, and we've not done any development on the platform management system or things like that bridge management system. So many other things on the ship. They've been -- traditionally, they have been importing and there are companies who actually focused on it for many years.

We've been actually working on sensors quite a lot. and we've not done so much work on that.

What we are trying to do is almost upgrades for Navy. We're trying to offer our electronic offer suites, some of the radars, etcetera, and see whether those opportunities can be addressed.

Presently, we are engaged in this kind of line of things. We have not actually looked at new shipbuildings.

We have, of course, made some offers, but we've not got the contracts though we're lower scored, for example, in TACAN and something which goes into ships, tactical air navigation systems,

things like that. We have products for these kinds of things. We have not yet got orders. So, we may probably have to pursue such contracts. But at the present moment, we don't have anything which we can say is going to give us a regular return.

Aman Soni: Understood, sir. And secondly, on the export part, you are very bullish on export as export will provide better revenue visibility as well as you mentioned to one of the participants. So, going ahead, like currently, it is 9%, 10% of our revenue in this quarter. Over the years, how much percentage of exports do you expect to the overall top line?

S. Rangarajan: Very difficult to answer this question presently. What's happening is our Indian revenue model is increasing year-to-year, and there going to be substantial increase is going to happen in the next 2, 3 years' time. So, I don't think the export will keep in pace with that kind of increased revenue in the domestic markets. The focus is in Indian domestic markets.

But we do, over a period of time, maybe 3 years down the line, we will have to build an export business, which is sizable. Then we can talk about numbers, which is meaningful. Today, it's very difficult to talk about this.

But to answer the other question on the shipbuilding, shipbuilding not there, we're also working with some foreign companies to see whether we can do Indian content for modernization of gun control, radars, IRST, that is, infrared search and track, etcetera, which are modern sensors and fighting equipment necessary and our ships have got old equipment and the requirement to modernize these kinds of ships.

The advantage is that if you get in, of course, it takes time to prove the system on the ship and then get the inquiries and it's a two-year kind of time frame or maybe more. Once you get in, there will be a number of ships which needs upgradation that give you a regular business year-on-year. So, we're working on some kind of programs like this where a lot of Indian IP is there, but we don't have all the applications in various areas for which we get partners.

The application orientation they have, we will use to manufacture in India, but the main part will be designed by us in India. So, the IP content is still retained. And that will be based on our core competency already developed. So, we are addressing the market in different ways. I have not projected all this. These are all potential business, but not projected because we are not sure when it will happen or the size of business will happen, we're not sure.

But like this, we are attempting a number of programs, which can come out of a core competency, which is being product competence built by us and can be used in various kinds of platforms. That is why in the opening remarks, I said we are not platform specific. We can do a number of platforms.

The capabilities are IP generated can go to very many platforms. We have to go through the end, go through the process certifications, qualification, install the systems and see where it goes to bring in scale, which is what we want.

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Aman Soni: Got it, sir. And one last thing.

Moderator: I'm sorry to interrupt, Aman. Those were your two questions. I request you to fall back into the queue. Thank you. The next question comes from the line of Jyoti Gupta from Nirmal Bang Securities.

Jyoti Gupta : It is not Jyoti Gaur, it's Jyoti Gupta. Good morning, sir. Thank you for the opportunity. I wish you swift recovery and great health. And great set of numbers. One, just wanted to ask this sudden increase in your revenue, any specific orders that have been delivered, if you can elaborate? And second is, what is the status on fire control radars? Do you expect any orders coming through in the next couple of quarters? Or what is the status that you anticipate in the future?

S. Rangarajan : Answer your first question, it's not sudden orders. There have been delays in getting the orders. It's got delayed very badly. We expect it to happen much earlier because of some process, which got delayed, launched up now. So, we -- it's not nothing sudden.

den. It all started work 2 years back

for all these contracts. We suddenly we don't get orders like this because it's -- so this is not sudden. Second is the flight control radars are still in development stage.

It's going to take some time before this can realize order potential. So, we've taken money for QIP money to invest in large development activities, which can give business of around INR15,000 crores to INR20,000 crores of potential revenue. One is the flight control radar. Second is the modern EW suite, which includes the jammer's PODs and the radar warning receiver and other subsystems. All of this are considerably designed by us.

Matter of fact, as we speak, the users are in our office actually testing some of the products, we're demonstrating the products, which has already been designed. So, these are all on track, but it will take time. But what happens is, when we're talking about order book, which requirements more than INR10,000 crores. That is why the development cycles are also going to be long, but we have to certify it in the air, putting it in a Sukhoi -30 etc., etc.

So, this will all happen over the next 2, 3 years' time. But in the next 2, 3 years, we have to continue with what we're doing, see the order book scales, the revenue scales and we meet market expectations and our own ambitions to be a large corporate. So this is the path in which you're going. You're building products for maybe four, five years down the line, which will come into large orders. So, we have a medium-term, short-term kind of targets and a medium-term target and a long-term target.

We're trying to see how to address all of them based on and build products. The important thing is build products. India is bereft of products because we always importing products. So, we want to build products in India, increase the total addressable market and then compete. There's no point in my saying INR3 lakh crores is going to be spent in India on defence capex because we cannot address those INR3 lakh crores.

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So, we have to look at more what is addressable by us and the addressable market has to be increased so that we have a percentage game in this, which can be competitive , capability, etcetera , etcetera , whatever we need to do, how to address the market. And be ahead that we head a modern worldwide systems -- so the attempt is to try to increase our TAM, and that's what we're trying to do with products.

But if we need products, which is world -class and highly reliable. So , the focus is developing such products and is to radar on such products. We're also seeing that with the international companies coming in, they are also excited with some of the products we're doing. And they also have some comparisons .

So, we look at their upsell and upgrade programs also , and redesign the products already designed by us for India suit the end customer requirements. That also we are on the job, which is also on the same core competencies, we build multiple solutions, which can also help us reduce risk and also give a repeatable business going ahead.

Moderator: The next question comes from the line of Sucrit Patil from Eyesight Fintrade. Please go ahead.

Sucrit Patil: My first question is, looking ahead, how do you see Data Patterns balancing between expanding its order book, ensuring timely execution of defence projects and maintaining profitability. As the defence electronics space evolves with newer opportunities and customer requirements, what will guide your decision -making process on where to place the strongest focus in the coming years? That's my first question. I'll ask my second question after this. Thank you.

S. Rangarajan : It's a bit not very clear question. Can you put it in fewer words , so that I can answer the question . Because you talked about defence and modern

electronics and reliability and all that. This is what we're doing already, but I don't understand ...

Sucrit Patil: Yes. I'll just rephrase it. I want to understand how you decide where -- I want to understand how do you decide when growth through new orders should be in the top of the list or when execution , discipline or margin protection becomes more important. Basically, what is the thought process behind shifting focus as the conditions change?

S. Rangarajan : We are very clear about contracts which we pursue. We want to build a profitable company. We are not going to be going after revenue business. It has to be a bottom line -driven business. We're very, very clear about it. We've always been doing that. It has to be IP driven. It has to differentiate, and it has to allow us to build more products because without bottom line, we won't have the money to build additional product and scale the company.

Yes, it's a longer, harder work. There is no easy way to it. But over the past 30 -odd years, we've been doing that. And now that the foundations are built and deep skills and product capability has been built within the company and infrastructure built, we don't see why we should change this to suddenly go into revenue business model and see that growth happens for revenue business at the cost of bottom line. We think that is not the right thing to do, especially for the DNA of our company. This is one.

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Second is the opportunity in India is scaling up substantively. And that scale -up is happening and looking at Make in India as a mandatory requirement. I think it supports the way we have been thinking about Make in India. Matter of fact, the last 20 -odd years, if you come to your office and exhibitions of ours, we always -- bottom line made it in India with pride.

So, we take pride on our products. So , because we take pride in our products, it's a reflection of what we are. We believe it has to be world -class. It has to be reliable. It has to be standard. So , we try to attempt quality standards to that extent and go by it. We continue to go with the same DNA and our approach. We're not going to change that approach. And this approach is going to give us huge benefits going ahead.

So how do I scale the business ? It is going to be only bottom line. We quote or invest in products where there is large market available and the gaps are there. in the scenario of Indian markets, there are gaps which is filled by others and probably filled by foreign company OEMs, international OEMs.

We try to address those gaps and try to replace those gaps with Indian products at a much lower cost and also see that we have it customized to the customer requirements much faster ahead of time and the support, which is going to be obviously much, much better designed and made in India. We give you long -term support, and we invest ahead to see that the products are available when the customer requires.

Yes, we take a risk for doing such things. But we want to differentiate ourselves from others. We build the products, and we are incrementally building the products with core IPs. So our risk in that way is also protected or not very high. So, this is our DNA, and this is how we want to continue to do business.

And I think that we have the right TAM at the right place, not only for Indian context, but also international context. So, we don't have exposure to international business. We will make attempts to see that our presence is there and we start slowly scaling to international business also. But the Indian focus is going to be the way we are. I think the scale is going to happen by itself, and we are in the right track with the right products, and I think scale will happen.

Moderator: The next question comes from the line of Santhosh from ithoughtPMS. Please go ahead.

Santhosh: Congratulations to

a great set of numbers. I just have a couple of questions. You did mention the TAM of about INR15,000 crores to INR20,000 crores. What is the TAM from that? And where do you see those orders flow in terms of timelines?

S. Rangarajan: I didn't understand the first part. The second part, time lines is probably another three to five years. What is the first part?

Santhosh: Okay. So, what you mentioned the TAM is INR15,000 crores to INR20,000 crores. And what is the serviceable addressable market from that?

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S. Rangarajan: When I say addressable market, TAM is addressable market INR15,000 crores to INR20,000 crores or much beyond that. If you take variants of what we develop for other programs outside India, it will probably go more than INR20,000 crores. So that's the reason we're putting deep money and the larger development cycles seems that we address the market with a product which is not available in India.

Moderator: The next question comes from the line of Vikas Desai from Serene Alpha Analytics LLP. Please go ahead.

Vikas Desai: I want to understand from you, although you addressed this question related to this to the earlier participants. On the current competitive landscape, particularly on our product category, I am seeing many players are now speaking about radar and EW space spending on the R&D and the product development?

I agree that we are ahead in this journey. But going ahead, if the competitive intensity drives and ultimately, it is a tender-driven business. So how do you see in the terms of protecting our margins in the medium to long-term, sir?

S. Rangarajan: We need to differentiate ourselves from competition. That's the only way we will get differential treatment. That's one. Second is though there are a number of companies talking radars and EW and all that. We are not developing all the portions of the radars. There still has to be a collaboration or a number of companies have to do these parts to build a system.

That also makes it more complex to build a complete system and offer as a system without contract. It has to be more as to tender driven and component or subsystem driven where they become lowest quote in each of the subsystems and then try to get the parts. That doesn't give you a flavour and a competency to build the entire system.

We went through this exercise about 15, 18 years back and decided that this is not going to scale the business. So, we need to build IP and build all parts of the system. So, it's taken us time to build it to get reliability and build a competency. So, we are now here with what we are. Yes, competition is nimble and capable and they will catch up or we will probably be even better than us. But we need to see what the landscape is and how we're doing it and address the landscape and see what we're doing there.

But we want to get the early buy-ins. Once early buy-ins come, a number of years, the contract is protected. So, we will look at opportunities like this, get an early buy-in and see how we remain ahead of the game. This is what we need to do. We have to be watchful, build competencies, which is differentiated and address the customer requirements better than others and be competitive.

So, coming on to the bottom line, the bottom line is the last portion which I look at today because I can compete in almost all contracts in DRDO today. We can do everything in electronics what DRDO wants. So, we don't do this because for the exact reason what you said, there are a number of other competitors and subsystem vendors who want to go for their business to get a handle in

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those areas. We don't want to prove ourselves again and get a handle and go the path and put our efficiencies and our bandwidth in such programs. I'd rather focus

on bandwidth and build end

products can scale substantively going ahead.

So, we differentiate the contracts. We choose contracts what we want to build on and try to go after contracts which we think we want to do and be competitive there. So, it's a question of strategy, how we want to scale the business. And we are clear about what we want to do and look at opportunities individually, look at whether it is going to be strategic to our thought process of growth or it is going to be one of those systems where we will be only L1 to keep our engineers engaged.

We don't want to keep our engineers engaged at this moment. They are all engaged. They will be working 7 days a week. So, we will differentiate based on the nature of tenders/opportunities. In the meantime, we'll build without tenders, we'll build our own products, be ready for future orders as and when it happens. We believe it will happen.

Moderator: The next question comes from the line of Aman Vij from Astute Investment Management.

Aman Vij: Yes, sir. So, my question was on the seeker side. So, when we talk about INR1,500 Crore kind of order expected in next Quarter, we are not including the seeker production orders, right? That production order will be after that, that is one clarification I want. And the question is also on the...

Moderator: I am sorry to interrupt. Aman, you are not quite audible. If you could change your location.

Aman Vij: Yes. Is this better?

Moderator: Much better. Go ahead.

Aman Vij: Yes. So, my question was on the seeker business. So, when we talk about 15 billion kinds of order inflow for quarter 4, we are not including the seeker production orders. Is the understanding correct? That is the clarification I want.

And the question is also on the production line we are setting up. So, you talked about other than Brahmos also, we are looking at other seekers. So, we are setting up like maybe 15, 20 seekers a month line or smaller or a bigger line? That is on the seeker side question, sir.

And one final question on Sukhoi upgrade also. So given we are doing pods and other things.

So, is it safe to assume, including everything, it's like maybe a INR300 crores per plane opportunity for us? These are the two questions.

S. Rangarajan: The seeker business production order is not included in the next few months order book. So that is not included point -- question number one. Question number two is there is no requirement for 20 seeker a month on the recent contracts. We won't put infrastructure to do that. We have infrastructure plan to address customer requirements and deliver ahead.

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But as and when the requirements go up, we can scale up our infrastructure quite quickly since everything is designed by us, even the test equipment is designed by us, we can have -- anything can be scaled up quite quickly. And we have the infrastructure done. We're also putting up additional factory, which is going to come up in the next one to 2 years' time with a large space available for production as well as design.

So, we are continuously investing in infrastructure. capex to see that we are ahead of the game, delivering ahead of the game, so that we continuously doing. This is the first part of the seeker business, which you talked about.

And the second part you talked about is Sukhoi -30 upgrades. I don't think at the present moment, we're looking at INR300 crores because see, these are upgrade programs and there's no contracts. We're actually going -- building the products, going to certifications and immediately directly on 100 kind of seekers, 250 seeker, 250 Sukhoi -30s. I don't expect government to place orders for all of them one shot at INR300 crores per aircraft to an organization like ours.

So, initial contracts, which has come to HAL is about 84 aircraft and the value is anyway publish

ed. We're trying to see whether some part of it can be done with pods and what you talked about. And as and when our content on the things go up because it's not very simple to get content on aircraft because we are a private sector and information on HAL would like to do a lot of themselves. But it's going to be very difficult to get their content as we go up.

So, we are taking an opportunity where gaps are available, address the gaps. And we see when the confidence of the user builds up, we can get more content, then increase our scale for aircraft. This is what we're doing. Other than that, pods, separate inquiries are going to come for 100 pods, etcetera, sets.

So that is separately also happening other than the 84 is cleared for HAL. So, we look at opportunities and then we'll be able to say what kind of numbers we can put inside. Present moment, it's definitely not INR300 crores.

Moderator: The next question comes from the line of Jayakanth Kasthuri from Bandhan Alternates. Please go ahead.

Jayakanth Kasthuri: Good set of numbers. Sir, I remember in -- just a while back, you talked about the civilian side, especially with now that we have seen news coming in from HAL, now apart from the fighter aircraft, they are now considering on the civilian side of the aircraft. So, what kind of opportunities do you see in that -- in terms of some electronic products? And what is the kind of addressable market do you see in coming 2 to 3 years?

S. Rangarajan: It's very early stage, Jayakanth. We can't comment on it now. We're exploring opportunities and trying to work with one or two OEMs to see whether we can do some products for them. It will take some more time, maybe a 1 or 2 years or 3 years, 4 years before a predictable revenue model can be told to the market and investors. These are all exploratory kind of business that you're doing.

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The intent is to get into civil markets because volumes are much, much larger than defence, and it's a month-on-month capability. And once we bring in the requirements, scaling can happen quite quickly in a very large scale because the numbers are very, very large. And also cash flows are very different. So, as part of business initiative, it is necessarily a mandatory to see that we scale in these areas. So, we are doing some exploratory work in this, but not to give you any data at the present moment.

Moderator: The next question comes from the line of Vishal Seth, an Individual Investor. Please go ahead.

Vishal Seth: This is regarding the Uttam AESA radar, which is developed by LRDE. My question is whether this Uttam AESA radar has data pattern's role to play in it? And is it a competing product or a complementary one to our existing product line?

S. Rangarajan: At the present moment, what Uttam you're talking about, we don't have a role to play in that. So, it's a very similar product we have designed. And we're looking at partnership with DRDO or LRDE to see whether we work with our radar as against working only Uttam as a second alternative.

We don't know how it goes. If it doesn't happen, we go alone and try to build the radar directly for airports. Both options are open. It depends on how the alignments take place. But presently, we don't do anything in Uttam.

Moderator: The next question comes from the line of Nishant Chowhan from Geojit Financial Services. Please go ahead.

Nishant Chowhan: Earlier, you mentioned something about AMCA that we've been shortlisted for the next round. So sir, any time lines to watch in terms of what happens next and how far are we from the prototyping stage and everything? And related question would be, should one completely ignore the scope of HAL to this program as of now?

S. Rangarajan: This is what is published I'm talking about. I'm as knowledgeable as you are because they have not told

us anything. Maybe Bharat Forge will know a bit more than us. But regarding HAL participant, I think they've not been selected, down selected to the three to receive RFP what I hear.

Regarding timelines, what ADA is saying is 3 to 6 months, the contract will get placed. We have to go by what they say. I have no inside information to say anything different. And then the program is on, whoever gets the contract, program is on. The details of the program, the RFP details is not yet published. So, we are not at liberty to say anything as a present, even if they are published, we'll be signing an NDA, so I won't be able to talk about it.

Moderator: The next question comes from the line of Akshay Jogani from Xponent Tribe. Please go ahead.

Akshay Jogani: Congratulations on a great set of numbers. Sir, I wanted to continue on the Brahmos seeker. Every year what we hear from the, what we see on the internet is that we make about 100 -odd

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missiles and we increase the capacity to 150. Assuming that we are -- we increase the capacity, the seeker requirement would then also be 150?

What is our sense of the share of wallet that we get? Do we think we can get all of the 150 to make in the -- as we get the production orders? Or do we think it will be like half of it? And hence, what is the kind of capacity you are currently working with that you want to add?

S. Rangarajan: I'm not -- first, I don't have knowledge on how many of the missile actually get fitted with seekers. That based on the contract from customer to Brahmos. And we are not privy to such information. What I can say is the inquiry comes to us, what the order comes to us, we can only

talk about it. And here, say on the scale.

What I hear is that the requirements are large because it's successful missile and they are planning to buy more of them and some more are being exported also. So, we need to go with whatever they say, and I have to go with what RFP I get and contract I get. I can't talk about work share between us and somebody else because I don't have any idea really what it is. We will be able to tell you what we get orders. And what we hear is that the requirements are large. That's the present extent of my knowledge.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that would be the last question for today. I would now like to hand the conference over to the management for their closing remarks.

S. Rangarajan : Thank you all. Thank you for tuning in for the Q3 9-month presentation call with investors. As we've been saying during the question-and-answer session also, we are very committed to building scale in this business. The requirements are large. The government is giving us a lot of opportunities. And largely, India is still importing very major sensors and technology products and systems.

We want to address that portion of the business and see what is it we can do in India and how the IP can be more and the Indian content can be more. Our government also says that a large portion of this is to be made Indian made. So that will also entice us to see that we invest more. Obviously, investment and development will happen when the contracts happen business happens.

I'm happy to say that the business, whatever we designed in the last couple of years, coming -- getting into the end stage where we expect some very large contracts to happen in the next 1 to 2 years' time, which can rapidly scale up the company's business. Once we do that, I think we'll be in a different scale to probably address larger markets as we go ahead. We're also looking at not just India, like I said, we also look at export, and we give a 3 - to 5-year kind of horizon to see how to scale that business model and go.

The third portion is also building Indian ecosystem with the large defence contractors in India to see

whether partnerships can be done forged. It's not easy, but we're going to make an attempt. We've started with Bharat Forge. Let us see what we get out of this. It's all, of course, long-term,

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it's not going to be short term. But any development in defence is a long-term program. But this will build the foundation to scale up later.

As far as the short and medium term, I think the order book is scaling up very nicely. We will scale up the order book in the coming year also, which will also give us that whatever projection we want to do multiplex the turnover, which we did last year for this year, we should be able to start doing in the next 3 years' time. So, this, we will work on and look at other opportunity how to scale the business to be a large corporate in the next 5 to 7 years. That is our ambition and vision.

And this all will come out of internally developed and also with partnerships, but a lot of IP being done within Data Patterns. We are building the skill sets in terms of people capabilities. We're also building infrastructure and investing in infrastructure to see that we address these opportunities as and when it happens and be ahead of the game as far as possible.

So, we are -- and we are trying to get into also this revenue model on a quarterly basis, a repeat revenue model to give that ups and downs to reduce the up and down of project model. We're trying to see what is the best way to do this and looking at various opportunities and strategize to see what is it we need to design on. It's a bit tougher, but we want to go in the direction also to see the smoothing cash flows and things like that and get an order book.

So, we are attempting to do a whole lot of things. We are happy to say that this is all panning out the way we want. There has been some delays. But anyway, that's part of the problem with government-driven orders. We know they're going to be. So, we need to have a bouquet of products to see that the areas are not affecting our scaling ambitions and revenue growth as we plan to be.

We want to be IP-driven business, as I keep telling you, not to be a top line business. We continue to strive to be an IP-driven business. And we're looking at other opportunities like anti-drone systems. We have a product now designed for anti-drone, both passive as well as active anti-drone as well as jamming. So, we build some products out of whatever existing products, waiting to see whether we reposition these products or end applications can be large. So, we're doing a lot of good things.

I hope that all this what we've done finally goes into contract. I believe there's a need to the market. I think we are in the right direction. We're very, very enthusiastic and committed to what we're doing and excited with the opportunities that is happening. And that's -- I think we're going

ahead, we will build a scale as we go along is what we think presently.

Anyway, thank you very much for listening in, asking the questions. Please, if you have anything further, please write to Go India, and we will respond to your questions one-on-one. Thank you very much again.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Go India Advisors, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

SEC/SE/ 018/202 6-27
Chennai, May 2 2, 2026

To
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra(E),
Mumbai – 400051
NSE Symbol - DATAPATTNS To
BSE Limited
25th Floor, P.J. Towers,
Dalal Street,
Mumbai – 400 001
Company Code: 543428

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Earnings Conference Call

Dear Sir/ Madam,

Further to our earlier letter no. SEC/SE/ 010/2026 -27 dated May 1 2, 2026 intimating the schedule of Earning Conference call on the financial results for the quarter and year ended March 31, 2026 , please find enclosed herewith the transcript of the Earnings Conference Call held on Friday, May 15 , 2026 at 10:30 A.M. IST.

The transcript of the earnings call is also available on the website of the company.

We request you to take the above record and oblige.

Thanking You.

For Data Patterns (India) Limited

Prakash R
Company Secretary and Compliance Officer
Membership No. F13620

Encl: As above

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“Data Patterns (India) Limited
Q4 FY26 Earnings Conference Call ”
May 15, 2026

MANAGEMENT : MR. S. RANGARAJAN – CHAIRMAN & MANAGING
DIRECTOR – DATA PATTERNS (INDIA) LIMITED
MR. VENKATA SUBRAMANIAN – CHIEF FINANCIAL
OFFICER – DATA PATTERNS (INDIA) LIMITED

MODERATOR : MS. PRAYASI PATEL – GO INDIA ADVISORS

Data Patterns (India) Limited
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Moderator: Ladies and gentlemen, good day, and welcome to Data Patterns (India) Limited Q4 FY26 Earnings Conference Call hosted by Go India Advisors LLP. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Prayasi Patel from Go India Advisors. Thank you, and over to you, ma'am.

Prayasi Patel: Thank you. Good morning, everyone, and welcome to Data Patterns (India) Limited call to discuss the quarter four and FY26 earnings call. We have the senior management of the company on call Mr. S. Rangarajan, Chairman and Managing Director; and Mr. Venkata Subramanian, Chief Financial Officer.

We must remind you that the discussion on today's call may include certain forward -looking statements and must be therefore viewed in conjunction with the risks that the company may face. May I now request Mr. Rangarajan sir to take us through the company's business outlook and financial highlights, subsequent to which we will open the floor for Q&A. Thank you, and over to you, sir.

S. Rangarajan: Thank you, Prayasi. Good morning, ladies and gentlemen, and a very warm welcome to all of you to the quarter four and full year FY26 Earnings Call of Data Patterns (India) Limited. We sincerely appreciate your continued trust, support and participation . I hope all of you had the opportunity to review our earnings presentation, which has been uploaded on the Stock Exchanges and our company website.

Before Venkat takes you through the financial performance in detail, I would like to briefly share some key business and operational highlights for the year. FY26 has been a significant year for Data Patterns, marked by strong execution, healthy order inflows, continued capability expansion and increasing participation across strategic indigenous defence programs.

During the year, we continue to strengthen our position across radars, electronic warfare systems, avionics, communication systems and strategic defence electronics, supported by our strong in -house design and engineering capabilities built over nearly 3 decades.

One of the key highlights of the year has been a strong momentum in order inflows, during FY26, the company recorded order inflows of approximately INR1,121 crores, increase of 216% year-on-year, reflecting healthy demand across multiple defence and aerospace programs. The order inflows were well diversified across radar systems, avionics, electronic warfare, services and strategic electronics applications, demonstrating increasing customer confidence in our technological capabilities and execution track record.

The order book as on date stands at approximately INR2,062 crores, including orders negotiated, which provides a strong revenue visibility over the coming years. In addition, we continue to see a healthy pipeline of opportunities across radar systems, electronic warfare and advanced Data Patterns (India) Limited

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defence electronics. Other than the order book, additional single vendor contracts based on already supplied products, which can fructify into contract this financial year stands at INR1,900 crores.

Further, based on previous delivery and performance of strategic system supplies, our customers would like to place further contracts on such programs leading to significant order book accretion , we should get visibility for these contracts, including timelines during the year.

Our earlier investments made towards realizing EW suites , including self -protection Jammer Pods for Indian fighter aircrafts have been

en well received by IAF, and we are poised to take the next steps for flight testing. This will lead to revenue during the medium term. The opportunities being addressed by Data Patterns with in-house developed large systems already delivered to customers has immediate requirement to address strategic space-based surveillance and mitigation, allowing Data Patterns to substantially increase revenue in the coming years towards building an order book of at least 3 years revenue, ensuring predictable growth.

We are entering into an exciting phase in India with the defence and aerospace industry set to grow substantially to reduce reliance on imports, especially in this geopolitical situation. Further, with the advance of AI in all phases of our business, Data Patterns has leapfrogged into absorption of AI for processes as well as technology and products.

This will allow Data Patterns to introduce new world-class products quickly to address the yawning gap on Indian capabilities and products, necessitating imports and reliance on foreign OEMs to meet our critical defence needs. We've also repositioned some of our products to address the growing requirement of drone detection, spoofing and jamming with both radars and ESM products.

These are in advanced stage of development and expect to bring in additional revenue in the medium term. We are investing in expanding our product development across radars for airborne platforms, including surveillance and fire control, including maritime applications, which were hitherto the domain of Indian development agencies and foreign OEMs. We expect these to bring in revenue over the next few years and also allow exports of complete products.

Our export business also continued to progress steadily during the year. The export order book as on date stands at approximately INR53 crores, and exports remain an important strategic pillar of our long-term growth road map. We are actively engaging with customers in Europe and other international markets while strengthening our export-oriented marketing and business development initiatives.

We continue to execute repeat business from U.K. and expect export momentum to improve meaningfully as our complete system capabilities mature further. We believe that our revenue from exports will increase starting this year as most countries are increasing their spend on defence given the present geopolitical situation. We believe that the products and capabilities offered by Data Patterns will allow even Western countries to procure from Data Patterns, Data Patterns (India) Limited
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leveraging our capabilities and much shorter time frames, delivery time frames meeting the requirement.

During the year 24 - 25, we also achieved an important milestone with the successful development and export of Transportable Precision Approach Radars to European country, including successful site acceptance testing. This reflects not only our technology capabilities, but also the growing acceptance of Indian defence systems and engineering expertise in international markets. We're also getting additional inquiries for these products from various countries.

We believe the global defence industry is entering a multi-decade investment cycle driven by rising geopolitical uncertainties, accelerated modernization programs and increasing focus on self-reliance in defence manufacturing. Advanced electronics, radar systems, electronic warfare and intelligent surveillance capabilities are becoming central to modern defence preparedness globally.

This creates a significant long-term opportunity for India's indigenous defence ecosystem with a strong in-house design capabilities, advanced engineering expertise and proven execution track record, Data Patterns is well positioned to capitalize on this opportunity.

Coming to our financial performance. FY26 has been another

strong year for the company.

Revenue of FY26 grew by 31% year-on-year to INR925 crores, while EBITDA increased by 35% year-on-year to INR371 crores. Looking ahead, the outlook for the Indian defence sector remains extremely strong. We remain committed to delivering sustainable and profitable growth while continuing to invest in future technologies, strengthening our complete systems portfolio and maintaining a strong balance sheet.

We continue to target revenue growth of around 20%, 25% over the short term while maintaining healthy EBITDA margins of 38% to 40% and preserving our net cash status. Most importantly, beyond financial performance, we remain deeply committed to contribute towards India's journey of technological self-reliance and strategic defence capability development.

With that, I would now like to hand over the floor to our CFO, Mr. Venkata Subramanian, to take you through the financial performance in greater detail.

Venkata Subramanian: Thank you, sir. Good morning, ladies and gentlemen, and thank you all for joining us today. We are pleased to report another strong year of operational and financial performance for Data Patterns. FY26 reflects the continued strength of our execution capabilities, resilient business

model and increasing demand across strategic defence and aerospace programs. Let me take you through the key financial highlights for the quarter and full year FY25 - 26. Revenue from operations for FY26 stood at INR925 crores as compared to INR708 crores in FY25, registering a healthy growth of 31% year -on-year. Gross profit for the year increased by 35% year -on-year to INR585 crores due to increase in revenue and favorable product mix, while gross margins improved to 63 percentage compared to 61 percentage in FY25.

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EBITDA for FY26 stood at INR371 crores as against INR275 crores in the previous year, reflecting a growth of 35% year -on-year. EBITDA margins improved to 40% supported by operational efficiencies and improved absorption of the fixed costs. Profit after tax for FY26 stood at INR271 crores, registering a growth of 22% year -on-year, while PAT margin remains healthy at 29%.

Coming to the quarterly performance, Q4 '26 revenue stood at INR345 crores, while the revenue was lower by minus 13% year -on-year due to timing of execution of certain programs, revenue nearly doubled sequentially with a growth of 99 percentage quarter -on-quarter, reflecting strong execution momentum during the quarter.

Pertinent to also note that share of fourth quarter revenue was 37% in FY26 as against 55% in FY25. Gross margin for Q4 FY26 improved significantly to 73% as compared to 49% in Q4 of last year. EBITDA for the quarter stood at INR193 crores with EBITDA margins at 56%, while PAT for the quarter stood at INR139 crores with PAT margin of 40 percentage.

From a working capital perspective, we continue to see improvement in operational efficiency during FY26. Our cash conversion cycle improved meaningfully to 365 days in FY26 from 428 days in FY25, reflecting strong execution, better inventory management and continuous focus on disciplined working capital control.

As of March 2026, our order book stood at approximately INR926 crores while including negotiated and expected orders, the order book pipeline remained strong at around INR2,062 crores. Our order book continues to remain diversified across radar systems, avionics, electronic warfare, communication systems and strategic electronic applications.

The company continues to maintain a strong balance sheet and remains a debt -free company. We believe our healthy liquidity position and disciplined capital allocation strategy provides us with the flexibility to continue investing in R&D, infrastructure, advanced technologies and manufacturing capabilities.

Going forward, we remain optimistic about the

long -term opportunities in the domestic and international defence sector and continue to focus on execution, operational efficiency, technology development and profitable growth.

With that, we would like to open the floor for questions and answers. Thank you.

Moderator: We will take our first question from the line of Dipen Vakil from Phillip Capital India.

Dipen Vakil: Congratulations on a great EBITDA margin and surpassing the revenue and guidance for the year. Sir, my first question is on the lines of your margin profile itself. So, you have told us that you have told -- so this quarter, you had some great EBITDA margin, so can you help us understand as to what is the -- which product mix has led to such strong EBITDA margin and out of those order book, what kind of EBITDA margins can we expect going ahead?

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S. Rangarajan: You see we have a differentiated product line. The margins for Q2 were much lesser because, as I earlier explained in the call also, there is a strategic program where we've taken a contract at a lower cost and lower margin, but it's helped us build us a capability to build a complete system and also the program management office, which is necessary other than also demonstrating mechanical capabilities, which is not when we talk about an electronics company. So, these are the takeaways from this contract and also our commitment that this will also lead to future contracts.

So, we take some contracts with lower margin consciously to ensure that we build our capability, product capability and also give you -- allows us future expansion. So that is the reason last year quarter, quarter -to-quarter differences were there. And though there's an increase in revenue in quarter two and overall revenue has been as per guidance, slightly better than guidance. And the rest of the margin which you talk about is that is normally where our complete product development is done in -house. Where all the IP is created in -house, we don't import anything and integrate.

So, this is in nature of exactly what we normally do. And since there is no bought-out in those last quarter revenue. And it is all our own full systems, which has been developed by us was sold, the margin profile was different. So, you need to look at not -- you can't give a direct guidance on contract to contract, how it will go in terms of EBITDA or margin because this is the overall business cycle.

There are many many products, and we take some products at different kinds of pricing based on our, one, ability to absorb it, two, to see how the future business is going to look at and the business prospects we take a call on that and take a decision where to make an offer, how to quote it.

This is what we have done. And now that the opportunities are much larger and becoming much, much larger, we need to build a capability upgrade in our company to address larger opportunities going forward. I think I've answered your question. Is there anything else, please ask again?

Dipen Vakil: Yes, sir. Sir, that was very much clear. So just another thing on that. So, you mentioned that you have currently INR2,000 crores of order book of which roughly INR1,000 crores already in the books and INR1,000 crores expected. So, any time line on that as to when we can expect finalization of those INR1,000 crores where negotiations are completed?

S. Rangarajan: I think in the next 1 to 2 months' time, we should expect the contracts to happen. Unless, of course, there is some -- see these are all government customers. So, I can't predict for them. But our feeling is that it should happen in the next 1 to 2 months time.

Dipen Vakil: And over and above that, we are expecting orders to the tune of INR15 billion to INR20 billion for FY27?

S. Rangarajan: Yes. See, what has happened is we have developed products earlier. And those

products during

the course of this year will have repeat orders. So that has been for INR1,900 crores. So these

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are all single tender orders just expected during the course of the year. The timing is not exactly visible. That is why I said during the course of the next 12 months, we should get additional order book, which is based on already developed products and delivered and accepted by customers.

And repeat requirements are already quoted for in some situations and inquiries have also come in for another. Wherever we're talking about INR1,900 crores, we've already quoted for those requirements. The only thing is some of the negotiations may have to happen and the time lines are not exactly in our control. But it should happen during the course of the year.

Dipen Vakil: Got it, sir. Got it. Sir, last question on the production. So in this order inflow, what will be the proportion of the production order inflow, which are expected to be like a short-cycle orders. So any indication on those that out of those INR2,000 crores or maybe INR1,000 crores, how much will be the quantum of the production orders?

S. Rangarajan: I can't give you exact ratio now. What has already delivered, I said we get the repeat order of INR1,900 crores, that will all be production orders because already we've done the development.

On the existing INR2,000 crores, some are service orders, some are already developed orders and some are new development, which is going to take place.

And so I don't have the exact mix and percentages. But whatever we have taken up, even for development initiatives we're taking up, they're looking at it only with the perspective of future requirements are there for such products and programs. So whatever we develop, we've developed with building blocks and they have a future requirement in other applications as well. So that is how the development cycle is actually managed by the company. So I can't give you exact number, but there will be a larger size production contracts for the overall business we expect as we go along.

Moderator: Next question is from the line of Rishika from Goldman Sachs.

Rishika: Sir, I have two questions. You indicated that you're working with global OEMs. I wanted to understand what's the traction around that? And if you have anything apart from U.K. Secondly, when can we expect to get the order for BrahMos seeker? Certain media articles indicate that the production is hampered. Will it have a material impact on our revenue growth in FY27?

S. Rangarajan: Okay. First question is global OEMs. A number of them have started visiting us and quite impressed with whatever we've achieved in terms of capabilities and products. So similar products are required in Europe. So, the inquiries have started coming from Europe for building such products, and they quite like our prices and delivery term.

I think in the next 2, 3 months' time or 4 months' time, we should start getting some contracts from these global OEMs, which will lead into some development initiatives initially, but then which will lead to year-on-year or quarter-to-quarter delivery for their actual military programs for which they are addressing their opportunities.

So, this is going to be not a one-off system, but there will be multiple systems based on what we already developed and modified to meet their OEM requirements. So, this is one part of the story on exports is concerned. We also want to now expand our own export team, build a team to address exports because we believe that there is going to be increased look at India with our capabilities and delivery models, which Europe and U.S. and other countries would be looking at very seriously. So, I think this is a growing business.

And since we have done a lot of product development

in-house, which matches the requirement

immediately, I think there will be a lot of traction once we put the marketing team to address the opportunities.

So, we are going not just U.K., but other than U.K. also in Europe, inquiries have started coming in. Other people who are visiting us are also from U.S. from civil aviation and things like that, people have started visiting us and quite taken interest in our capabilities and inquiries have started coming in.

Regarding BrahMos seekers, the first variant of the development seeker order is under execution.

Once there the execution is completed, I think in the next 4, 5 months' time, the production orders would start coming in. They've indicated production orders, and they want it to be delivered before next year, middle is what the customer is saying. So I don't think there is going to be any distress on delivery time lines as far as BrahMos is concerned with our kind of seekers and systems.

Whatever orders were given in 3, 4 months back in BrahMos seeker, we've already delivered.

And by March, we delivered it. So our time lines for delivery is quite fast with respect to other competitors, which are there in this line of business. So I don't think we'll have a problem in terms of revenue.

And anyway, this is part of the expected order of INR1,900 crores is what we have projected, not in the orders on hand situation. So, I don't think there will be a revenue offset based on BrahMos even if there's a delay. But I don't think there's going to be a delay.

Moderator: Next question is from the line of Hardik Rawat from IIFL Capital.

Hardik Rawat: Congratulations team on a wonderful result. Sir, my first question would be with regards to the current order book. So, we have some INR1,000 -odd crores of order book, and we expect another INR1,000 -odd crores of negotiated orders to flow through in the coming month or 2 ?

Just wanted to understand, our order book mix, if I look at today, the share of services and that is roughly INR350-odd crores, the order book as at the end of 4Q. When you talk about the negotiated orders, could you give us an indication as to what part of this would pertain to services or/and what part would pertain to products?

Venkata Subramanian: I think about on this INR1,000 -odd crores, which I've said maybe INR100 crores will be on services, so the rest on product delivery.

Hardik Rawat: Got it. So that would mean that in the next 2 months, we'll be sitting on a product order book of about -- we should be sitting, again, not -- understanding that the orders can be delayed. But our expectation is that we should be sitting at a product order book of about INR1,500 -odd crores. Would that be correct? INR575 crores that you already have and some INR900-odd crores that you'll be getting?

Management: Yes, around that or even slightly higher.

Hardik Rawat: So now I want to understand since a large part of our product portfolio and because of our faster execution time line, the execution has largely been short cycle. What do you expect the execution cycle to be on this INR1,500 crores of orders that you'll be sitting at in the month of it?

S. Rangarajan: That is not whether we can execute or not. It depends on the program requirements. Some of the program requirements are spread over 3 years delivery. Some is delivered in a few months. So that varies from the contract to contract. And that will be mostly based on customer requirements, not on our ability to deliver.

Hardik Rawat: No, sir, I get that. What I'm trying to understand is that based on the delivery schedules that you have, what is your expectation in terms of order execution cycle, if you can break it down and what do you expect, again, we're not holding you to this, but what do you expect...

S. Rangarajan: We have projected about 20%, 25% revenue growth.

We won't think we have a problem on those things. So that will happen. And if the other INR1,900 crores things come in early, some part of it can be executed this year also. And that will also bump up our revenue model. So since we don't have the exact timing, we have only projected this 20%, 25% growth. But once the contracts are at hand, we already developed these products, our execution time lines can be matching customer requirements or even earlier.

So, depending on that, the delivery model will happen. So, at the present moment, we don't want to wage any kind of saying that we will do this way because we know we are confident of doing this. But this is a base point. I think as the contracts start coming in, larger contracts, our projections may vary from quarter -to-quarter.

Hardik Rawat: Got it. That's very helpful. the point was. ..

Moderator: I'm sorry to interrupt. Hardik, you may please rejoin the queue for more question. We will take our next question from the line of Riya Bhatia from PNB.

Riya Bhatia : Yes. So I just wanted to understand about the order inflow for the year. You said around INR1,500 crores to INR2,000 crores. This is apart from the INR1,100 crores that has been negotiated, right?

S. Rangarajan : Yes.

Riya Bhatia: Okay. So then would it be correct to assume that you'll be ending the year with around INR3,500 crores to INR4,000 crores of order book?

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Management: No. We will also be executing contracts, which is coming in.

Riya Bhatia: So, what will be the order book for the year?

S. Rangarajan: I think it's a bit early for that. We will come towards the year -end before we give you the numbers. It's a bit early because there are a lot of programs we're working on. Some of the large contracts and strategic programs also the order may start coming in. If the order starts coming in, the order book size will grow, plus the export revenue, which is going to happen. So, there are so many areas of product development, and we are making offers to customers.

So, if we're successful, we will be able to have a very healthy order book going ahead. That is why in the opening remarks, I mentioned that this is the first time I've given an all -rounded view on the market and where we are in terms of investment models and product models and how the business is supposed to scale in the coming -- in the short and medium term.

I've given you overall perspective on repeat business from existing deliveries, new things which can happen and then other areas where we are focusing on product development also, plus the export and the repeat business is expected. So, we've also said that if some of this, what we predicted it happens, we'll have a healthy product order book, which will also give us a clarity of quarter -to-quarter growth over the next 2 to 3 years' time, while we still strive for building larger businesses going ahead.

So, I think we have a fairly rounded view I've given on the opening remarks. So -- but to exactly tell you end of March, what will it be, I think towards Q2, Q3, depending on how we get the orders going ahead, that will give you a better answer.

Moderator: Next question is from the line of Akshay from AK Investment.

Akshay : My one question is already answered, and congratulations on the great set of numbers. And sir, my second question is how much cash flow from EBITDA are you expecting to generate in FY27 and going forward for the next 2 to 3 years? Because for the last 2 years, our cash flow generation from operations has been very weak.

S. Rangarajan: No, I didn't understand the question. What is that? What did you ask?

Akshay: Sir, I am asking about the cash flow from operations since last 2 years, our cash flow from operations has been very weak, so over the next 2 to 3 years -- cash from operating, sir?

S. Rangarajan: So cash flow from

operation s, okay.

Akshay: Yes. So over the next 2 to 3 years, how much conversion from EBITDA are we expecting?

S. Rangarajan: I don't know. Venkat, do you want to answer this question?

Venkata Subramanian: The cash conversion cycle today is at 365 days. We are seeing improvements year -on-year. We expect it to probably settle down at 320 to 340 days going forward. But year -on-year, we cannot

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-- at the beginning of the year, it's very early to calculate all that and come out with an answer for this.

But we are definitely focusing on reducing the working cycles, and it is also showing some improvements year -on-year. So going by that, we expect it to settle down at 340 to -- I mean

320 to 340 days going forward. But probably during the middle of the year, we can take a review on this. And some color can be given, but this is too early now.

Moderator: Next question is from the line of Pujan Shah from Molecule Ventures.

Pujan Shah: Sir, first question pertains to -- in the last, our con call, you have said that we might receive INR1,100 crores in 1 to 2 months' time line, while that has been delayed. But while I was also reading some of the tender participation and where we can be -- I would think that there is also an order of INR1,007 crores for Tejas Mk1A, is it possible -- is it the same order...

S. Rangarajan: What is that order? INR1,007 crores. What is that?

Pujan Shah: INR1,007 crores order value for Tejas Mk1A.

S. Rangarajan: Tejas, okay.

Pujan Shah: So, is it the same order, which I'm being considering or you're being considering in the last con call? Or it is just different order all together?

S. Rangarajan: These are not Tejas one. Tejas one is part of -- some inquiries have come, we quoted for whatever products are going, avionics is going into Tejas. So this -- hopefully, the orders should come during the course of this year. It normally goes through a really large negotiation cycle with HAL.

So, we have to wait and watch when the order is placed. But I've not projected anything last year for Tejas. We had orders in hand, which we executed but the new order projections is this year only, we're talking about other, than that order -on-hand situation, already delivered products, which repeat orders may happen. For this, we've already quoted. And Tejas also, we already quoted. So we have to see when the contract comes. It will be only this year.

Pujan Shah: Okay. But sir, I just want to try, sir, because the tender was closed on, I think, 13th or 23rd of March. I don't remember the exact date. And in 65 days of time line, it needs to be concluded on their side. So there is no update from -- on the portal or something like that. So how should...

S. Rangarajan: I don't know which you're talking about. I'm not aware of what you're talking about. So I won't be able to comment on it.

Venkata Subramanian: And to give you more clarity, actually, the orders negotiated of INR1,000 -odd crores, which was shown in the previous conference call, is not a single case, it's multiple cases. Some of them we have got the contract. And that number now stands at INR1,090 crores. I mean we have got some more contracts negotiated in between last conference call and now. So put together INR1,090

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crores as on date as we speak. So including that, our order book today stands at INR2,000 crores plus, INR2,062 crores to be precise.

S. Rangarajan: You'll have to wait for Tejas order to happen, and we'll announce it to the market as and when the order happens.

Moderator: From the line of Garvit Goyal from Serene Alpha.

Garvit Goyal: Congrats for good numbers. Sir, in your opening remarks, you mentioned about some delays of certain programs. Can I know what kind of programs are these? And secondly, if these delays are

and these programs are getting deferred to FY27, then fundamentally, your growth should be more than 25%. And why we are speaking about 20%, 25%. So that's my first question.

S. Rangarajan: No, I never -- what are these 13 programs? I don't know what you are talking. It's 13 programs?

Garvit Goyal: Not 13. I'm saying you mentioned about some programs getting delayed in execution in Q4 that will be deferred in next year. That's what you said, right?

S. Rangarajan: No, no, no, I never mentioned. I never said anything like that. I never said anything like that.

I've only compared quarter 2 to quarter 4 performances. And then there are expected orders from what we delivered in quarter 2, but I never talked about any delays. I've only talked about orders, which is expected, let's say, another INR1,900 crores for repeat contracts.

I'm not able to give you time lines on those orders because these are all government contracts.

But I expect this to happen over the course of this year is what I said, I never talked about delays on any other thing.

Garvit Goyal: Okay. So, if I look at the execution in Q4, it is falling behind Q4 last year, right? So we were having the order book in our hand, right? So what is stopping us in executing those contracts?

Like what is the reason behind the poor execution?

S. Rangarajan: There's not a poor execution. Actually execution has been actually very good. It's not poor. It is a good execution. And the execution has to be in line with customer requirements. I may have an order on hand, but customer doesn't want delivery today. There may be preconditions to our delivery. So based on customer request, we deliver and based on the contract. So execution has not been poor. Actually, execution is very good. We delivered things in 2 months and 3 months, which is very, very good.

And our Board is very happy with the execution and how we manage the execution. So there is no delay from our side. It's a question of the agencies, government agencies getting together

approval, these kind of things normally go through a process and that process delay is not addressed by -- we can't address those process delays. But we've never had an execution delay from our office.

Moderator: We will take our next question from the line of Shrinarayan Mishra from Baroda BNP Paribas.

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Shrinarayan Mishra: Sir, my first question is on the largest order that we have received in Q4, IMD radar development and service order. What would be the execution cycle for that order?

S. Rangarajan: The requirement is between over 18 months. We're trying to see how fast we can deliver it.

Shrinarayan Mishra: Okay. And sir, since I can see in the order backlog, our services mix has increased significantly. So would that mean trade receivable days would improve? Or how should we see that?

S. Rangarajan: No, no. You're talking about services?

Shrinarayan Mishra: Yes. In the order book services mix has increased.

S. Rangarajan: Trade receivables will not increase because we don't bill for services until the services are carried out. The only product delivery happens, we bill only product development. The services part of the contract, we will bill as and when the services happen and delivery of the services happen. So there are 2 independent parts to the order. So we will not bill the overall amount and wait for services to happen over the next 4, 5 years. That is not the way revenue recognition is done. It's not done that way.

Venkata Subramanian: Service orders represent our AMC revenue. AMC is actually for multiple years. It's not a single year AMC.

S. Rangarajan: So there is a process for revenue recognition. There is a process in revenue recognition. This is not add to any -- what -- receivables increase and all those things.

Shrinarayan Mishra: So from the date of billing of a service order, how

many days it takes to collect the amount?

S. Rangarajan: It depends on the customer.

Venkata Subramanian: It depends on the customer and the processes involved.

S. Rangarajan: See, what we do is after the service, it again depends on the contract, when the billing can start, so at the end of the service contract, 1 year over, the annual billing can be after end of the year or if it is quarterly billing and quarterly -- so it depends on the contract, varies from contract to contract. And the payment cycle terms varies from customer to customer.

Shrinarayan Mishra: But in general, if you were to generalize, is it better than production orders or?

S. Rangarajan: I can't generalize because uniquely government agencies are there. IMD is the first case, which is taken up now. So, until we get some money transfer from IMD, we won't be able to generalize.

Moderator: Next question is from the line of Amit Sharma, an Individual Investor .

Amit Sharma : Congratulations on a great set of numbers. I have two specific questions, 1 related to our current order book. So we have for 38% of our current order book coming from services, which has

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roughly an elongated execution cycle. So does that -- and even in our negotiation order book of INR1,090 crores, even that also we have a sizable amount coming from services.

So, does that put a pressure for us in terms of our growth size? Would our growth will be, say, 25% growth, would that be a pressure point for us for the coming year as well as for next year FY28?

S. Rangarajan: Okay. This question has already been asked and answered. INR1,090 crores I gave approximately about INR100 crores to be services. The rest is product delivery. So it will not affect the -- our top line revenue growth is what we projected, I said 20%, 25%. We believe we should be able to do this. On top of why we said we should be this is also that there are a number of repeat contracts we're expecting during the course of the year.

So it happens early, then we can deliver those products earlier. So that also will bring in additional revenue or either part of the revenue projections or over and above the revenue projections, we can do that. So it depends how the order inflow happens during the course of this year.

Amit Sharma: But basically, what you are saying is that the quick execution order book like we had in the current year is what we are largely depending on for the -- to achieve the ballpark number that we are guiding for the current year, in fact...

S. Rangarajan: Yes, we believe it will be substantially higher than the guidance number is what we expect because I think a lot of long -term initiatives the company has taken. And I think those initiatives one by one will start fructifying into contracts. Once it starts getting contracts, our order book situation should grow substantively in the coming years is what we expect.

And we have developed products and over a period of time to ensure that this -- we can scale the company very quickly into multiple thousand crore company rather than scale it 20% year - on-year. That is not what we're looking at in the management cycle here. We're actually looking at some very high scalability in the coming years. And the strategy and product development mix is working towards how to build the scalability and sustainable scalability is what we're working on.

Moderator: Next question is from the line of Sahil Karia from White Pine Investment.

Sahil Karia : So apart from BrahMos missiles, which are the missile programs...

S. Rangarajan: I can't hear you at all. I can't hear you at all. Can you come to nearer the phone and call.

Sahil Karia: Am I audible?

S. Rangarajan: Yes.

Sahil Karia : So apart from BrahMos missiles, which are the missile programs...

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Moder

ator: I'm sorry to interrupt, Sahil. Can you use your handset mode, please?

Sahil Karia : Am I audible now?

Moderator: Yes.

Sahil Karia : Yes. So apart from BrahMos missiles, which are the missile programs are we delivering products, seekers and IR products to and all these products could we be the relevant vendors?

S. Rangarajan: I'm still very confused with your question. You're not very audible.

Sahil Karia : Apart from BrahMos missiles, which are the missile programs, are we delivering products to and for which product are we L1 vendors?

S. Rangarajan: Other than BrahMos product, there's one other program for the air defence . We've done a seeker that is under delivery mode now. But there are no other programs on the missile area. We're working on seekers. But as a concept, we want to take up initiatives to build other kinds of seekers, electro optic, etcetera, seekers on our own. And where we are positioning ourselves with an industry partner to see that we can meet the revenue model as we go along. But those are all development initiatives internal to office. But as of now, we don't have anything else because we work on whatever DRDO allows us to do. We develop the products as per the requirement. So until then, it will be now -- it's really controlled by DRDO or missile program itself.

As and when the missile program becomes opened up, other agencies start building, large corporate s start coming into the business, then maybe we should be able to do a large part of the missile and have an ecosystem which will develop the system, but that's yet to happen.

Moderator: We will take our next question from Jenish Karia from Union AMC.

Jenish Karia : So, my question is on the AMCA program. Any update on our consortium's position for the AMCA program? And irrespective of the outcome of the -- which consortium is winning, what would be our opportunity within the AMCA program?

S. Rangarajan: Yes, AMCA program, the RFP is expected any time now. So that is the first status. Second is on the AMCA, we've -- the glass cockpit is developed by us. The mission systems is developed by us for the LCA -Mk2, which is going to be taken to AMCA. We are hoping t hat as we go along, more such -- on the sensors and RWR and radar and things like that, as and when we are able to develop products and it is acceptable to the customer. All such programs will follow. At the present moment, we have only the cockpit solutio ns and machine management system is being done by us.

Moderator: Next question is from the line of Santhosh from iThought PMS.

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Santhosh : Okay. So, I just want to know like out of the negotiated orders of INR1,000 crores, you did say that if the delivery schedules are okay, we might deliver some of those contracts this year. Would that growth be over and above the guidance of 20%, 25% you are guiding for?

S. Rangarajan: No, I never mentioned. I think you misheard me, you misunderstood the whole thing, whic h I've answered. I never said the INR1,000 crores, we only talked about orders on hand, expected orders and negotiated with INR1,000 crores. I never said that this will be delivered earlier and things like that. I talked about other INR1,900 crores.

If it were to come, similarly the business that happen during the course of the year, comes in early, then I can include them early. That is what I talked about, not on the contracts on hand. I didn't understand the second part of your question. What was the se cond part of the question?

Santhosh: No, I'm just asking that if that INR1,000 crores, if the delivery schedule is allowing you to get

the revenue today, would that be over and above the guidance you're suggesting for? Because -
- is there any capacity constraint is my question as well?

S. Rangarajan: No, we are building large capacities. For export contracts already capacity we have built, plus

we are building something about nine floor of factory space to build in additional capacity to see that the larger -- as we -- the program size has increased and the volume of contracts increase to scale to multi thousand crore company. We already started investing on capex and infrastructure expansion because it takes 1 to 2 years' time. So, we're already in the process of doing it.

For seekers and other things, we already put the building blocks and infrastructure necessary to ramp up production. Already, we have done that. So, I don't think we will have a problem in execution. As and when it happens, we are aware of when this will happen. Of course, the time lines are not very predictable. But -- so we have taken a cautious view of not overspending in infrastructure and the contracts don't happen.

I don't want to sit on capex infrastructure there. So, this has to be judiciously implemented, but we are aware that scaling is going to happen substantively. And we are taking an aggressive position on terms of capex infrastructure to address the scaling requirements as we go along.

Moderator: Next question is from the line of Dipen Vakil from Phillip Capital India.

Dipen Vakil: I wanted to understand on your product development and also on the Virupaksha -- component for the Virupaksha Radar that you had supplied to Indian Air Force as well. So, any update on that as to what is the progress? How was the response? And if there's any concrete order which we can expect from there?

And you also mentioned about the new areas of development around anti-drone system, drone detection. So, can you tell us about -- more about the time line as to when these products will start getting commissioned or rather in that approval stages and we can expect some revenue from them?

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S. Rangarajan: Okay. First is Virupaksha is not our product. Virupaksha is a DRDO project, name for the Super Sukhoi radars. This is not ours. We call it by a different name. So, we never delivered Virupaksha or any equivalent to Air Force as yet. So that is the wrong information you have received. So, we have our own versions of it. And we believe that, that will also be taken up by Air Force in the coming years. But because of the uncertainty and time lines, which I can't predict, we've not given revenue expectations out of those things and in our opening remarks.

Similarly, when you talk about anti-drone, yes, products are getting done. We will be participating in demonstrating the products to army and air force and whatever. So that will happen. But again, we don't have clear time lines when what will happen. We have started quoting in some locations.

And if we are successful, the quotes, we will -- may get the order. But these are all things which is again a quote and competition basis. So time lines are -- and the revenue model is not -- what do you say, very clear now. So -- but then we need to expand the product portfolio and be aware of what is happening and the need of the customer is trying to address the need in overall. So we're developing a number of products.

And these are all repurposed products. Already we have done something, an incremental effort of 3, 4 months, I can position the products. So, it makes sense to do that. And our product will be reliable and meeting the specifications. So, we believe that there will be some revenue model going ahead, but I can't predict anything at the present moment.

On new product development, we don't do revenue projections unless the clarity is there for the market and it is an acceptance stage and later requirements or inquiries start coming in, I can't give you projections.

I'm only talking about the overall business environment and product development to help the investors to understand how scalability we are going to ensure that we can be a larger business

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going ahead in the next 2, 3 years' time. That is how the overall business perspective and product development has been explained, not to the exact revenue model, because I can't give you numbers like that.

Dipen Vakil: I'm also looking for the time line on the new product development as to when we can expect the new products to start coming into your product portfolio per se?

S. Rangarajan: That will all happen as it's happening already, but that depends on the product. Anti-drone is a smaller system, so it can happen quickly. But the other, the EW suite for self-jammer is a 2-year, 2.5-year initiative, which we've taken on. And that is in the next 1 year, it will come to conclusion. It depends on the product and the complexity of the project and program and the acceptance models. Air trials have to be done, it takes longer time. It takes 1.5 to 2 years' time

to do air trials. So why I give you the overall perspective is that, we are not only looking at contracts now. We're also looking at shorter term, some kind of product initiatives and repeat contracts.

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Slightly immediate term, we've already invested and continue to invest in new products and products, which is actually needed by the country, which is not position -- no Indian company is positioning. Only foreigners are positioning products there.

So, in competition to products, our products should be far more economically priced and support systems are going to be far superior as long as the product meets world-class specifications. So based on that, we believe there are low-hanging fruits, but time lines are not predictable. So, we will not predict time lines and revenue models out of that.

Moderator: Next question is from the line of Aditya from Avendus Institutional Equities.

Aditya : Congratulations on your set of numbers. My doubt is regarding our competitive peer, which is Astra Microwave. I have been following the defence companies as such. In this case, Astra Microwave is also like in line with providing more on complete system like similar to us.

They have been transitioning in that aspect. So how are we trying to position ourselves in case of the competitive trends when compared to one such peer like, let's say, Astra Microwave, in case of systems and the orders which we have received?

S. Rangarajan: I wouldn't like to comment on specific competition on open line. So, I will refrain from answering this question.

Aditya : So that's all question from my side, sir. If possible, could you just explain more on our technological side in case of our product development, which is part of our R&D assets, like details more on the technical part of it?

S. Rangarajan: Yes. We have a strong in-house technology development team. We are nearly about 1,200 engineers working with us. So as what we've done all through the years, we develop products and write off the revenue expenses, except in a few cases where we did a few of the fund product development, which is capitalized. We don't do capitalizing.

We continue to do enormous amount of product development as part of our yearly requirements and then have the product ready for markets, which we perceive or we believe is going to open up to us. So we take such kind of initiatives and upfront invest products. And we're investing now products on radars a full -- earlier only hardware is being done by us because the DRDO software is done by them.

However the market has opened up, we decided that we build the software and full radars. So we've done a few radars and some of them have been exported. Now we're building the drone detection radars. We want to get into the airborne radar programs. So we are doing the airborne development programs for airborne radars, including software, complete radars. We were doing the IFF. We want to do the mission systems. We want to do the

EW, already flying. So, we want to enhance the scale of EW.

The communication intelligence, we want to do world-class systems, the increasing specifications to see that it is a top of line world-class specifications are met. So like that, in

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every product area, we're trying to improve the product capability and address it to the world markets and see that we are in line with the world systems so that we can offer best solutions to India and not -- second to none is what we're trying to do.

So, our area of focus is, if you take avionics, radio, mission systems, communications, radar, EW, IFF, a lot of other things which goes into UAV platforms and parts of the radar as for DRDO requirements, complete radar solutions wherever we can do that, export of these parts of systems to international OEMs, all of this is what we're looking at.

We have fairly deep technological capabilities in all of them. And we have a very strong group of people who have been with this company for 20, 25 years who will drive this technology and also the middle management on engineering for all 15, 20 years in the company.

So, there's a very -- it's a very homegrown kind of an organization where there are no levels and product talks and all of us is in. So, the idea is to develop products which is world-class with the market opening up and we want to build a large-scale company moving ahead.

Moderator: Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to the management for closing comments.

S. Rangarajan: Thank you all for joining in on this conference call, earnings call for Q4 and the year '25 - '26.

I've taken time to give you an overall perspective of how our business is growing and where we are trying to develop products. The intent is to see that we scale up multiple times in the coming years.

The market opportunities are very, very large, considering that India has been importing all our defence systems and these are core competency in IP-driven products. We have been completely dependent on foreign OEMs who don't share the details and do a manufacturing only in India. As against that, we want to build our own capability in full products to see that we are completely self-reliant and with world-class products. Some of our initiatives have started giving some results and some orders are going to come on the EW, which we're competing with Germany. We got some contract -- we're going to get some contracts. Tenders have been opened and negotiation completed.

So, things like that. Similarly, on the EW jamming, we have done all this, including the software, the mechanical systems, the cooling systems, the electronics, which is world-class. So, we believe that also should give us some substantial revenue opportunities going ahead.

The third area is what we've already developed, and we've taken some additional risks in addressing these opportunities because we believe it will help us build scale and repeat orders as well as build program management capabilities in the company. If you take them and successfully executed the contracts, customers are quite happy. So we believe that there will be some additional requirements will come up, which will build scale into the company.

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Fourthly is we are looking at exports. Till now that has not been a focus area. But with the geopolitical environment, the export then now takes a precedence because a lot of warehousing companies are looking at how quickly can we deliver products for their military programs. So we're trying to address it. And similarly, in U.S. programs.

And we need to now have a team to go and address in Japan, to Korea, to Europe, to U.K., to other countries, including U.S. So that we are trying to put a team together to see

how to address

this. We're also looking at how do we scale capabilities in terms of electro optics. So what is it we need to do to build an electro optics, not just electronics company and domain.

So domain and electronics, mechanical, all we integrated together to build their own systems.

So I'll give you an overall idea. We are very bullish, like I said, on the growth opportunity of what India offers today. And since we've been importing everything, now it is up to us for grabs. Obviously, there are time lapse and it's government agencies, so we need to be aware of that and not do overinvestment and then have competition foreigners who come on the back route and put in infrastructure and use the business. So, we are cautious of the development and what we are putting money in.

So -- but over all, I think we are taking the right approach and direction. And the Board and the technology Board and the company are quite clear that we're going in the right track. So, we will continue to build like this and scale the company quite quickly. This is what we expect. We're very bullish on Data Patterns growth going ahead.

Thank you very much for your listening patiently for this. If you have any further questions, please pass it on to Go India Advisors, and we'll get them answered to you through them. Thank you all. Thanks for listening in.

Moderator: Thank you very much. On behalf of Go India Advisors, that concludes this conference. Thank you all for joining us today, and you may now disconnect your lines.